

REFORM OF THE RESOURCE MANAGEMENT SYSTEM

A model for the future

Synthesis report

Greg Severinsen



**Michael &
Suzanne
Borin
Foundation**



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FOREWORD

This report represents the final in a series of publications that have taken a first-principles look at the resource management system in Aotearoa New Zealand. It is the synthesis of a number of working papers and an earlier interim report, and brings an unprecedented depth of analysis, thought and experience to considering what an improved system for managing our natural and built environments could look like.

The research, ably led by Dr Greg Severinsen, has spanned three years and has engaged with a wide range of experts and entities to garner a collective view of what the future system should look like. It makes tangible suggestions for reform that would be staged in a workable fashion. The reforms proposed have been built up from carefully considered ethical foundations and are calibrated for our future needs, not the past.

Central to the propositions we propose are the need for environmental bottom lines or limits. There is widespread agreement across society that we need to better protect our natural world. But our lens for this work has not just been an environmental one. The project has taken a wide focus including the need to enable sustainable economic development and improved social outcomes including in our towns and cities. The model described here is designed to work for all New Zealanders. It respects te Ao Māori and the obligations contained in the Treaty of Waitangi, though we do not speak for Māori.

The report concludes that reforming the resource management system needs to look beyond the law and consider underlying funding and institutional arrangements. It needs to be more future focused and strategic, and less siloed. Spatial planning is a tool that should be more widely deployed. To cope with future needs the system should be more fleet-footed and adaptable. We propose the creation of a Futures Commission to provide oversight and a future focus, so we anticipate needs instead of simply reacting to them.

Overall we conclude that a rewritten Resource Management Act – perhaps renamed – should form the core of the reformed system. We favour merging other laws in a more coherent and joined-up way, including those relating to the marine environment and nature conservation. Greater alignment and coordination is required to manage urban growth and infrastructure challenges and, above all, climate change. The challenges we face are long term ones, and require an injection of robust institutional independence that depoliticises issues. Regulation cannot be the only answer, and the system will need to engage deeply with economic and behavioural incentives to drive positive action.

During the life of the project, the government set up its own review of the resource management system, which is currently underway. We have helped stimulate that decision and are grateful that one of our project

researchers and authors, Raewyn Peart, has been appointed to the Panel chaired by the Hon Tony Randerson QC. We hope that this final report will be of assistance to the Panel.

We would like to acknowledge with thanks the primary funders for the project – the New Zealand Law Foundation and the Michael and Suzanne Borrin Foundation. Additional funding and helpful perspectives were also contributed by our partners, the Employers and Manufacturers Association (Northern), Property Council New Zealand and Infrastructure New Zealand. Thanks also to Watercare for its support.

Reforming our resource management system is a complex challenge. The extent of analysis in this final report underlines that. My plea is that everyone involved in this ongoing debate avoids rushing to ill-considered outcomes. We have had enough of bad decision-making and imperfect law. Let's engage in a genuine non-partisan discussion, free of hyperbole and point-scoring.

Nothing like this report has been done before and hopefully it will be a useful foundation for that national discourse.

Gary Taylor *CNZM QSO*
Environmental Defence Society



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EXECUTIVE SUMMARY

In a nutshell

In its *Reform of the Resource Management System* project, the Environmental Defence Society (EDS) has looked, from first principles, at how Aotearoa New Zealand can manage its environment and resources better. Our resource management system is about protecting our natural heritage, providing for New Zealanders' social, cultural and economic wellbeing, and preserving our natural and physical resources for future generations. Reform requires more than just another amendment to the RMA, and there is now an urgent need for a comprehensive rethink.

This summary outlines the bones of what a future resource management system in New Zealand could look like. Our core proposals and suggestions are summarised below.

The Resource Management Act

- Retain the Resource Management Act 1991 (RMA), or an integrated statute like it, at the heart of the system, rather than starting again from scratch or splitting the Act
- Rewrite **Part 2** of the Act (its purpose and principles) to recognise the pre-eminence of environmental bottom lines, the importance of good urban planning, and the need to resolve allocative issues
- Strengthen obligations in the Act to give effect to **Treaty principles**
- Require the establishment of environmental **targets**, and put in place timeframes and an accountability framework around them
- Remove jurisdiction from the RMA (and regional councils) for oceans management beyond 3 nautical miles, and give them to an **Oceans Act** and **Oceans Agency**
- Require central government to produce a single, integrated and coherent piece of national direction (a **National Environment Plan**) addressing all matters of national importance and relationships between them
- Retain separate **National Planning Standards**, but expand them to apply to national direction as well as council plans
- Replace existing **council planning processes** with two new processes: (1) a process for creating and reviewing plans that resembles the Auckland Unitary Plan making process, and (2) a process for plan changes involving a single-stage hybrid decision-making panel
- Require councils to work together (and with **iwi and hapū**) to create a combined regional plan, paving the way for a conversation about greater **regionalisation** of local government functions
- Provide a greater role for the **Environmental Protection Authority** (EPA) in regulation making in national direction and council plans (notably for freshwater)
- Revise settings for **resource consenting** in various ways, including by removing jurisdiction from elected members and Boards of Inquiry
- Establish an independent **Environmental Defender's Office**, charged with undertaking public interest litigation
- Revise settings for **compliance monitoring and enforcement**, including by providing a stronger role for the EPA
- Strengthen **water conservation orders**, and introduce other **order-based tools** of a similar nature (such as a Heritage Area Order)
- Replace a first in, first served approach to **freshwater allocation** with a more structured approach (potentially consisting of regulatory and economic mechanisms, and trading mechanisms where appropriate), and allow a space for Treaty obligations to evolve
- Establish a national **Environmental Water Holder** to participate (representing the public interest) in any future water markets
- Provide **direct assistance** (financial and otherwise) from a national level body to councils to implement national direction

Climate change legislation

- Integrate the strategic climate change measures under the **Climate Change Response (Zero Carbon) Amendment Act 2019** into a Future Generations Act
- Provide for stronger enforcement mechanisms for failures to meet **targets and carbon budgets**
- Strengthen the **emissions trading scheme** and related mechanisms, including through the meaningful pricing of agricultural emissions
- Introduce **novel tools** (including financial tools) to encourage mitigation and adaptation
- Create a **Climate Change Adaptation Fund** to be deployed in a strategic way
- Establish a clear legal relationship between (1) elements of a National Futures Strategy concerned with emissions reduction and climate change adaptation and (2) the frameworks needed to make change on the ground (eg the RMA, Climate Change Response Act and Local Government and Infrastructure Act)

A new Oceans Act

- Establish an integrated **Oceans Act** combining aspects of the RMA, Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, biosecurity, maritime transport, and fisheries
- Establish a new **Oceans Agency** and a **Minister for Oceans**
- Provide for the creation of an integrated **Oceans Plan**
- Provide a clear legal mechanism by which **marine spatial plans** can be developed and implemented

Integrated conservation legislation

- Rationalise conservation legislation into an integrated **Protected Areas and Species Act**, applying to both land and sea, and having two substantive parts: one focused on protected areas, and one focused on species protection
- Rationalise and strengthen protections for **protected areas**, including internationally significant areas
- Strengthen **species protection**, based on improving the framework of the Wildlife Act 1953
- Strengthen **Māori** concepts and involvement
- Strengthen the role of independent institutions, including a review role for a Futures Commission in relation to conservation strategies and plans
- Further investigate and establish a national **biobanking** framework to deploy biodiversity offsets in a strategic way
- Strengthen the influence of threatened species management plans on decision-making under the RMA and Biosecurity Act

System-wide measures

- Retain and uphold existing **Treaty settlement legislation**, improving cross-referencing
- Strengthen **monitoring, information-gathering and reporting** requirements
- Require the establishment of pre-set indicators, requiring **corrective action** to be taken if triggered
- Strengthen measures to transition to a **circular economy**, notably under the Waste Minimisation Act 2008
- Strengthen **directors' duties and corporate disclosures** in relation to the environment and climate change
- Deploy **green taxes** with more vigour
- Take a more strategic and systemic approach to **subsidies** and payments for ecosystem services
- Deploy **resource rentals** in a nationally coherent, systematic, and fair way over time
- **Hypothecate** revenue raised through green taxes and resource rentals by channelling it back into environmental restoration measures
- Gradually shift part of our broader tax base towards an **environmental footprint tax** (and rebate) system
- Provide a more active role for government in **green certification**
- Embed environmental and climate change principles in the **school curriculum**
- Strengthen behavioural incentives in the system, and establish a cross-agency **behavioural nudging unit**

How reforms would occur over time is also crucial. Not everything needs to, or should, happen at once. Within each chapter, we therefore consider how a particular statutory framework would emerge or change over time. We are thinking about a reform pathway in three broad steps: short term, medium term and longer term. We do not put a specific timeframe around those, other than to say they will need to be ambitious, while taking into account the resourcing that is available. The important thing is to prioritise effort and stage reforms over time towards a coherent vision or end point, not continue to tinker in response to particular problems or political point scoring.

No doubt readers will be most interested in short- or medium-term changes, as they involve realistic policy proposals to put before a reform-minded government. It is therefore useful to identify and describe those kinds of reforms in more detail. For example, we have provided drafting for how a new purpose and principles section for the RMA might look, which we see emerging in the short term.

Our short-term proposal is primarily about building on the basic frameworks we already have, with some significant additions. For example, we propose keeping an Act like the RMA at the core of the system, but changing the Act's purpose and principles, rethinking its planning processes, and expanding its toolbox. We would also see a new statute – a "Future Generations Act" – and a new, independent institution – a "Futures Commission". A layer of strategic spatial planning would appear.

In the medium term, we envisage more far-reaching reforms, albeit still ones that build on many of the basic structures we already have. For example, we would see the emergence of a new Oceans Act and Oceans Agency tasked with the integrated management of our deep sea environment, and the rationalisation of conservation legislation.

However, longer-term reform is equally important. For example, in Chapter 13 we propose a shift in our tax base away from mechanisms that penalise positive outcomes (eg income tax and GST) and towards things that penalise negative behaviour (eg environmental degradation). Thinking beyond one term of government should not be dismissed simply because it cannot form an immediate reform bill or the focus of a political mandate defined by an election cycle.

Throughout the report, we also identify various "conditional" reforms. These do not have predetermined timeframes around them, but would be carefully considered or triggered if certain things happened (or failed to happen). Sometimes, we need a "Plan B" prepared in advance.

We end the report in Chapter 14 by focusing on a pathway to reform. We provide a rough timeline for how change to the system as a whole would occur over the short, medium and longer term.

2 Criteria for reform

In Chapter 2 we select and present a preferred set of criteria for reform. In essence, we are adopting the "progressive" set floated in Working Paper 1.⁴ Our criteria recognise the need for far-reaching change to achieve ambitious goals, but do not seek to overturn all aspects of the current system. Realism, and a staggered approach to reform, is important if change is to actually happen. We also do not want a knee jerk reaction that wipes the slate clean, risking the loss of many good aspects of the system (eg important case law). We do not want unnecessary disruption, but we also recognise that disruption will, in many cases, *be necessary*.

We are treating criteria as a broad anchor for debate, rather than driving particular answers or producing blueprints for reform. As such, we have held them in mind when considering our options, rather than treating them as a checklist. Generally speaking, our criteria emphasise the need to establish and hold firm essential biophysical bottom lines or environmental limits, including where necessary for human survival and to protect the intrinsic worth of the natural world. They also recognise the need to uphold Treaty settlements and implement the principles of the Treaty. Moreover, human wellbeing is seen as being about more than just economic and social freedom to act, or the provision of public goods. It is about many other things, including building social and economic resilience, respecting communities' wishes, and outcomes and processes that are fair rather than just efficient. We stress the need for equity, as well as certainty, but also recognise the need for agility and timely outcomes.

Key points

- We adopt a "progressive" set of criteria for reform, striking a balance between the need for ambition and change, and the need for pragmatism.
- Criteria form useful anchor points for debate, but do not spit out a blueprint for reform. Considerable debate will still be possible as to how they are applied.

In Chapter 3, we consider what reform criteria mean for the ethics and principles that will define a future system, and the roles it will be expected to perform. We recognise that multiple worldviews or ethics will need to underpin the system. We are not adopting a particular variant of a theory like ecocentrism, for example. This is not only because mediating between a melting pot of worldviews will be the political reality, but also because we see a plurality of ethics as a good thing. We can learn a lot from each other's perspectives. Indeed, we are already seeing a positive convergence of thinking in this area with concepts like Te Mana o Te Wai. A future system will need to seek out similar nodes of agreement as well as mediate between legitimate tensions in people's worldviews.

4 The legislative and institutional architecture of a future system

Over the course of Chapters 5–13 we present our preferred model for system reform. But before summarising those chapters, it is worth pausing to provide a birds' eye view: a snapshot of the legislative and institutional skeleton off which most other reforms would hang. We consider the overall legislative architecture first, and Figure 0.3 outlines what would happen to existing legislation.

We see merit in retaining the RMA, or an integrated statute like it, at the heart of a future system. While there would be many attractive features of having, for example, a separate "Planning Act" and "Environment Act", on balance we think that the risks of such a split would outweigh its benefits. In particular, there is the need to retain close connections, within a single statute, between land use planning and other "environmental" domains like water, air, climate and soil. To weaken that link would be a retrograde step.

Implicit in the retention of the RMA is also a rejection of the idea of rearranging our core statutes along completely different lines (eg separate sectoral, domain-based, or location-specific acts).⁷ At the heart of the system would continue to be an integrated, outcomes-based statute that applies across the country and encompasses air, water, land and marine domains. Additional layers of legislation would then fill gaps in a similar kind of way as in the current system.⁸ For example, the RMA would not be concerned with the "sustainable" allocation of Crown-owned minerals or with the active provision of water infrastructure. There would remain separate frameworks to deal with those functions. The notable exception, explored further below, would be a dedicated "Oceans Act" (a largely spatial separation) for the environmental management of the deep sea.

Key points

- We envisage that an integrated, outcomes-based statute like the RMA would continue to exist at the core of a future system. It would not be split into separate statutes for "planning" and "environment".
- However, this Act would not do everything, and would have fundamental changes made to it to improve its utility.

Alongside the RMA, we envisage that separate legislation for local government and infrastructure could usefully be merged into an integrated "Local Government and Infrastructure Act". That would incorporate the existing Local Government Act 2002, Land Transport Management Act 2003 and any separate legislation for "three waters" (drinking water, wastewater and stormwater) infrastructure.⁹ A Local Government and Infrastructure Act could also subsume recently enacted legislation setting up an Infrastructure Commission.¹⁰ This is not to suggest that

local government is just about infrastructure provision, simply that a more integrated or aligned process for local and central infrastructure planning and funding (including for transport and three waters) would be desirable. That could be facilitated by having an integrated statute.

Key points

- Legislation for local government and infrastructure planning and funding would remain separate from the RMA.
- However, an integrated Local Government and Infrastructure Act could be enacted to combine the Local Government Act, Land Transport Management Act, and other relevant legislation.

At the moment, misalignment between the RMA and frameworks concerned with infrastructure is causing problems, especially in the context of rapid urban growth. There is little point rezoning land for residential development under the RMA without the infrastructure (eg roads and water pipes) to service it, or for infrastructure to be planned in areas where land use changes are not enabled. The result has been a shortage of developable land in some places, exacerbating issues with housing affordability. Retaining separate statutes for land use and infrastructure planning means there would be a pressing need to align them better in other ways.

To coordinate land use and infrastructure functions, we envisage that higher level strategic spatial planning would occur at a regional scale. Spatial plans would be produced under a new piece of legislation, which we are calling a "Future Generations Act". This would be an overarching, integrative statute of quasi-constitutional significance, that would flow down into other more targeted "implementation"-style statutes. Spatial plans would, generally speaking, need to be implemented in more detailed plans made under the RMA and a Local Government and Infrastructure Act. (A Future Generations Act would also have broader significance, as explored below).

The RMA, Local Government Act and Land Transport Management Act (and associated spatial planning to align them) are sometimes presented as being synonymous with the resource management system as a whole. In the urban growth context, they are certainly of central importance. But there are many other statutory frameworks we see operating in a future system: there are good reasons for having more targeted "implementation" statutes focused on particular things.

In particular, statutes designed to impose environmental protections should be separate from other statutes focused on driving development.¹¹ For example, we would not wish to see a framework like the RMA integrated with statutes requiring the provision of infrastructure or encouraging the extraction of minerals. Too much integration can also make a statutory framework unwieldy, vague in its purpose, and inaccessible to users.¹²

As mentioned earlier, we are also floating the idea of an integrated Oceans Act. This would recognise that closer connections need to be made between multiple frameworks dealing with the marine environment. An Oceans Act would (for RMA-type functions) apply on the seaward side of a line drawn at 3 nautical miles from the coast. It would incorporate parts of the RMA and Biosecurity Act 1993, as well as the EEZ Act, Fisheries Act 1996 and Maritime Transport Act 1994. Conservation frameworks applying partly or wholly to the oceans – like marine reserves, marine mammals and wildlife – would instead be integrated into dedicated conservation legislation described above, but with clear inter-statutory links made with an Oceans Act.

Key points

- Existing conservation legislation could be rationalised into a single Protected Areas and Species Act, which would span land and sea.
- We are suggesting a new Oceans Act, which would integrate many marine-focused aspects of legislation into one place. For RMA-style functions, it would apply on the seaward side of a line 3 nautical miles from the coast.
- There seems potential for the rationalisation of other legislation, including the Forests Act and legislation concerned with erosion and flood control measures.

Colville Channel



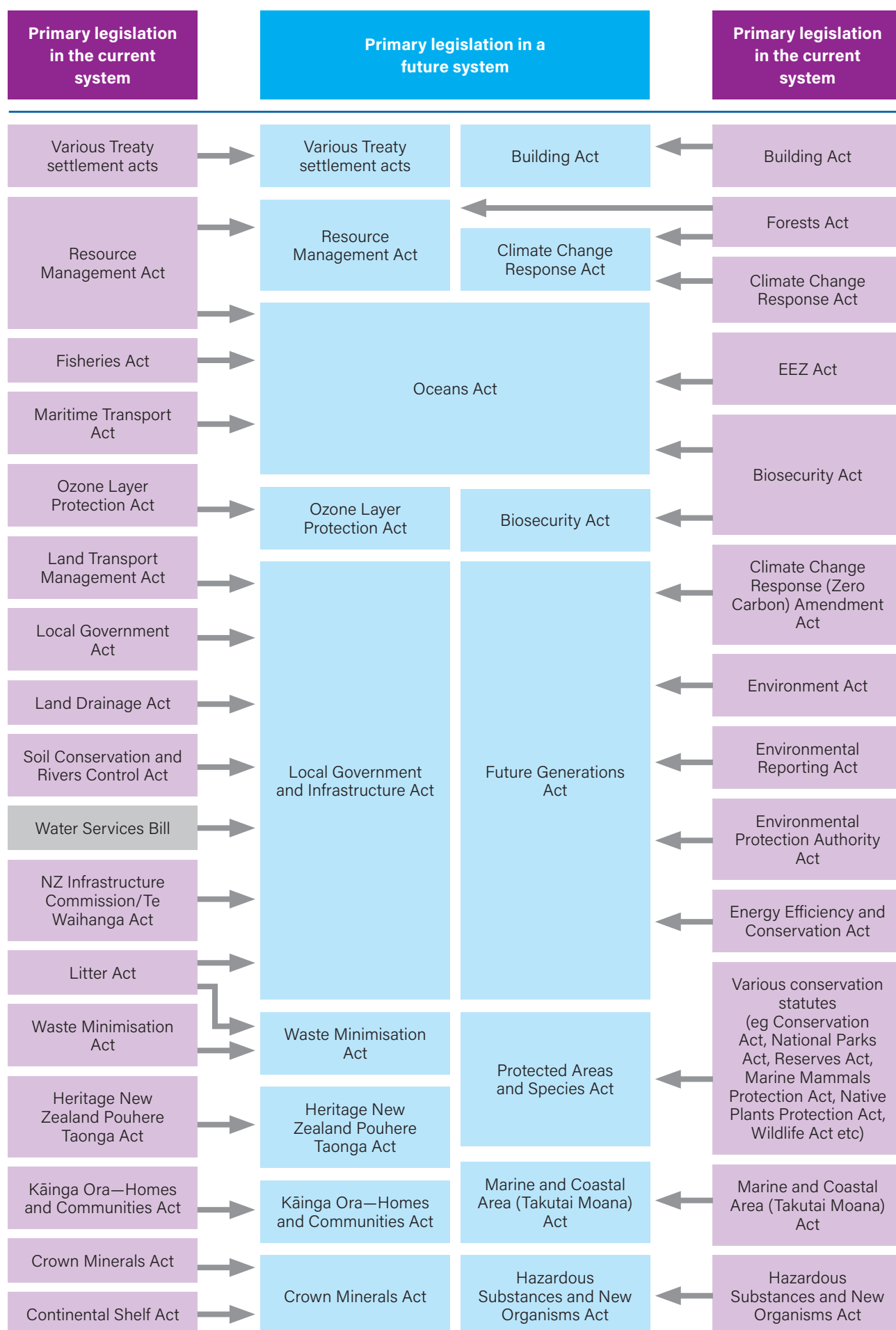


Figure 0.3: Legislative design: Statutes in the current and future system

boundaries themselves (eg the merging or rearrangement of territorial authorities). In fact, overall complexity in our model would reduce were that to happen (eg proposals for regional level spatial planning, regional combined plans under the RMA, and jointly owned regional water service providers would become simpler). We do not comment on exactly what revised council boundaries would look like; such revision is something that must happen in close partnership with communities themselves.

This is also not to dismiss the importance of localism and community ownership and identity. Greater regionalism needs to be pursued for some things where scale and coordination are important, but localism needs to be strengthened for others where there are diseconomies of scale and where community input and engagement is vital. Top-down approaches need to be complemented by bottom-up measures. For example, we are proposing the deployment of citizens' assemblies as part of RMA plan-making, and that concept has wider relevance than under the RMA. We also propose that a clearer definition of subsidiarity be enshrined in the law, recognising that local government is a constitutional partner with the Crown, not an agent of central government. Furthermore, we see merit in the notion of "city deals", whereby bespoke arrangements can be reached for the transfer of some powers (and associated funding) to recognise the needs and opportunities of particular places.

Thus, while conversations about the role of local government often seem to be framed coarsely and

pejoratively in terms of council "amalgamation" and "restructuring", the more important thing in our minds is to test where particular functions should be exercised and to build institutional arrangements around them. For example, it would be entirely possible to have regional unitary authorities for things requiring scale and consistency (eg network infrastructure, strategic growth planning) and for those to be complemented by locally elected boards with clearer functions, stronger powers and more secure budgets. The conversation should focus first on what functions should lie where, not where a council boundary should be drawn.

Key points

- We see a strong case for amalgamation of councils where they are no longer viable economic units, and for scale to be embraced (eg for the provision of infrastructure and some regulatory services).
- Stronger cooperation will be vital at a regional level, and that could pave the way for some form of regionalisation or unitisation of council boundaries.
- We encourage a conversation around this issue to continue, which must cover territory beyond the scope of the resource management system. That conversation should be framed according to where functions should lie, not around council boundaries or amalgamations per se.

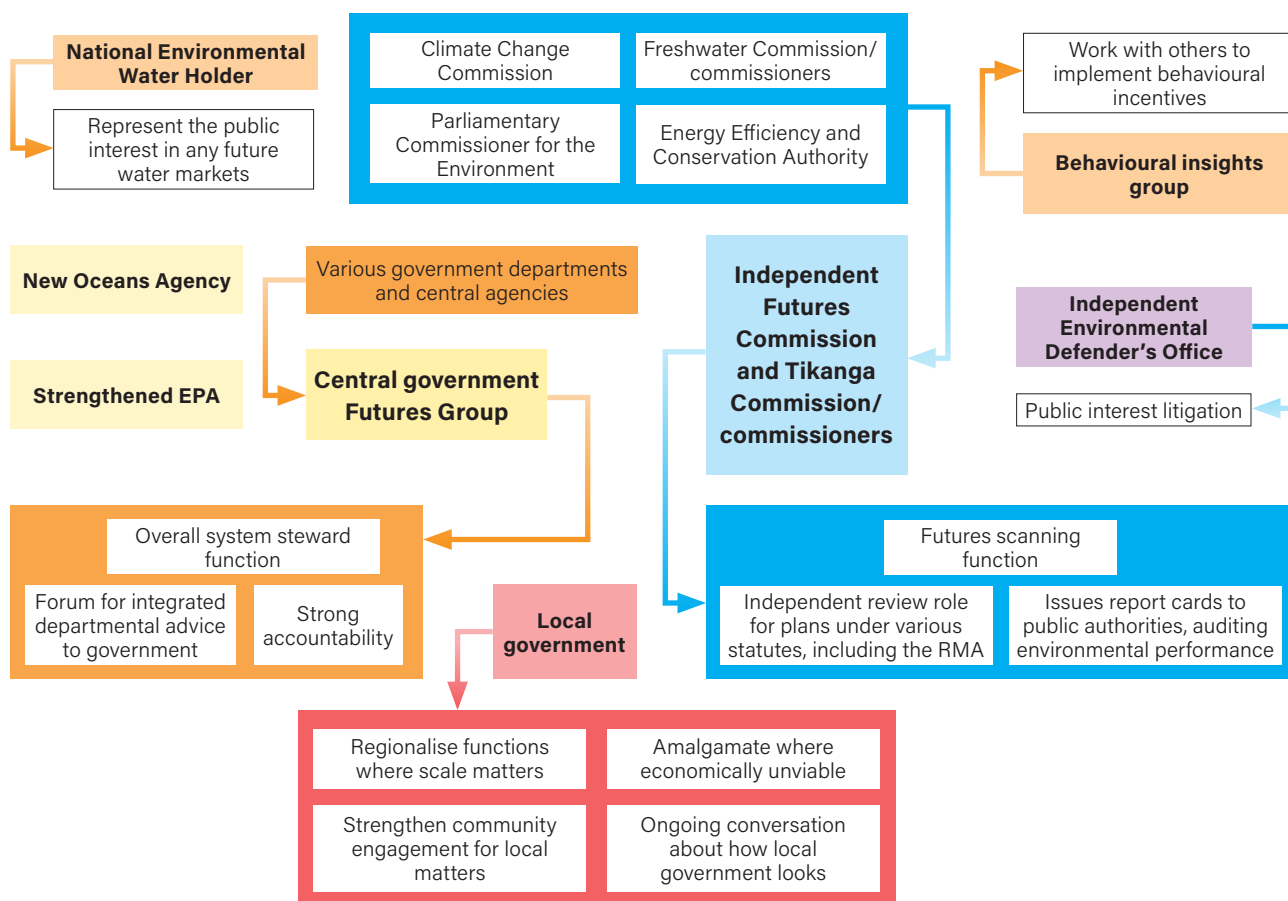


Figure 0.4: Key institutional settings in a future resource management system

We are suggesting a process for producing and reviewing an NEP that in some ways resembles the current process for creating national direction. However, there would be greater involvement for Māori and councils in co-production, and a review function for the new, independent Futures Commission described earlier (and the Climate Change Commission, if it were to remain separate). We do not, at least in the short to medium term, suggest allowing merits appeals on an NEP to the Environment Court.

A strengthened role for the EPA in setting aspects of national direction should also be considered closely. While Ministers should retain responsibility for establishing objectives and policies (the NPS-style element of an NEP), as well as most regulatory provisions (the NES-style element of a NEP), for some things (especially freshwater) there is a case to be made for minimum standards to be set by a more independent agency with a firmly protective mandate.

In Chapter 6, we also propose the strengthening of water conservation orders, and the deployment of other, similar types of order. In particular, we float the idea of a “Heritage Area Order”, which would be designed to provide a more nuanced layer of landscape and biodiversity protection over private land. Other orders, to address environmental “emergencies” (degraded environments) could also be developed along similar lines.

Key points

- We propose the gradual creation of a single, integrated piece of national direction under the RMA: a National Environment Plan.
- There would be a new process for creating and reviewing an NEP, including a role for an independent Futures Commission, and we see a case for the EPA to have a stronger regulatory role for some things like freshwater.
- National Planning Standards would remain separate, but would apply to national direction as well as council plans.
- We also suggest the deployment of a wider range of “order”-based tools, modelled on the concept of water conservation orders.

5.3 A revised approach to council planning

In Chapter 7 we look at local government planning under the RMA. National direction would not do everything in a future Act, and the system would not be a centralised one. A greater and more coherent role for national direction would simply recognise that nationally important matters require a degree of central government input. Again, a future system could more clearly define what subsidiarity means (which things are to be locally or centrally decided or influenced, and for what reasons). But much will be left to local government, for two reasons: (1) nationally important outcomes (eg general policy direction) may still require specific local expression (eg through regulation);

and (2) some things will be of purely local, not national, concern (eg urban place-making).

Of course, there are questions as to what “local” should mean when we think about local government boundaries, and we touched on this earlier in the context of institutional design. Overall, we see room for greater cooperation and integration to occur at a regional level, and that would include plan making under the RMA.

Plan making under the RMA also needs to be more agile. Plans must respond to new threats and rapidly changing biophysical and social contexts. However, reforms need to balance the desire for more timely outcomes with the need for robust decision-making and meaningful public involvement. That suggests to us the desirability of having a single-stage hearings process for plans, or at least a truncated two-stage process. This revised approach should not be limited to particular contexts like urban growth or freshwater, as such carve outs add complexity to the system and the need for agility applies across the board.

We consider that communities should be more involved in co-creating plans at their earliest stages, not just responding to a notified plan through submissions and appeals. A future system could usefully formalise the deployment of citizens’ assemblies in plan development. Iwi and hapū (the institutional nature of which we think could be more clearly defined) would also be closely involved in plan leadership and co-production, not just consulted or engaged with.



Flaxmill Bay

5.4 Consenting and compliance

In Chapter 7 we also consider consenting and compliance under a reformed RMA. While we suggest change on a number of fronts, we remain unconvinced that removing merits appeal rights in relation to resource consent decisions is the answer. In relation to consenting, we suggest that:

- A future system should provide greater predictability by focusing effort at the planning stage and relying less on the discretionary weighing of general (and potentially conflicting) policies through consenting decisions. The solution is not greater use of permitted activity standards. Instead, greater predictability could be provided by the use of more specific, hierarchical policies, default minimum consent conditions for particular activities, and stronger use of prohibited activity status and moratoria.
- A robustly independent, publicly funded statutory Environmental Defender's Office should be charged with taking on public interest litigation, and have standing to appeal councils' notification decisions to the Environment Court.
- A new notification status could be introduced, whereby a proposal is publicly notified and submissions invited, but no appeal rights follow (or they follow only for an Environmental Defender's Office).
- A future system should provide for an integrated permitting process (a "project consent") for complex or nationally significant projects, which would align permitting process under multiple statutes.
- Resource consent decisions should be required to be at least "consistent" with national direction, not just "have regard" to it.
- Restrictions on councils considering the impacts of activities on climate change when assessing consent applications should be removed or amended.
- Jurisdiction for consenting decisions could be removed from elected members, or restricted, in favour of independent commissioners, council staff, and the Environment Court.
- A pool of nationally accredited independent commissioners should be established under the auspices of an independent Futures Commission or the EPA, to be deployed upon council request.
- An independent Futures Commission should be provided with a power to call in matters of national significance alongside the Minister for the Environment.
- The option for Boards of Inquiry to be appointed to consider consent applications should be removed

(with direct referral to the Environment Court retained).

- There should be a greater role in consenting for the EPA for some matters (eg freshwater), to complement a stronger regulatory role for the EPA under national direction and council plans. Again, however, there should be clear criteria and constraints around when transfer of powers to the EPA can be used.

We also propose a range of changes in relation to compliance monitoring and enforcement, notably:

- Standardising approaches or minimum requirements (eg through national direction or regulations).
- Broadening the range of penalties available under the RMA for non-compliance.
- Strengthening the ability to decline or revoke consent in the event of persistent non-compliance.
- Formally removing enforcement decision-making from elected councillors.
- Strengthening the enforcement role of the EPA (broadly in line with proposals in the latest amendment bill to the RMA).
- Providing greater guidance about when it is appropriate for the EPA to initiate or intervene in enforcement action.
- Giving the EPA an oversight role over enforcement activities by councils (and potentially other agencies).
- Including compliance monitoring and enforcement activity in environmental reporting.
- Achieving greater cost recovery for the monitoring of permitted activities.

Key points

- A number of settings should be revised for consenting and compliance monitoring and enforcement under a reformed RMA.
- More predictability should be provided in plans, reducing the need to rely on extensive arguments and discretion in consenting decisions.
- We do not recommend removing appeal rights in relation to consenting decisions.
- The EPA should be given a stronger role for consenting and enforcement, but there should not be a blanket removal of those functions from local government.
- Appeal rights in relation to notification decisions should be given to a robustly independent Environmental Defender's Office.

- (1) provide a broad set of principles and duties to apply to public decision-making.
- (2) provide for a strategic (and spatial) planning process that would flow down into more detailed decision-making frameworks. As mentioned earlier, one aspect of that would be to coordinate land use planning and infrastructure planning/funding for urban growth, through regional (or cross-regional) spatial plans.

6.1 General principles and duties

A Future Generations Act would have a broad purpose statement that would, among other things, recognise the pre-eminence of bottom lines set under other frameworks (including, but not limited to, the RMA). It could also provide recognition of general moral rights for nature (and associated government responsibilities in relation to nature). It would provide a degree of stability for any future reforms to more targeted frameworks, to prevent the system's overall coherence from eroding over time; any legislative amendments would need to be assessed against the purpose of the Future Generations Act, in a way not dissimilar to the Bill of Rights Act.

We also envisage that the Act would contain common decision-making principles or duties that would apply to all public decision-making, not just when making decisions under specific "protective" statutory frameworks like the RMA. For example, climate change mitigation and adaptation are considerations that need to cut across and permeate all decisions, whether they have a specific statutory basis or not. It would ensure that the environment and the wellbeing of future generations were closely considered in decisions relating to investment, procurement and non-statutory plans and programmes.

We also suggest the establishment, in the Act, of a whole of system steward within government (the Futures Group mentioned earlier), comprised of high level officials from relevant departments and Crown agents and chaired by a senior official from the Department of the Prime Minister and Cabinet. This standing group would allow officials to speak with one voice to Ministers and Cabinet, or at least for differences in perspective across departments to be highlighted and addressed. Alongside this accountable government body, an independent one – a Futures Commission (and Tikanga Commission/commissioners) – would act as an independent watchdog over the whole of the system. It would issue public authorities, and the government as a whole, with a scorecard on a periodic basis. This would assess the government's performance against the purpose and principles/duties in the Future Generations Act and in light of the results of environmental reporting, and be tabled in Parliament prior to a general election. Effectively, it would be a form of environmental audit on which voters could ruminate when going to the polls. A government would be required to respond.

An audit would be about reviewing past performance, but the Futures Commission would – consistent with its name – also be about looking forward. It would have a "futures scanning" role, periodically identifying and reporting on threats and opportunities, and producing reports to which the government would be obliged to respond. The Futures Commission could, eventually, be merged with other robustly independent watchdog-type institutions such as the Parliamentary Commissioner for the Environment and Climate Change Commission. Alternatively, it could be seen as an expansion of the existing Parliamentary Commissioner for the Environment.

A Future Generations Act would also impose a stronger general duty on people to protect or even enhance the environment (although care would need to be taken here), and could be a place where directors' environmental duties were strengthened (alternatively, that could done in the Companies Act 1993). In the longer term (as already described), we are attracted to the idea of further integrating existing legislation into a Future Generations Act to the extent that it is about the whole of the system. That could include the Environmental Reporting Act, the Environmental Protection Authority Act, and the Environment Act.

Key points

- A Future Generations Act would sit above other legislative frameworks, and provide for a broad, constitutionally important set of principles and duties to apply to public decision-making.
- The Act would establish an independent Futures Commission and a whole of system government steward (a Futures Group).
- It would provide for the Futures Commission to audit and report on the environmental performance of public authorities in the form of a periodic scorecard, and task it with scanning the future for threats and opportunities. The government would be required to respond to both.

6.2 Strategic spatial planning in a Future Generations Act

The second thing a Future Generations Act would do is provide a statutory basis for strategic spatial planning at national and regional levels. There would be a cooperative process for producing a "National Futures Strategy", with its spatial expression in a "National Spatial Plan". Māori would be closely involved in co-creation. At a regional level (and cross-regional level), there would be a comparable process for creating futures strategies and associated regional spatial plans. There would be a strong role for the Futures Commission in both.

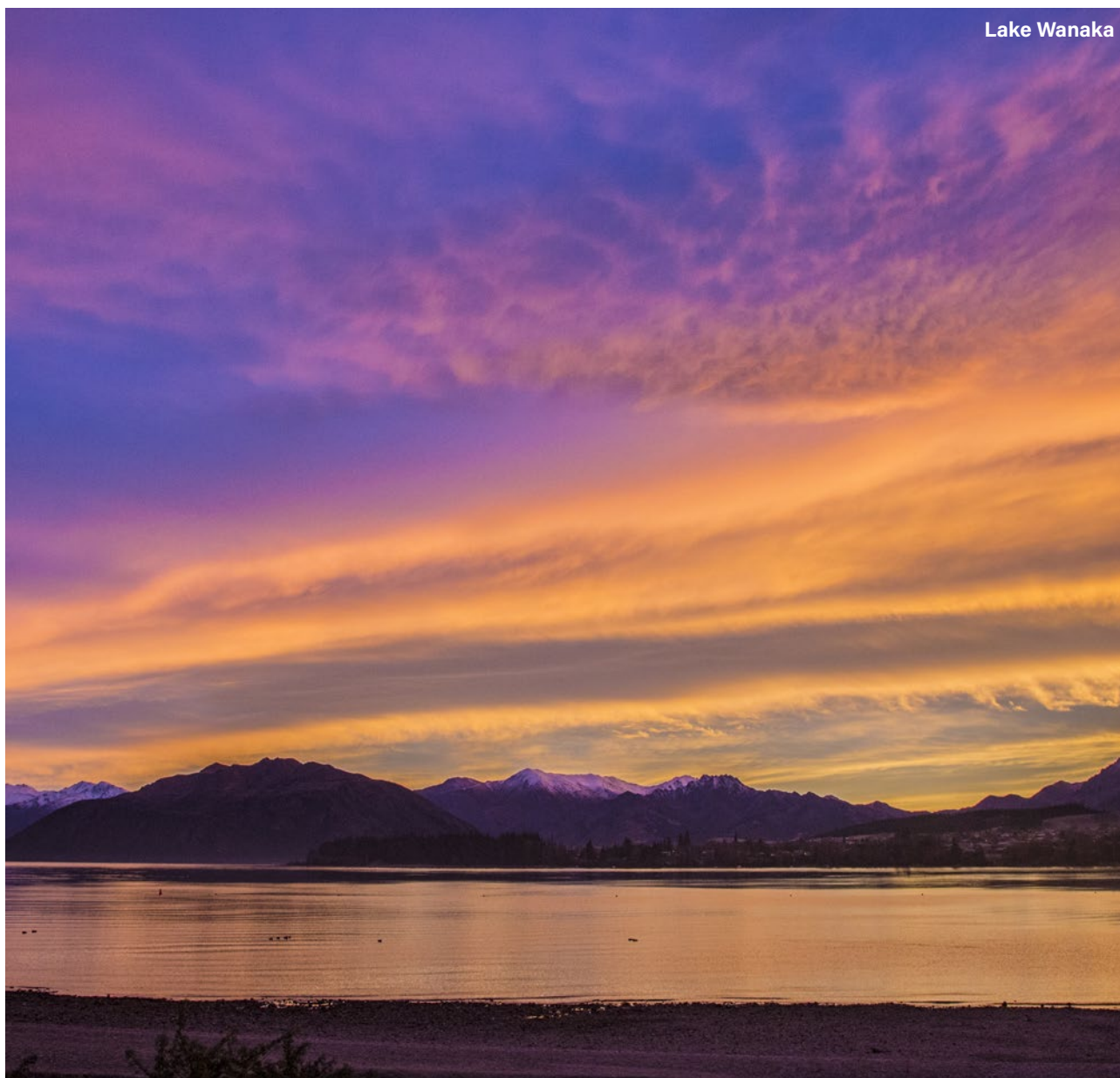
These instruments would not be directly binding in a regulatory sense. However, they would have real legal influence on decision-making under more targeted

Climate change would also need to be a significant driver of regional spatial planning, particularly in the context of adaptation, managed retreat, and infrastructure investments, and would need to flow through meaningfully into other frameworks (especially land use planning under the RMA). It would make some sense for a new "Climate Change Adaptation Fund" – which we see as vital – to be established and managed in a strategic way under the Future Generations Act.¹⁸ Elements of the emissions trading scheme will need to be strengthened, and we see promise in ramping up the deployment of novel financial tools and strengthening frameworks for corporate disclosures and directors' duties.

An important theme of the report, however, is that particular issues should not be thought about in silos. That includes climate change. There are many synergies to be pursued, particularly the co-benefits for climate change mitigation, ecological resilience, biodiversity enhancement, and freshwater quality that would emerge from greater indigenous planting.

Key points

- We see potential for the strategic elements of climate change response in the Climate Change Response (Zero Carbon) Amendment Act to be integrated into an overarching Future Generations Act.
- From there, climate change mitigation and adaptation plans would have real legal influence over decision-making under multiple other frameworks, including the RMA.
- Change is also required to the emissions trading scheme, and other novel tools should be deployed.
- A new Climate Change Adaptation Fund should be established and deployed on a strategic basis at a national level.
- Synergies need to be pursued between climate change goals and wider environmental aims.



Lake Wanaka

tourist pressures, and the replacement or upgrade of infrastructure). In particular:

- There should generally be greater deployment of user charging (including volumetric charging for water and wastewater) where appropriate.
- Where users cannot be charged directly, proxy measures should be available (eg an accommodation/bed tax to address tourist pressures).
- Predictable, need-based central government contributions should be forthcoming where required (eg to upgrade or replace water infrastructure to meet national standards).
- Value uplift capture mechanisms should be deployed to capture some of the private financial benefit that arises from public investments in infrastructure.
- There should be further deployment of special purpose vehicles to finance growth where councils are nearing their debt limits.

However, user charging should not be deployed without close consideration of regressive effects on the poor or vulnerable. Adequate funding is important, but transport and water infrastructure are still public goods to which people should have access.

Overall we agree with the Productivity Commission that the way forward is to expand our funding and financing toolbox, not replace it. Rates remain a stable, predictable source of revenue for councils, and should remain core to a future funding model. However, it remains that funding sources can provide powerful incentives to invest in certain ways, or to underinvest. The incentives provided by over-reliance on rates, combined with other constraints (eg debt ceilings), require correction. Notably, this has contributed to constraints on developable land in areas of high urban growth, putting further pressure on housing affordability.

We therefore see merit in including in a future toolbox the ability to levy a local GST, or at least for that option to be explored further. The prospect of reaping the financial benefits of investment in growth or tourist infrastructure, rather than just facing the financial or political costs, would be a positive incentive on councils to invest, and easier to sell to constituents. It would also recognise the independent nature and fiscal autonomy of local government when compared to solutions based on central government grants.

However, we need to be extremely careful that powerful financial motivations for councils to grow and develop – to build – do not in practice lead to perverse incentives for environmental outcomes. New development is essential to provide housing supply, but it must be done in a way that respects an envelope of true environmental limits. Councils wear quite different hats here, reinforcing the need for strong regulatory safeguards to be put in place under the RMA and Future Generations Act.

Key points

- The funding incentives and constraints provided by the current system in the context of urban growth, tourism pressures and ageing infrastructure require correction.
- Targeted measures to shift the costs of infrastructure onto those who benefit will help (eg a bed tax, grants from central government, value uplift capture).
- We also see merit in allowing councils to levy a local form of GST, which would provide incentives for funding growth while allowing communities more control. That cannot be a complete replacement for rates, but would be a useful addition to the toolbox and allow communities greater choice.
- Safeguards are needed to ensure that powerful financial incentives for growth do not undermine the envelope of environmental limits within which development must occur.

In Chapter 10 we also consider the place of the Building Act, concluding that construction standards should remain in a separate statute (and Code). However, these (and infrastructure standards) should be strengthened to recognise the essential contribution that “green” construction will make to environmental outcomes in a future system, including in relation to climate change, waste, freshwater, biodiversity and energy efficiency. Stronger links need to be made with the urban planning system under the RMA.

Finally, we see a place for an urban development authority, under bespoke legislation, to form part of a future system. An urban development authority is an arm’s-length public entity that would be responsible for planning, funding and delivering urban development within a spatially defined project area. The government has now enacted a bespoke legislative framework to create this entity (called Kāinga Ora – Homes and Communities) and defined its general roles, but it has yet to legislate its specific powers to override other statutes. This is expected later in the year (in the form of an Urban Development Bill), and all indications are that powers will be substantial, including powers to override the RMA.

The proposition for an urban development authority would look very different in our preferred model. In particular, we suggest that targeted legislation would need to:

- Clarify that a strengthened Part 2 in the RMA remained the primary test for decision-making when exercising powers under that Act.
- Not include powers to override provisions of council plans that do not relate to the land use or subdivision functions of territorial authorities.

We see a case for integrating most existing legislation relevant to the marine area – including the EEZ Act, Fisheries Act, Maritime Transport Act, aspects of the Biosecurity Act and aspects of the RMA – into a single Oceans Act. We also think there is strong case under a new Act for rationalising and strengthening the currently fragmented policy and planning framework for oceans. At the top of the planning hierarchy would be an integrated “Oceans Plan”.

Conservation legislation would remain separate, and that would include marine components of conservation (eg marine protected areas, marine mammals protections etc). While links between an Oceans Act and conservation legislation would need to be strong, on balance we see greater benefits in having separate conservation legislation integrated across marine and terrestrial contexts (especially given the migratory nature of some species).

A National Futures Strategy and National Spatial Plan, described in Chapter 8, should have a strong oceans component within it. Furthermore, alongside the regional futures strategies and spatial plans discussed in that chapter could be a more targeted process for regional *marine* spatial planning. Marine spatial plans would flow through into decision-making under various “implementation” frameworks, including an Oceans Act, the RMA, and integrated conservation legislation. As foreshadowed, there could even be a more direct process for marine spatial plans to be implemented, involving a collaborative process and decision by the Environment Court.

Key points

- A new Oceans Act would apply (for RMA-type functions) beyond 3 nautical miles from land, and integrate multiple pieces (or aspects) of existing legislation (including fisheries, biosecurity, maritime transport and EEZ Act protections).
- An Oceans Act would provide for a robust planning process centred on an Oceans Plan. This would be administered by a dedicated Oceans Agency.
- Marine spatial planning would occur under a Future Generations Act, but could have a more direct route to implementation under regulatory frameworks like the Oceans Act and the RMA.



10 Nature conservation: A new Protected Areas and Species Act

In Chapter 12 we consider the place of conservation legislation in a future system. We make a number of suggestions for comment and further discussion. Central to these would be the integration, over time, of our fragmented array of existing conservation legislation into a single Protected Areas and Species Act (eg the Conservation Act, National Parks Act, Reserves Act and Wildlife Act). Within that, there would be a rationalisation (while being careful not to reduce the level of existing protections) of protected area categories, and a strengthening of the protected species element currently founded on the Wildlife Act.²⁰ This more integrated framework for conservation will require further exploration, including to ensure that Māori perspectives on conservation are adequately reflected.²¹ Under a protected areas hierarchy, there would be stronger recognition and protection for sites of cultural significance.

Clear requirements for corrective action would be included in new legislation, based on pre-set trigger points. For example, a change in the threat status of a protected species would require measures to be taken. Environmental reporting would include information on the state and trends of species and ecosystems, as well as relevant actions taken in response (including enforcement).

Links to the RMA and Biosecurity Act framework would also be improved, including explicit recognition of the need to implement or support threatened species management plans. There would also be a greater role for independent institutions, including a review role for a Futures Commission in relation to conservation strategies and management plans, and potentially the introduction of limited appeal rights for an Environmental Defender's Office in relation to concessions. Appeal rights would need to be thought through carefully, however, as the concessions framework is quite different to the consenting framework under the RMA.

A biobanking framework would be further explored and introduced, through which biodiversity offsets under multiple other regimes (eg the RMA) would be deployed in a coherent and strategic way to optimise overall biodiversity outcomes. We think that the most appropriate home for that cross-cutting tool would, however, be a Future Generations Act rather than dedicated conservation legislation, because it would require close links to be made across multiple other statutes under which biodiversity offsetting requirements were imposed (eg the Crown Minerals Act). Similarly, while we envisage the development and active deployment of new, directive tools like Heritage Area Orders and habitat protection orders, the best place for those (given their potential impacts on private property interests) would be within the RMA.

At a broader level, we envisage placing a clearer overall stewardship responsibility for biodiversity on central government (the Department of Conservation), which would be reflected in stronger influence for the Department in regional planning under the RMA. Council

Key points

- More systemic change will be required alongside reforms to particular legislative frameworks.
- A future system should embrace economic instruments, including resource rentals, green taxes, and a more strategic use of subsidies.
- More emphasis should be placed on behavioural incentives, not just financial ones. The education system, public messaging, behavioural nudging, green certification and corporate disclosures are all areas in which change can be made.
- A more robust approach to monitoring, reporting and evaluation must define a future system.

12 The importance of resource management reform

In this report, we traverse the key features of a future resource management system that we think would be a good fit for Aotearoa New Zealand. A visual snapshot of this model is shown in Figure 0.5 below. The pathway to get there will be crucial, and in Chapter 14 we outline a rough timeline for when different measures could be taken. Some measures are urgent and can be deployed fairly easily, while others will require careful thought and development.

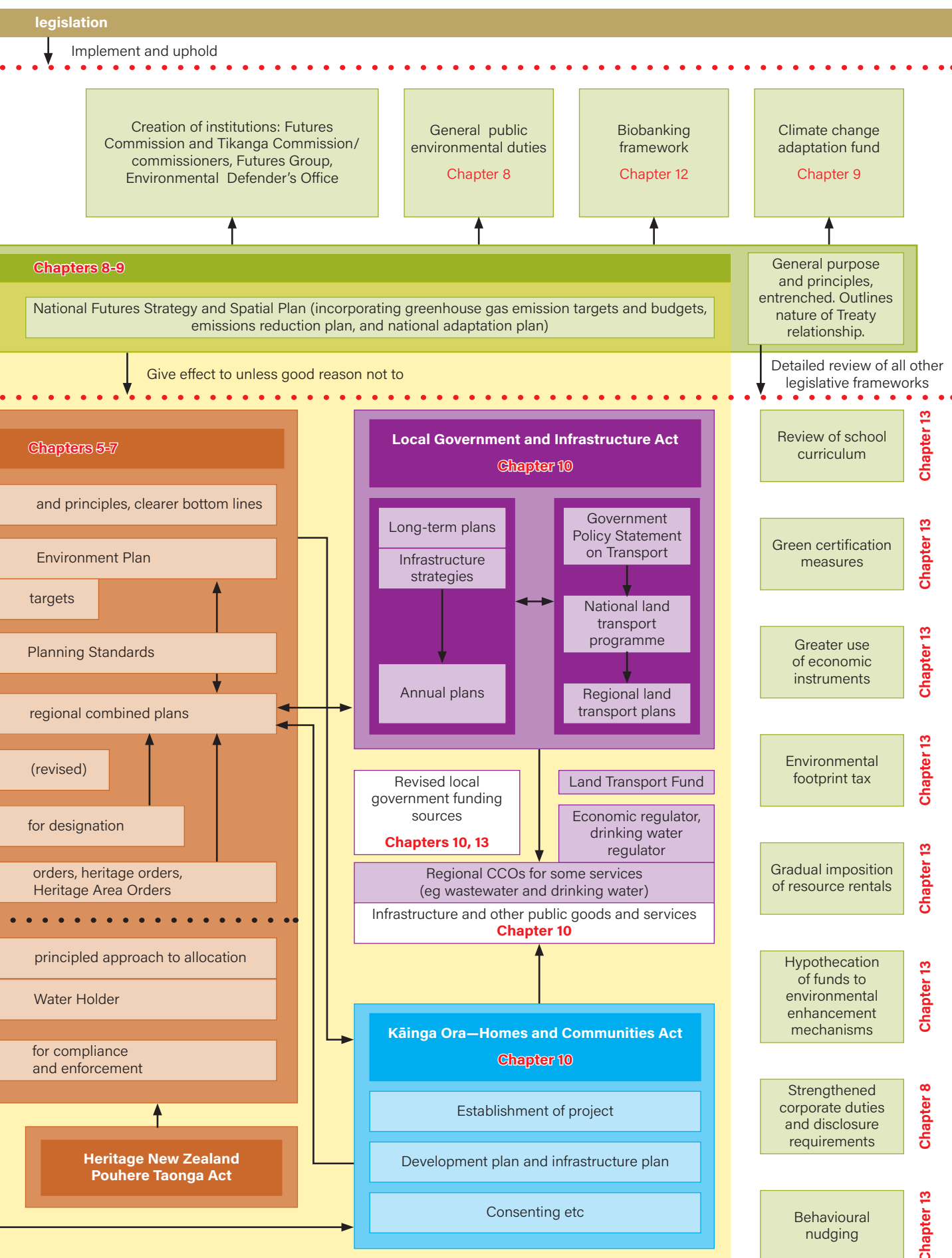
To some, resource management system reform might seem like an endless cycle of arguing about the same things. Upon digging out the various papers produced as part of the reforms of the late 1980s, one is struck by how much the challenges and hopes identified by the authors correspond with those identified in the present report.

Some of their analysis would not be out of place and could be copied almost verbatim. Furthermore, there are some eerie parallels. The chair of the present government's independent review group on system reform (the Hon Tony Randerson QC) was, in a previous life, the chair of the then Minister for the Environment's review group tasked with recommending changes to the Resource Management Bill before it was enacted in 1991. And the above-mentioned Minister for the Environment is now New Zealand's Parliamentary Commissioner for the Environment.

But the many similarities hide significant differences. We are not just relitigating the same old things. Environmental indicators have continued to decline since 1991, many now to alarming levels. There is talk of climate and ecological emergencies, not just sustainability or protection. We have a larger population. We are a more diverse society. We have much greater technological prowess – for both better and worse. We are more focused on restoring past ecological damage. And we have a new generation of engaged young people who have their own expectations and priorities.

Overall, the issues we are facing go to the heart of who we are as New Zealanders and human beings. There are both threats and opportunities. Our choices will affect not just ourselves, but also our grandchildren and beyond. And there are few right and wrong answers. We therefore welcome a continuing conversation about resource management system reform and the steps to be taken along the way. Above all, we encourage people to engage closely with the government's independent system review panel, and hope that the model presented in this report provides food for thought as the government, and New Zealand society as a whole, contemplate the need for generational change. We implore lawmakers to remember that how we manage our environment and resources is not a political football. It is our future.





urban issues. Arrows indicate key connections, although they are not exhaustive.

1. INTRODUCTION

1.1 The context

There is an urgent and compelling need for Aotearoa New Zealand to rethink how it manages its natural and physical taonga, resources and environment. Our resource management system – New Zealand’s collection of laws, regulations, institutions and incentives – is extremely important to improving environmental, social, economic and cultural indicators of wellbeing. This system, and its significance, goes well beyond just environmental protection. It is about stewardship, wellbeing, resilience and using our country’s natural wealth prudently and wisely.¹

In a nutshell, the resource management system dictates how we shape our physical surroundings. But at the outset we should mention our unease at the very nature of the term “resource management”. It arguably denotes passivity or reactivity (management), a degree of anthropocentric arrogance about what the subject of the system really is (resources, rather than the wellbeing of nature or humans), and is focused on what we are doing (managing) rather than the nature of the outcomes we really need to be pursuing (restoration, fairness, vitality, resilience). That said, it is a convenient term, and one that most are familiar with. It is also a term that could be re-imagined by defining it in a broader way. We will therefore continue to use it, despite our reservations as to its fitness.

Like the rest of the world, New Zealand faces enormous problems and challenges in this area. Reforms to the Resource Management Act 1991 (RMA) – the country’s main environmental statute – have occurred in a piecemeal fashion since it was passed, producing an overarching framework and patchwork of provisions that, in 2019, have lost much of their original simplicity and coherence. An overall review of the Act as a whole is now due. While an exhaustive look at the RMA – provision by provision – is beyond the scope of this work, it is something that we think will need to follow reforms at a framework level.

The system through which we manage our natural and built environments is much wider than the RMA, however. It embraces infrastructure planning and funding, conservation management, climate change mitigation, the role of Māori, institutional structures, capacity and capability, and a raft of other “topics” that overlap and intersect. A formal system that engages with this web of social and ecological matters is, and will always be, complex. It will also always be the subject of argument and debate, because it involves conflicting values.

Yet many things are of common concern, where our values need to converge if we want to prosper in the future. In particular, significant environmental challenges have emerged or worsened in recent times.² Many indicators of

environmental health are now rapidly declining. For some, such as freshwater and coastal environments, tipping points appear not far away. When pressures become too great, steady ecological and social states can rapidly shift, in unpredictable ways, to less desirable ones. Cumulative effects are not being addressed well, and the result has been an inexorable creep towards environmental degradation. Climate change is a pressing issue that needs addressing. Environmental laws like the RMA – now over 25 years old – have not fully realised their aspirations of sustainable resource management and ecosystem integrity.

As well as failing to address environmental (in the broad sense of “ecological” or “biophysical”) problems, the system is failing to deliver on social, economic and cultural outcomes. This is particularly evident in large urban areas (especially Auckland), where dramatic increases in population and development pressures have caused many to question whether the system remains fit for purpose in the context of planning how cities grow and develop. Prominent issues have coalesced around the general topics of infrastructure, urban growth, housing unaffordability, water quality, process complexity, and many others. We seem to be under pressure no matter what direction we turn.

Much ink has been spilled describing particular problems, proposing solutions, and attributing blame. But at some point the accumulation of problems becomes so great, and so suggestive of deeper systemic problems, that there is merit in sitting back and considering how the system works as a whole, and the foundations on which it is based. This is so we can reflect on the system’s overall health, and not just treat symptoms as they emerge. There is a growing feeling among many people and public and private sector organisations in New Zealand that we have reached such a systemic reflection point.

We have reached a point where problems and challenges are so great that a system-wide rethink is needed.

There is now substantial political appetite for system-wide resource management reform. In particular, the Minister for the Environment has set up an independent review group to undertake a first principles review of the system, centred on (but not limited to) the RMA.³ At the time of writing, that group has just released an initial Issues and Options paper,⁴ with a final report due in May 2020. A consortium of varied interests that makes up the Resource Reform NZ group has, over recent years, pushed strongly for such a rethink.⁵ Indeed, a broad appetite for fundamental and integrated reform has only become more noticeable over the past two years, with several high profile conferences and reports having themes or dedicated sessions on system design or a return to first principles.⁶

1.3 The structure of this report

The resource management system is extremely large and complex, and we provide our definition of it below in Figure 1.1.

The system covers all of New Zealand's area (including its exclusive economic zone (EEZ)), all "environmental" domains (eg water, air, soil etc), and all human activities that use or protect natural and physical resources (eg agriculture, fisheries, mining etc). A description of a future system spans a lot of ground and therefore needs to be approached in a logical, structured way.

Our first step (in Chapter 2) is to choose a coherent set of criteria for reform. This will guide all other choices. The second step (in Chapter 3) is to consider, at a high level, what that means for the kind of ethics and principles that will underpin the system, and what roles the system as a whole will need to play in the future (ie on what grounds we allow public intervention). The third step (in Chapter

4) is to get a high level sense of the system we have at the moment. This is important not only to understand how different a "final" reformed system would be from the current one, but also to make it easier to conceive of a pathway between the old and the new.

In Chapter 5, we commence our description of a preferred model for change. We begin (in Chapters 5–7) by looking at the future of the RMA. To us, that Act should remain at the core of a future system. Subsequent chapters explore other key statutory frameworks we envisage operating in the future, including new strategic legislation (a Future Generations Act – see Chapters 8 and 9); more targeted legislation for the "urban" and "built" environment, including intimately related questions of funding (Chapter 10); and more integrated laws for our oceans (Chapter 11) and conservation (Chapter 12). Some aspects of reform (eg broader questions of funding, underlying incentives and environmental reporting) are cross cutting, and we consider those in Chapter 13.

"New Zealand"	The resource management system operates within the geographical constraints of New Zealand , which includes (with relevant limitations) areas where New Zealand has sovereignty or sovereign rights.
"Resource"	A resource can be broadly defined as a natural and physical resource. (To the extent that seeing the environment in terms of "resources" is objectionable, the system can be recast as the "environmental" management system.) Resources and environment include: - Both natural resources/environment (broadly, things that would exist if humans did not)¹⁵ and built resources/environment (buildings, infrastructure) - Both private resources (eg land, buildings, infrastructure) and public resources (eg air, water,¹⁶ infrastructure) - Urban, rural, conservation and marine resources (across all New Zealand's geographical areas)
"Management"	Resource management includes the following public¹⁷ interventions in relation to the resources described above: - Regulation: requiring or restricting human action (you must/must not) - Behavioural incentives: influencing human action (you should) - Resourcing/funding: enabling human action (you can) In order to generate the following kinds of action: - Limiting or preventing the use of resources to manage adverse impacts (environmental protection – whether resources are used, and how) - Influencing the use of resources for environmental, social and economic benefit (economic and social planning, and environmental enhancement – how and why resources are used) - Shaping the spatial distribution of resource use, protection and enhancement (spatial planning – what happens where) - Shaping the temporal distribution of resource use, protection and enhancement (strategic planning – when things happen) - Distributing resources to different parties or communities of interest (allocation – who gets what)
"System"	The system is the framework of norms, functions, structures and tools within which all of these interventions interact.

Figure 1.1: Defining the resource management system

tend to react to those drivers. Throughout the report, we also identify “conditional” reforms that do not have predetermined timeframes around them, but would rather be reconsidered or triggered if certain things happened (or failed to happen). We end the report by looking at a rough pathway to reform: how key changes, across the system as a whole, would occur over time.

We are thinking about a reform pathway in three broad steps: short term, medium term and longer term. We do not put specific timeframes around those, however. Some reforms are to be conditional on whether another measure proved to be successful or adequate, rather than being deployed at particular points in time.

1.4 The importance of system reform

Resource management reform is critical to New Zealand’s future. In recent times we have seen the nature of the reform conversation change from one of “sustainability” to one of “emergency”. This cannot be dismissed as just a marketing strategy for lobby or interest groups. It is reflective of a broader reality that, as a country and as a world, we are facing tipping points from which we may struggle to recover. The quality of our freshwater is declining. We are losing indigenous biodiversity. Some of our most valuable land for growing food is at risk of being paved over. Some of our key infrastructure is ageing and failing. Our soils are at risk. So too are our iconic landscapes. The Treaty relationship continues to

be contested, with significant flashpoints (eg around freshwater rights) imminent. We face enormous climate change risks and costs, and a growing population. We lack affordable housing. Unprecedented change hovers on the horizon – technological, social, demographic, and biophysical. There are profound implications here not just for what we protect, but also for how we arrange ourselves as a society. Yet we still live in a society that on some levels seems to be complacent, resistant, or to want to target particular problems as an alternative to a more systemic rethink.

Of course, reform relies on political – and ultimately underlying social – appetite for change. Pragmatism is important if we do not want to recommend everything and achieve nothing. We are not in the business of describing a utopia. That is reflected in our criteria described in Chapter 2. Yet New Zealanders have a rare and valuable opportunity to influence a once-in-a-generation political and social appetite for change.

Ultimately, the stumbling blocks for reform in a democratic country like New Zealand are not capitalism, big business, or entrenched sectoral interests. In fact, these are core to the solution.¹⁴ The biggest threat is the apathy of ordinary New Zealanders who have the power to demand meaningful solutions from their politicians, and the sense that all of this is beyond the control of the man or woman on the street. That is not true. We have the means to reform our resource management system, and we must stride forward with conviction and courage. The need is urgent, and the benefits will be significant.



2. PREFERRED CRITERIA FOR REFORM

2.1 Options for criteria

In Working Paper 1, we explored the concept of criteria: a set of statements against which we can measure how desirable different reform measures are. As a country, we face so many choices (ecocentrism or anthropocentrism? Sustainability or resilience? Centralism or localism? Market or regulation?) that we need a way of deciding which options are best. Criteria can help us do so. Essentially, they express the overall objectives of the reform exercise – what we as a country want to get out of it.

We also explored why criteria are important. This is to focus on the *why* of reform before the *what* or the *how*; to reduce the risk of incoherence and instability resulting from ad hoc negotiations between interests over time; and to make choices more transparent by justifying them against clear, overarching metrics. Criteria don't provide specific answers, but they at least *frame* conversations in ways people can agree on at the outset,¹ so that the goalposts do not keep shifting as we talk about different problems, challenges, or topics. They tell us not to dilute our overall goals when policy choices become tough at a more granular level. They remind us of the bigger picture.

Criteria express the overall objectives of the reform exercise – what we as a country want to get out of it. They are a way to measure and compare the different options we face in a consistent and coherent way.

We looked at many different individual criteria we could adopt (or reject), and the key relationships between them. Some criteria are mutually exclusive alternatives (eg subtle but important variations in wording like “enabling” or “providing for” human wellbeing). Others are mutually reinforcing (eg the resilience of ecosystems and the resilience of communities that rely on those ecosystems reinforce each other). Other criteria are compatible, but only if the relationships between them are well defined (eg promoting economic growth and respecting the intrinsic worth of nature). How those relationships are expressed is crucial to producing a set of criteria that is coherent and not simply a wish list of things we might like to (but cannot realistically) have.

One of the most important considerations in any set of criteria is the relationship between what we have called “substantive” criteria (the outcomes we *want* to achieve) and “pragmatic” criteria (what we think could actually be achieved through the reform process). For example, there could be overwhelming political opposition to the rapid deployment of resource rentals (a charge for the use of a public resource like freshwater), or there could be resourcing issues within government if we tried to do too much at once. But what is realistic or possible can change depending on timeframes. A political mandate can develop over time as society changes its views. Just

look at what has happened with freshwater and climate change over the past ten years! Legislative change can also happen gradually to allow case law and users to adjust. The pathway to a future system, not just the features of the final system itself, is therefore of critical importance to what can be achieved.

It is interesting to observe that such questions do not tend to receive the attention they deserve until they are put into the real-world context of what changes people are willing to stomach. On paper, we have overall received broad support for outcomes not being overly stymied by pragmatic concerns (like increased uncertainty, resourcing implications, or overriding existing case law). Most people are, by nature, ambitious. But we have also seen that when this is talked about in the context of, for example, reforms to Part 2 of the RMA, or institutional change, some preferences have become much more conservative and geared towards slow, incremental and cautious change. While agreeing with the need to significantly strengthen environmental protections, some have at the same time expressed horror at the prospect of something as inconsequential as changing the name of the RMA.

That is okay – often our true appetite for reform only comes into focus when the practical challenges hit home – and the criteria and the reforms that follow will continue to exist in an evolving relationship with each other. However, if the need to amend criteria to “soften them” gives us pause for thought, then that is also a good thing. For our own part, we see that as a call to think closely about achievable timeframes and how we get to an ambitious end point, rather than dispense with the desired end point altogether.

One of the most important things in developing criteria is how to describe the relationships between them. Criteria can sometimes pull in different directions, and we need a sense of what that means.

Criteria also do not spit out an obvious blueprint for reform. There is a lot of room for argument in how they are applied. For example, we may all easily accept that the system needs to safeguard the ability of the natural world to support human life as one “bottom line” outcome. But what does that mean for reform options? For example, would splitting up the RMA be the best way to do that? It is by no means obvious. Settling criteria at the outset does, however, move the conversation forward. It changes the focus of the conversation from a value-based debate to an evidence-based one (even if some evidence cannot be talked about in empirical or even scientific terms).²

Of course, that doesn't always make the reform task easier – even if we agree on the outcomes we want, evidence about what would best get us there can still be contested.³ For example, many have debated the extent to

conclusion that the need for change in *outcomes* requires a complete overhaul of the *machinery* of the current system – starting again from scratch – to get there. A significant change in outcomes can sometimes be achieved by making targeted but forceful interventions within legal frameworks that already exist. Such surgical measures are certainly not the same thing as the ad hoc “tinkering” that has plagued the system over the past two decades (“serial reform and quick fixes”).⁸ Indeed, many parts of the system strike us as being underused or even “sleeping”, and as having great potential (eg product stewardship schemes, economic instruments, and water conservation orders).⁹

Our criteria set reflects the need for real change, not tinkering. However, change in outcomes does not necessarily mean overhaul of the current framework and starting again from scratch. To some extent, it may be frustrations over the many failings of something like the RMA that lead to a desire to throw it in the bin, rather than a true conviction that nothing about it is worth keeping.

We outline our preferred criteria in full below, followed by a diagram showing relationships between them. The key messages, though, are presented first.

- (1) We see two key categories of criteria: substantive (outcomes we want, including relationships or hierarchies between them) and pragmatic (what reform measures we are willing to take to get there). We recognise that changes need to be politically *possible*, but that there should be no automatic bias towards the status quo. This is particularly important when we think about timeframes for reforms, and the pros and cons of disrupting case law.
- (2) Within substantive criteria, we see four key categories: environmentally protective outcomes, resource use outcomes, the Treaty of Waitangi, and procedural outcomes.
- (3) Existing and future Treaty settlements will need to be upheld. This does not, however, mean that the broader frameworks with which particular settlement acts interact (eg the RMA) need to be set in stone.
- (4) A future system will need to give effect to the principles of the Treaty. There is a degree of flexibility and ability to evolve built into those principles themselves.
- (5) True biophysical “bottom lines” or limits need to be pre-eminent over considerations of resource use, and held firm.
- (6) Necessities for current and future human survival are non-negotiable, and we cannot speak about trade-offs in that context.
- (7) Alongside the broader intrinsic worth of the natural world as a functioning whole, indigenous species specifically have intrinsic worth that

are deserving of firm bottom lines. This is not just where they are threatened or faced with extinction.

- (8) Overall human wellbeing is about more than just economic and social freedom to act, or the provision of public goods to support private choices. It is about many other things – including building social and economic resilience, respecting communities’ wishes, and outcomes and processes that are fair and inclusive rather than just efficient.
- (9) Fairness is not just about the interests of current versus future generations of humans. It is also about the future of the natural world, and about fairness between different groups of people presently alive (including future residents of urban areas).
- (10) Flexibility and agility are important to provide for timely outcomes. But within that, the system should maximise certainty; we do not desire vagueness for its own sake or as an excuse to pass responsibility to others (or avoid it altogether).
- (11) Public participation in processes cannot come at the expense of timely outcomes, but needs to reflect what is fair.
- (12) An accessible and user-friendly system is important, but it cannot come at the expense of clarity. The system will always, to some extent, be complex.



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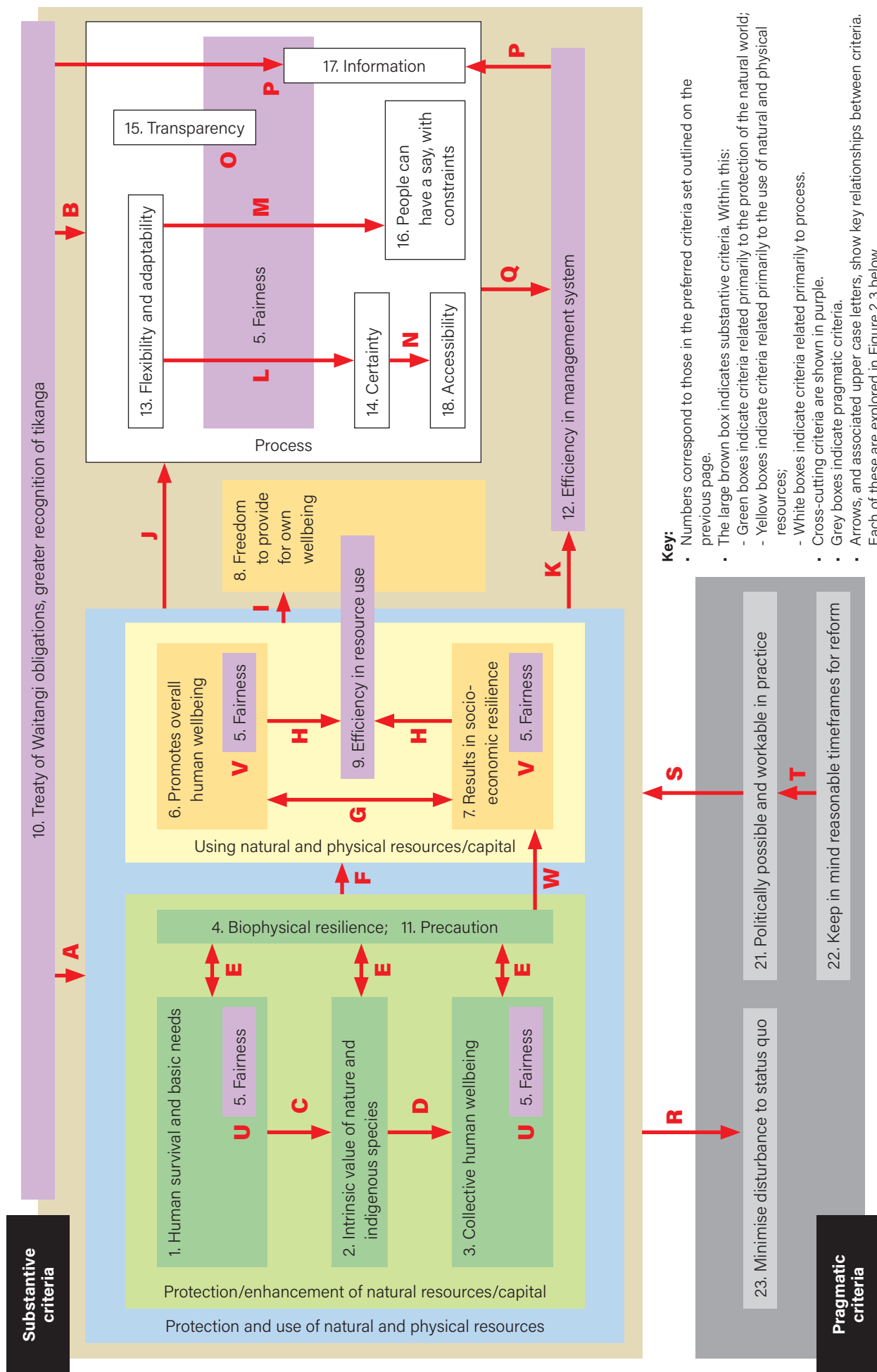


Figure 2.2: Key relationships between criteria in a preferred set

N	It is important that the system is as accessible and easy to use as possible, but that is subject to the need to provide sufficient certainty and predictability concerning legal rights and processes. This recognises that the system is inherently complex and needs to address many interrelated matters. An overly simplified system may simply require later amendments or extensive interpretation through case law in order to provide clarity.
O	Fairness demands that decision-making be as transparent as possible, although fairness may also influence where the costs of that transparency fall.
P	The system should strive to use and transmit the best information and knowledge possible (including mātauranga Māori), and the ways in which information is obtained and shared can make decision-making more efficient (reinforcing criterion 12) and transparent (reinforcing criterion 15). However, information can be costly and imperfect, and the system's approach to it must reflect what is fair (criterion 5).
Q	Efficient and cost-effective processes are important, but subject to other process outcomes we wish to achieve (ie those matters in the white box).
R	It is desirable to minimise disturbances to the status quo, but only to the extent that doing so would be as effective or more effective as other measures in reflecting substantive criteria.
S	All other criteria are subject to the need for a choice to be workable in practice and at least within the realm of political possibility.
T	What is considered within the realm of political possibility and workable in practice should be determined in light of what is possible over reasonable timeframes, and the extent to which the urgency of problems may drive sharp changes in social and therefore political will. More measures may become possible when viewed in this light.
U	Achieving fairness is important when considering, in the context of what natural resources need to be protected and enhanced, what "human" survival and wellbeing is. In particular, fairness constrains our ability to reduce one person or group's wellbeing in favour of others' wellbeing, or to look only at the overall wellbeing of the country without thinking about different communities and generations.
V	Overall human wellbeing cannot be increased without regard to how the relative wellbeing of groups and people within society are affected by resource management decision-making. Fairness, rather than absolute equality, needs to be achieved.
W	The resilience of ecosystems/the biosphere supports the social and economic resilience of people and communities that rely on them existing in a stable state.

Figure 2.3: Explanation of key relationships between criteria in a preferred set

2.3 Concluding comments

In this chapter, we have outlined a preferred set of criteria for reform. We have described this as a "progressive" set, recognising both the need for change and the envelope of pragmatic factors within which realistic reforms could happen. Criteria will always be about balancing inherent tensions in the system, and a lot will be about the institutional and legislative arrangements that follow – including *who* gets to decide where that balance lies, and under what legislative principles. However, we consider that it is useful to provide a general framework of criteria to drive our choice of such system features. In exploring the core features of a future model in coming chapters, we have held these criteria in mind rather than treating them as an inflexible checklist.



3. CRITERIA, ETHICS AND THE ROLES OF A FUTURE SYSTEM

3.1 Introduction

The structure of this report is based on key pieces of legislation we are floating for a future system. We start with a discussion of the RMA in Chapter 5. However, there are two preliminary points that should be made. Both of these points are important for the same reason: they are general, system-wide or cross-cutting conclusions that need to be held in mind when thinking about what all statutory frameworks do and how they do it.

The first point is what worldviews/ethics and principles should underpin a future system. The second is what roles the system, as a whole, will need to perform.

3.2 What criteria mean for ethics and worldviews in a preferred model

Ethics and principles will form common threads running throughout a future system. They may not be expressed in exactly the same way in all statutes (after all, statutes are often deliberately split up because they pursue quite different aims, or similar aims in different ways;¹ and in some ethics may be implicit rather than specifically described).² But very few provisions in the law will not rest on strong, coherent, normative foundations, and it is

best to be clear about what we see those foundations as being. Ethics and principles represent who we, as New Zealanders, want to be, and what we want our country to look like. In the Phase 1 report, we investigated various ethical theories, and said:

In relation to resource management, big picture ethical questions concern the basic ways in which we see ourselves in relation to our surroundings and the natural world. Many different ethical theories exist, but they all seek to strike a balance between resource use and protection. Neither one of these things is ever absolute.

There are four key questions here: how to distribute costs and benefits amongst people alive today, between current and future generations, between private and public interests, and between humans and non-humans (nature). Although it is a dramatic simplification, it is useful to think of Western theories about the environment as being either anthropocentric (human-focused) or ecocentric (nature-focused). An economic approach informed by anthropocentrism tends to reduce the natural and physical world to monetary terms. This is only one possible way of valuing the environment and resources within it. A non-economic anthropocentric worldview focuses



remains a good way of describing how we see the broader system's norms operating in the future. We would add one further thing: such values need to be steered more towards common outcomes and ethical convergence (eg economic drivers supporting broader environmental outcomes, and nodes of agreement between Māori, Western and other values, as in Te Mana o Te Wai). Our values also need to be geared much more towards the need for action, not just reaction.

In our view, embracing synergies between anthropocentrism, Te Ao Māori and ecocentrism more within a plurality of ethics, will provide a positive normative direction of travel. Concepts like Te Mana o Te Wai will be useful and should be deployed elsewhere.

At this point, we comment on what this project is seeking to do in relation to Māori views. This report ultimately represents an EDS view of the world, and while we have sought expert input, the constraints of the project have meant we have not been able to conduct as comprehensive an approach to tangata whenua engagement (eg hui) as may be expected of, say, the Crown. We recognise that Māori will have their own views on resource management reform. It is also possible that there will be a diversity of perspectives within Māori on reform.

That said, we do not consider that the suggestions put forward in this report come from a solely "Western"

perspective. We propose measures that, in our view, would better reflect the partnership nature of the Treaty relationship as well as recognising the value of Māori approaches to environmental management. We do not purport to represent Māori views, and recognise there will be a need for Māori input at all stages of the conversation, but note that we have given careful thought to the Treaty relationship in developing our own views.

3.3 Principles

A future system will need to incorporate a number of more specific legal principles, summarised below in Figure 3.1. These were discussed in the Phase 1 report as options, and while we direct readers there for a more fulsome account, we amend them slightly below to reflect what are firmer requirements of the criteria we have adopted.¹⁸

This does not mean that the principles below would be repeated in every single statutory framework, or that they will always be expressed in the same way. In some cases, principles can be implicit in more detailed provisions rather than being specifically listed as considerations for discretionary decision-making. For example, we already see a highly precautionary approach to marine dumping under the Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012 (EEZ Act),¹⁹ even though the word "precaution" is not mentioned in those sections. All the principles outlined below will need to be reflected across the system in some way.

Sustainability ²⁰	Sustainability provides a framework within which other more detailed substantive principles can be applied. It is essentially about balancing the value of resource use with the value of environmental protection in a way that can be maintained over time. Sustainable development is (to some) concerned not only with ensuring environmental protection in the face of development pressures, but also with active recognition of the need to drive socioeconomic development. Sustainable management, in the New Zealand experience of the term, has a narrower tradition of protecting the environment. Its scope will need to expand to encompass the active pursuit of other indicators of wellbeing (including environmental enhancement and specifically urban outcomes), while being much firmer about protecting true biophysical bottom lines. Alternative "umbrella" principles to sustainability in a future system could include resilience and risk management. Resilience will be particularly important as an addition to sustainability.²¹
Environmental justice and distributional equity ²²	Environmental justice and distributional equity seek to distribute the costs and benefits of resource use and protection between groups in present-day society, according to equity or sensitivity to harm. Ecological justice is an extension of this idea, which embraces separate rights or interests for the natural world (and corresponding responsibilities on humans to defend them). Both will be important in the future, including to address fairness in resource allocation.
Inter-generational equity ²³	Inter-generational equity seeks to distribute costs and benefits of resource use and protection between present and future generations, so that the interests of future generations are recognised and valued. There will need to be considerably greater emphasis placed on the moral equality of future generations, not just safeguarding their basic needs.
Polluter-/user-pays ²⁴	The principle of polluter-/user-pays seeks to distribute the costs of resource use between private and public interests. It generally places costs on the polluter or user unless there is good reason not to. A future system will need to be much clearer and more transparent about who actually bears the cost of polluting activities, and provide measures to transition towards a more equitable distribution of costs.

A future system will need to adopt, in some shape or form, all of the legal principles discussed above. These include sustainability, inter-generational equity, the principles of the Treaty, polluter-pays, and subsidiarity. How they are expressed specifically in particular statutory frameworks (or if they need to be explicitly stated at all) will vary. They will be explored within the context of the chapters that follow, including in a revised purpose and principles for the RMA.

3.4 Criteria and the roles a future system needs to perform

The second preliminary observation we want to make in this chapter relates to the roles that a future system, as a whole, will be expected or allowed to perform. This question cuts across, and will influence, all statutory frameworks. We devoted considerable space to it in Chapters 6 and 7 of the Phase 1 report, and will not repeat that material here.³⁴

In short, the “system” we are concerned with in this project is limited to public intervention (although public intervention is much wider than just *regulatory* intervention).³⁵ It is about formal laws and institutions; we are not talking about reforming social systems, moral systems or ecological systems.³⁶ But this system does not need to do everything, and its scope needs to be defined with reference to what it is allowed or expected

to do. It is about resource management, not resource micro-management. Nor is the system a replacement for private action. Many good outcomes already come from dedicated individuals and groups doing great things in their communities, or even from people acting in their own interests.³⁷ They deserve support, encouragement, coordination and visibility – not constraints, prohibitions or inflexible directions.³⁸

We have heard some support for a narrow role for the system, in that the role of “planning” (at least in the urban context) should be limited to the internalisation of negative externalities (ie implementing the polluter pays principle), the provision of public goods (eg infrastructure) and the coordination of these two things.³⁹ Some have expressed concerns about scope creep and the uncertain boundaries of (in particular) council controls on development.⁴⁰

Furthermore, some outcomes can be left to be achieved by other “systems” of public intervention (eg the health system, justice system, or education system).⁴¹ There is a question here about where things are done, and how targeted “resource management” frameworks should be. For example, should urban planning under the RMA play a role in tackling obesity by encouraging active transport? Or by designing communities and infrastructure to minimise crime?⁴² And should environmental management be not just about *stopping* people doing things, but also *making* people do things? Or reaching out into the school curriculum? These boundaries are often fluid, given that there is no clear definition of what constitutes such “systems”.



Quay Street, Auckland

We reinforce our conclusions in previous work that the system as a whole will be expected to perform seven core roles:

- 1 Imposing firm environmental bottom lines or limits
- 2 Facilitating trade-offs above bottom lines
- 3 Funding and ensuring the delivery of public goods (including infrastructure)
- 4 Pursuing broader “good” outcomes (not just preventing or managing “bad” outcomes)
- 5 Protecting and promoting Māori interests⁵¹
- 6 Resolving disputes
- 7 Allocating rights/privileges to use non-private resources

We also think that these seven roles will need to be performed differently in the future, in the ways outlined in the Phase 1 report.⁵² How they do so will be explored within the contexts of more specific statutory frameworks (especially the RMA). For example, revisions to Part 2 and national direction under the RMA (see Chapters 5 and 6) will be important in performing a “bottom lines” role, and revisiting our funding model for local government (Chapter 10) will be crucial in delivering public goods.

In our view, a future system will be required to perform seven core roles. These reflect a relatively expansive view of when the system can intervene in people's lives, although it is important to note that such intervention will not always be regulatory in nature (forcing people to do or not do things) and should be proportionate.

The seven roles identified above are not a viable way to split up statutes. We cannot realistically have one act for bottom lines, one for dispute resolution, and another one for allocation, for example.⁵³ Many roles are too interconnected to make that kind of approach to legislative design workable or desirable as a blanket rule.⁵⁴ For example, there are benefits in one institution or statute performing multiple roles (eg under the RMA the Environment Court decides on environmental restrictions while at the same time resolving disputes), or in multiple institutions or statutes performing a single kind of role (eg different kinds of bottom lines are imposed under the RMA and conservation legislation).⁵⁵ Sometimes, it may even be necessary for a single *decision* within a statutory framework to perform several roles that are inextricably connected (eg in Chapter 7 we conclude that (1) determining environmental limits for freshwater abstraction and (2) determining who is allocated rights to use freshwater within those limits should both occur within the RMA, rather than having a separate “Allocation Act”).⁵⁶

However, there is value in holding each of these core roles in mind while discussing more specific statutory frameworks. The system, when looked at as a whole, needs to be adequately performing its roles in an integrated and coherent way. For example, we need to

think about allocative questions across the system: is it acceptable for minerals and fisheries to be allocated in a highly structured way, but for the allocation of freshwater to be largely left to market forces (first in, first served)?

The same applies to bottom lines: is it right to impose a bottom line on carbon emissions under climate change legislation (eg through targets, budgets and caps on trading) but continue to promote the exploitation of fossil fuels that may undermine them?⁵⁷ Or for environmental bottom lines under Part 2 of the RMA to be overridden by the strategic development objectives of a specific urban area (eg to promote housing)?⁵⁸ And is it anomalous that in current legislation we have several different variants of “sustainability”, and different directions in relation to Treaty principles? We need to start thinking about the system's seven core roles in a more holistic way.

3.5 A final thought on ethics, principles and the roles of the system

We end this chapter with a provocative thought that is relevant to both ethics and the roles the system will be expected to play, and which will be good to hold in our minds as we explore the (inevitably) more technical aspects of system design. The thought is this: most would consider it morally repugnant to talk about our children/tamariki in the way we continue to talk about natural “resources” and the internalisation of “externalities”. We do not look after our children because they are a future source of labour, an input into our economy, or market actors. We do not avoid hurting them because of some economic theory or laws demanding the internalisation of harm to ourselves. Instead, we do so because we love them. They have beauty and potential, not amenity and monetary value. When it comes to our families and friends, we are first and foremost ethical and social creatures, not rational economic actors.

Why then, is there often so much opposition to treating the natural world – comprised in part by living, sentient, and threatened forms of life with whom many have a profound emotional or spiritual connection as well as reliance on for human health – as a thoroughly moral one as well as an economic one? One answer is obvious – our children occupy a very different place in our hearts than a chicken or a cow, or a totara. As Professor Jared Diamond has somewhat apologetically pointed out in his book *Collapse*, “While I do love New Guinea birds, I love much more my sons, my wife, my friends.”⁵⁹ We suspect that would be true for most of us, and this provides a powerful lesson for how we market resource management reforms: something that will have direct benefits to people and the things they care about most. Indeed, there is truly existential significance for our children here, not just another round of reforms aimed to improve a vague notion of “wellbeing” or to save the birds and trees for their own sake. As the government's resource management system review panel has pointed out:⁶⁰

ENDNOTES

- 1 For example, we have various expressions of “sustainability” and “precaution” in our existing laws (eg under the Fisheries Act 1996, EEZ Act and Hazardous Substances and New Organisms Act 1996).
- 2 For example, in providing for participation, Māori involvement, or precaution.
- 3 To do so would probably require the adoption of the perspective of a single theorist, given that there are huge differences in approach and detail within these general categories. For some different theories, see DR Keller (ed) *Environmental ethics: The big questions* (Wiley Blackwell, 2010); RL Revesz *Foundations of environmental law and policy* (Oxford University Press, 1997); K Bosselmann *The principle of sustainability: Transforming law and governance* (Ashgate, 2008) at 102; E Hargrove *Foundations of environmental ethics* (Prentice Hall, 1989); K Palmer “Introduction to environmental law” in D Nolan (ed) *Environmental and resource management law* (5th ed, LexisNexis, 2015).
- 4 In that there are many different approaches to these broad categories – including approaches where boundaries break down entirely (eg ecological economics). On variants of ecocentrism, see C Stone “Should trees have standing?” (1972) 45 S Cal LR 450; P Taylor and J Kleinig *Valuing life* (Princeton University Press, 1991); P Burdon “Wild law: A proposal for radical social change” (2015) 13 NZJIL 157; P Singer *Animal liberation* (Random House, 2015); P Taylor *Respect for nature* (Princeton University Press, 1986); C Stone *Earth and other ethics* (Harper and Row, 1987).
- 5 While we are not the right people to do it, we do see merit in the development of a tikanga-based model by Māori as a tangible option for reformers to explore.
- 6 Of course, that may be different depending on who you are.
- 7 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 231 for some misgivings about rolling out legal personhood across the country, on a pan-tenure basis and without thought of Treaty partnership implications.
- 8 For an account of why we should embrace economic instruments more in the allocation (and reallocation) of water resources, see E Crampton *Valuing the priceless* (New Zealand Initiative, 2019).
- 9 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 62.
- 10 For example, see Resource Management Act 1991, ss 6-7.
- 11 For example, green taxes are an economic concept, but could be extremely effective at improving environmental outcomes. See T Hazledine “Economics and the resource management system” in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018); T Denne “Resource management law reform and economics” in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018).
- 12 See the National Policy Statement for Freshwater Management.
- 13 See also the more tikanga-focused solutions in the bespoke frameworks for Te Urewera and Tu Awa Tupua/Whanganui River: Te Awa Tupua (Whanganui River Claims Settlement) Act 2017; Te Urewera Act 2014. See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 60.
- 14 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 61.
- 15 Compare SJ Burton “Normative legal theories: The case for pluralism and balancing” (2012–2013) 98 Iowa L Rev 535.
- 16 For example, in the field of ecological economics.
- 17 D Young *Values as law: The history and efficacy of the Resource Management Act* (Victoria University of Wellington Institute of Policy Studies, 2001) at 85.
- 18 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 5.
- 19 There is a presumption that something cannot be dumped unless expressly listed as acceptable (see Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, ss 10(1)(b), 20G). This implements the “white list” approach required by the London Protocol on marine dumping.
- 20 A general term incorporating different terms (eg sustainable development, management, utilisation etc). On sustainability, see D Grinlinton “Integrating sustainability into environmental law and policy in New Zealand” in K Bosselmann, D Grinlinton and P Taylor (eds) *Environmental law for a sustainable society* (2nd ed, New Zealand Centre for Environmental Law, 2013); World Commission on Environment and Development *Our common future* (Oxford University Press, 1987); Resource Management Act 1991, s 5; Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, s 10. See also *Reith v Ashburton District Council* [1994] NZRMA 241 (PT).
- 21 See N Robinson “Re-conceptualising sustainability: The Anthropocene agenda” (2015) 11 RM Theory & Practice 99.
- 22 Sometimes referred to as “intra-generational equity”. On these principles, see generally V Been “What’s fairness got to do with it?” (1993) 78 Cornell Law Review 1001; K Bosselmann *The principle of sustainability: Transforming law and governance* (Ashgate, 2008) at 9; E Hudspeth “Freshwater management in New Zealand” (2013) 16 NZJEL 277 at 285; *Meridian Energy Limited v Central Otago District Council* [2011] 1 NZLR 482 (HC) at [119]; K Palmer “Resource Management Act 1991” in D Nolan (ed) *Environmental and resource management law* (5th ed, LexisNexis, 2015) at 111–112; *Ministry for the Environment Report of the review group on the Resource Management Bill* (1991) at [3.3]; *St Columba’s Environmental House Group v Hawkes Bay Regional Council* [1994] NZRMA 560 (PT) at 528; *Central Plains Water Trust v Ngai Tahu Properties* [2008] NZCA 71, [2008] NZRMA 200 (CA) at [90]–[91]; S Beder “Costing the Earth” (2000) 4 NZJEL 227 at 236; Resource Management Act 1991, ss 85A, 104(3)(c)(iv); D Sheppard “The Resource Management Act – from principles to practice” in T Daya-Winterbottom (ed) *Frontiers of resource management law* (Thomson Reuters, 2012) at 233; *Treasury guide to social cost benefit analysis* (2015) at 47.
- 23 On inter-generational equity, see generally K Palmer “Origins and guiding ideas of environmental law” in K Bosselmann, D Grinlinton and P Taylor (eds) *Environmental law for a sustainable society* (2nd ed, New Zealand Centre for Environmental Law, 2013) at 16; Resource Management Act 1991, s 5(2) (a); Conservation Act 1987, ss 2, 6(c); Local Government Act 2002, s 14(1)(h) (iii); EB Weiss *In fairness to future generations* (United Nations University Press, 1989); EB Weiss “Intergenerational justice and international law” in S Busuttil and others (eds) *Our responsibilities to future generations* (Foundation for International Studies, 1990), from 98; J Boston *Safeguarding the future: Governing in an uncertain world* (Bridget Williams Books, 2017).
- 24 On the polluter-pays principle, see generally *Machinery Movers v Auckland Regional Council* (1993) 1A ELRNZ 411 (HC) at 416. In the international context, see P Schwartz “Principle 16: The polluter-pays principle” in JE Viñuales (ed) *The Rio Declaration on Environment and Development: A commentary* (Oxford University Press, 2015).
- 25 See generally D Shelton “Using law and equity for the poor and the environment” in Y Le Bouthillier and others (eds) *Poverty alleviation and environmental law* (Edward Elgar, 2012).
- 26 For example, the Land and Water Forum has recommended that when a catchment is overallocated, high emitters of nitrogen that contribute most to overallocation must reduce, while at the same time providing some upward movement for those with no or little discharge: see Land and Water Forum *Advice on improving water quality: Preventing degradation and addressing sediment and nitrogen* (May 2018) at 2.
- 27 See generally M Bramley “Institutional and governance structures of environmental law” in P Salmon and D Grinlinton (eds) *Environmental law in New Zealand* (1st ed, Thomson Reuters, 2015) at 398; B Gussen “Subsidiarity as a constitutional principle in New Zealand” (2014) 12 NZJIL 123.
- 28 See generally Treaty of Waitangi Act 1975, s 8; *New Zealand Māori Council v Attorney General* [1994] 1 NZLR 513 (PC) at 515; *New Zealand Māori Council v Attorney General* [1987] 1 NZLR 641 (CA) (Lands Case); *Huakina Development Trust v Waikato Valley Authority* [1987] 2 NZLR 188 (HC) at 210; R Boast “The Treaty of Waitangi and environmental law” in R Harris (ed) *Handbook of environmental law* (Royal Forest and Bird Protection Society of New Zealand, 2004) at 513; R Joseph “The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward” in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 30–32; R Beverley “The incorporation of the principles of the Treaty of Waitangi into the Resource Management Act 1991” (1997) 1 NZJEL 125; M Palmer *The Treaty of Waitangi in New Zealand’s law and constitution* (Victoria University Press, 2008); *Carter Holt Harvey Ltd v Te Runanga o Tuwharetoa ki Kawerau* [2003] 2 NZLR 349 (HC) at [27]. In practice, it is arguable the extent to which this has been done. See the report from Wai 262, *Ko Aotearoa Tenei; McGuire v Hastings District Council* [2002] 2 NZLR 577 (PC) at [21].
- 29 See generally U Klein “Belief-view on nature” (2000) 4 NZJEL 81; A Tunks “Tangata whenua ethics and climate change” [1997] 1 NZJEL 67 at 8; R Joseph “The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward” in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 33.
- 30 See generally J Sax “The public trust doctrine in natural resources law” (1970) 68 Michigan Law Review 471; P Wallace “Integrated conservation management” (2011) 15 NZJEL 185 at 191; J Ruru “Managing our treasured home” (2004) 8 NZJEL 243; Department of Conservation *Te Kōiara o Te Kōiara: A discussion document on proposals for a biodiversity strategy for Aotearoa New Zealand* (2019).
- 31 See generally A Gillespie “Precautionary New Zealand” (2011) 24 NZULR 364 at 365; G Severinsen “Letting our standards slip? Precaution and the standard of proof under the Resource Management Act 1991” (2014) 18 NZJEL 173; C Iorns Magallanes and G Severinsen “Diving in the deep end: Precaution and seabed mining in New Zealand’s exclusive economic zone” (2015) 13 NZJIL 201; *Shirley Primary School v Christchurch City Council* [1999] NZRMA 66 (EnvC) at [136]; *Contact Energy v Manawatu-Wanganui Regional Council* [2010] NZEnvC 406, [2011] NZRMA 155 at [71]; Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, s 34(2); Fisheries Act 1996, s 10(c); Hazardous Substances and New Organisms Act 1996, s 7.
- 32 See generally B Barton “Underlying concepts and theoretical issues in public participation in resources development” in D Zillman, A Lucas and G Pring (eds) *Human rights in natural resources development* (Oxford University Press, 2002); G Palmer “The Resource Management Act – how we got it and what changes are being made to it” (2014) RM Theory & Practice 22; D Sheppard

4. WHAT WE HAVE NOW: THE CURRENT SYSTEM

4.1 Introduction

While many features of the current system have been described at various places in the project,¹ and problems identified with them, we have deliberately not used that as the starting point for analysis. This is because we did not want our options and analysis to be constrained by existing ways of thinking, or tinkering with existing frameworks or silos.

But to fully understand where we should be going, it is useful to refresh ourselves – at a framework level – about what we currently have. For one, visualising the “gap” between what is there now and what we want allows us to think about pragmatic concerns in a meaningful way. For example: how much effort would be required to make a change? Does it represent a sharp jolt, or a continued evolution? How much political and social appetite would there be for this extent of disruption? We cannot answer these questions without knowing how different a new system would be from what we have.

Furthermore, the reality is that we are not creating a system from scratch. Charting a rough pathway to reform – what happens when – therefore relies on having a reasonably clear picture of a starting point. We also need to have a sense of what is wrong with what we have (and, equally, what is *not* wrong) before recommending change.² There is much that we might want to keep.

It is important to have a sense of what the current system looks like so that (1) we understand the extent of change envisaged between old and new; (2) we have a clear starting point for a pathway to reform; and (3) we can identify deficiencies in the current system.

To make comparisons between the old and the new easier, it makes sense to describe them in roughly the same way. Therefore (unlike in the Phase 1 work, where the current

system emerged through themes) we will look at the existing system in terms of its different statutory frameworks.³ A simplified version of this is presented visually (see Figure 4.7). If, however, the reader is more interested in jumping straight to a description of our proposed model, he or she may wish to move on now to Chapter 5.

4.2 The current system

New Zealand's current resource management system is complex and has a fascinating history.⁴ We will not attempt to describe every detail of it. From a purely legislative design perspective, we have already discussed the key statutes we have in Phase 1 (see Chapter 8 of that report). There, we concluded that while there are significant tensions and overlaps, and much room for rationalisation and reorganisation, the basic logic of what we have makes some sense.

At the heart of the system are broad, outcomes or effects-based statutes like the RMA and EEZ Act (as well as more targeted ones concerned with, for example, biosecurity and waste minimisation). Outcomes-based statutes generally apply across the whole country and are based on general cross-cutting aims or effects rather than categories of human activities (eg sectors).⁵ Other types of statutes then fill gaps (or, with some things like climate change and fisheries, they fill deliberate carve-outs) in outcomes-based statutes. First is a layer dealing with domains not covered under more general legislation but which still apply across the board (eg climate change), then particular areas that require an additional layer or modified set of provisions (eg in national parks), and then sectors (eg mining, fisheries, forestry) and institutions (eg local government).⁶

Each layer of statutes – those based on outcomes, domains, locations, sectors and institutions – generally seeks to do a different kind of thing. More specific ones concerned with particular domains or locations tend to fill gaps in broader, outcomes-based ones (see Figures 4.1 and 4.2 below). For example, mining legislation is about the proactive allocation of the Crown's property (Crown-owned minerals) and access arrangements, not the environmental effects of mining. Thus while the RMA applies to almost all kinds of activity having environmental impacts (including mining), mining has an additional management framework on top of that, which makes sense.⁷

Where there *is* an overlap in aims (statutes seek the same kinds of outcomes), legislative separation sometimes reflects the fact that frameworks use quite different kinds of tools (eg an emissions trading scheme, or product stewardship scheme, looks quite different to RMA plans and consents, even though the RMA's broad purpose encompasses the outcomes they are pursuing). There are still, however, tricky boundary issues to navigate (eg a sectoral one between the RMA and Fisheries Act on which the Court of Appeal has recently pronounced,⁸ or a spatial one between the RMA and EEZ Act).⁹



4.3 The RMA

At the core of the current system is the RMA. It establishes the framework for the management of “natural and physical resources” in New Zealand to the outer limits of the territorial sea. It is a product of its time (the late 1980s and early 1990s), and reflects a desire for integrated management, effects-based rather than prescriptive decision-making, open and transparent government, Māori values, devolution, public input, and a degree of faith in the market as to how resources are used.¹⁵ The Act has a broad purpose of “sustainable management”.¹⁶ Despite a chequered history and ongoing debate about what this purpose does and means (culminating in the *King Salmon* decision and subsequent case law),¹⁷ its intention has always been to ensure that firm environmental bottom lines are imposed. Many of these are expressed within the principles of the Act in section 6 (matters of national importance, which decision-makers must recognise and provide for) and section 7 (other matters, to which they must have particular regard). The Act applies to a wide variety of “domains”, including land, freshwater, the coastal and marine environment, soil, air, and impacts on the “environment” more broadly (which is defined to include the condition of communities as well as more tangible resources).

While the purpose of the Act is extremely broad on its face (and has been interpreted in an even broader way),¹⁸ the things that it actually does in practice are largely limited by Part 3 of the Act. This, essentially, outlines what people are not allowed to do (eg dam, divert or take water, discharge contaminants, occupy the seabed etc) without express permission.¹⁹ People are free to use private land how they wish,²⁰ unless its use is expressly restricted.²¹ In practice, most land uses are restricted in some way. But the RMA is not, for example, a place in which infrastructure is planned or funded, where the generation of waste is minimised, or where the construction of buildings is regulated. It can seek positive outcomes,²² but the ways in which it can do so are limited.²³ Some have therefore described it as a reactive, or (adverse) effects-based, framework.²⁴ Yet it is also a framework by which land use decisions are made, and therefore the main statute by which urban planning occurs.²⁵ Its suitability for this kind of thing has been questioned in light of its predominantly “protective” purpose and principles.²⁶

The RMA operates in practice through the development of a hierarchy of subordinate instruments (see Figure 4.3 below). Central government can, if it wishes, promulgate national direction in the form of NPSs and national environmental standards (NESs). The New Zealand Coastal Policy Statement (NZCPS) is the only mandatory form of national direction, but a number of other NESs and NPSs have been created.²⁷ These must be given effect to in a cascade of lower level instruments: regional policy statements, regional plans and district plans. That is a strong direction.²⁸ Regional plans are developed by regional councils according to their functions (largely although not exclusively to do with the management of common pool resources like air, water and the coastal marine area).²⁹ District plans are developed by territorial

authorities, and are primarily concerned with land use.³⁰ Combined plans can also be created, which are effectively a combination of a regional policy statement, regional plans and district plans.

RMA plans contain objectives, policies and rules that expand on the purpose and principles of the Act, and determine what people are and are not allowed to do in relation to land, water, air, soil, and so forth. Plans can now be created and/or changed according to different processes (eg collaborative,³¹ streamlined, directly referred), but there is opportunity for public participation and, usually, appeal rights on the merits of a plan for submitters to the Environment Court for final determination. More bespoke, and quite different, planning processes have also been introduced for the creation of the Auckland Unitary Plan (following council amalgamations) and the Christchurch Replacement District Plan (to facilitate the post-earthquake rebuild).³² National Planning Standards – designed to provide consistency between different council plans – are now another measure that central government can use.³³

Rules in district and regional plans, and NESs at a national level, can either prohibit or allow an activity. They can also require a person to obtain different categories of resource consent before undertaking an activity.³⁴ Consent decisions are usually decided by councils. Most applications are not publicly notified,³⁵ and the RMA provides for restrictions on what can be considered for some kinds of things.³⁶ If an application is notified (or “limited” notified), submitters generally have appeal rights to the Environment Court, and there is the ability for some consents to be “called in” and referred directly to the Court (or to a specially appointed Board of Inquiry) for decision.³⁷ There are no appeal rights in relation to notification decisions, although judicial review is possible.

It is also worth noting that, while a resource consent under the RMA is primarily a formal recognition that an activity meets the purpose of the Act (essentially, that it does not have unacceptable impacts on the environment), in some cases it effectively doubles as an exclusive allocation of rights to one person over another in the nature of a licence (eg to take freshwater, or to occupy coastal space). While the Act does allow for more structured approaches to allocating resources (eg freshwater, coastal space, geothermal energy),³⁸ for the most part the first person to apply for permission gets the right to use what may be a scarce resource.³⁹ A degree of trading of consented rights (eg to take freshwater) is allowed, but is fairly heavily restricted.

The RMA also provides for other project or site-specific mechanisms: designations (where an approved requiring authority is able to make decisions on land use instead of the relevant council),⁴⁰ heritage orders (a similar concept where decision-making power rests with an approved heritage protection authority, not the council),⁴¹ and water conservation orders (a more protective tool that can be imposed, upon application, to safeguard the values of a specific water body).⁴² It also contains enforcement

complex than it used to be. Another amendment – to reverse some recent changes (such as strengthening public participation and removing the collaborative planning track) as well as provide for another planning process (for freshwater) and strengthen the enforcement role of the EPA – has been recently introduced into the House.⁴⁶ Overall, the RMA provides a framework within which a substantial amount of discretion is exercised in relation to the protection and use of natural and physical resources, with oversight by an independent and expert Environment Court.

4.4 Local government and infrastructure legislation

Alongside the RMA are statutes with quite a different purpose. The Local Government Act and the Land Transport Management Act relate to the active provision (including funding) of public goods and services (including infrastructure like roads, footpaths, streetlights and water pipes), with the former also providing for the pursuit of overall community wellbeing and the exercise of local democracy.⁴⁷

Both acts provide for separate planning frameworks. Under the Local Government Act, councils are charged with producing long-term plans (describing the activities and community outcomes to be pursued over the coming 10 years, and including both a financial and infrastructure strategy) and annual plans (including budgets), which support the achievement of the long-term plan.⁴⁸ Local councils are also obliged to assess the need for, and provide, water services (with some exceptions),⁴⁹ and provide some other public services.⁵⁰ (In this context, the government is conducting a wide-ranging review of the water sector, including the potential for institutional and funding reform.)⁵¹

Local government legislation also provides for the establishment of council-controlled organisations (CCOs) – arm’s-length entities owned by councils and tasked with pursuing particular goals or performing operational functions on a business footing.⁵² Many of these have been established around the country. Some, such as Wellington Water, are owned by multiple councils.⁵³

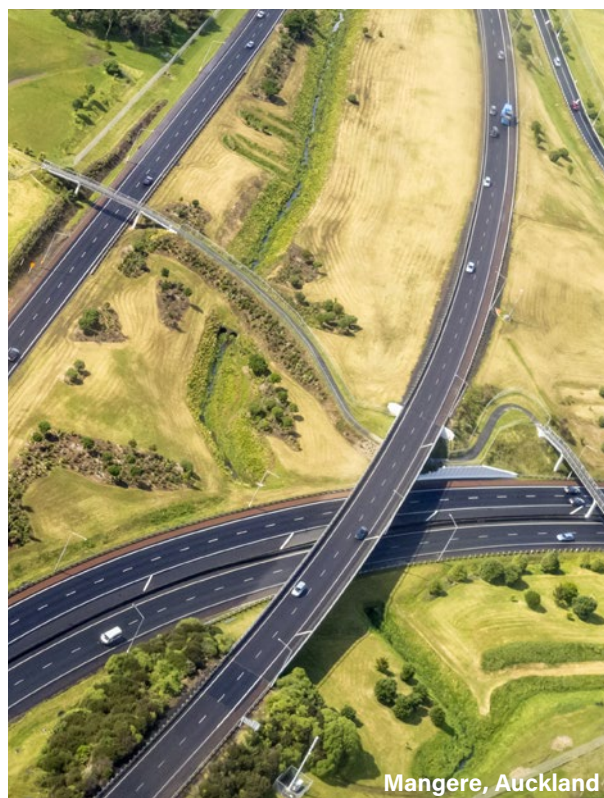
There is a wide ability under the Local Government Act for councils to engage in strategic planning for many things (including spatial plans for urban growth).⁵⁴ However, these do not have immediate effect under other legislation that could put them into effect (eg under the RMA).⁵⁵

Land transport infrastructure (eg roads) is jointly funded and planned between central and local government. State highways are planned and maintained nationally.⁵⁶ But while local contributions ultimately come through the long-term and annual planning processes, the Land Transport Management Act provides for an additional layer of processes by which central government transport planning intersects with local planning. National contributions come from a national Land Transport Fund, which has multiple sources of revenue.⁵⁷ A key point of

the framework is for these central government funds to be distributed to local roading projects according to both national and local priorities.

In short, national and regional land transport programmes under the Act are informed by an overarching government policy statement (GPS) on land transport. The Minister of Transport issues the GPS, which must contain a three-year land transport investment strategy and must take into account national direction under the RMA.⁵⁸ The New Zealand Transport Agency (NZTA) develops a land transport programme, which sets out what is expected to be funded by the national Land Transport Fund. This must give effect to the GPS, but also take into account regional land transport plans (as well as instruments under the RMA). In this way, transport planning is both top-down and bottom-up, meeting in the middle (in a national land transport programme).

Regional councils are required to establish regional transport committees (with regional, local and central government membership),⁵⁹ which are tasked with developing regional land transport plans.⁶⁰ These plans contain a list of projects for which national land transport funding is sought, over a six-year period, and must be consistent with the GPS.⁶¹ They must also take into account all possible sources of funding (including through Local Government Act processes)⁶² as well as RMA instruments. A simplified version of the way in which the Local Government Act and Land Transport Management Act operate (including in relation to the RMA) is shown in Figure 4.4, and we also refer readers to the more detailed Figures 14.1 and 14.2 in the Phase 1 report. Of note are the strong connections that exist between instruments made within a single statute, but much weaker connections between instruments made under different statutes.



Public authorities have a variety of other proactive duties to provide public goods and services. For example, regional councils (as successors to catchment boards) have positive obligations for flood and erosion control measures under separate legislation, not just functions under the RMA to regulate for these things.⁶³ On a broader view, legislation has recently been enacted to create an arm's-length Infrastructure Commission, which (among other things) is to work with multiple layers of government and the private sector to develop a 30-year infrastructure strategy. As explored in Chapter 10, an urban development authority (Kāinga Ora – Homes and Communities) has also now been established. This is a Crown entity that is proposed to have significant infrastructure planning and funding powers (among other powers, including under the RMA) in designated project areas.⁶⁴

It is also worth noting here that bespoke local government legislation has been enacted for Auckland. That includes provisions relating to the RMA (a bespoke process for producing a unitary plan for the region), the provision of infrastructure (in the institutional form of Watercare and Auckland Transport), and the mandatory development of a higher level spatial plan for Auckland intended to inform multiple other statutory frameworks.⁶⁵

4.5 Building Act 2004

The Building Act (and Building Code) regulates how buildings themselves are constructed, rather than their impacts on the surrounding environment. It is designed, primarily, to ensure people can use buildings safely and without endangering their health, but has no real spatial element (such as indicating which things should go where). It recognises that buildings should have attributes contributing to the wellbeing of people, but also that “buildings are designed, constructed, and able to be used in ways that promote sustainable development”.⁶⁶ The Act requires building consents to be obtained, meaning that often the development of land requires authorisation under both the RMA (eg land use consent, designation, subdivision consent) and the Building Act.

We noted in the Phase 1 report that there is a degree of conceptual overlap between the Building Act and the RMA, in that both are concerned with the potential impacts of activities on people's health and safety, with the latter restricting the use of land (including for buildings) partly for this purpose.⁶⁷ Although the Building Act covers a lot of matters that are not about resource management per se, we have previously highlighted the need to align its objectives and ensure it contributes to the outcomes the system is pursuing.

4.6 Heritage legislation

Historic heritage is partly protected under the RMA. Section 6(f) of the Act requires all decision-makers to recognise and provide for the protection historic heritage from inappropriate subdivision, use and development as a matter of national importance. Historic heritage

can be more specifically addressed through a heritage order, which, like a designation, ensures that protected features or places are identified in the relevant district plan.⁶⁸ But even in the absence of heritage orders, territorial authorities play a significant role here. District plans identify heritage issues, prescribe objectives and policies, outline information requirements and standards for assessing relevant consent applications, and contain a heritage schedule.⁶⁹

Alongside the RMA is a statute dedicated solely to heritage: the Heritage New Zealand Pouhere Taonga Act. Its purpose is to promote the identification, protection, preservation, and conservation of New Zealand's historical and cultural heritage. Heritage New Zealand (an autonomous Crown entity) is tasked with maintaining the New Zealand Heritage List/Rārangī Kōrero (previously the Historic Places Register), and is informed by the Māori Heritage Council. The purposes of the List are to inform the public about historic heritage, to notify the owners of historic heritage, and to be a source of information for the purpose of more formal protections through the RMA. The List identifies historic places, historic areas, wāhi tūpuna, and wāhi tapu areas. Historic places are divided into Category 1 (places of special or outstanding historical or cultural heritage significance or value) and Category 2 (places of historical or cultural heritage significance or value). However, the List does not have direct regulatory consequences – protections need to be progressed through tools like district plans or heritage orders under the RMA. District councils must have regard to relevant entries on the List when preparing or changing district plans.

That said, Heritage New Zealand also has statutory responsibility for the identification and protection of archaeological sites. It is charged with issuing archaeological authorities where activities may modify or destroy part or all of an archaeological site. In contrast to the Heritage List, this is a tool that has regulatory effect.⁷⁰

4.7 Climate change legislation

Climate change mitigation and adaptation are becoming increasingly central issues within the context of resource management. To date, climate change has primarily been addressed through the Climate Change Response Act, which has established an emissions trading scheme designed to allow greenhouse gas emissions to be traded and offset, and to meet New Zealand's international obligations.⁷¹ There have been criticisms of the scheme, including its effective lack of a “cap” on emissions and the insulation of some sectors (notably agriculture) from emission obligations.⁷² It has been subject to several reviews,⁷³ and there is currently a reform bill being progressed through the House that should address some of the more systemic issues with the scheme.⁷⁴

In contrast, the RMA does not address climate change mitigation in a meaningful way (except to promote renewable energy generation in a very general sense). In fact, councils are expressly prohibited from considering the climate impacts of greenhouse gas discharges, and

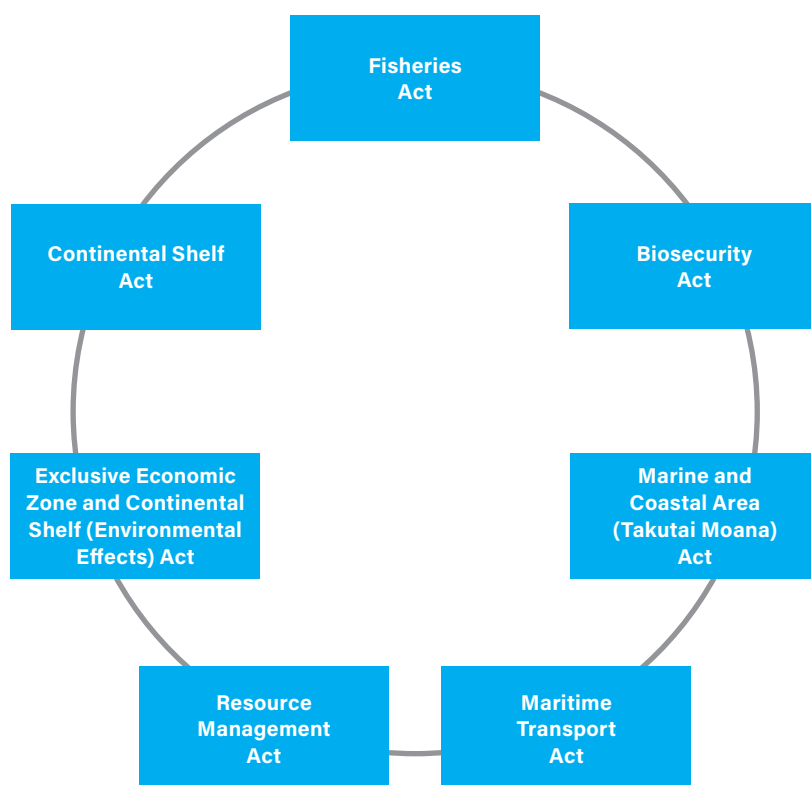


Figure 4.5: Legislation having a bearing on marine management in the current system

The Continental Shelf Act, which previously formed the much less robust framework under which some of the EEZ Act's decisions are now made,⁹⁴ remains in existence. However, it is now primarily a vehicle for making decisions about mining, and piggybacks on and extensively cross-references the more evolved framework of the Crown Minerals Act. That Act is about encouraging the exploitation of Crown-owned minerals for the benefit of New Zealanders,⁹⁵ and is primarily about the Crown allocating rights (often through competitive processes like block offers) to explore for and mine its property (as well as access arrangements so miners can get to them).⁹⁶ That includes oil and gas.

The minerals regime is highly discretionary (and involves the development of minerals programmes and the issuing of permits largely in isolation of other regimes like the RMA).⁹⁷ The current government has signalled that it will not be allowing new offshore oil and gas exploration (largely for climate change reasons).⁹⁸ Authorisation to explore for or mine minerals does not, however, remove the need to obtain other permissions, for example under the RMA or EEZ Act.⁹⁹ It is primarily an allocative and access framework, not an environmental one. To complement that separation, the RMA is explicit that sustainable management does not include the rate of depletion of mineral resources.

4.9 Conservation legislation

The current system's approach to conservation issues has been fairly fragmented, with a number of protective statutes addressing different conservation concerns.¹⁰⁰ Some are species-centric, as in the case of the Wildlife Act or Marine Mammals Protection Act, whilst others are

location-specific. Among those that are location-specific, the protective scope and rationale varies, from highly protective national parks to a wide variety of reserve categories.¹⁰¹ The RMA applies across the whole country, but conservation legislation provides an additional layer of restrictions and obligations in relation to particular areas or species.

The Conservation Act forms something of an overarching framework for conservation, and extensive cross-references are made to it in more targeted statutes. It empowers the Department of Conservation to protect natural and historic resources (both within protected areas and throughout New Zealand), and provides for the establishment and categorisation of various areas.¹⁰² These are managed through hierarchies of general policy instruments, management strategies, and conservation plans. There are many categories of protected areas that have different, albeit overlapping, purposes. For example, conservation parks are about protecting natural and historic resources and providing for recreation, while amenity areas are about protecting indigenous natural and historic resources and fostering their recreational attributes. Other categories include wilderness areas, ecological areas, sanctuary areas, watercourse areas, and wildlife management areas. Areas listed in Schedule 4 of the Act may not be mined. The Act also establishes various institutions.

Alongside the Conservation Act itself are more targeted frameworks. There is the National Parks Act, which aims to preserve in perpetuity designated national parks, which "contain scenery of such distinctive quality, ecological systems, or natural features so beautiful, unique, or scientifically important that their preservation is in the

4.10 Biosecurity

The Biosecurity Act is about dealing with unwanted organisms, for both economic and environmental reasons. It is a framework for border controls aimed at preventing unwanted organisms from entering the country, for establishing surveillance to detect organisms once they have arrived, and for the control and eradication of pests once they have become established.¹¹⁷ It applies out to the limits of the EEZ and therefore spans terrestrial and marine environments.

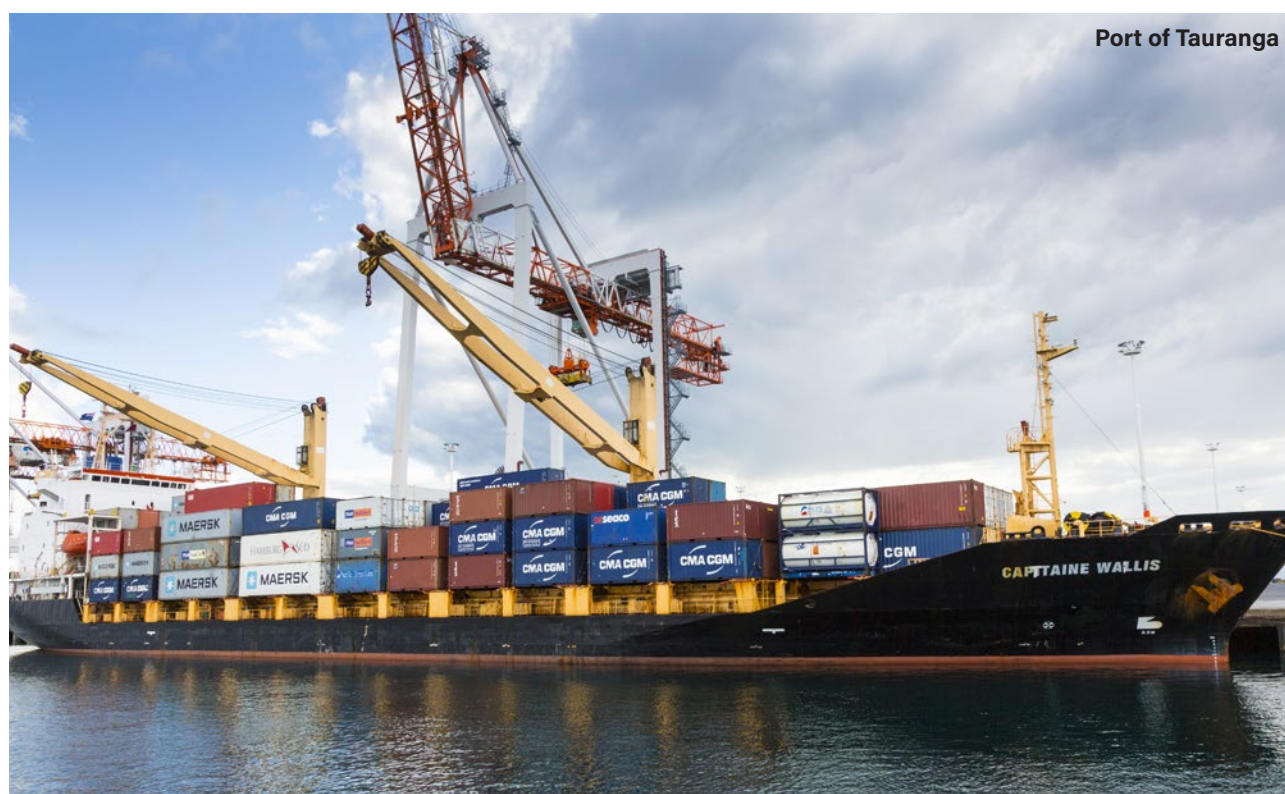
Functions under the Biosecurity Act are split between the Ministry for Primary Industries, other government departments, and regional councils. The Ministry for Primary Industries oversees the implementation of the legislation, undertakes border control, manages national surveillance programmes, carries out responses to incursions and manages national control programmes. Regional councils monitor established pests and prepare regional pest management plans¹¹⁸ and pathway management plans.¹¹⁹ These cannot be inconsistent with regional policy statements and regional plans made under the RMA. Regional councils are also required, under a National Pest Management Plan of Action, to provide leadership by promoting coordination of pest management between regions. A National Policy Direction for Pest Management¹²⁰ was developed in 2015 to improve the alignment and consistency of pest management plans and programmes across the country.

Significantly, the Act also provides the ability to compel private persons to act to address pests on their property and which emanate from their property,¹²¹ which is quite a different stance to a reactive framework like the RMA. Thus while biosecurity is also very much about sustainably

managing our natural and physical resources,¹²² the regime is one that *can* be much more directive (eg for pest incursions). This may be partly explained by the significant implications that pests have for the economy and the livelihoods of primary producers. There are fewer questions of values or trade-offs to be considered than under a framework like the RMA (eg we do not angst over whether we should eradicate possums or try to stop kauri dieback, as we do not receive any real benefit from allowing those things to happen). That said, the regime is still permissive, in that it does not compel authorities to require action. It frequently sees the enormous cost of measures balanced against their benefits, particularly for environmental pests and weeds.¹²³

4.11 Hazardous substances and new organisms

New Zealand has a more targeted framework for the management of hazardous substances and genetically modified organisms, under the Hazardous Substances and New Organisms Act. While there is some tension and overlap between what the RMA and this Act are concerned with, the latter controls some things that the RMA does not (eg the import, manufacture and use of manufactured chemicals that have hazardous properties – not just their release to a receiving environment).¹²⁴ Import or manufacture requires approval, which outlines controls relating to storage, identification, emergency management and disposal. The Act is also the place in which the control, testing and release of genetically modified organisms is regulated.¹²⁵ There is ongoing debate about whether this framework is too restrictive, in light of the potential benefits and risks for the economy and environment.¹²⁶



Port of Tauranga

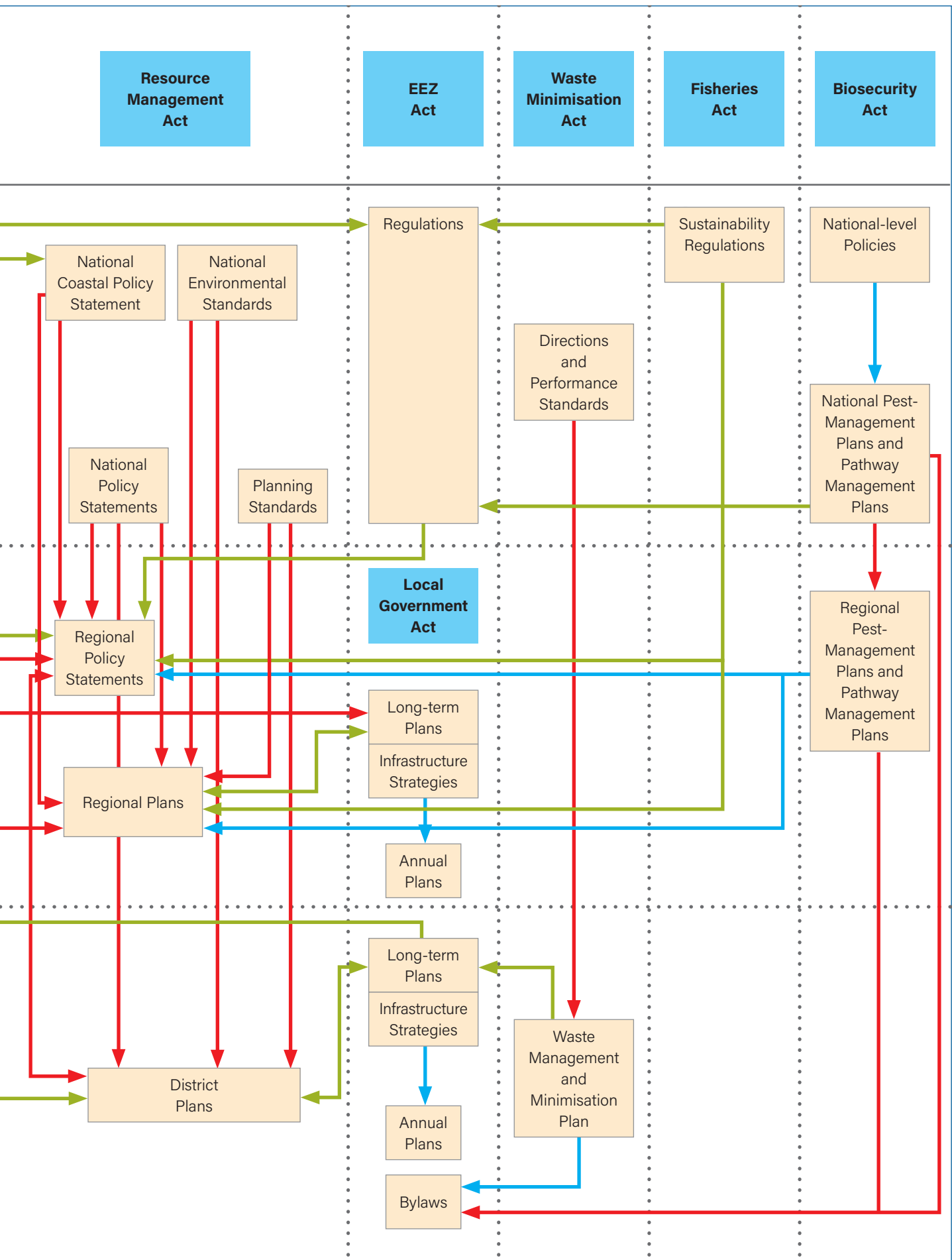
Auckland to Hamilton spatial planning exercise, and Sea Change initiative).¹⁴⁹

In Figure 4.7 below, we provide a highly summarised representation of the core of the current system, although it does not (and cannot) cover all the frameworks described. If we had to sum this up in one word, it would be “complex”. In fact, there is a huge number of other, more detailed aspects of the system that could be added to the above description. To do that would take hundreds, if not thousands, of pages. This overall complexity is an important thing to keep in mind for future changes, in

that no system-wide reform exercise could possibly result in something that is “simple”. Instead, we can strive to make the system no more complex than it needs to be to achieve the outcomes we want.

A feature of the current system is its considerable complexity. We have many separate statutes, planning process and institutions. While there may be scope for rationalisation and simplification, the system will to some extent always be complex, because it manages complex issues.





that may find solutions or contributions in many places (eg facilitating active transport choices through urban design, but equally through other solutions like a sugar tax or a response through the public health system).

Affordable housing is another example of this challenge. Often the blame for housing unaffordability is laid at the door of restrictive planning provisions produced under the RMA (including urban limits and nimby – “not in my backyard” – restrictions on density). That is certainly part of the picture,¹⁷⁷ but is by no means the whole story (other factors have played their part in the problem, and must also play their part in the solution).¹⁷⁸ Furthermore, housing affordability problems partly arising from one tool (eg an urban boundary) can be addressed or mitigated through the use of another tool (eg mandatory provision of smaller dwellings as part of new residential developments).¹⁷⁹ Urban land markets must operate effectively, but only within an envelope of environmental limits.¹⁸⁰

Overall, it might be more reasonable to expect the resource management system not to *solve* problems, but rather to *contribute as much as it can* (within its scope) to addressing them.¹⁸¹ This kind of wider thinking needs to temper our seemingly insatiable appetite for tinkering with statutory frameworks like the RMA in the future,¹⁸² or only blaming regulatory restrictions for poor outcomes. For example, some have suggested joining immigration and spatial planning portfolios to make sure related things are joined up in decision-making.¹⁸³

In some cases, however, the resource management system may be more obviously responsible for providing solutions to problems, either because the system itself has caused a problem or because the only real means of fixing a problem is through the direct management of natural and physical resources. In such cases it is more reasonable to talk about a specifically “resource management” or “environmental” problem (eg the decline in indigenous biodiversity, the poor quality of freshwater, or a failure to engage Māori in RMA processes).

These distinctions are important when it comes to measuring the success of a future system (see Chapter 13). For example, a system that does not make housing “affordable” – or even one that has a some negative impact on affordability (eg an urban limit or density restrictions) – is not necessarily problematic in itself.¹⁸⁴ Restrictions can exist for very good, long-term reasons not necessarily reflected in market forces (eg protecting productive soils for food security).¹⁸⁵ Solutions or contributions may instead be required from elsewhere. However, a resource management system that does not protect a clean freshwater resource for drinking has categorically failed, because there are no other systems that can do so effectively.

Just as it is impossible to speak of distinctly “resource management outcomes”, it is sometimes hard to speak of a “resource management problem” as distinct from other problems. The system is often expected to contribute to solving problems of a much more general nature, which have multiple causes and can only be addressed through multiple systems.

4.16 Future challenges

In the Phase 1 report, we highlighted that the future will be very different to the present.¹⁸⁶ A reformed system will need to pre-empt and address future challenges as much as it will need to fix current problems. In particular, the system will need to contemplate:

- Human population change, and its implications for urban growth, food and water security, and environmental pressures
- Changes in primary production, including impacts on the environment
- Climate change, including its implications for land use change and funding of new and existing infrastructure
- Other forms of environmental change, which may be unpredictable
- Technological change, including its implications for environmental, social and economic disruption
- The need for significant infrastructure development, replacement, relocation, and renewal
- Global political and economic dynamics
- Increasing political and economic expectations of Māori¹⁸⁷

A future system will need to pre-empt and address issues, and pursue opportunities, in a future that will be very different from the present.

4.17 Reform measures underway

Problems with the current system have not simply been ignored by the government. Some targeted reforms have been completed over the years, and now find themselves part of the fabric of the existing system. For some of these (such as the Auckland Unitary Plan), only time will tell whether they have been effective in addressing particular problems (eg housing affordability). Targeted reforms have also caused or exacerbated some problems, notably contributing to complexity and incoherence in the wider system.¹⁸⁸

Other reform measures are still underway and at various stages (see Figure 4.8 below). Wider system reform needs to be sensitive to all of this. For some measures (eg climate change legislation in the form of a Zero Carbon Act), it may be a matter of locating the substance of reforms within a wider narrative of a system review, and clarifying how it would fit in. We want to keep the good things. For others (eg an urban development authority) we consider it may be a matter of amending or reshaping proposals more fundamentally.

One measure that deserves particular emphasis is the government’s recent creation of an independent review panel on fundamental system reform, which has a broad

4.18 Concluding comments

In this chapter we have described the core features of the current resource management system, and considered the nature of problems and future challenges to be addressed. The government is engaged in an active programme of more targeted reforms that, when combined, will have significant implications for the system as a whole. It is important that those measures are aligned within a more comprehensive rethink of a future system, which is now on

the cards following the establishment of an independent review panel.

In the following chapter, we begin a description of a preferred model for change, which can be compared with or contrasted to the current system described in this chapter. Most of the government's existing reform programmes will be incorporated in some way into this model, although – as will become apparent – not always in the form currently envisaged.



- 70 Heritage New Zealand Pouhere Taonga Act 2014, ss 42-64.
- 71 Climate Change Response Act 2002, s 3.
- 72 On the history and challenges of the emissions trading scheme, see C Leining and S Kerr *Lessons learned from the New Zealand emissions trading scheme* (Motu working paper 16-06, 2016).
- 73 See <www.mfe.govt.nz/climate-change/new-zealand-emissions-trading-scheme/reviews-of-nz-ets>
- 74 Climate Change Response (Emissions Trading Reform) Amendment Bill 2019.
- 75 Resource Management Act 1991, ss 70A, 70B, 104E, 104F.
- 76 Resource Management Act 1991, s 7(i).
- 77 See <www.environmentguide.org.nz/issues/climate-change/domestic-law/resource-management-act/>
- 78 Climate Change Response (Zero Carbon) Amendment Act 2019.
- 79 For example, in the production of the NZCPS and in the signing off of regional coastal plans.
- 80 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 150, where we noted that protections for fish (to be able to continue to consume them) are imposed for quite different reasons to the protection of, say, kiwi.
- 81 See R Peart *Voices from the Sea: Managing New Zealand's fisheries* (EDS, 2018).
- 82 Fisheries Act 1996, s 8.
- 83 Resource Management Act 1991, s 30(2).
- 84 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 136.
- 85 *Attorney-General v The Trustees of the Motiti Rohe Moana Trust & Ors* [2019] NZCA 532. The Court also identified five indicators (necessity, type, scope, scale and location) as guidance as to whether any particular control was lawful. See R Peart, A Greenaway and L Taylor "Enabling marine ecosystem-based management: Is New Zealand's legal framework up to the task?" (2020) 23 *New Zealand Journal of Environmental Law* (forthcoming at the time of writing).
- 86 Marine and Coastal Area (Takutai Moana) Act 2011, pt 3.
- 87 Ibid, pt 3.
- 88 Ibid, s 11.
- 89 Ibid, ss 26-28.
- 90 Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012.
- 91 Ibid, pts 3, 3A.
- 92 Partly to implement strong international agreements on dumping under the London Protocol.
- 93 See generally C Iorns Magallanes and G Severinsen "Diving in the deep end: Precaution and seabed mining in New Zealand's exclusive economic zone" (2015) 13 *NZJIL* 201.
- 94 Much was also contained within regulations made under the Maritime Transport Act 1994, in recognising that many environmental risks and human activities have traditionally been associated with ships.
- 95 Crown Minerals Act 1991, s 1A.
- 96 Crown minerals will often exist under private land.
- 97 Crown Minerals Act 1991, pts 1A, 1B.
- 98 See Crown Minerals Amendment Act 2019; <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=12030956>
- 99 Access arrangements include access to conservation land, and relevant decision-making criteria are in the Crown Minerals Act rather than the Conservation Act (unlike all other activities on conservation land). See Crown Minerals Act 1991, s 61.
- 100 We note that "conservation" itself is a fuzzy term, and is often used to denote more active management and stricter protection of species, areas and historic or built features from weaker "sustainability", which also applies to activities that can threaten species, heritage and protected areas. But other "forms" of conservation exist: for example, soil "conservation" is about making sure that soils do not disappear through erosion or degradation, while resource "conservation" more generally is about making sure we do not "waste" natural resources.
- 101 Some are contained within frameworks that are not about conservation in the same sense. For example, there is provision in the Soil Conservation and Rivers Control Act for soil conservation reserves, and the ability to acquire land to address erosion issues.
- 102 Conservation Act 1987, pt 3.
- 103 See <www.doc.govt.nz/about-us/our-role/legislation/national-parks-act/>
- 104 Reserves Act 1977, pt 3.
- 105 Ibid, pt 3.
- 106 Land Act 1948, s 167.
- 107 Wildlife Act 1953, pt 1.
- 108 Ibid, ss 9-14AA.
- 109 "An Act to provide for the protection of native plants" under which the taking of protected plants is restricted.
- 110 See s 3.
- 111 Waitākere Ranges Heritage Area Act 2008; Fiordland (Te Moana o Aotawhenua) Marine Management Act 2005; Hauraki Gulf Marine Park Act 2000.
- 112 The Trust has functions to advise the Minister of Conservation on the protection of open space, to formulate policies, undertake reviews, classify any potential reserves or recreation areas, promote interest in the establishment of other areas and encourage coordination of activities among government departments, local bodies and other persons, and enter covenants to protect land.
- 113 Although ecological concerns are, by law, pre-eminent: for example, see Crown Pastoral Land Act 1988, s 24.
- 114 Ibid, pt 2; <www.beehive.govt.nz/release/government-end-tenure-review>
- 115 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 60.
- 116 Ibid.
- 117 See <www.environmentguide.org.nz>
- 118 Biosecurity Act 1993, ss 68-78.
- 119 Ibid, ss 88-98.
- 120 <www.mpi.govt.nz/dmsdocument/9464-national-policy-direction-for-pest-management-2015>; Biosecurity Act 1993, ss 56-58.
- 121 Biosecurity Act 1993, s 73(5).
- 122 Ibid, s 54.
- 123 For example, the Auckland Council decided against taking measures to control cats in areas containing threatened species vulnerable to cats.
- 124 Hazardous Substances and New Organisms Act 1996, pt 5.
- 125 Ibid, ss 34-45B.
- 126 See, for example, New Zealand National Party *Our environment: Discussion document* (2019) at 23-24.
- 127 As opposed to "wasting" a valuable resource or inefficient use.
- 128 Resource Management Act 1991, pt 3.
- 129 Ibid, s 30.
- 130 Waste Minimisation Act 2008, pt 2.
- 131 Ibid, s 11.
- 132 See <www.mfe.govt.nz/waste/single-use-plastic-shopping-bags-banned-new-zealand>
- 133 See <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=12270651>
- 134 Waste Minimisation Act 2008, pt 3; <www.mfe.govt.nz/more/funding/waste-minimisation-fund/about-waste-minimisation-fund>
- 135 Waste Minimisation Act 2008, pt 7.
- 136 Litter Act 1979, ss 5-8, 9-12.
- 137 Forests Act 1949, pt 3A.
- 138 Ibid, pt 3B.
- 139 See Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010.
- 140 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 189.
- 141 Environmental Reporting Act 2015, pt 2.
- 142 For example, see Resource Management Act 1991, s 42C.
- 143 Conservation Act 1987, s 5; RMA, pt 11.
- 144 Environment Act 1986, long title.
- 145 Ibid, s 16.
- 146 Energy Efficiency and Conservation Act 2000.
- 147 Ibid, s 8.
- 148 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 256.
- 149 See ibid, at 187.
- 150 See ibid, ch 3.
- 151 Ibid, from 38; Waitangi Tribunal *Wai 1040 Claim; Ko Aotearoa Tenei* (Wai 262 Waitangi Tribunal Report, 2011); Waitangi Tribunal *The stage 2 report on the national freshwater and geothermal resources claims* (Wai 2358 report, 2019).
- 152 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 38.
- 153 See ibid, ch 3.3.
- 154 For example, air quality and some aspects of freshwater – see ibid at 41.
- 155 MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015); MA Brown and others *Evaluating the environmental outcomes of the RMA* (EDS, 2016).
- 156 Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 157 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 158 Ibid.
- 159 See Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 12, citing Ministry for the Environment and Stats NZ *Our Land* (2018).
- 160 See MA Brown *Last line of defence: Compliance, monitoring and enforcement of New Zealand's environmental law* (EDS, 2017); MA Brown *Independent analysis*

5. THE FUTURE OF THE RMA: LEGISLATIVE DESIGN AND PART 2

5.1 Introduction

In the chapters that follow, we explore the statutory frameworks that we see forming the core of a future system. It makes sense to start with the RMA. This Act sits at the heart of New Zealand's current resource management system, and arose from a complex and shifting set of political and social priorities in the late 1980s.¹ The Act's main point is to protect the environment from human activities (although it is, of course, not the only framework that does this, and some may disagree).² It seeks a balance between a range of outcomes, which are enshrined within a carefully defined purpose statement of sustainable management. There have been complaints that it is primarily a regulatory, reactive, and effects-based framework, as opposed to being strategic, proactive and outcome-focused.³ In other words, to some, it lets things happen if they're not too bad, but it doesn't make things better. In fact, it has clearly allowed many things to get *worse*.

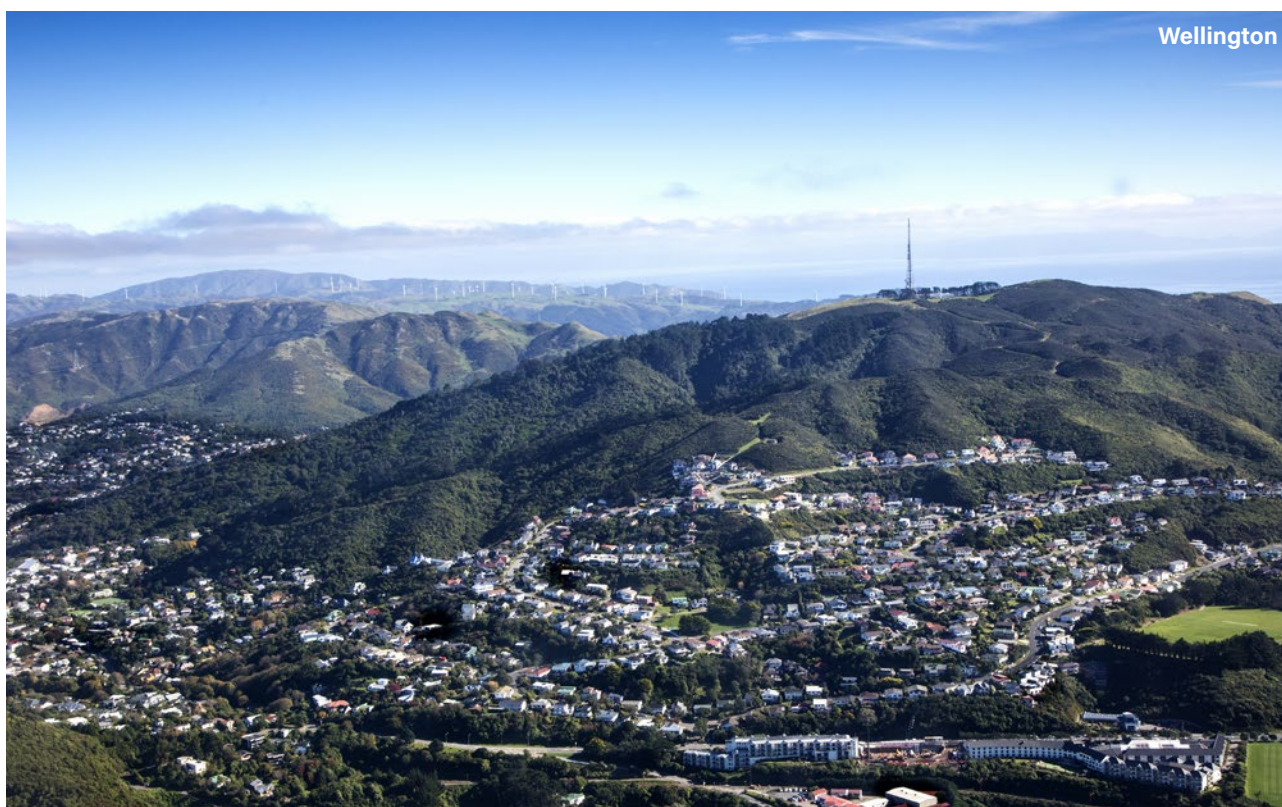
There are considerable strengths in the RMA. The Act is not primarily about regulating specific sectors or spaces,⁴ and (at least in theory) it provides restrictions based on the effects that activities have rather than on arbitrary distinctions between activities themselves or between private and public activities.⁵ It is also integrative, in that it brings together a wide range of "environmental" domains into one decision-making framework. Its purpose and principles (in Part 2 of the Act) are important, but its actual application – what it does – is constrained by the

activities that are restricted (in Part 3). These relate to land use, subdivision, noise, discharges, and the use of various "resources" like water and coastal space. In other words, the RMA does a lot, but it does not do as much as its purpose might suggest.⁶

The RMA and its integrative approach was revolutionary when it was enacted in 1991. By international standards it remains innovative. And yet it has been the subject of many complaints, and almost constant amendment, since it was enacted. It is now reasonably clear that it lacks coherence and that it has become overly complex, as well as failing to do what it was meant to do: protect the environment.⁷

So is the RMA, as it stands, an appropriate framework to have at the core of a future system? Or is it time for a fundamental overhaul?

That is not an easy question to answer. Many complaints about the RMA are legitimate (eg interminable delays in planning, a failure to respect environmental limits, and a lack of enforcement).⁸ But that itself is not a good reason to throw the entire Act in the bin and start again. Other reasons for overhauling the Act – including that land use planning and associated infrastructure provision need to be more closely linked in a radically different "Planning Act", especially to manage urban growth – have a stronger conceptual basis and need to be closely considered. At the other extreme, some talk about the need simply to implement the Act better rather than fundamentally change it.



for most of its history proved so damaging under an integrated RMA,²³ where the temptation is always to make trade-offs between protection and use. It could also enable decisions that do not involve consideration of the natural environment to be subject to a less detailed and expensive assessment process (eg a subdivision consent where the only potential effects relate to traffic safety and capacity).

The idea is that an Environment Act would outline a biophysical envelope within which development can occur, and planning legislation then facilitates (and, indeed, encourages) quality and timely development within it. Conceptually, it would not be too different to the context of minerals: mining is subject to the RMA, but is explicitly encouraged in separate legislation within the parameters of RMA restrictions.²⁴ A planning/environment split could cause some additional complexity (inter-statutory links would still need to be made), but it could arguably produce better environmental and development outcomes.

Powerful arguments have been made for splitting the RMA into separate statutes related to environmental protection and planning, and for infrastructure planning and funding legislation to be merged into a new Planning Act.

So is this the way forward? The question certainly requires close attention. In particular, the mechanics of separating “environment” and “planning” need to be picked apart. How would it work? For the reasons outlined below, on balance we think that a single, integrated statute like the RMA should remain at the heart of a future system. However, we want to be very clear about one thing: this does not mean another round of tinkering with the Act. Meaningful, systemic change to the RMA (and other frameworks) will be needed, and change will need to be reasonably durable.²⁵ The concerns that have led to proposals for a separate Planning Act – notably urban ones – are legitimate and need urgent attention through other reforms, particularly those related to spatial planning.

5.3 What do we mean by integrated management?

Sometimes, the question of splitting the RMA is presented as a dichotomous tension between “integration” and “fragmentation”. Implicit in this is the idea that fragmentation is bad and to be resisted, and integrated management is a good thing to be retained. But the crucial question is more nuanced and finely weighted: *what* should we integrate? And *what* should we fragment? After all, we already split up many things (see the vast range of statutes in the current system presented in the Phase 1 report).²⁶ Some of this is for good reasons; targeted frameworks, with focused purposes and separate institutions, can be very valuable.²⁷

In particular, the idea behind a Planning Act is that, despite much rhetoric around the RMA’s integrated management,²⁸ the current system is actually quite fragmented in one important way. Laws relating to the

planning of how land is used (or not) are found in a completely different framework (the RMA), and operate under different processes and principles, to laws relating to planning and funding the infrastructure needed to make changes in land use actually happen (largely the Local Government Act and Land Transport Management Act). There is no point rezoning land from, for example, farmland to residential purposes if there is no plan (or money) for roads to get people there, or for water to come out of taps. Similarly, roads and pipes are useless if a plan doesn’t allow for houses to be built on the land.²⁹ There is also a question of timing here – outcomes under one planning process should not wait too long for outcomes under the other.

If we were to put those things – land use and infrastructure – in one statute, managing rapid land use change (particularly urban greenfield growth where a lot of new infrastructure is required) could become more timely and effective. There would be one process by which it all happened. The important political and social context to note here, of course, is the idea that timely development of residential land will lead to greater supply, and therefore affordability, of housing. Housing affordability is an issue that is both socially urgent and politically pressing,³⁰ and this has lent credence to the idea of an integrated framework for urban development that could deliver on it.³¹

It is neither feasible nor desirable to have a single, “mega statute” that does everything. Targeted frameworks are important. And yet integrating the system in one way can cause fragmentation in another. In the current system, land use planning under the RMA happens in a separate framework to the planning and funding of infrastructure often needed to make land use change actually happen (especially in and around cities). These things *could* be integrated into a Planning Act.

In the notion of a planning/environment split, it is usually clear what changes in *outcomes* are being sought (eg recognising the benefits of integrated urban growth and timely development, or reducing inefficiency and confusion). But less clear is what, respectively, the different acts would actually do to achieve those outcomes.

The implication, at least, is that “planning” is about the spatial aspects of how we use land (notably restrictions under sections 9 and 10 of the RMA – land use and subdivision restrictions)³² and that the “environment” is about protecting or enhancing common pool resources like water, soil and air (essentially, most of the other human actions restricted under the RMA).³³ The crucial question, in our minds, is where the *stronger* (intra-statutory)³⁴ connections are needed. Do we loosen the connections between land use and “environment” to achieve stronger connections between land use and infrastructure? As we noted in the Phase 1 report:³⁵

The strength of connection needed ... between land and other domains under the RMA may mean that legislative separation between the RMA [and

view that the RMA does not do enough to recognise the benefits of using resources and good urban design, or to clarify the relationship between use and protection.⁴⁶ It needs to do both of those things – as long as there are clearer bottom lines. There could, therefore, be new principles inserted into the RMA relating to the “urban” space (just as there is already for the “coastal” space)⁴⁷ or broader recognition of the value of urban design or the use of land than there is currently. We discuss this further below in the context of a new Part 2 for the Act.

The implication of an entirely separate *statute* for land use is that its principles would be quite different from those applying to other domains. By comparison, we might consider the coastal environment, which also looks very different. Yet we do not consider it necessary to put that into a different statute. So does land use (urban, built, or otherwise) warrant a fundamentally different set of decision-making principles? We urge caution here. Historically, we may have thought of town and country planning as being quite a different thing to environmental protection. The former was primarily about sanitary conditions and health concerns, and subsequently about managing people’s interactions with each other when living in close proximity.⁴⁸ The latter was about stopping point source pollution and protecting specific areas or species from harm (more akin to our conception of nature “conservation” or the “commons”). However, in our view, thinking has moved on.

We are painfully aware in 2019 that how we use land has significant implications for the wider environment; they are not separate things. Urban development and expansion can result in the discharge of construction sediment and other contaminants to rivers and the sea. It also has more systemic implications over the long term for biodiversity (many of New Zealand’s most threatened land environments are found within or close to urban centres),⁴⁹ the climate, and food production. If done right, it can also be positive (eg by recognising the value of and providing for urban biodiversity corridors). It is particularly difficult to reverse urban sprawl once it occurs – we are giving up many alternative land use choices (eg food production) when we concrete over soils, and locking in transport modes in our choice of urban form.

Rural land uses (eg dairy or forestry conversions) have similar implications. Our land use choices can lock in environmental risks for decades to come. For example, it can take many years for agricultural nutrients to find their way into water bodies, and afforesting steep land can create an expectation for clear fell harvest decades into the future.⁵⁰ Of course, equally robust or even identical environmental principles could be built into a Planning Act dealing only with land use. But then, what would be the point of splitting up the RMA in the first place?⁵¹

There are also important cross-cutting concepts like landscape, ecosystem-based management, and catchment scale management that require a tightly integrated regime between land use choices and their consequences for other domains. How would these concepts be meaningfully provided for if land use planning

were to be located under a different regime? It is by no means obvious what kinds of things should be in one act or another, and how they should relate.⁵² Splitting the RMA in this way could therefore cause considerable confusion and overlap, and risk extensive litigation to define boundaries and jurisdictions. To us, this suggests the need for a single act concerned with land, water, air and so forth. How land is used – and not just the health of the soil under it – is a crucial part of the environment, and strong connections need to be made between all aspects of the biosphere. Often, how we manage land is crucial to a precautionary and preventative approach to environmental management more broadly.

There are four potential reasons we might want to split the RMA into statutes focused on planning and environment: (1) to better coordinate decision-making on land use and infrastructure; (2) because the kind of tools required for land use and other environmental domains would be fundamentally different; (3) to provide a more agile planning process for land use decision-making; and (4) to make decisions on land use under a separate purpose or principles. We find the latter three unconvincing. Greater coordination between land use and infrastructure planning and funding is needed, and can occur in other ways – including a layer of strategic spatial planning (discussed in Chapter 8).

An integrated statute like the RMA – combining decision-making on land use and other aspects of the environment like water, soil and air – should remain at the heart of a future system.



Act.⁶¹ If the RMA is to remain, it is a logical place to start when thinking about reform.

Over the years, there have been many attempts to change Part 2. Some (such as a focus on natural hazards) have succeeded politically, while others have failed.⁶² The purpose of the Act in section 5 has proved remarkably stable (although some might say that is because it can mean anything to anyone). More attention has tended to focus on what needs to change in sections 6 and 7 of the Act, which is where most environmental bottom lines, and other normatively meaningful statements, are contained.

Part 2 is important because it has a very active and direct role to play in specific, legally binding decisions. While it is not an “operative” provision,⁶³ very few other statutes have a purpose or principles section with the direct legal influence of Part 2,⁶⁴ or a framework whereby public decisions are legally scrutinised with such care against these provisions (often by a specialised court).⁶⁵ Part 2 will be an important touchstone – and often an ultimate legal test – for decision-making.

With respect to bottom lines, we think that the range of “topics” or “domains” contained in Part 2 (notably sections 6 and 7) is *generally* appropriate. The lists, containing things like public access, historic heritage, ancestral lands, and indigenous vegetation, are certainly hard to argue with at a conceptual level. In many ways (with some glaring exceptions like climate change), the Act’s framing of the things we value remains as relevant today as it was in 1991.

This is an understandable motivation behind some commentators’ desire to retain Part 2 itself and focus instead on better implementation through process and institutional change.⁶⁶ We agree that many of the matters in Part 2 provide a good starting point for thinking about what a future system needs to treat as sacrosanct.⁶⁷ Where there is desirable case law to be retained, a future Part 2 should piggyback on the kinds of language that underpinned those decisions.

However, on balance, we see merit in reworking Part 2 more thoroughly. This is for a number of reasons.

1. There needs to be a clearer distinction between the kinds of outcomes that are true environmental bottom lines (eg freshwater quality, biodiversity) and aspects that are more inherently about trade-offs where there is a need to balance many interests (eg urban amenity, the efficient use of resources). Part 2 is not just a policy framework within which many value-based judgments are to be resolved⁶⁸ – some values need to be preeminent as a matter of law.⁶⁹ And where values are not preeminent, there needs to be clearer guidance about what that means for trade-offs.⁷⁰

In practice, the stronger and more active direction in section 6 of the Act, which largely contains key biophysical protections rather than matters that are likely to come into tension, have been treated as resembling bottom lines.⁷¹ Those things need to be “recognised and provided for”. In contrast, section 7

contains a more diverse (yet still clearly incomplete) range of matters, some of which are biophysically focused and others that are not.⁷² These things need to be had “particular regard” to. Yet there is significant room for interpretation, and it is still by no means clear that there are coherent reasons for some things to be “elevated” to section 6 and other things to be “demoted” to section 7.

Overall, Part 2 could be said to lack a clear and coherent vision.⁷³ It would therefore, in our view, be useful to introduce and specifically define a term like “bottom line” in terms of a series of inflexible outcomes to be achieved, rather than relying on wording that still requires legal weighting to be considered.⁷⁴ In a proposed redraft of Part 2 below, this is encapsulated in a new concept of “natural heritage”.

2. There is a need for a clearer statement in Part 2 concerning the *relationship* between clearly defined bottom line outcomes and trade-offs. The former needs to be more explicitly insulated from the latter than at present (eg by replacing the term “while” in section 5 with the term “subject to”). As explored in the spotlight below, the *King Salmon* jurisprudence took positive measures, but has still not really addressed the crux of this issue. In our redraft of Part 2 below, we are much more explicit about this relationship.
3. There are problems with how several so called “bottom lines” (notably in the current section 6) are expressed. In particular, using words like “inappropriate” and “significant” to qualify protective provisions are vague and can create perverse or unclear outcomes that often rely on private litigants to clarify.⁷⁵ Below, we shine a spotlight on the importance of preventing the further decline of common species and habitats, not just those that are “significant” or “threatened”.



There are several other reasons why we consider a rethink of Part 2 is necessary:

1. The existing provisions are a fairly scattergun approach to particular topics,⁸⁵ and incomplete in their coverage. Climate change mitigation is a good example of something that is almost completely missing in action, but there are also questions around why, for example, the protection of the habitat of game fish species should be singled out over aquatic habitat more broadly, or non-significant habitats of indigenous fish.⁸⁶ (It may, however, be that this deserves specific mention as a “canary in the coalmine” – an early indicator of underlying environmental issues). More significantly, freshwater quality is not explicitly included as a matter of national importance.⁸⁷ Soil conservation is singled out in the broad purpose of the Act in section 5 but, strangely, not in the more directive sections 6 or 7.

2. There is a need for Part 2 to more strongly recognise the need for environmental enhancement and restoration. The Act is not just about setting bottom lines and then seeing what people choose to do. Having “particular regard” to the maintenance and enhancement of the environment is no longer good enough, especially since it is not directed at any particular outcome (What are we restoring? To what end? By when?).⁸⁸ It is clear that restoration is now a matter of national importance in order to achieve bottom lines that have been infringed.

Furthermore, we can question whether the “passive” language in sections 6 and 7 is good enough. “Recognising and providing for” is a strong direction, but the descriptions of the things being recognised and provided for (“preservation” or “protection” of various matters) envisages a world in which we are stopping further decline rather than recognising we have already overshot in many areas. The environment is on the defensive. The general direction to “avoid, remedy and mitigate”, enshrined in the overarching purpose in section 5 that spans all domains – especially “mitigate” – is a tacit invitation to make things worse, not better.⁸⁹

3. More broadly, there is a need for the Act’s purpose and principles to be more outcomes-focused than effects-focused.⁹⁰ They need to upgrade from the reactive concept of management, to one embracing the need for active and conscious change – both to achieve bottom lines that have been infringed and to pursue positive social and environmental outcomes beyond them (including resilience in the face of climate change and other aspects of environmental and social change).⁹¹ There should be no bias towards the status quo.⁹²

Currently, the protective matters in section 5 – the lodestar of the Act – set a fairly low bar for what the Act is trying to achieve (“... to meet the reasonably foreseeable *needs* of future generations”; “safeguarding the *life-supporting* capacity of air,

water, soil, and ecosystems”). We suggest that we require more ambitious targets or objectives to be embedded into the fabric of the Act, and proactive measures to achieve them.⁹³ In the Phase 1 report, we mentioned the more proactive approach of the Welsh Wellbeing of Future Generations Act 2015, which sets out seven wellbeing goals for the future (including, for example, by defining a “resilient Wales”).⁹⁴ More recently, we can look at the example of the United Kingdom’s Environment Bill, which requires specific targets to be set and met within defined timeframes.⁹⁵ That stands in contrast to the RMA, which has been described as not “providing direction on desired environmental and development outcomes” and therefore a framework where “a long-term perspective [is] under-emphasised”.⁹⁶

4. Firmly subject to the need to defend bottom lines, there is a need to give greater recognition to the benefits of using resources (including the way in which land is used in, for example, urban planning). The government has proposed an NPS on Urban Development, which would engage more closely in matters of urban planning (eg by defining and pursuing the concept of a “quality urban environment”) but it is hard for such measures to find a hook in the Act’s purpose and principles.⁹⁷ We think that the RMA is about much more than just imposing minimum environmental standards and then walking away to let the market work its magic. It is also about planning resource use in a way that improves overall wellbeing, and facilitating trade-offs and resolving tensions between competing values.⁹⁸ Urban land use planning is an integral part of that.

More broadly, social and economic factors are increasingly relevant in how we manage resources as a country, despite some historical resistance to engaging with them in Part 2.⁹⁹ For example, it is far from ideal that we now have national direction being promulgated on the protection of highly productive (food producing) land, largely on the Part 2 “hooks” of using resources efficiently or considering their “finite characteristics”.¹⁰⁰ Where is the reference in the RMA to the true issues and outcomes we are seeking – food security for future generations, social resilience, and the land uses (or controls on them) that will have the most benefit for society in a future besieged by uncertainty and risk?

Alongside food security, we can consider forestry in this context.¹⁰¹ Given the increasing risks of massive forest loss as a result of climate change and biosecurity risks, should we be considering the role that national direction under the RMA might play in building the resilience of future forests, not just regulating their adverse effects? This might see the inclusion of rules concerning firebreaks, the management of slash and residue to reduce fire risk, the tighter regulation of clonal forestry (monoculture heightens biosecurity concerns), active species diversification, and climate-resilient management

for particular sectors or activities (like ports or aquaculture).¹¹⁵ But outside of the coastal environment, the policy landscape is much more varied, and there are fewer comparable bottom lines to give effect to (especially in national direction).

There are other risks here, too. As the government becomes more active in producing national direction, not all of it is about setting environmental bottom lines. A concerning trend is, essentially, for the RMA to be used to impose “top lines” or “social and economic ceilings” in the interests of wider policy agendas, even where corresponding national level environmental bottom lines are not in place.¹¹⁶ This highlights something of an identity crisis about what the RMA is really for, which has been at least latent since its inception.¹¹⁷ For example, the latest discussion document on a proposal for a new NPS on Urban Development specifically talks about bottom lines as *minimum* levels of development.¹¹⁸ A similar trend can be seen in the NES for Plantation Forestry, where in the interests of inter-jurisdictional consistency there are limits on the environmental restrictions councils can impose, despite Part 2.¹¹⁹

This is not to say that those measures are inherently undesirable. Densification in cities is, indeed, important to support environmental outcomes. It is simply to point out that there are risks that the key contribution of *King Salmon* – the primacy of firm and directive policies, especially in national direction – can swing both ways depending on what those policies actually say. The jurisprudence sounds protective, but is not necessarily so. To us, this suggests a need to focus on improving Part 2 itself, to ensure both that national direction is appropriate and that any balancing that continues to be necessary has constraints based on clear bottom line outcomes in legislation.

A spotlight on urban issues in Part 2 of the RMA

The RMA is not just about imposing environmental bottom lines, despite how some have perceived it. The reality is that, even above firm bottom lines, many trade-offs need to occur. Planning is also about actively pursuing people’s and communities’ wellbeing. This is particularly the case in urban settings, where there are more people doing more things close together; these activities can be coordinated in ways that both minimise their bad effects and enhance people’s lives (sometimes described as agglomeration benefits). In other words, “Good planning practice goes well beyond the avoidance, remediation and mitigation of adverse effects on the environment; it is about maximising good social, economic and cultural outcomes in their own right.”¹²⁰ For example, while urban density is not appropriate everywhere, it can have significant benefits for both the natural environment and other indicators of urban wellbeing.¹²¹

Some have complained that this kind of thinking is not well reflected in Part 2 of the RMA.¹²² In the Phase 1 work, we pointed out that:¹²³

To some, the RMA is little more than a “regulatory” statute (one that addresses “bads”). For example, [Part 2] contains scant references to social, economic and cultural wellbeing or the benefits of urban development and design. It is reactive. Some have even said that “the concept of sustainable management has failed to provide a philosophical foundation for planning under the RMA”.¹²⁴

... we have sympathy for those who complain that the RMA is not a particularly proactive or inspirational framework for planning our cities. A future system needs to be more explicit and specific about what many of its users already practice.

If an Act like the RMA is going to be used to actively pursue social, economic and cultural wellbeing in cities in a proactive way, we suggest that its purpose and principles should be amended to reflect this.¹²⁵ It is anomalous that we are now seeing national direction on urban matters (eg “quality urban environments”) being developed under an Act with a purpose and principles that have very little to say about them, aside from the need to address adverse effects and to consider amenity and the efficient use and finite characteristics of land.¹²⁶

Previous suggestions to include the value of resource use alongside protective matters in Part 2 (in a non-hierarchical way) were, quite rightly, met with strong resistance and ultimately failure (notably in the wake of the recommendations of the Minister’s Technical Advisory Group on the purpose and principles of the RMA).¹²⁷ This is because such proposals were intended to conflate environmental bottom lines with the making of trade-offs, and essentially codify the “overall broad judgement” approach that was, at the time, the legally correct approach.¹²⁸ It was not the right one.

What we are suggesting here is very different. Bottom line outcomes would be defined and firmly protected. Only above them would there be the ability to consider the benefits of development. We do not think that this would be environmentally unfriendly. In fact, we envisage that many of the development-focused matters to consider would strongly integrate environmental outcomes, in order to embrace the many synergies that exist (eg in the densification and greening of urban areas, the energy efficiency and climate change benefits of compact urban form etc).¹²⁹ As we have mentioned previously, “We need no longer accept that a project that enhances economic [indicators of] wellbeing must come at an environmental cost.”¹³⁰ Nor, we might add, should opportunities be passed over for *improving* the environment.¹³¹ At present, the lack of guidance in the RMA means there is a risk that development is seen as constantly in conflict with the environment, and as constrained by protections and red tape. The system needs to move towards a model where, through careful planning, the benefits of both can occur at the same time.¹³² Part 2 needs to reflect that better.¹³³

a lot of other things have changed in the RMA. To some that may be good; to others it may be bad. Some have expressed unease about “giving up” jurisprudence like *King Salmon*.

However, we are not convinced that a desire to retain case law on Part 2, or to retain the stability of the current system, should be overriding factors in reform if changes are both politically realistic and would drive better outcomes.¹³⁵ There are certainly risks to be aware of, and many questions of detailed drafting to be worked through to avoid unintentional consequences.¹³⁶ But the reality is that significant changes in outcomes are clearly needed, and Part 2 is uniquely placed to be one driver for that change.¹³⁷ Fundamental reform means questioning or strengthening the norms that arose in a time very different from the present and no longer reflect society or the current biophysical context.

Even if Part 2 is not to *blame* for our problems (some suggest focusing instead on poor implementation and process),¹³⁸ changes to it can still make a meaningful contribution to solutions. In short, disruption is part of the point. Within that, we must be careful to embed, and build on, positive aspects of case law. In particular, *King Salmon* provides a good foundation for change, but (as explored earlier) can be taken further.

In workshops, we also heard a quite different perspective. Some said that rethinking Part 2 of the RMA is a red herring. It was put forward that meaningful change will not happen by agonising over the specific words used in a general statement of purpose and principles. That is particularly the case with section 5, in that sustainable management is arguably only a buzzword, “pushing and pulling the boundaries of true primary norms”.¹³⁹ We would by no means go that far – the ink that has been spilled in court defining almost every word in it, and cross-referencing to it in the Act,¹⁴⁰ reinforces a view that it is significant. So too does a new provision specifically stating that plans must include only matters relevant to the purpose of the Act.¹⁴¹ But we do take the point that, in isolation, changes to the Act’s purpose and principles will not be *enough*. We explore institutional and procedural changes to the RMA below, but also recognise that a lot comes down to more fundamental social and economic incentives that people face in society and the economy.¹⁴²

The extent to which reform of Part 2 is needed may therefore depend on how much we expect these provisions to do. On the one hand, have we come to expect too much from a list of general principles? Are decision-makers drawn reluctantly back to the generalities in Part 2 because they cannot always trust the coherence, robustness or completeness of subordinate instruments made under the Act? In other words, would the importance of Part 2 diminish if we got higher level instruments right in the first place?¹⁴³ On the other hand, don’t we *need* a reasonable degree of legal precision and clarity in Part 2 if it is to form the basis of even high level decision-making in a space that will always contain fiercely contested values and discretionary decision-making?¹⁴⁴

We suggest the answer is somewhere in between. A strengthened Part 2 will remain extremely important as the top of a cascade of decision-making criteria in a reformed RMA, and will set a crucial normative tone for what people do under the Act. It is well worth the reform effort. But we should also not expect to find all the answers there, or rely on it too much. It is a starting point, not something that needs to provide for every eventuality.

We therefore remain unrepentant about suggesting the inclusion in Part 2 of fairly subjective concepts relating to fairness or justice.¹⁴⁵ After all, concepts like “justice” pervade our legal discourse and have done for centuries, without a single definition; yet they are still vital to our legal system. Indeed, an entire field of law has developed (albeit in other contexts) around “equity”,¹⁴⁶ and inter-generational equity already appears in the RMA.¹⁴⁷ There are even proposals for national direction that include novel and subjective terms like “quality urban environments”.¹⁴⁸ The reality is that ideas like fairness will always come up in resource management decision-making (especially for allocative questions, the distribution of adverse effects, and transitional measures). Recognising this in legislation at least provides a hook or anchor for such questions to be explored, even if concepts cannot be defined exhaustively.¹⁴⁹

On balance, we consider that the need to drive change through a revised Part 2 outweighs pragmatic concerns (eg changes to case law). The purpose and principles of the Act would continue to be legally meaningful, and would therefore be well placed to drive change when accompanied by further reforms to processes, subordinate instruments, and institutions.



A spotlight on a revised Part 2 of the RMA

The deficiencies in the existing Part 2 of the RMA, pointed out above, could be addressed by replacing the existing sections 5–8 of the Act with the following sections 5 to 8A. Close consideration should be given to amending sections 30 and 31 of the Act (functions of regional councils and territorial authorities) to reflect a revised Part 2.¹⁵³

Purpose

- (5) The purpose of this Act is to ensure that the environment¹⁵⁴ of Aotearoa New Zealand is sustainably and fairly managed¹⁵⁵ by:
- (a) recognising that use and development must occur within environmental limits, because environmental limits sustain the natural environment and the survival and wellbeing of current and future generations;
 - (b) in accordance with (a):
 - (i) protecting, as a matter of national importance, Aotearoa New Zealand's natural heritage;
 - (ii) protecting, as a matter of national importance, the essential social wellbeing of current and future generations;
 - (iii) mitigating significant risks from, and fostering resilience to, natural hazards including climate change;
 - (iv) subject to the achievement of (i)–(iii), enabling people and communities to provide for their economic wellbeing and resilience, and other aspects of their social wellbeing;
 - (c) giving effect to the principles of the Treaty of Waitangi; and
 - (d) recognising that access to information, public participation and access to justice are key pillars of sound environmental governance.¹⁵⁶

Natural heritage

- (6) Protecting natural heritage means ensuring that use and development do not compromise:¹⁵⁷
- (a) Aotearoa New Zealand's contribution to mitigating global climate change in accordance with its international obligations or under relevant legislation;
 - (b) maintenance of indigenous biological diversity, the resilience, life-supporting capacity and intrinsic value of ecosystems, and the enhancement of indigenous ecosystems and threatened species where they have been degraded or depleted by human activities;
 - (c) maintenance of the condition and extent of areas of significant indigenous vegetation and significant habitat of indigenous fauna;
 - (d) maintenance of the quality, quantity and flow variability of freshwater in accordance with Te Mana o Te Wai, and the quality of coastal water; and their enhancement where they are degraded such that ecosystem health or human health are not safeguarded;
 - (e) maintenance of air quality; and its enhancement where it is degraded such that ecosystem health or human health are not safeguarded;
 - (f) maintenance of soil health; and its enhancement where it is degraded such that ecosystem health or human health are not safeguarded;
 - (g) protection of attributes of outstanding natural landscapes¹⁵⁸ and outstanding natural features that contribute to their outstandingness; and
 - (h) protection of attributes that contribute to the natural character of the coastal environment, wetlands, lakes, rivers and their margins.¹⁵⁹

Essential social wellbeing

- (7) Protecting essential social wellbeing means:
- (a) ensuring that use and development do not compromise:
 - (i) Aotearoa New Zealand's contribution to mitigating global climate change in accordance with its international obligations or under relevant legislation;
 - (ii) the food and water security of current and future generations;
 - (iii) people and communities' understanding of, connection to, and enjoyment of nature, including through public access to green spaces in urban environments, and to and along the coastal environment and water bodies;
 - (iv) the protection of historic heritage.
 - (b) ensuring that the benefits and costs of using and developing natural and physical resources are fairly and efficiently shared between people and communities now and in the future;
 - (c) promoting use and development that minimises waste, consistent with a circular economy and society.¹⁶⁰

ENDNOTES

- 1 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), from 38. See also G Palmer "The Resource Management Act – how we got it and what changes are being made to it" (2014) RM Theory & Practice 22; C Knight *Beyond Manapouri: 50 years of environmental politics in New Zealand* (Canterbury University Press, 2018).
- 2 Some may argue that the Act is much wider than just an environmentally protective one. For example, the definition of "environment" is much wider than biophysical concerns, and includes communities.
- 3 See New Zealand Productivity Commission *Better urban planning* (2017) at 97; Parliamentary Commissioner for the Environment *Managing change in paradise: Sustainable development in peri-urban areas* (2001); B Rae "Urban design and reform of the RMA" (April 2009) Resource Management Journal 16; New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015).
- 4 Although subordinate instruments can and do take a more focused approach (eg for forestry or urban areas).
- 5 Although those can be targeted within subordinate instruments (eg forestry, urban areas) and some sectors like aquaculture and renewable electricity generators are, rather unusually, singled out in the Act itself.
- 6 For example, the following are (at least currently) beyond its mechanics and require measures to be taken elsewhere: waste minimisation, the internal design of buildings, restrictions on greenhouse gas emissions, fisheries stock management, export restrictions on native timber etc.
- 7 G Palmer "The Resource Management Act – how we got it and what changes are being made to it" (2014) RM Theory & Practice 22; S Elias *Righting environmental justice* (address to the Resource Management Law Association, 25 July 2013) at 2.
- 8 See MA Brown *Last line of defence: Compliance, monitoring and enforcement of New Zealand's environmental law* (2017); MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018); M Brown *Independent analysis of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector* (The Catalyst Group, 2018).
- 9 For example, climate change mitigation is a significant gap, as is the absence of meaningful principles to guide allocative decision-making. Significant tensions exist between efficient and timely outcomes and public participation, between urban development and the protection of productive soils, and more generally between enabling economic wellbeing and protecting the natural environment.
- 10 In short, these principles can be described as: coherence, certainty, accessibility, integration, durability, being tailored to New Zealand circumstances, and efficiency.
- 11 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.
- 12 See Parliamentary Commissioner for the Environment *Submission to the Minister for the Environment on improving our resource management system* (Discussion document, 2013) at 9; G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 145.
- 13 See Chapter 9.
- 14 On potential distinctions between "urban" or "built" and "natural" environments, see New Zealand Productivity Commission *Better urban planning* (2017); New Zealand Government *Urban development authorities* (Discussion document, 2017); *Report of the Minister for the Environment's Urban Technical Advisory Group* (2010); New Zealand National Party "New urban planning law for cities" (Press release, 4 September 2017).
- 15 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 5; Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019). See also Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 41. Also see generally A McLeod "From scratch" (2012) 185 Planning Quarterly 10.
- 16 For example, heritage legislation.
- 17 It could also establish and provide for the wider functions of institutions, including local government.
- 18 A focus on regional planning is because such proposals are sometimes accompanied by regional amalgamation of councils themselves. However, that is not a pre-requisite to legislative separation.
- 19 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 282-283 (Figure 14.4).
- 20 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 34.
- 21 Ibid.
- 22 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 59.
- 23 As explained later in this chapter, this continues to be an issue, despite the *King Salmon* jurisprudence.
- 24 Obtaining a mining permit does not remove the need to obtain resource consent under the RMA.
- 25 On the risks of constant tinkering, see S Berry and H Andrews "The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015" (September 2016) Resource Management Journal 1; G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 Wai L Rev.
- 26 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 132.
- 27 Ibid at 141, 144, 169.
- 28 Very accurate when compared with the fragmented approach to environmental legislation prior to its enactment.
- 29 See generally New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015).
- 30 Although, as noted earlier, not all blame for housing unaffordability can be laid at the door of restrictive land use rules and policies under the RMA. See T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 158.
- 31 Compare also the more extreme proposal for an urban development authority, discussed in Chapter 10.
- 32 That is a simplification, given that land use restrictions can be imposed by both territorial authorities and regional councils to discharge quite different functions, not all of which are spatial (eg to maintain water quality or address erosion).
- 33 That is sometimes not made explicit. For example, Infrastructure New Zealand sees the role of an Environment Act as including the protection of "land" as something distinct from the "planning" of land use; see New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 77. But if both frameworks are intended to have a role in how land use decisions are made, is this more, or less, integrative than the RMA? Are there, instead, different reasons or trigger points when each Act would be expected to control land use? It may, alternatively, be that Environment Act protections are intended to refer to the protection of soil/ health rather than the spatial aspects of land use (what activities can go where relative to each other).
- 34 Which tend to be more certain, and can be managed more easily: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) from 139.
- 35 Ibid at 143.
- 36 Although there are some interface questions: eg provisions that control genetically modified organisms in district plans and some limited pest control where an activity regulated under the RMA would exacerbate it.
- 37 For example, the Building Code, the emissions trading scheme, product stewardship schemes, packaging, labelling and transport requirements for hazardous substances, and pest management plans.
- 38 Spatial planning would be a different tool, but that relates to the need to align land use and infrastructure (explained above), not a fundamentally different way of controlling land use itself.
- 39 Auckland as a region is, of course, not all urban.
- 40 Resource Management Act 1991, sch 1, pt 5.
- 41 Kāinga Ora – Homes and Communities has been established, but at the time of writing has not yet been invested with development powers. That is expected later in the year.
- 42 See the proposed changes to plan making for freshwater in the Resource Management Amendment Bill 2019, cl 13.
- 43 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) ch 8.
- 44 See *North Shore City Council v Auckland Regional Council* (1996) 2 ELRNZ 305 (EnvC) at 344–346. Contrast *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [24]; but compare aspects of *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283. On the turbulent history of Part 2 in the courts, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97.
- 45 See New Zealand Productivity Commission *Better urban planning* (2017).
- 46 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 100-105.
- 47 Ibid at 103.
- 48 Urban design has developed considerably since those days, to encompass things that are much more about enhancing a community's wellbeing in places where they live, play and work.
- 49 B Clarkson and C Kirby "Ecological restoration in urban environments in New Zealand" (2016) 17 Ecological Management & Restoration 180.
- 50 Or a difficult trade-off between harvesting pine trees or letting them fall down. There are many other examples of where land use choices have systemic

- 106 *New Zealand Rail Ltd v Marlborough District Council* [1994] NZRMA 70 (HC). Contrast earlier cases where the primacy of bottom lines was explicitly recognised: see *Shell Oil New Zealand Ltd v Auckland City Council* W8/94, 2 February 1994 (PT) at 10.
- 107 Section 67(3)(b) of the RMA requires a regional plan to "give effect to" the NZCPS. See *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [127]-[129].
- 108 Ones that are so firm that they have to be given effect to in rules and resource consents, rather than being directly binding in a regulatory sense.
- 109 *Man O' War v Auckland Council* [2017] NZCA 24; *Hokio Trusts v Manawatu Wanganui Regional Council* [2017] NZHC 1355; *Royal Forest and Bird Protection Society v Bay of Plenty Regional Council* [2017] NZHC 3080; *Transpower New Zealand Ltd v Auckland Council* [2017] NZHC 281; *Turners & Growers v Far North District Council* [2017] NZHC 764; *Thumb Point Station v Auckland Council* [2015] NZHC 1035; *Royal Forest and Bird Protection Society Inc v Bay of Plenty Regional Council* [2017] NZHC 3080, [2017] 20 ELRNZ 564; *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283 (noting the Court of Appeal's comments about the applicability of the *King Salmon* rationale to resource consents); *Environmental Defence Society Inc v Otago Regional Council* [2019] NZHC 2278.
- 110 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97; *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316. See also *Turners & Growers v Far North District Council* [2017] NZHC 764 at [46]; *Transpower New Zealand Ltd v Auckland Council* [2017] NZHC 281 at [84]. Generally, national direction should be read in a way that reconciles any perceived conflicts: see *Royal Forest and Bird Protection Society Inc v Bay of Plenty Regional Council* [2017] NZHC 3080, (2017) 20 ELRNZ 564.
- 111 *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [146].
- 112 See Resource Management Act 1991, ss 68(1), 76(1). In practice, rules are found in all plans.
- 113 On this point, see *New Zealand Rail Ltd v Marlborough District Council* [1994] NZRMA 70 (HC); *Mangakahia Māori Komiti v Northland Regional Council* [1996] NZRMA 193 (PT).
- 114 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97.
- 115 See *Environmental Defence Society Inc v Otago Regional Council* [2019] NZHC 2278.
- 116 For example, corresponding bottom lines in an NPS on biodiversity or an NPS protecting productive soils.
- 117 Essentially, the Act was a marriage between the environmental movement's concerns for biophysical bottom lines and the free market ideology prevalent in the late 1980s and early 1990s. As Caroline Miller has said, "[E]veryone learned at least a slightly different lesson" from the RMA: see New Zealand Productivity Commission *Better urban planning* (2017) at 122, citing the submission of C Miller.
- 118 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 31.
- 119 That may make sense in relation to repeatedly litigated, narrow, scientific questions like the health effects of electro-magnetic waves from cell phone towers, but is less obviously the case where there are still many long-term environmental effects and value judgments to be made about where and how forestry operations occur.
- 120 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 108; New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 34.
- 121 For example, to support efficient and environmentally friendly mass transit systems.
- 122 Compare Ministry for the Environment *Building competitive cities: Reform of the urban and infrastructure planning system – A discussion document* (October 2010); A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010).
- 123 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 108.
- 124 New Zealand Productivity Commission *Better urban planning* (2017) at 258, citing C Miller *Culture and capability within the New Zealand planning system* (2016). See also S Owens "International developments in environmental planning" in R Peart (coll) *Beyond the RMA: An in-depth exploration of the Resource Management Act* (EDS, 2007); *Report of the Minister for the Environment's Urban Technical Advisory Group* (2010).
- 125 Compare *Report of the Minister for the Environment's Urban Technical Advisory Group* (July 2010) at 68; *Report of the Minister for the Environment's Resource Management Act 1991 Principles Technical Advisory Group* (2012) from 35; New Zealand Productivity Commission *Better urban planning* (2017) at 211.
- 126 Resource Management Act 1991, s 7.
- 127 *Report of the Minister for the Environment's Resource Management Act 1991 Principles Technical Advisory Group* (2012).
- 128 *New Zealand Rail Ltd v Marlborough District Council* [1994] NZRMA 70 (HC).
- 129 One may compare the somewhat vague and undefined notion of "quality urban environments" proposed to be included in an NPS on Urban Development (New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019)). This might include the importance of synergies between the social and environmental benefits of urban design choices. On the "environmental" benefits of urban design, see City of Melbourne *Green our city strategic action plan 2017-2021* (2017), and on the importance of urban tree cover, see *Report of the Biodiversity Collaborative Group* (2018) at 120.
- 130 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 106. Compare See I Carlan "The Resource Management Act through external eyes" (2007) 11 NZJEL 181.
- 131 Although questions of fairness need to be carefully considered, in terms of who pays where improvements are unrelated to harm.
- 132 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 147.
- 133 There is also benefit in having a wider range of principles to consider, to provide the ability to resolve what are essentially private disputes (eg the height of a fence) without reference to lofty principles of "environmental" wellbeing. See *ibid* at 111.
- 134 Especially during the most recent attempts to amend it in 2017.
- 135 M Williams "Resource management system: Reform or transform?" (2018) Resource Management Journal 3 at 4 and 5.
- 136 For example, undermining the positive contribution that *King Salmon* has made.
- 137 Others are institutional or process-based.
- 138 On revised planning processes and implementation, see Chapters 6 and 7.
- 139 See V Lowe "Sustainable development and unsustainable arguments" in A Boyle and D Freestone (eds) *International law and sustainable development* (Oxford University Press, 1999) at 31.
- 140 For example, consenting decisions are explicitly subject to Part 2 of the Act. Compare *Lee v Auckland City Council* [1995] NZRMA 241 (PT), where section 5 was described as the "lodestar" of the Act.
- 141 Resource Management Act 1991, s 18A(b).
- 142 For example, the tax system, what one's neighbour is doing, social licence, ethical perspectives, the ability to shift costs and benefits, the state of the economy, and so forth.
- 143 That is one important lesson from *King Salmon*. At [137], the Court bemoaned the uncertainty of outcome created by abandoning the specific directions of the NZCPS in favour of an overall broad judgement. However, that uncertainty of outcome is often unavoidable in an effects-based system that often relies on project level interpretation of general and potentially conflicting policies.
- 144 We can contrast resource management law with, for example, criminal law, where there is (with some notable exceptions), much stronger social consensus about what is right and wrong.
- 145 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 5.
- 146 See A Butler and others *Equity and Trusts in New Zealand* (2nd ed, Thomson Reuters, 2009).
- 147 Resource Management Act 1991, s 5.
- 148 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 26.
- 149 For example, "precaution" is not mentioned under the RMA specifically, but the precautionary approach has been developed in a fairly sophisticated way in the courts. See A Gillespie "Precautionary New Zealand" (2011) 24 NZULR 364; G Severinsen "Bearing the weight of the world: Precaution and the burden of proof in the Resource Management Act" (2014) 26 NZULR 375.
- 150 This will not be an easy task but, as pointed out in the Phase 1 report, there is a significant difference between the need to protect the life supporting capacity of resources like freshwater and concepts like urban amenity (defined in the RMA as "natural or physical qualities and characteristics of an area that contribute to people's appreciation of its pleasantness, aesthetic coherence, and cultural and recreational attributes").
- 151 We provided a starting point for what these could be in the Phase 1 report, although we note that it will not be straightforward making a distinction between things that warrant inflexible bottom line outcomes and those that do not. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 98.
- 152 On the relationship between threatened species management plans under conservation legislation and RMA instruments, see Chapter 12.
- 153 Grateful thanks go to Sally Gepp for assistance with drafting.
- 154 This moves away from the current reference to "natural and physical resources" which has two shortcomings. First, it is an anthropocentric conception of the environment as a suite of resources and, secondly, it does not encompass the social aspects of the environment that are contained within the definition of "environment".
- 155 "Sustainable management" encompasses protection. The (existing) definition of sustainable management includes the word "protection" in the phrase "use, development and protection", and use of the word "avoid" in section 5(2)(c) contemplates that particular environments may need to be protected from the adverse effects of activities in order to implement sustainable management: *Environmental Defence Society Inc v New Zealand King Salmon* [2014] NZSC 38 at [24(d)]. It would now also encompass enhancement.
- 156 The proposed section 5 replaces the existing section 5 with:

6. PLANNING UNDER A NEW RMA: CENTRAL GOVERNMENT

6.1 Introduction

There are limits to what reforms to Part 2 of the RMA will be able to achieve. They would be helpful and necessary, but not a silver bullet. We therefore need to direct attention to the hierarchy of more detailed instruments that puts Part 2 into effect. We may generally call this RMA “planning”.¹ In the two chapters that follow, we are floating significant change over time – albeit change that builds upon the foundations of what we already have.

6.2 Tensions in RMA planning: Central vs local, accountability vs independence

Planning, especially in the hierarchical context of the RMA – cannot be separated from the institutional question of who should do it. Generally speaking, plan making currently occurs at three levels under the RMA: central, regional and local. There can be a tension between what is done at what level.

It is an interesting feature of the system that there is no clear delineation between central and local/regional responsibilities by topic or domain. This mirrors the lack of clear constitutional role for these branches of government more generally in New Zealand. The RMA does not distinguish between things like freshwater quality and urban amenity – in theory, both can be tackled by multiple levels of government.

In practice, central government has often been seen as a reactive intervenor in a resource management system that is, by default, largely devolved (except in the context of coastal management).² Over the first 20 years of the RMA, this may have created an expectation of subsidiarity as localism, but that is increasingly being tested as more resource management issues require, and are receiving, national input.³ For example, government interest in land use and local infrastructure has spiked in recent times due to nationally significant growth issues in places like Auckland.

The delineation between regional and local functions under the RMA is clearer, although there is still some overlap when it comes to functions relating to biodiversity, regional level land use planning, cross-boundary issues, and natural hazards.⁴ The distinction largely breaks down when it comes to unitary authorities (which are both regional councils and territorial authorities in one).

There is a further tension in RMA planning between value-based democratic decision-making and technocratic independent review. We explored this question at a more general level in the Phase 1 report.⁵ This tension between independence and accountability exists at both the national and regional/local levels. For example, councils develop regional/district plans and consider most consent

applications, but merits appeals on all of these are often available to a national level, standing, expert Environment Court that has little direct accountability to communities. This arrangement is more about having a check and balance on *local* decision-making, not an independent check on *democratic* decision-making. Central government planning – primarily under the authority of the Minister for the Environment – is not subject to the same independent judicial oversight, but there are varying degrees of independent input on a recommendatory basis (eg Boards of Inquiry).

That said, when it comes to project-specific decisions, independence is relatively strong at the national level compared to the local. Ministers are expected not to get their hands dirty. For example, resource consents can be called in by the Minister and directed to a Board of Inquiry or the Environment Court,⁶ but cannot be directly decided by him or her.⁷

These quasi-constitutional questions about the roles of localism and centralism, and independence and accountability, are significant as context when it comes to reform of RMA planning processes. In short, we see merit in a more proactive, coherent role for central government under the RMA, a planning process that produces more timely outcomes, and a greater role for independent institutions in national level planning rather than just project-specific authorisations like consents.

There are tensions in the RMA planning process between central and local decision-making and between elements of democratic and independent input. We think the balance needs to change in some areas. In particular, there is (1) potential for a more proactive and coherent role for central government, (2) a process for achieving more timely planning outcomes, and (3) a greater role for independent institutions in how decisions are made.

The failure of the RMA (and, indeed, the wider system) to identify clear principles around subsidiarity – what is local and what is national – is problematic. As we have said previously, “We tend to fudge the issue in New Zealand by centralising powers when it becomes urgent to do so, not by having a conversation in advance about where dominant communities of interest should reside.”⁸ Others have expressed a similar sentiment, in that we need to develop a “common understanding of, and respect for, the roles, duties and accountabilities of both spheres of government”⁹ and that central government needs to come to the party more “to participate in the co-operative mandate that the RMA created”.¹⁰

This confusion is reflected in the RMA’s rather odd distinction between (1) matters of national “importance” in section 6; and (2) matters of national “significance”

This situation is frequently described by commentators as a failure of “implementation”. That may be true, but it is equally true that a failure of implementation can be seen as a failure of the legal framework to *require* implementation. In hindsight, it may have been naïve to expect a non-directive framework like the RMA to result in central government action, especially in light of the political and economic circumstances leading to its enactment (eg a reaction against Muldoon-era central planning, faith in the wisdom of the market, maximising economic productivity).²⁵ The pendulum has swung back in recent years with the creation of more national direction, but it has taken a long time to do so. For some things (eg climate change and freshwater), it has come far too late and will require a painful process to correct. This is not the “fault” of particular groups or sectors – it is the product of a system that has not done what it was meant to do.

The RMA generally does not compel central government to plan or intervene, other than in the context of the coastal environment. It does, however, *enable* government involvement in a wide variety of ways.

Aside from greater clarity around the roles of central and local government (a definition of subsidiarity), we consider that it is desirable for the system to provide an active obligation on central government to act, not just to react. With the exception of the NZCPS, national direction has to date, to a large extent, responded to issues rather than pre-empted them, and has therefore not been particularly precautionary. Freshwater is a prime example of where we have had to play catchup.

Furthermore, we do not think we should see an increasingly complex patchwork of NPSs and NESs, of varying specificity, format and topic, promulgated only when to do so becomes politically feasible or when problems are already manifest. We should also not see national direction targeted at low hanging fruit, or imposing “maximum” environmental outcomes in the absence of “minimum” bottom lines. For example (leaving aside the question of how desirable it is in principle), it is difficult to see how a minimum level of urban development (in the form of a proposed NPS for Urban Development) is more important than, or can exist without, national policy bottom lines on biodiversity.²⁶

It is telling that, in the absence of a proactive obligation, a significant portion of national direction has been driven by direct impacts on people’s health²⁷ or the desire to facilitate development or resource use.²⁸ There is nothing inherently wrong with that (the reasons behind them are usually legitimate), but it speaks to the risks of leaving nationally important environmental protections solely to political prioritisation. If there is a high profile incident where people get sick, there is often (rightly so) an immediate national outcry (as in Havelock North); but if we slowly ruin our rivers or erode our biodiversity, government can be much slower to take notice or action. Illness, GDP and fiscal outcomes can be measured

fairly easily in three-yearly political cycles, but many environmental problems are slower burning, and political blame can be easier to shift.²⁹ National direction requires leadership, and should not appear only as a result of problems as they enter the public consciousness.

In our proposed model, there would be an acceptance that, in recognising outcomes as being of national importance,³⁰ there is a corresponding obligation to provide some form of national guidance and action. That does not mean that central government does everything. On the contrary, even for matters of national importance, local action and ownership – including locally imposed regulation – will often (although not always) be more effective than a top-down imposition from Wellington.³¹ However, it does mean that the government has a duty to turn its mind to whether, and to what extent, it needs to intervene to achieve the purpose and principles of a revised Part 2. Central to that will be the imposition of environmental bottom lines and associated limits. Sometimes that will require a regulatory response; for example, an NES on freshwater quality should really have come much earlier. Sometimes it may even require targeted national direction for different parts of New Zealand. But we would envisage that at least some form of guidance, in the form of policy, would be needed for all matters of national importance.³²

We are suggesting a requirement, not just a power, for central government to promulgate national direction that gives effect to a revised purpose and principles of the RMA. This would mean that matters identified as being of national importance then have an expectation of at least some national response (which might take the form of policy, regulation or both).

6.4 A more coherent role for central government

At the time of writing, the government is in the process of promulgating several new NPSs and NESs and reviewing or reworking a number of existing ones.³³ This is, in principle, not a bad thing at all. Also positive is that some of this new guidance can be said to impose meaningful environmental bottom lines.³⁴ What has been politically unpalatable in the past is now well within the realms of achievability, partly on the back of significant social change and environmental awareness.³⁵

Yet the lack of a defined role for central (as opposed to local) government under the RMA, and the lack of any active obligation to create national direction in a considered and proactive way, means that this is being done in a fairly ad hoc manner in response to particular issues. The more separate pieces of national direction that are promulgated, the more complicated the relationships and cross-referencing between them (if any) become.

To exacerbate things further, many NPSs are characterised by fairly general wording. Few impose the kinds of firm, directive bottom lines contained in parts of

A spotlight on relationships between NPSs

A number of NPSs have been promulgated by the government under the RMA. As we highlighted in the Phase 1 report, relationships between them, and their overall purpose as a package, can be unclear. For example, the NPS for Renewable Electricity Generation is partly in place to achieve environmental goals (eg the reduction of greenhouse gases), but the adverse effects of activities are not addressed in detail (only one policy in that NPS contemplates that there may be “residual adverse effects”).⁴⁰

Similarly, the NPS on Urban Development Capacity is concerned almost entirely with making more land available for urban development, with no consideration of the environment within which that capacity is being provided (eg the rivers that may need to be crossed or piped, or the significant natural areas that may be impacted) or whether the values of that environment might place a sensible cap on expansion. The quality of the natural environment within cities is given only cursory attention.⁴¹

A proposed replacement for this NPS – one more broadly focused on urban development – aims to insert considerations relating to intensification and urban design.⁴² But there are few cross-references between instruments, and significant questions about relationships (in particular, between urban objectives and proposed measures to protect highly productive land or to manage land use for climate change adaptation).⁴³

At the very least, every policy proposal for a new NPS now has to go to increasingly heroic lengths to try to outline the relationships with a web of existing and proposed NPSs that have been created for very different reasons, and can be reduced to somewhat hopeful statements such as, for example, that they “are intended to be compatible” and “should be complementary”.⁴⁴ While it is in the nature of much RMA policy to require tensions to be balanced and resolved in more specific contexts (which often needs to play out at the local level), meaningful cross-referencing should still be made within a coherent package of national direction. As we have previously said, the system as a whole needs to be “much clearer and more honest about the hierarchy of our basic objectives ... where they may come into conflict”.⁴⁵ Central government is no exception.

National direction also has no standardised format and structure (despite, ironically, a big push for *councils* to standardise terminology and formatting through National Planning Standards). It is a case of “do as I say, not as I do”. Any standardisation has been left to the discretion of Ministers.

Instruments have also been produced using inconsistent lenses. For example, some (like freshwater) are of broad, domain-based application (focused on the things in need of protection, which can be impacted on by multiple activities); others, like plantation forestry and renewables

projects, are focused on sectors (particular ways in which people use resources and which can impact on multiple domains); and still others, like urban development capacity and the NZCPS, are focused on particular spatially defined areas (which contain multiple domains and multiple sectors). It is largely left to local government to figure out how everything works together in practice, through plan reviews and consenting decisions.⁴⁶ In a future system, we think that National Planning Standards should provide consistency in the format and structure of national direction as well as council plans.

National direction under the RMA is at risk of both horizontal misalignment (it is not clear how different instruments are meant to work together or influence each other), and vertical misalignment (regulatory provisions can exist without a broader statement of policy, or be inconsistent with that policy). The format and structure of different pieces of national direction can also look very different, adding to confusion for councils expected to give effect to them. This issue will become more pronounced as more national direction is promulgated to target particular problems.

One problem is that we lack a national level version of a regional policy statement, within which all significant matters relating to central government’s functions can be dealt with in an integrated way (and which regulation must then give effect to).⁴⁷ This has led to authorities looking at “bite-sized pieces rather than ... a high level vision”.⁴⁸ We should also keep in mind lessons from the Auckland Unitary Plan process; several people have highlighted to us the importance of getting the broader policy landscape right *before* thinking about more detailed questions of rules and standards for particular areas or activities.

All of this leads us to propose not just an active obligation for central government to promulgate national direction on matters of national importance, but for it do so in a single, integrated document. We are calling this a “National Environment Plan” (NEP).



we pointed out that “it does not seem unreasonable for central government to fund local planning to the extent needed to implement national level instruments ... where control is already present but without corresponding funding”.⁶⁴ The costs of implementing national direction can be significant, and must be considered closely at the outset.

We are proposing a requirement for all national direction to be incorporated, over time, into a single, coherent and comprehensive National Environment Plan. The government should be required to set targets for all matters of national importance within specific timeframes, and the Plan would be oriented towards action. Careful consideration should be given to “Plan B” measures to deploy if targets were not met.

Transitional arrangement would be crucial here. We are not suggesting that we clean the slate of national direction and start again. There is much of value to retain, and years’ worth of effort. Existing NPSs and NESs (and regulations)⁶⁵ would be deemed to be incorporated into a single NEP framework and added to and reviewed.

This will take time and resource, but prioritisations should be made according to a coherent set of criteria. That should be made plain in transitional arrangements. We would envisage this starting with a general alignment process for existing national direction (in the short term). For example, we have previously recommended that a review should be undertaken to align the NES on Plantation Forestry with the NPS for Indigenous Biodiversity and new NPS for Freshwater Management, once the latter are promulgated.⁶⁶ This would be followed by a systematic assessment of which gaps in national direction needed to be filled under the Act’s new purpose and principles (over the medium term). Alongside that, there would need to be reasonable time (and assistance) for the NEP to be given effect to in council plans (see Chapter 7).

Transitional arrangements leading to the integration of national direction into an NEP would be crucial. We do not want to lose much of the valuable work that has been done to create national direction over the past decade, including processes that are underway or nearing completion. That is particularly important for instruments that impose firm environmental bottom lines and associated limits. There would be a process by which existing national direction was aligned, followed by a process in which any gaps were filled.

6.5 A National Environment Plan and climate change

It is worth noting specifically that an NEP would be required to address climate change mitigation measures in order to implement a new Part 2. At the moment, an NES *can* but does not *have* to do so.⁶⁷ It is a curious

oversight that the potential to develop an NPS on climate change is unclear, and this needs to be clarified.⁶⁸ In practice, however, the important point is that we have neither an NES nor an NPS. It is a gap.

The RMA would not be the *only* legal framework within which climate change would be addressed – that issue is almost uniquely cross-cutting and needs to be dealt with in multiple places⁶⁹ – but an NEP would be the logical place to provide a nationally consistent approach under an Act that has real potential to do something.⁷⁰ A key question though, and one we address in Chapter 9, is the nature of the relationships between specifically climate-focused “planning” (emissions reduction plans and adaptation plans proposed under the Climate Change Response (Zero Carbon) Amendment Act) and RMA instruments (including an NEP, and council plans). Such relationships will need to very clear, as well as legally meaningful.

There will be an important link to be made between an NEP and broader climate change-focused instruments created under other legislation. The NEP will be one place in which a nationally coherent approach to climate change mitigation could be implemented. Climate change is discussed in Chapter 9.

6.6 A process for producing and reviewing a National Environment Plan

How would an integrated NEP be created or reviewed? We envisage a process broadly similar to how national direction is currently produced, albeit with some significant structural differences. The process for changing an NEP would be the same as the process for its development,⁷¹ and is outlined below in Figure 6.2. It would involve (1) co-development, (2) public notification, (3) the consideration of submissions and independent review in light of a revised Part 2 of the RMA, and (4) continual review based on new information from (among other things) environmental reporting.

Changes could, of course, be made to an NEP once in place, but such changes would not be able to target particular domains or sectors without considering the impact on the instrument as a whole. At present, changes to NPSs under the RMA can be pursued largely independently of changes to others (or the development of others).⁷²



establishment of a Regional Sector Group as part of the government's Essential Freshwater programme. It also echoes the Productivity Commission's concept of a "partners in regulation protocol" under which it would be made clearer how local government would be involved in central processes (and vice versa): a "meaningful dialogue" early in the process.⁷⁵ Councils deserve a place at the table.

Perhaps the most significant innovation in the NEP process is the role for a new independent "Futures Commission". This would be tasked with considering submissions, reviewing an NEP (including the adequacy of targets within it) in light of the purpose and principles of the Act, and providing advice to the government on changes. The government would be required to provide reasons for departing from any recommendations. This is not too different from the existing process for creating NPSs, in that the Futures Commission would take the general place of appointed Boards of Inquiry. However, the nature of this Commission would be quite different, and we envisage that it would evolve over time. It would have much wider significance than under the RMA, and is explored further in Chapter 8.

We are suggesting a process for producing and reviewing an NEP that in some ways resembles the current process for national direction. However, there would be greater involvement for Māori and councils in co-production, and review by a new, standing, independent Futures Commission.



A spotlight on a Futures Commission for New Zealand

Over recent years, we have seen a proliferation of plans for (or suggestions for) various standing commissions: for infrastructure,⁷⁶ climate change,⁷⁷ freshwater,⁷⁸ and the coastal environment.⁷⁹ We already have a Parliamentary Commissioner for the Environment. We have also had bespoke, task-based institutional arrangements of varying formality, such as the Independent Hearings Panel for the Auckland Unitary Plan or various government appointed advisory groups like those for freshwater management.⁸⁰

The basic driver for such institutional arrangements is similar. It is the desire to have an independent (or at least arm's-length) body tasked with both advising accountable bodies (usually the government, sometimes councils) and/or reviewing their actions. They are designed to enhance transparency and accountability even if they do not have final decision-making power.⁸¹ As we said in the Phase 1 report:⁸²

[A] degree of independence is valuable where its purpose is to enhance the accountability of elected institutions ... In particular, short-term political cycles make long-term, future-focused decisions less likely. Climate change decisions are a good example of this. Despite having good knowledge of the causes and implications of climate change for decades, decision makers at local, national and international level have been reluctant to make decisions today to decarbonise the economy because of the short term cost, without taking full account of the long-term benefits or the long-term costs that not making those decisions would incur on future generations.

We are seeing strong recognition of this in the proposal for an independent Climate Change Commission. But is climate change really so unique? Are other, slow-burning, environmental challenges so different? The RMA has generally taken the approach that strong independent oversight or input is crucial for local government decision-making (eg through the use of the Environment Court and commissioners), but less so for central government. In our view, that assumption needs to be challenged.

A future-focused, independent voice needs to be built into all decisions – including centralised ones – that will impact on people beyond both political cycles and the current generation. As we pointed out previously, "Elected institutions need to be held accountable to their promises, and constantly tested on their progress towards broad goals that transcend politics and the short term concerns of elected bodies."⁸³ We see this as a role for a Futures Commission.

So what would a Futures Commission look like in this model? It would be very different to the Commission for the Future that briefly existed in the 1970s (largely a science and technology focused think tank).⁸⁴ The nature of the Commission would evolve, from relatively humble beginnings, to an integrated and influential voice across many statutes. It would end up being of quasi-constitutional significance.

final decisions but rather to provide a fully independent assessment and recommendations to an elected government. In short, “Accountability is important, but elected institutions’ long-term focus needs to be watched closely by an independent body that is not on a short-term political cycle.”⁹⁸

We propose creating a standing, independent Futures Commission with a strong, future-focused mandate and roles under various pieces of legislation, including the RMA. To start with, the Futures Commission would be separate from other existing or planned commissions (eg the Parliamentary Commissioner for the Environment and the Climate Change Commission), but in the longer term could usefully be integrated with them.

6.7 Appeal rights for national direction?

Does a role for a Futures Commission in the development and review of an NEP provide an adequate check and balance on the decision-making power of Ministers? Does it go far *enough*? At workshops, we heard opposing perspectives on the role of accountable and independent institutions at a national level. Some thought that it wrong, for example, that there is a strong independent check and balance (binding Environment Court appeals) in the local planning process, but no comparable mechanism for central government action (only judicial review).⁹⁹ We have also previously highlighted that the lack of appeal rights under national decision-making frameworks (eg fisheries) can lead an uneasy coexistence with closely connected frameworks under which local environmental decisions *can* be appealed (eg regional coastal plans under the RMA).¹⁰⁰

Others thought that it would be inappropriate for an independent (less unaccountable) institution like a court to bind an elected government that may have a clear mandate for change.¹⁰¹ There was a fear in some quarters of rule by “philosopher kings”. A broadly similar debate occurred in relation to the Climate Change Commission, and whether its powers (eg to set carbon budgets) should be binding or only recommendatory.

There are compromise options here that could be pursued. For example, as with the bespoke Auckland Unitary Plan process, a future system could provide for merits appeals on an NEP, but only to the extent that the government departed from the recommendations of the Futures Commission. A still softer mechanism would be for the Environment Court (or higher court) to have power to make a declaration that an NEP was inconsistent with the purpose and principles of the Act, in a similar way that the courts can declare legislation to be inconsistent with the Bill of Rights Act.¹⁰² There would be no ability to “strike down” an NEP on these grounds, but it could send a powerful signal to voters.

However, we are not going so far as to propose blanket appeals to the Environment Court in relation to an NEP. In our view there are still too many value-based, nationally significant, questions to answer under the RMA (compared to arm’s-length decision-makers like the EPA under the Hazardous Substances and New Organisms Act or the Climate Change Response Act)¹⁰³ to remove policy-making power from Ministers (and, ultimately, Cabinet).¹⁰⁴ Accountability to the New Zealand public is important, and a court should not have the power to bind an elected government in matters that are still, ultimately, about values.

That said, the situation may be different for particular issues. To the extent that a decision can be seen as one purely of “science” or “implementation” rather than one of values or policy, an independent institution may be more appropriate.¹⁰⁵ For example, if we can quantify the aim we are after in specific terms, that can become a matter for technocratic decision-making. Arguably climate change, with legislated targets or at least a global agreement on outcomes and nationally determined contributions, falls into this category, and there is a robust debate happening now over what is a question of “science” and what is a question of “values”.¹⁰⁶ Targets for something like biodiversity or freshwater may be more difficult to describe with such precision in legislation, but that may change over time. In the longer term, we therefore leave the question of appellate jurisdiction open.

We also question the practical usefulness of providing a further step, by which the Environment Court could make a declaration that an NEP is inconsistent with Part 2 of the RMA (a Bill of Rights Act-type model). The concept is useful, but the appropriate place for such a declaration would be in the recommendations of an independent Futures Commission. To provide an additional step would be both inefficient and add complexity and confusion about what it meant for an NEP’s later interpretation in planning and consenting contexts.¹⁰⁷ Of course, judicial review would remain, and we see this option as being assisted by a Part 2 that is clearer and firmer.¹⁰⁸

We do not, at least in the short to medium term, suggest allowing appeals on an NEP to the Environment Court. While it would be useful for a Futures Commission to comment on whether a notified NEP would be consistent with the purpose of a revised RMA, we do not see room for an additional step whereby a formal declaration of inconsistency can be made by the courts.

6.8 A role for the Environmental Protection Authority?

As discussed in the Phase 1 report, there is, conceptually, a distinction to be made between policy-making and regulation-making.¹⁰⁹ Those tasks need to be closely connected; we have talked earlier about the need to have regulations firmly linked to a surrounding policy

The same theme emerges elsewhere in this report; for example, in the recommendation that active guidance and assistance be provided by central government to councils (and others) in implementing climate change mitigation and adaptation measures (see Chapter 9).

Other central government roles under the RMA can be traversed more briefly, and there is no need to cover them all. For example, the Minister for the Environment has a role in calling in (although not deciding) proposals of national significance (plan changes and consents); recommending the approval of requiring authorities and heritage protection authorities; and directing the preparation or change of a council plan (although, again, not making decisions on it).¹²⁰ In terms of the call-in process, we propose that the option of consideration by a Board of Inquiry be removed, and that matters called in be determined only through referral to the Environment Court.¹²¹ Furthermore, we see merit in the independent Futures Commission having the ability, alongside the Minister, to exercise call in powers.

Under the RMA, the Minister can also direct that functions be transferred from councils to other persons if there is poor performance, under a somewhat understated section 25 entitled “residual powers”. This, in our view, is necessary,¹²² but warrants stronger safeguards to protect local democracy – including, for example, a review of the Minister’s proposal to exercise such powers by the Futures Commission or Environment Court, to determine whether a measure is actually necessary, as a matter of law, for achieving the *protective* purposes of the Act.¹²³ It should be a power conferred to ensure nationally important elements of environmental wellbeing, not an open invitation to interfere in local democracy in order to pursue political agendas. The appropriate routes for the latter are through the creation or amendment of national direction, a direction that a plan change be pursued, or that a matter of national significance be called in.¹²⁴

Central government would continue to exercise various powers in a future system. But these could usefully be recalibrated. In particular, the Board of Inquiry process for making decisions on matters called in by Ministers would be removed, a new Futures Commission would have powers to call in matters, and there would be stronger independent review of ministerial powers to transfer functions away from councils. There would also be more operational assistance (including funding) provided to councils and others by central government to implement national direction.

6.10 “Order”-based mechanisms under the RMA

It is hard to characterise some tools under the RMA as purely “local” or purely “central”. For example, the Minister effectively makes final decisions on water conservation orders,¹²⁵ and the Environment Court makes

recommendations in relation to them, but applications can come from the bottom up (anyone can apply)¹²⁶ rather than being developed by councils or Ministers through planning processes. It can be thought of as a thoroughly grass roots measure, but also one that ends up being imposed from the top down.

Water conservation orders are a fascinating feature of the system and, in our view, one that provides a template for other possible mechanisms to be deployed in the future. Such orders are a hangover from pre-RMA legislation,¹²⁷ and seek to provide targeted protection to water bodies having high intrinsic value (eg wild rivers). Uniquely, they are not subject to Part 2, and have their own highly protective purpose nested within the RMA,¹²⁸ in a way not dissimilar to separate conservation legislation (eg national parks or reserves). They could, in theory, be equally at home in other legislation.

We consider that water conservation orders could be strengthened in a future system. While in theory they should have:¹²⁹

strong implications for any and all decisions applying to the water body in question ... most rivers bestowed with [them] have and continue to undergo sharp declines in water quality due to local government decision-making (eg sharp opposition to [them] by regional councils, the agencies charged with implementing them).

That “sends a clear signal that the current framework does not provide sufficient security for our ‘watery national parks’” despite being very firm and directive on the face of the legislation.¹³⁰ The issue is not to do with the ability to remove such orders (they can be revoked or varied, but that has not happened in practice).¹³¹ Instead, the problem is that they have been treated as a reactive tool, and under-utilised. Most applications have been by Fish & Game (with the Department of Conservation only having made one application), and only 13 rivers and two lakes have so far been protected. In the Phase 1 report, we posed the question: why don’t we, at a national level, identify all outstanding water bodies and protect them in one go? Here, we provide an answer: we should.

Of course, there is a question of resourcing and timeframes here, but the existing model strikes us as too reactive. Orders are designed to protect (and not enhance) the unique and nationally important values of water bodies, so for every day that our rivers decline we are losing that opportunity. A waterway with no values left cannot be protected. Orders could also be sought in a more strategic manner, to support wider plans to enhance aquatic and other ecosystems through a coherent network of biodiversity corridors (which could be outlined in a spatial plan, discussed in Chapter 8). In fact, there could be a firmer mandate for the Department of Conservation to pursue this kind of tool, to support a more general strengthening in freshwater management across the country under RMA national direction.¹³²

Another problem is that water conservation orders do not affect existing uses, or trigger the review of consent conditions that can have real potential to impact on the

A spotlight on Heritage Area Orders

A reformed system could usefully provide more nuanced and protective mechanisms for the management of landscapes of national significance. One such model that we are exploring in EDS's Protected Landscapes research project is the concept of Heritage Area Orders. These would form a layer of management (on top of regular planning instruments) for private or public land of high landscape and/or ecological value.

We consider that water conservation orders, made under the RMA, provide a good basic template for this concept. It is envisaged that the RMA would set out the purpose of what heritage areas – as a broad concept – should achieve,¹⁴⁴ and the national values that should be protected. These would be the national criteria against which a landscape would be assessed.

Classification could occur through either a top-down or bottom-up process (as with water conservation orders). To enable a bottom-up approach, the law would include provision for any person or agency to submit an application to have a landscape classified as a Heritage Area. However, the application would need to demonstrate that the landscape satisfied the national criteria in order to be considered. An applicant would also need to be able to demonstrate local community and iwi support. Applications would be made to the Minister for the Environment, who would either reject the application (on the basis that it did not meet the purpose specified in the Act) or accept it in principle.

If the application were accepted, the Minister could be required to appoint a specialist tribunal to publicly notify the application, hear submissions (including from landowners who may be affected by the Order) and either provide a draft Heritage Area Order or recommend that the application be declined. Alternatively, that role could be performed by the Futures Commission. A final decision would then be made by the Minister (or, more accurately, through an order in council on advice from the Minister).

If an application were rejected, this could be challenged through appeal by any party who made submissions on the application. Appellate involvement by the Environment Court would be essential, as it provides transparency and independent oversight over the process.

If the application were accepted, the Heritage Area Order would be promulgated by order in council. The resulting Order would include the values to be protected for the specific landscape,¹⁴⁵ and the activities that must be restricted or prohibited to protect those values. It would have regulatory effect. This process is broadly comparable to the promulgation of water conservation orders, where each order identifies the characteristics of the specific waterbody to be protected and has a directive link to the broader planning and consenting framework of the RMA.

Once the Order was in place, resource consents granted within the area would not be able to be contrary to it and this would not be limited to particular types of consent (especially given that land use would usually be central to the values protected). It could also, potentially, trigger the review of some kinds of existing consents. Regional and district planning documents would also not be able to be inconsistent with it (or be required to give effect to it), and there would need to be consistency with any water conservation orders in the area. Heritage Area Orders would therefore provide a clear protective purpose, which councils and users would need to comply with. If a council failed to do so, there would be clear grounds for challenge and the ability to seek to have the consent overturned in the courts. There would be a guardianship model whereby an entity would be responsible for defending the values enshrined in the Order.

While the ownership and management of the land within a Heritage Area would remain the same, it would be expected that central government would provide dedicated funding to protect the landscape values of the area (which reflects our broader proposal that national direction under the RMA be accompanied by indicative sources of funding to make it work in practice).¹⁴⁶ This funding could be used to assist landowners to proactively manage the land in a manner that is sympathetic to the purpose of the Order (as in the United Kingdom). Whether that would amount to "compensation" for lost rights, "subsidies" for adhering to environmental obligations, or payment for ongoing public services, may depend on one's perspective. In the Phase 1 report, we noted:¹⁴⁷

From one perspective, if private persons are bearing the burden of achieving the public interest then that should be recognised through subsidies or compensation. However, from another perspective, if "enhancement" is, in reality, the remediation of damage already caused by private actors (eg much of New Zealand was originally forested), then why should the public purse pay? Is it because the government itself is partly responsible, since it may have authorised (or even encouraged) harm in the past (eg subsidising land clearance)? Or are payments really about protecting economically [or culturally] important industries [or activities]?

The purpose for which payments could be made requires ongoing debate, and could have relevant principles enshrined in legislation. But, overall, Heritage Area Orders would provide both a protective framework for the landscape and encourage proactive land use practices. It may be a useful tool to include in the toolbox for the complex, multi-layered issues present in the Mackenzie Basin, but would have value elsewhere too.

The expansion of the water conservation-type model to other things, like protected landscapes, would not be without its challenges. For one, it may arguably pose risks to the coherence of the broader planning regime, given the ability for ad hoc, order-based interventions across wide swathes of private land to override district

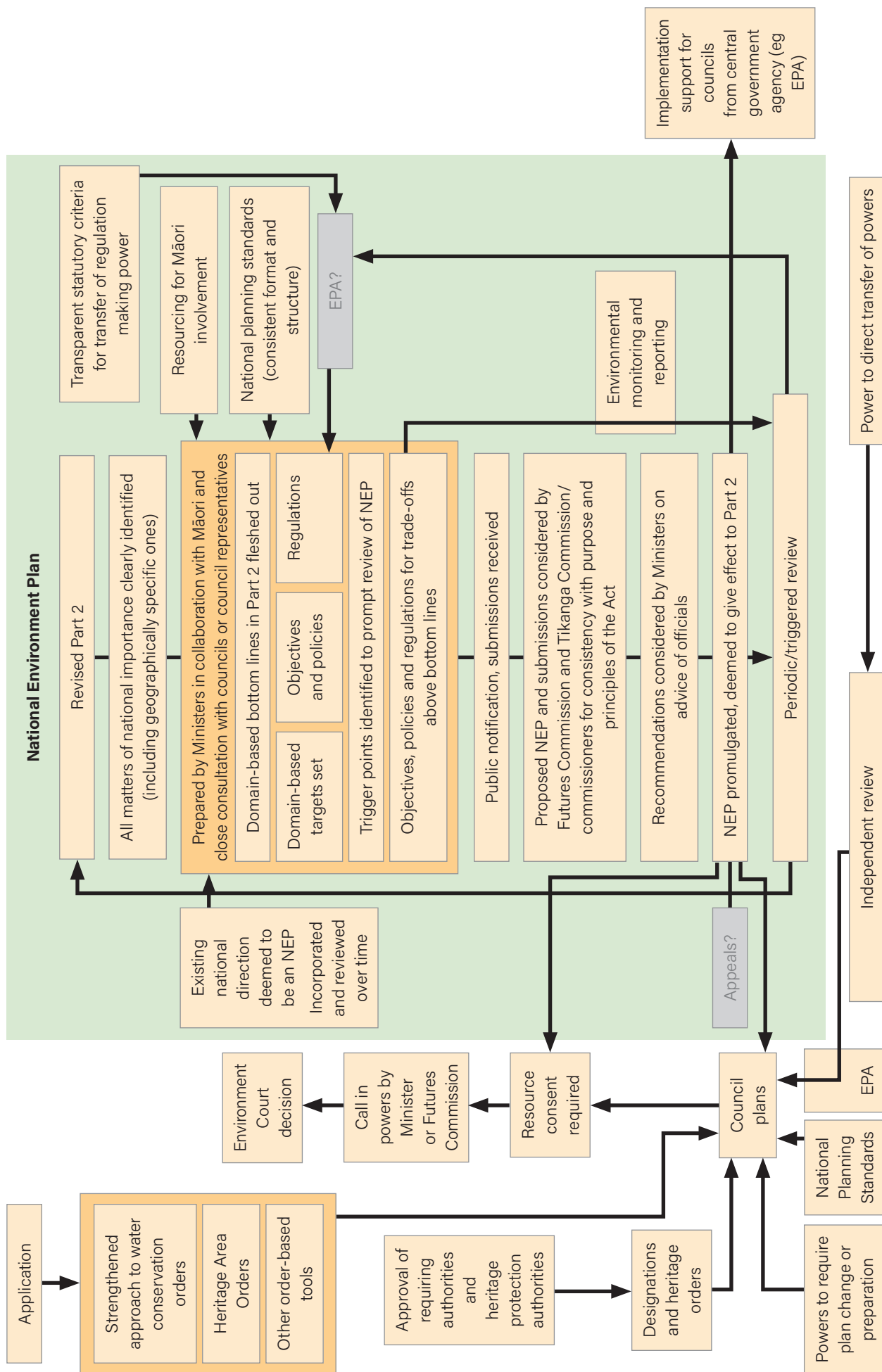


Figure 6.3: An NEP and other key roles for central government under a reformed RMA.

- 65 We don't see this incorporating National Planning Standards, although we also envisage that these would no longer have the ability to include substantive content. Any substantive policy and regulatory provisions would be contained within the NEP.
- 66 M Wright, S Gepp and D Hall *A Review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (2019). It is by no means obvious that there will be consistency given the permissive approach of the NES, including in terms of staying within limits; integrated catchment management; protection of ecosystem health, wetlands, and outstanding water bodies.
- 67 See Resource Management Act 1991, ss 70A-70B.
- 68 See G Severinsen "Climate change considerations under the Resource Management Act: A barrier to carbon capture and storage deployment in New Zealand?" (2014) 22 Wai L Rev 117.
- 69 For example, firm climate change considerations need to pervade higher level strategic legislation, transport legislation, infrastructure planning, government investment and procurement decisions, and many other frameworks (see Chapter 9).
- 70 Not just in restricting or providing standards on direct emissions, but also through land use considerations (eg for urban form, which has the potential to lock in carbon-heavy transport modes).
- 71 Although reviews and changes would be triggered by the monitoring of particular indicators.
- 72 For example, there are separate but overlapping processes for developing national direction on freshwater and indigenous biodiversity.
- 73 On the need for a national level-partnership concerning freshwater and how that might look, see generally Waitangi Tribunal Wai 2358: *The stage 2 report on the national freshwater and geothermal resources claims* (2019).
- 74 In some places, that will be obvious. In others, there can still be considerable uncertainty and argument.
- 75 New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 265.
- 76 Now established through the New Zealand Infrastructure Commission/Te Waihangā Act 2019.
- 77 Climate Change Response (Zero Carbon) Amendment Act 2019.
- 78 See the concept of a Chief Freshwater Commissioner proposed in the Resource Management Amendment Bill 2019, and the quite different concept of a Commission in Waitangi Tribunal Wai 2358: *The stage 2 report on the national freshwater and geothermal resources claims* (2019).
- 79 There are many other targeted commissions, as opposed to "commissioners" (eg the Walking Access Commission established under the Walking Access Act 2008).
- 80 For example, the Land and Water Forum and the various advisory groups that have formed part of the Essential Freshwater programme.
- 81 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 164-166.
- 82 Ibid at 175. Compare New Zealand Productivity Commission *Better urban planning* (2017) at 240, where it is suggested that independence is important where oversight of government power is needed.
- 83 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 175.
- 84 For example, issues with forestry planting being geared towards climate targets rather than long-term and more holistic or synergistic concerns.
- 85 Under a strategic Future Generations Act, discussed in Chapter 8. Formality of creation would be important to give it durability and insulation from outside pressure: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 172.
- 86 The Commission would also have other key roles (eg futures scanning, review of council plans under the RMA, and issuing a report card to the government on its environmental performance). See Chapters 7 and 8.
- 87 Contrast the weak mandate of an institution like the EPA: see Environmental Protection Authority Act 2011, s 12.
- 88 In the same sense as the "purpose of local government" in the Local Government Act 2002. On the importance of a clear mandate, see New Zealand Productivity Commission *Low emissions economy* (Final report, 2018) at 231.
- 89 See J Boston "Anticipatory governance: How well is New Zealand safeguarding the future?" (2017) 12(3) Policy Quarterly at 11; and J Boston *Safeguarding the future: Governing in an uncertain world* (Bridget Williams Books, 2017).
- 90 See <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=11745529>
- 91 Compare the Independent Māori Statutory Board that provides advice to Auckland Council, and the EPA's statutory Māori advisory committee, Ngā Kaihautū Tikanga Taiao.
- 92 A stronger approach than the appointments process for Boards of Inquiry, where there is generally a requirement to consider the need for appointees to have knowledge of tikanga. See, for example, the Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, s 52(5)(c).
- 93 This general approach, in a more informal sense, can be seen in the Kahui Wai Māori (Māori Freshwater Forum) arrangement under the Essential Freshwater programme.
- 94 G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 Wai L Rev 1 at 3.
- 95 On the importance of targeted tasks and subject focuses, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 172.
- 96 For example, issues with forestry planting being geared towards climate targets rather than long-term and more holistic or synergistic concerns (eg indigenous biodiversity, landscape value).
- 97 It is focused on the future, but it is also concerned above all with development.
- 98 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 175.
- 99 Ibid at 214.
- 100 Ibid. That led us to suggest that fisheries sustainability decisions could usefully be integrated into a more holistic statute akin to the RMA, with its associated checks and balances (including the potential for appeals). We pursue this idea in Chapter 11 (on oceans legislation).
- 101 Compare the discussion at G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 173.
- 102 New Zealand Bill of Rights Act 1990.
- 103 For example, consenting being done by the EPA or independent commissioners.
- 104 Later we note a conditional reform that translating such policies to actual regulation could be done by an arm's-length EPA, if indicators did not improve.
- 105 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 106 See <www.newsroom.co.nz/2019/07/05/667804/lighter-methane-target-for-farmers-a-question-of-equity-not-science-report>
- 107 For example, what would it mean for decision-making on council plans if councils were tasked with giving effect to an NEP, but there was also a declaration by the Environment Court that the NEP itself was not in accordance with Part 2? How would that affect the interpretation and weight given to different objectives and policies in the NEP? It would create a significant amount of uncertainty.
- 108 There would be more clarity around whether an NEP is unlawful (in administrative law terms) in light of Part 2, and whether anything has failed to be considered (especially climate change).
- 109 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 164-165.
- 110 Policies under a regional policy statement can be "rule like" and even mapped (eg an urban boundary), but still require expression in a district plan to restrict what people can do on the ground.
- 111 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 174.
- 112 Ibid. Compare also New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 5 and 7.
- 113 Environmental Protection Authority Act 2011, s 12.
- 114 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 176.
- 115 If powers were to be transferred, that may require the potential for appeals on national direction to be revisited, to provide an additional accountability mechanism for the EPA.
- 116 Technically, the recommendation of them for approval by order in council.
- 117 On the role of the EPA in enforcement, see Chapter 7.
- 118 A similar model would be required to implement national direction for biodiversity: see *Report of the Biodiversity Collaborative Group* (2018) at 92.
- 119 See Environmental Defence Society *Submission to the Environment Select Committee on the Resource Management Amendment Bill 2019* (2019) at 8. This would recognise that the government is increasingly expected to "get its hands dirty" in implementation, not just leading policy work or setting regulation.
- 120 See Resource Management Act 1991, s 24.
- 121 See *ibid*, pt 6AA.
- 122 In Chapter 7, we suggest that the development of rules for freshwater to give effect to national direction should, in at least some cases, lie with the EPA, which would rely on this power of transfer.
- 123 That could operate in a similar way to water conservation orders, where a decision to reject the recommendations of a review must be accompanied by a justification.
- 124 Compare positive steps to remove general powers for the Minister to intervene, through regulations, in proposals under the Resource Management Amendment Bill 2019 (going through the parliamentary process at the time of writing).
- 125 Technically, the Minister makes recommendations to the Governor-General for an order in council, which, by constitutional convention, are actioned.
- 126 Applicants are not limited to those who have been approved by the Minister, as with designations and heritage orders. See Resource Management Act 1991, s 201.
- 127 They were first brought into the statutory framework in 1981 through an amendment to the Water and Soil Conservation Act 1967 and were carried through into Part 9 of the RMA upon its enactment in 1991.
- 128 Resource Management Act 1991, s 199.

7. PLANNING UNDER A NEW RMA: LOCAL GOVERNMENT

7.1 Introduction

As under the current RMA, in a future system it would be important for national direction (now in a proposed NEP) to be given effect to in council plans. In some cases, this may be a matter of simply inserting policies or regulatory provisions directly from the NEP without further process.¹ That is necessary to achieve timely outcomes where the need is urgent. However, in other cases, council plans would be expected to give local expression to general policies, or to put in place locally tailored responses to achieve national level targets.

An NEP is not intended to be a replacement for local government planning under the RMA. The idea is that a single, integrated, and coherent national level policy instrument would compel the government to provide direction on matters of national importance and at the same time make it easier to translate and implement that direction at the local level. Many things addressed in council plans would also be about matters of local rather than national importance, and would be constrained,² but not driven, by an NEP. Approaches to many aspects of land use (eg shaping places in urban communities) would be a good example of a firmly local responsibility.

We also see merit in linking new obligations in an NEP to expected funding mechanisms for local government (including, potentially, grants from central government).³ This would recognise that while councils are legally responsible for implementing national direction, they are also quasi-constitutional partners with the Crown in environmental management, not branches of central government. There would be close consultation with councils when central government is developing an NEP, so that cost implications for local government could be worked through from the outset. This is not to say an NEP needs to be *accompanied* by funding per se, only that expected costs and sources of funding should at least be identified and an opportunity provided to broadly agree on them as feasible and fair.⁴

An NEP would outline indicative sources of funding needed for implementation, and would involve need-based or demand-based grants from central government to councils. There would be closer involvement from central government in implementation.

7.2 Local government structural reform

Questions concerning local government boundaries can be fraught, and it is necessary to say a word about institutional design before considering local planning

processes under the RMA. While we are not suggesting instant wholesale structural reform of local government across the country, we see a compelling case for scale to be embraced for some matters (eg infrastructure provision – see Chapter 10), and the transfer or escalation of some functions (eg enforcement and regulation-making jurisdiction for the EPA – see later in this chapter). But if we start shifting functions substantially, it raises broader questions about the nature of local government institutions. For example, some have seen the prospect of losing functions related to the provision of drinking water and wastewater services as an existential threat to territorial authorities.

Questions about council amalgamation and restructuring stray beyond the scope of the resource management system (after all, local government does many other things). Impassioned arguments have been made in favour of greater regionalisation of council boundaries (eg combining all district and regional councils into a single unitary authority). Others have stressed the need to retain (or enhance) a system based on devolution. We also need to keep in mind the pragmatic implications of significant local government reform: it would be an intensely controversial and resource intensive process that could distract from other reform measures.

That said, it is an important conversation that needs to happen soon. We see a strong case for amalgamation where local government units are no longer economically viable, particularly where this is impacting on their capacity to discharge functions relating to environmental protection and the maintenance of essential infrastructure.⁵ This could be done through compulsory referenda.⁶ Scale does matter when it comes to the increasing complexity and challenges of integrated environmental management, especially in a small country like New Zealand.⁷

We also think it is desirable to sharpen some functions of regional and local government. In particular, territorial authorities have had under the RMA primary responsibility for managing land use impacts on terrestrial ecosystems, particularly on private land. Regional councils have had broader and more comprehensive powers related to water and air. There has been a degree of overlap relating to terrestrial biodiversity, which has in practice manifested as a gap, where there is a lack of accountability.⁸ We suggest that a sharper responsibility for biodiversity should lie with regional councils,⁹ which are generally better equipped to develop and implement biodiversity policy across a broader spatial scale. They are also generally better resourced with expert support and can exercise their rating powers to deliver biodiversity outcomes on a strategic basis.

More generally, we see a good case for stronger cooperation at a regional level in planning (especially under

7.3 Local government planning under the RMA

There are serious questions to be asked around the RMA planning process for regional plans, regional policy statements, and district plans. The below discussion proceeds on the basis that current council structures remain broadly the same as now, but the proposals could easily be applied to a model in which there was a shift towards regionalisation or unitisation of councils.

There are two key things that we think need to be done differently in the future. The first is the need for more joined-up decision-making at a broader (regional) spatial scale. The second is that more timely outcomes are required (including for urban planning in areas of high growth¹⁹ and freshwater). The last five years or so have seen a stream of targeted and ad hoc measures designed to address some of these issues (eg special housing areas, an NPS on Urban Development Capacity, the Auckland Unitary Plan process, proposed planning powers for an urban development authority, a streamlined planning process, and proposed changes to freshwater plan making).²⁰

The need for plan agility, however, seems more systemic than those particular examples. There is urgency in relation to a whole range of matters, including in the defence of environmental bottom lines and climate change adaptation. We have heard many complaints that the Schedule 1 process is costly, time-consuming, and almost inevitably results in appeals that can drag on interminably. Plans can take up to 10 years (from notification to resolution of final appeals) to become fully operative, just in time for another review. An average timeframe of four to five years for a plan change is far from ideal.²¹

A need for speed is tempered by the need for robust, evidence-based decision-making and a role for the public to participate and provide input. There is an inherent

tension here, as explored in the Phase 1 report.²² And as at the national level, there are questions around the proper role of independent institutions (eg commissioners, the Environment Court) and accountable ones (councillors).

There are some surgical, less intrusive and incremental reforms that we consider would be useful in the short term. In particular, we encourage the further development of National Planning Standards, including a common core of definitions, format and structure for plans, along with reasonable timeframes for transition.²³ In particular, we encourage a structure that requires the clear bottom lines outlined in a new Part 2 of the RMA to be addressed in a common way, enabling easy comparisons across jurisdictional boundaries and making it easier to give effect to bottom lines in an NEP. More generally, we see room for reducing the complexity and the sheer length of the RMA.²⁴ Much of that complexity is tied up with the local planning process. We do not suggest specific measures by which that could happen here – it would involve an almost section by section analysis of the Act – but there should be a process to do this following framework level changes.²⁵

However, we also think that change is required to the core of the plan making process, by making it more agile at the same time as ensuring robustness of decision-making and encouraging participation.²⁶ These concerns were among the key drivers behind the bespoke process for developing the Auckland Unitary Plan, and this experience is instructive.

A new planning process under the RMA needs to be more agile, in order to respond to a rapidly changing biophysical and social context. This should be done in a way that provides for robust decision-making, meaningful public participation, and more timely outcomes.



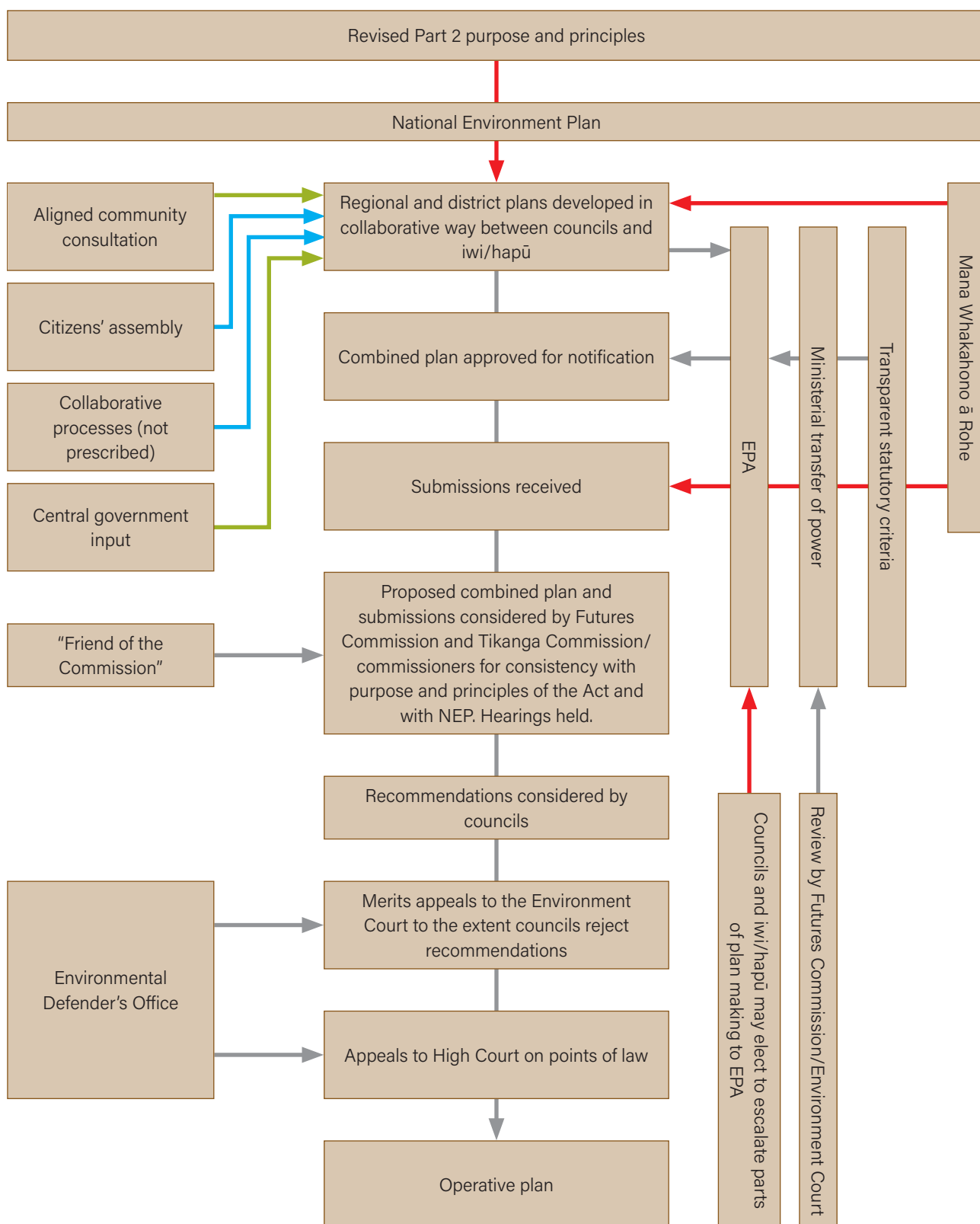


Figure 71: An Auckland Unitary Plan-type model for council planning under the RMA. Red arrows denote strong directions (eg give effect to); blue arrows denote medium-strength directions (eg have particular regard to); green arrows denote weak directions (eg take into account); black arrows denote process directions.

In particular, a single plan – for convenience, a “combined plan” – would be developed in a collaborative way between a regional council, territorial authorities, and iwi/hapū, each consulting with their respective communities.³⁵ There would be an obligation to work together. This would effectively be compulsory use of what the RMA provides

for as “combined regional and district documents”.³⁶ A joint committee, based on the model provided by section 80 of the existing RMA, could be an effective means of implementing this. In terms of staffing arrangements, there would be merit in the use of cross-cutting “project teams” within and across councils. These could break down silos

plans.⁵⁵ Alternatively, the Ministry for the Environment and Ministry for Housing and Urban Development could be required to provide comment on a draft prior to notification.⁵⁶ A sub option would be for the Minister (or Department) of Conservation to have special consultative or even approval powers in relation to biodiversity related aspects of plans (instead of being just one submitter among many), as is the case for coastal plans already. That may be necessary to ensure that the Department has both the mandate and the tools to carry out effective system stewardship for biodiversity (see Chapter 12).

After it was prepared, a proposed combined plan would be publicly notified,⁵⁷ and submissions received and summarised. There may be some merit in preventing those who have developed the plan, and approved it for notification, from then making submissions on it. However, in a jointly prepared plan that may be a valuable safety valve by which any differences of opinion (eg between councils or between councils and mana whenua) could be highlighted for consideration. Topic-based mediation would be provided for.

A key difference from the Auckland Unitary Plan process would be that the standing Futures Commission and Tikanga Commission or commissioners would be tasked with reviewing the notified plan, section 32 analysis, and submissions. Hearings would be held in two stages.⁵⁸ The first would be to set the strategic policy framework (including, where relevant, targets), and the second would be to consider more detailed matters (including regulatory provisions).⁵⁹ There may be merit in limiting further submissions. The Commission(s) would make recommendations to councils, based on its assessment of whether the plan implemented Part 2 of the Act, gave effect to the NEP, and gave effect to the principles of the Treaty of Waitangi. Councils (for their respective jurisdictions) would then be able to decide whether to accept or reject those recommendations. As in the Auckland experience, only to the extent they were rejected would there be the opportunity for merits appeals to the Environment Court (in which case other persons could join proceedings as section 274 parties). There would also be appeals on points of law to the High Court.

The Futures Commission in this option would play a valuable role, not just as an expert, independent check and balance on local democratic decision-making.⁶⁰ It would also ensure that the plan formed a coherent whole at a regional level. Furthermore, it would provide a voice not just for future generations of people generally, but also future residents of an area. It would closely consider the national, not just local, interest.⁶¹ While local collaborative processes and citizens' juries are extremely valuable, they can still run the risk of presenting the views of current residents and seeking to entrench existing preferences (eg low density development). Even "representative" councils themselves can run this risk, given the characteristics of people who are most likely to vote in local elections and submit on plans (eg older, wealthier people).⁶² A role for the Futures Commission here would provide some balance.

Across all of this, reasonable timeframes and support for participants would be crucial. In the Auckland Unitary

Plan context, much feedback has indicated that the time available for submission and decision was too short, and there was considerable submitter burnout. A future system also needs to be mindful of the need not to discourage public involvement in what should be a reasonably informal and non-threatening setting.⁶³ Meaningful public participation is crucial for many reasons, as outlined in the Phase 1 report, and needs to be encouraged, not just allowed.⁶⁴ As explained in the spotlight below, we can draw similar lessons from the Christchurch experience of a bespoke, streamlined district planning process (albeit in a very different context).

It would in our view be a positive step to establish a publicly funded "friend of the court" (or, in this case, "friend of the Commission") model to assist participants (especially lay participants) through the process,⁶⁵ as well as a properly funded statutory Environmental Defender's Office charged with taking on public interest litigation (to the extent appeals were allowed).⁶⁶ At present, the Environmental Legal Assistance Fund is fairly constrained, and is not available to individuals,⁶⁷ and it is often left to civil society groups to litigate under their own steam. These reform measures would be intended to counteract the inequality of resources that often arises in the context of resource management court proceedings, as well as support people and communities through what can be a demanding process.

One option for reforming the local planning process under the RMA is to adopt a variant of the Auckland Unitary Plan model. Merits appeals would be constrained by whether councils accepted or rejected the recommendations of a standing, independent Futures Commission. A "friend of the Commission" model could usefully be established to assist submitters through the process, and there should also be a new, publicly funded Environmental Defender's Office established to pursue public interest litigation.

Creative, bottom-up measures for community engagement would be desirable, including the use of citizens' assemblies and juries and informal collaborative processes. We also see a case for more direct central government input (including resourcing assistance) in developing a plan.



significant taonga), beyond specific Treaty settlement obligations.⁸¹ The RMA provides a mechanism for that to happen, but no transfers of power to iwi authorities have occurred in the almost 30 year history of the Act.⁸² Another alternative would be, in the model described above, to provide an obligation for the Futures Commission's recommendations to be approved/ rejected by mana whenua as well as the relevant councils (thereby opening up appeal rights).

The extent to which there is direct representation by Māori as final decision-makers across the system is a challenging issue – especially if there are many different iwi or hapū across a region. Self-organisation is a matter for Māori themselves rather than something to be imposed from above, but greater clarity around who has the authority to speak and engage with councils could be useful.⁸³ In the Phase 1 report, we noted that:⁸⁴

In some areas there is little or no ambiguity about which is the relevant iwi to engage with In other areas it is very unclear and often highly contested. For example, in Northland there are hundreds of hapū, some with populations greater than many iwi. In practice, engagement with hundreds of hapū is not

usually possible. How should councils determine which to engage with? What criteria are relevant when deciding this?

This is an area for which improved statutory definitions, processes and standards could be developed. In some places, such as Auckland City, the "mana whenua" recognised are those with Treaty settlements. While this ensures that the entities have a legal personality and constitutions providing for accountability to beneficiaries, a tikanga based solution is an alternative ... Whatever the solution, the problem is a real one for both councils and tangata whenua in many regions and could usefully be addressed in system reform.

In any reforms, we must also take care to ensure that existing Treaty settlements (which may significantly alter the default local government planning process) are upheld, as well as more general legislation like the Marine and Coastal Area (Takutai Moana) Act.⁸⁵

Māori involvement in local planning should be strengthened in a future system. There are several options for how that could happen.



Whareniui, Ōrakei Marae

Taking Wellington City as an example, a hybrid decision-making panel could comprise:

- An Environment Court Judge (Chair)
- One (or two) independent commissioners appointed by the Chair⁹²
- One member nominated by relevant iwi/hapū
- Two members nominated by the Wellington City Council
- Observers from the Greater Wellington Regional Council and the Crown

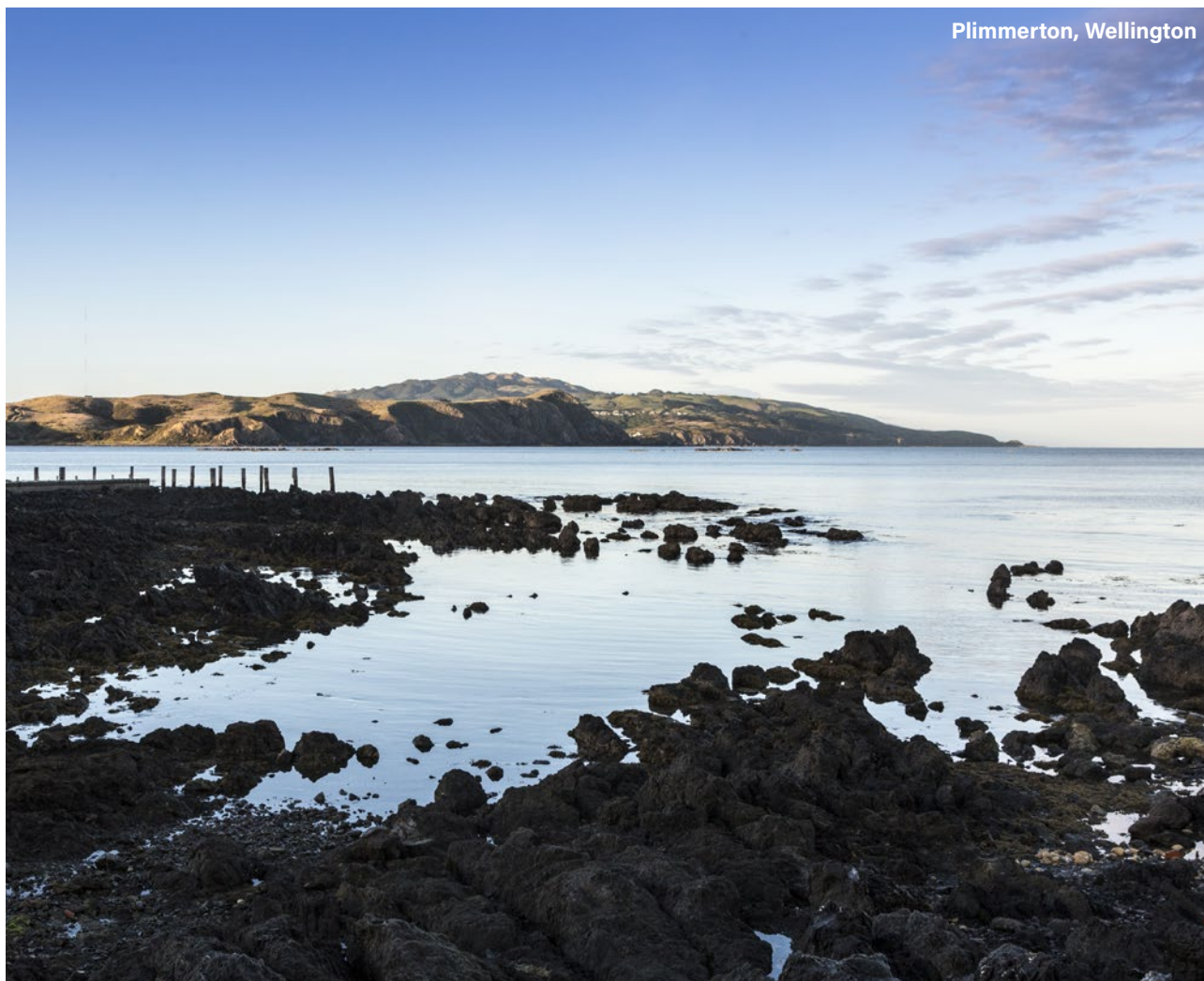
As in Option 1, there would be limited rights of appeal from the decisions of this hybrid institution. Appeals could either be limited to points of law to the High Court⁹³ or to a new senior “appellate division” of the Environment Court. In either case, there could also be a requirement to obtain leave, or prove a *prima facie* case. For example, appellants could be required to demonstrate an issue of local or regional importance, so that the Court at appellate level is not bombarded with site-specific zoning appeals.

In this hybrid model, it would be important to ensure relative parity between the independent and locally elected members of a decision-making panel. Such questions will no doubt prove controversial, and are open to allegations of undermining local democracy. However,

it is important to remember that the current system is already strongly defined by an (ultimately) independent decision-making power (in the Environment Court), even if merits decisions are limited by the scope of appeals. An institution with a preponderance of independent members would therefore not necessarily be “less” democratic than what we now have, just independent or accountable in a different way.

There may also be issues over the extent to which iwi/hapū should be represented relative to the community more broadly (or whether other mechanisms, like Māori wards for council elections, would be more appropriate), and how decisions are to be made in the event of intractable conflicts between members of the panel. The issues explored in the earlier spotlight on Māori as gatekeepers would be equally relevant, although we note that iwi/hapū *would* be directly represented on the hybrid decision-making panel in Option 2, not just as co-developers of a plan.

A second option for a revised RMA local planning process would be to have a single-stage hearing by a hybrid institution (combining the Environment Court, commissioner(s), councils and iwi/hapū). Appeals would be limited to points of law.



would not need to be the case in the future. It is useful to consider, again, the Auckland Unitary Plan experience. What were the key drivers behind that kind of process?

Speed was one of them. A desire for a strong, independent and national voice was another. To us, those things are generally desirable features for future planning irrespective of the context, scale or significance of the issues in play. But in Auckland there was also the need to align multiple, complex plans in the wake of recent fundamental institutional change (council amalgamation into one super city), and in light of the higher level Auckland Plan (the non-RMA spatial plan). In short, the idea was to “reset” the planning environment in Auckland under a new unitary framework, not to fundamentally change how the RMA would apply to it in the future. We are now seeing many plan changes to the Auckland Unitary Plan largely progressing in the normal way.⁹⁹ Similarly, recent bespoke planning arrangements in Christchurch were designed as a one-off “emergency” intervention to address post-earthquake regeneration (including for reasons of speed and short-term central government involvement in recovery), not as a permanent state of affairs.

Thus there is a valid distinction to be drawn between a process that “resets” entire plans and one that represents an ongoing process by which parts of plans are then changed. In a future system, such “resets”, applying to whole plans, will in our view be needed for several reasons: (1) to align plans with each other (eg across a region, to form single combined plans); (2) to implement the direction in a new Part 2 (including strengthened Treaty obligations); and (3) to give effect to an integrated, comprehensive NEP. All of those things will take time, but they require a holistic view of a wider planning landscape irrespective of whether local government units ended up, in the longer term, being reorganised along regional lines. The Option 1 process provides this.

However, once plans are reset, is there an ongoing need for this process? In some circumstances, that may be justified. In particular, every so often (eg 10 years) a robust process like that may be required to ensure that everything is working well together (a periodic reset in the form of a whole of plan review).¹⁰⁰ We see the Futures Commission as having an important role here, where a holistic, future-focused and independent voice has input to all parts of a plan at the same time. The risk otherwise is that the cumulative effects of private and public plan changes (and consents) may lead to a plan becoming disjointed over time, and in need of a more drastic overhaul later on. That would not be a desirable outcome. Despite the best of intentions, plan changes and smaller scale reviews can have significant cumulative effects to the integrity of plans, and potentially, when viewed as a whole, end up departing from the purpose and principles of the Act.

There may also be the need for particularly *significant* proposed plan changes to be escalated to that process. Triggers based on significance may be difficult to pin down, but existing criteria for call-in may provide a useful

starting point. Such escalation powers could be exercised by the Minister or by the Futures Commission itself.

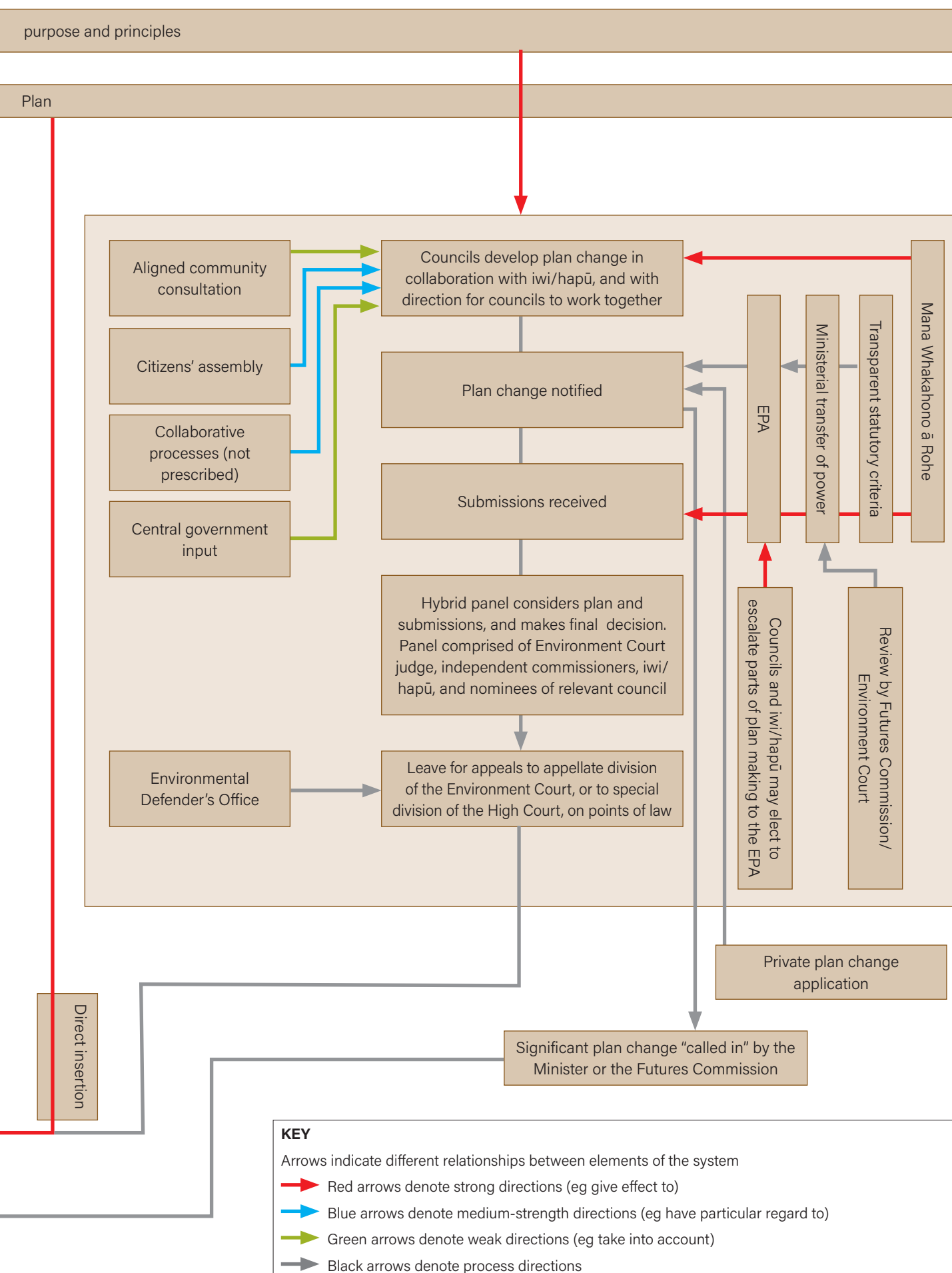
However, in between such periodic health checks and for matters that do not meet a significance test, we see merit in using an Option 2-style process. Plan changes will always be necessary in between whole of plan reviews, and in our view they need to be more agile than at present (as well as providing for both public input and more independent decision-making up-front). For example, Plan Change 13 in the Mackenzie Basin has seen an enormous amount of time, energy and cost expended. So too have the site-specific zoning changes to the Frankton Flats area in Queenstown, which have prompted an avalanche of appeals.

While significant steps have been taken in recent times to improve timeliness of outcomes at the Environment Court level (see the spotlight below), and there is the ability to call in (or request call-in of) plan changes for direct referral to the Environment Court, we see an opportunity to address more systemic issues with the two stage plan change process. In short, this would mean using the Option 2 process outlined above for plan changes, (including to implement rolling reviews of parts of a plan). The idea is that direct referral to the Environment Court would no longer be needed. How this would work is shown below in Figure 7.3.

A spotlight on timeliness in Environment Court decision-making

The Environment Court has established an effective process for narrowing issues in dispute, directing (as much as possible) parties towards resolution, and timely and effective decisions. Participation in alternative dispute resolution is now mandatory (if requested, and unless leave is granted).¹⁰¹ Other alternative measures, such as “charettes” or facilitated meetings held by one division of the Environment Court with parties and counsel present, are used to narrow legal issues (such as scope) before a hearing. Expert conferencing can be extremely valuable to identify technical points of agreement. The much more hands-on approach to case management at the Environment Court level means that we are less likely to see the sorts of time and cost blowouts of the past.

Such measures could usefully be applied to both the processes described above. Many (although by no means all)¹⁰² of these measures are about dispute resolution between parties rather than “planning” per se, but (as discussed in the Phase 1 report), the distinct role of “private” dispute resolution often cannot easily be separated from the “public” decision-making in which those tensions arise.¹⁰³ The important thing will be to resolve such disputes in a way that does not unduly impinge on the timeliness of publicly important outcomes. Proactive measures to resolve disputes can help, even though private settlements do not remove the need for decision-makers to consider all relevant issues under the Act.¹⁰⁴



The former could, instead, be treated as a replacement for the latter. For now, we simply note that some form of regional strategic framework (including its expression in spatial terms), will be desirable in a future system, either as part of a combined plan or sitting above it.

It would be vital to have a level of regional strategy sitting above, or embedded within, combined plans. However, whether this would be an RMA instrument (a regional policy statement) or a broader strategic spatial plan produced under separate, overarching legislation, we leave as an open question. We discuss that separate act and strategic planning in the following chapter.

7.9 A thought on the role of the Environmental Protection Authority

In the discussion above, we have not specifically mentioned an increased role for the EPA. Independent input is primarily designed to be provided by either the Futures Commission (for plan creation and review) or (for most plan changes) the Environment Court/ commissioners. However, in the context of national direction, we said in Chapter 6 that serious thought should be given to separating responsibility for the policy aspect of national direction (ie NPSs) from the regulatory aspect (ie NESs) in some cases, such as for freshwater.

We consider that a similar stance should be taken in relation to local planning. While councils should generally have the role of developing¹¹¹ objectives and policies for their area, the translation of those to regulatory restrictions (eg specific environmental limits and restrictions that bind people) could instead be given to regional branches of an expanded and strengthened EPA, at least to the extent that biophysical bottom lines were at stake.¹¹² The removal of regulation-making power might even provide an incentive to councils to draft policies with greater specificity (ie “rule-like” policies), making consenting decisions more predictable. Careful thought would need to be given to whether a rule-making function could be divorced from a policy-making function, or whether the two need to go hand in hand.

Alternatively, conferring regulatory powers on the EPA might be a less intrusive measure that central government could be permitted to take in the event of council dysfunction (rather than replacing a council with commissioners). In other words, it could be the next step to seriously consider if things worsened or did not improve (eg if environmental limits were exceeded in a catchment), or where it was considered necessary to achieve compliance with national direction within ambitious timeframes. For both those reasons, a greater role for the EPA is a particularly attractive prospect to address freshwater issues in some regions, where issues are already apparent and where complying with national direction is a daunting task both politically and in terms of resourcing.

Of course, this should not be a *carte blanche* for the EPA to override all council planning functions.¹¹³ There should be clear principles around when central government can (and should) intervene to transfer powers, in line with a clearer definition of subsidiarity in the Act.¹¹⁴ For example, one would not want the EPA taking over local zoning powers from councils, but the case for independent development of freshwater quality rules is much more compelling. Capacity within the EPA should, in the short-term, be strengthened with this possibility in mind.

Finally, we see a case for councils to be *able* to escalate planning issues to the EPA (or other suitable agency) where there are genuine resourcing issues or where necessary to give effect to national direction.¹¹⁵ That could be useful, for example, to implement aspects of an NEP relating to climate change adaptation or mitigation, where local political considerations can make such questions fraught. A government agency would be obliged to accept such a transfer when criteria were met.

While we are not proposing a blanket removal of RMA regulation-making powers from councils, a strengthened ability to transfer such powers to the EPA (either permanently or on a temporary basis) would be a useful measure where needed to give effect to national direction or to address at-risk or degraded environments. Capacity should be strengthened in the EPA to anticipate such a measure, and close consideration should be given in the short term to deploying it in the context of freshwater planning.

7.10 Consenting under the RMA

We note that while the planning framework will be crucial in a future system, consenting will also be important. A number of suggestions have been put forward on that front.¹¹⁶

Consenting is not just a local government matter. For example, consent applications can be called in by the Minister, directly referred to the Environment Court, and triggered by rules in national direction. Strictly speaking, it strays beyond the focus of this chapter. However, most RMA consenting is a local business, and here is a logical place to address it.

In our view, it should be more obvious in a plan what development is allowed and not allowed and in which places,¹¹⁷ providing greater predictability of outcome for developers as well as firm and transparent environmental limits.¹¹⁸ Over-reliance on a series of site-specific or activity-specific consenting decisions, within a planning landscape defined by general (and sometimes conflicting) policies, has contributed to unacceptable cumulative impacts over many years, as well as extensive complaints from applicants who do not know whether a consent will be granted or not. In the Phase 1 report, for example, we noted that it is “alarming that the imposition of bottom lines in the landmark *King Salmon* decision relied on an

red tape is a common complaint, the Environment Court has developed effective case management and dispute resolution mechanisms over the years (see spotlight earlier in the chapter), and the fact remains that the vast majority (96 per cent) of consent applications remain non-notified.¹³¹ Where notification does occur, there is generally good reason for potential appeal rights to follow. And while complaints about abuse of process are legitimate, and have been counteracted through various reforms (eg restrictions on vexatious litigation and trade competition arguments), the fact remains that less than 0.5 per cent of consent decisions are appealed,¹³² and most of those on legitimate grounds. Providing greater clarity in plans should reduce developer concerns. An alternative would be for appellants to be required to prove a *prima facie* case or discharge some form of evidential burden, and allow the Environment Court to grant or decline leave for merits appeals. However, that raises issues of access to justice, especially for those appellants representing environmental interests that are often less well-resourced than consent applicants.¹³³ We do not recommend it.

Overall, we remain unconvinced that the benefits of constraining appeal rights to the Environment Court in the consenting context outweigh the risks of doing so. We also see a strengthened role for the EPA in consenting where there is a national interest, and stress that a more holistic view of consenting should be taken where possible.

Perhaps a more important aspect to focus on than appeal rights is the need for more independent oversight over notification decisions. These have enormous significance, in that the notification status of an application determines who has rights to submit and appeal. Presently, people

may not be aware an application has even been made; if they are, their only recourse is judicial review. Reform on this front *could* involve introducing new appeal rights to the Environment Court in relation to notification decisions, an idea that has been seriously floated for a while now.

While we consider that to be a desirable move in principle, it would add an additional step to a process that many want to be more streamlined. A reasonable alternative would be for the Act to require councils to send all information on applications and notification decisions to a new Environmental Defender's Office, which could then determine whether to exercise appeal rights within a reasonable timeframe.¹³⁴ In other words, only that office would have standing to appeal in relation to council notification decisions.

Alongside that measure, a new notification status could be introduced: where a proposal is notified and submissions invited, but where there are no associated appeal rights (or appeal rights only for an Environmental Defender's Office). That would allow for valuable information to be received by councils (reducing the risk of a situation like the Te Mata Peak walkway occurring, where consent was granted and construction commenced before iwi and the public knew about the proposal),¹³⁵ and for communities to feel in touch. It would also allow the public to approach an Environmental Defender's Office to exercise its appeal rights if people felt a notification decision was wrong.

In a future system, an independent, publicly funded Environmental Defender's Office should have standing to appeal councils' notification decisions to the Environment Court.



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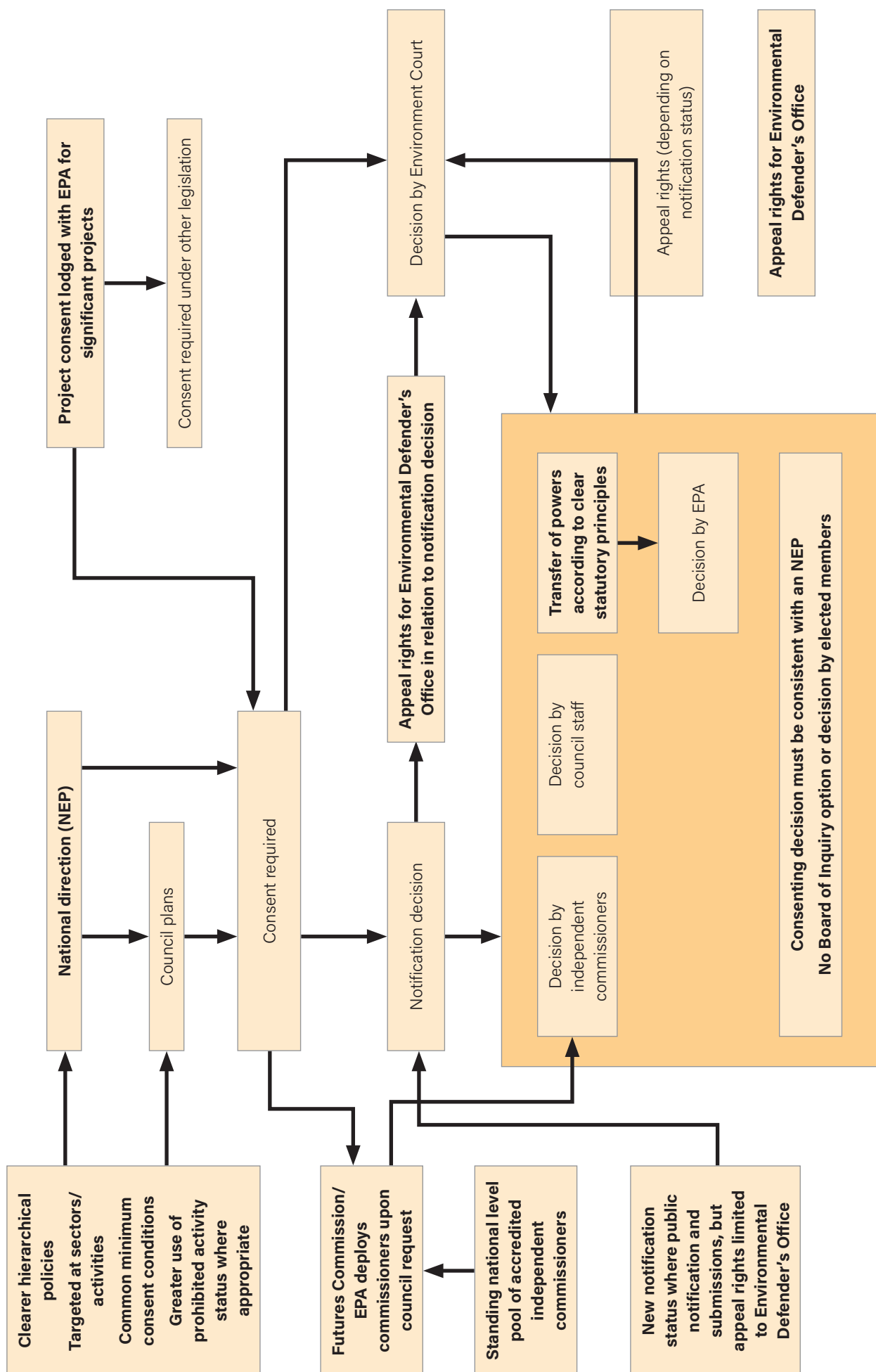


Figure 7.4: Consenting under a reformed RMA. Bold text shows key differences.

Strengthened provisions to revoke or refuse consent due to unlawful actions would also be desirable. Applications (including to re-consent a proposal) should be able to be declined where an applicant or associated party has a history of RMA offending. This would allow Councils to consider the likelihood that conditions of consent would be complied with when processing applications. It would also act as a deterrent for recidivist offenders, who would find themselves unable to obtain further consents should they intentionally and repetitively breach the RMA.

There should also be no political influence in enforcement decisions. There is an important distinction between the political (councillors) and operational (staff) components of councils. CME is a technical discipline, and needs to be formally separated from the value-based policy creation¹⁵⁹ task for which accountable councillors are elected. Previous work has highlighted issues in the current system with the politicisation of enforcement decisions, and mechanisms to avoid that should be formalised in legislation, rather than just good practice, informal protocols, or regulations.

Compliance monitoring and enforcement should be strengthened in a future system, including by broadening the range of penalties available under the RMA and strengthening the ability to decline or revoke consent in the event of persistent non-compliance. A future system should see no political influence in enforcement decision-making.

We also think that there should be a stronger, albeit not absolute, role for the EPA. In particular, the EPA should have strong originating enforcement powers (to take enforcement action itself), to be used in appropriate situations. Measures to that effect are already being proposed in the most recent RMA amendment bill.¹⁶⁰ There, the EPA would be able to take enforcement action in three cases: (1) where councils failed to do so; (2) to assist councils in doing so; and (3) to forcibly take over any action that had already been started by a council. Generally, these are positive measures in our view, in that they address issues with poor decision-making and capacity at a local level¹⁶¹ and provide a mechanism for a national level interest to be reflected in national level action. At the same time, they avoid the complete transfer of enforcement functions away from councils, which would fragment the close connection needed between consenting and compliance. It provides the nuanced approach that is needed. To assist in this function, the EPA should have substantial, centralised CME capacity and a hub of expertise, which relies on ongoing funding and resourcing.¹⁶²

That said, in line with a need for central and local government roles to be better defined more generally in a future system, we see merit in a clearer and more coherent interface as to when the EPA would get involved. We have said a similar thing in the context of giving the EPA a greater role in regulation-making and consenting. This could be done through a formal instrument (eg part of an NEP, or provisions defining “subsidiarity” in the RMA

itself). Alternatively, it could be a less formal mechanism. For example, on a broader scale than just CME, the Productivity Commission has suggested a “partners in regulation” protocol to operate between central and local government.¹⁶³ It could provide an understanding between councils and the EPA as to when the latter should intervene. The proposal in the latest RMA amendment bill for the EPA to be able to forcibly take over enforcement action already begun by a local authority could benefit from greater certainty.

For example, there may be a case for EPA involvement where industries, companies and individuals operate and breach at a national scale (eg across different council boundaries); or where there is a breach of national level restrictions (eg of permitted activity standards contained in an NEP, where consent conditions are triggered by the operation of an NEP, or where restrictions are linked to the Crown’s Treaty obligations).¹⁶⁴ Another trigger point could be where non-compliance was assessed to be of a nationally significant *scale* or *significance* (eg a breach would be “called in”),¹⁶⁵ or where councils lack the resource to take action (eg for significant prosecutions) and themselves request escalation. At present, the Bill provides that the EPA *may* assist councils, but there is no *obligation* to do so even if certain criteria are met. That may still allow things to fall through the cracks in a non-transparent way, especially if EPA activities are subject to politically driven funding constraints that we have seen influence the Department of Conservation’s RMA advocacy function.

The EPA should also provide national level, apolitical oversight over council enforcement activities.¹⁶⁶ In other words, it should have a role not just in taking on enforcement action itself (in appropriate circumstances), but also in enforcing enforcement by others (ie making sure it is happening properly). Part of this may be through providing incentives, including proactive capacity building, training and resourcing for councils (including those which were struggling). As discussed in a more general context in Chapter 13, the performance of councils for CME needs to be monitored and evaluated in a more structured way, and failures (including a failure to monitor, not just a failure to take enforcement action based on monitoring) need to trigger a concrete response. Therefore a future system could usefully *require* the EPA to take, or take over, enforcement action and related monitoring if that were needed to meet the purpose of the Act.

Persistent systemic failures by particular councils could also prompt the assumption of CME responsibilities by the EPA for a defined period of time¹⁶⁷ (which could be treated as a forced, time-bound transfer of powers between public authorities under section 33 of the RMA).¹⁶⁸ Such a role would be assisted by the more systematic nesting of CME data within council and national level environmental reporting,¹⁶⁹ because it would make persistent failings and their impact on environmental outcomes more obvious.¹⁷⁰ In Chapter 8, we discuss the use of a scorecard system that would, essentially, audit the performance of public authorities, including in relation to their CME responsibilities.

7.12 Allocation

Above, we have talked about RMA “plans” and the “plan making process” largely in generalities. We have also looked at consenting under the Act in general terms. However, the concepts of planning and consenting hide a number of quite different roles that are being performed. In particular, plans and consents perform four of the seven key roles that we expect from the system as a whole: setting environmental bottom lines (and associated limits on human activities), facilitating trade-offs above bottom lines (including positive outcomes where synergies can be achieved), protecting Māori interests from harm, and allocating non-private resources covered by the Act.¹⁷⁷

The last of these roles – allocation – deserves a specific mention, because it is of quite a different character to other roles and driven by a wider range of goals. Resource allocation is also by no means just something that happens under the RMA, although that is where most attention is often focused, due to the contested nature of the resources that the Act manages (eg freshwater). Allocation is about how to apportion rights¹⁷⁸ to use a resource, usually under conditions of scarcity. Here, *someone* is allowed to use something, but not *everyone*. Who should get to do so?

This question is not about environmental protection per se. We have previously pointed out, for example, that being able to trade water (a market-based tool for reallocation) may make use more efficient, but is itself no guarantee of better environmental outcomes.¹⁷⁹ All allocative decisions therefore need to exist within a well-defined and defended envelope of regulatory environmental restrictions.¹⁸⁰ That envelope could, alternatively, be seen as a regulatory allocation to the environment itself (which is reflected in the idea of Te Mana o te Wai, or in the notion of vesting water rights in a publicly controlled and funded Environmental Water Holder).¹⁸¹ It is also worth noting that while some things are scarce by their very nature (eg there is only so much water in a river, or so many people we can squeeze onto the Tongariro Crossing), scarcity can be created or increased by imposing regulatory restrictions (eg if we impose a minimum water flow for ecological reasons, or cap entry to a national park).

All natural and physical resources need to be allocated *somehow*. Few resources are abundant to the extent of being inexhaustible and equally accessible to all.¹⁸² For some, we have fairly well-established mechanisms for doing so. For example, resources like land have been allocated largely by historical circumstance¹⁸³ and are transferred mainly through market transactions (I can buy your property, and you can sell yours).¹⁸⁴ That said, we have some more directive mechanisms for the redistribution of land, such as compulsory acquisition for public purposes,¹⁸⁵ frameworks for the disposal of Crown land,¹⁸⁶ or transfer to Māori as part of a Treaty settlement process. Some resources are publicly owned but require a system whereby they are redistributed into private ownership (eg Crown owned minerals like oil and gas are often subject to a bidding process). Other “resources” are

not specifically owned by anyone, but for some there are property rights to take a certain proportion that can then be transferred using market mechanisms (eg quota under fisheries legislation).

However, allocation is not just about who has “ownership” (essentially, a collection of property rights). It is also about how we apportion rights/privileges to use or develop a non-private resource. Some cases are obviously allocative in intent – for example, rights are allocated to abstract freshwater under the RMA (eg for irrigation purposes), or to occupy coastal space (eg for a jetty), even though the Act is adamant that there is no “property” in a consent.¹⁸⁷

Other cases are less intentionally “allocative” in nature. For example, a decision to impose an urban boundary effectively allocates rights to develop land in some ways (those on one side of the line can, while those on the other side cannot). There, an artificial category of “urban” land is created and treated as a scarce resource, with a regulatory limit that reflects the public interest in a compact urban form, the protection of rural land, and the efficient provision of public services.¹⁸⁸ That does not affect who “owns” the land, but it impacts on what owners (and anyone else) can do with it, and therefore how much it is worth.¹⁸⁹ This allocates a resource, although it occurs by a side wind and is generally not charged for or compensated. Overall, the benefits and burdens of public interest restrictions tend to lie where they fall (at least under the RMA).

Furthermore, allocation is not just about who has the right to “develop”, “take” or “occupy” a resource. As we pointed out in the Phase 1 report:¹⁹⁰

[A]llocation is not just about taking things. It is, more broadly, about using resources. For example, we need to allocate rights to use the limited assimilative capacity of receiving environments (like a waterway’s ability to deal with nutrients), not just rights to extract resources from them (freshwater). If a catchment can cope with only a certain nutrient load (before infringing a bottom line), we need somehow to allocate that load between different dischargers.

Overall, we note that allocation is a complex and fraught area of resource management. Tools and aims have developed in an ad hoc way, depending on the resource in play (eg the climate’s assimilative capacity, freshwater takes and wild fish are all allocated in very different ways), and different ways in which a resource is used (eg taking water, discharging into it, or using its surface). Some solutions have been largely based on using market tools within a regulatory envelope (eg the allocation and transfer of land, wild fish and Crown minerals). Other solutions have been regulatory (eg the distribution of “urban” land, or redress for Treaty settlements).

Allocation is a distinct role that the system has to play, and raises difficult questions around fairness. Different resources are allocated in different ways in the current system.

As a starting point, we see the RMA as the best place in which allocative issues should play out for resources being managed under it (eg coastal space, geothermal energy, freshwater). This is because there are close links between the protection (sustainable management) of such resources and how they are allocated. For example, some creative judicial decisions have considered that allocative decisions can – in the absence of any meaningful normative direction in the RMA – be made based on which use would *better* achieve the Act's broad purpose of sustainable management.¹⁹⁴ We therefore hesitate to recommend the integration of all allocative questions (ie for all kinds of resources) within a single "Allocation Act" under a common purpose and principles, which was one option that was floated in the Phase 1 work.

We also see a good case for retaining a separate allocative regime for Crown owned minerals (eg oil and gas), under the Crown Minerals Act as there is much weaker link between their allocation and protection. This is because such minerals are non-renewable resources (ie we don't protect them in order to be able to use them in perpetuity – they cannot be managed "sustainably"),¹⁹⁵ and because the question of whether they are there or not (as opposed to the method of their extraction) does not underpin environmental wellbeing.¹⁹⁶ For example, if all the silver under the ground were somehow to vanish tomorrow, the implications for the environment would likely be minimal: there is no environmental bottom line or moral expectation for how much of the mineral should remain in its natural state. The degree of connection between protective and allocative aspects of decision-making is therefore much weaker, justifying a targeted regime to fill the gap.

We can contrast the position of mineral allocation with the allocation of fish under the Fisheries Act. Protections for fish stocks – the presence or absence of fish, and their numbers and location – are intimately connected with the health of localised marine ecosystems. They form part of a complex ecological web, and are a renewable resource to be carefully managed rather than mined. There are strong links between an allocative framework where people's rights to take are highly sensitive to ecological change (even one based on an economic tool like quota), sustainability measures, and the health of the broader marine ecosystem. In Chapter 11, we therefore explore the notion of greater integration of environmental and allocative roles in an Oceans Act, in much the same way that allocative and protective considerations are nested within the RMA for freshwater.

For different reasons, the allocative framework set up for trading greenhouse gas emissions rights under the Climate Change Response Act should, in our view, remain separate from environmental statutes like the RMA. There is a conceptual reason here: although emissions trading is closely connected to environmentally protective policies within the ambit of the RMA¹⁹⁷ (ie the reduction of emissions), the tool being used (a market-based one) does not require decision-makers to actually consider or weigh these protective policies when making allocative decisions. Within a clear regulatory envelope (in theory,

a cap on total emissions), the market is the sole arbiter of who gets to emit, not a policy-driven public authority. Legislative separation is not, therefore, overly significant. There is also a practical reason for this design choice: the RMA is long and complex enough without inserting a new part concerned with a complicated emissions trading framework, which does not really require cross-referencing to the rest of the Act and can therefore stand alone.

The emissions trading scheme holds some legislative design lessons for the allocation of resources protected under the RMA (especially freshwater). If the tools used to allocate resources did not require any discretion or consideration of policy (eg if we use purely market mechanisms like trading regimes or auctioning) then, as long as users complied with separate regulatory restrictions, they would not *need* to be linked to the purpose or processes of the RMA.¹⁹⁸ That might see a new, targeted statute for the auctioning, trading and buy-back of freshwater, or for the allocation of rights to occupy coastal space. As with Crown-owned minerals, or the emissions trading scheme, two processes would then be required: (1) an allocative one (who gets the right to use a scarce resource), and (2) a protective one (whether the impacts of an activity using that resource would be acceptable).

In fact, the RMA already makes such separate and sequential processes available to regional councils:¹⁹⁹ prospective users can first be required to compete with others for an exclusive right to apply for resource consent, which is then assessed in the normal way. If that competitive process were to be mandated in the form of auctioning or a strictly financial approach to tendering – who pays more – it would not need to be contained within the RMA. Indeed, for reasons of complexity, it might be better for it to be separate: we need only look at the tortuously complicated framework for water trading in Australia's Murray Darling Basin to baulk at the prospect of an RMA perhaps twice as long as it is now.

On the other hand, the allocation of a resource like freshwater is closely connected to broader ecosystem health in the same way as the allocation of fish stocks, and would be subject to constantly changing environmental considerations (eg lower flows in dry periods). We also do not see allocative decisions being made solely through economic instruments. On balance, we think it would make sense for any allocative mechanism for water and coastal occupation (and other relevant resources) to continue to be integrated within a statute designed primarily to protect those aspects of the environment (ie the RMA).

On balance, we see the RMA as the appropriate location for addressing questions about how to allocate the non-private resources managed under it (eg freshwater and coastal marine resources). A separate Allocation Act is unlikely to be feasible unless we take a purely economic approach to allocation (eg auctioning and trading). As discussed below, we see merit in a more nuanced approach than that.

Environment Court (or a focused division of the Futures Commission). We note that the new freshwater planning process proposed in the latest RMA amendment bill could be used for such purposes, and this is not too different from the processes we have outlined above for plan changes in a future system more generally. What that process lacks, however, are principles to address allocative questions (ie who should reduce rights, and in what measure). We do not seek to define what those should be, but note that earlier rights should not necessarily trump later ones, and that there is a case for heavier polluters within a catchment to give up some allocation.

A number of catchments are overallocated and the effects of existing uses must be reduced to meet environmental limits within a reasonable timeframe. The law must provide a framework by which the relative contributions of existing users to reducing total impacts can be determined and enforced. Collaborative processes would be a useful first step in some cases, but a strong regulatory backup, guided by statutory principles, is required.

In overallocated catchments, or those with very little headroom, there is also a need to reduce existing water rights further (for both the discharge of nutrients and abstraction). This is not just to achieve environmental limits, but also to allow new entrants in the interests of fairness. There will need to be a degree of reallocation to Māori, although the extent of that ultimately relies on both political negotiation and the resolution of difficult legal issues.²⁰⁸

This is a challenging prospect for a framework like the RMA, which has developed from firmly neo-liberal roots to focus mainly on environmental limits rather than how (or by whom) resources should be used. Rights have been allocated largely by accident rather than design, and there has been a reluctance to engage with issues of fairness. Instead, a significant body of case law has arisen over technical questions relating to exactly when an application has been lodged (and therefore which application has priority).

In our view there should be no expectation of grandfathering in perpetuity simply because an historical right has been enjoyed. A bias towards the status quo cannot continue.²⁰⁹ However, derogation from specific rights granted in a consent – eg to abstract water for up to 35 years – cannot simply be overridden in favour of giving rights to another user without compensation. Even if a decision to grant such a consent may seem unwise in hindsight, granted it was. Significant investment decisions have been made based on a legitimate expectation that such rights would be upheld.

At a minimum, we see merit in a more structured process for the reallocation of water abstraction rights when specific existing authorisations expire, and where there is new allocation within a catchment (where limits have not been reached).²¹⁰ A first in, first served approach is inappropriate where there is reasonably foreseeable

scarcity, and reallocation should not necessarily see an incumbent user favoured.

As rights expire, or where there is new allocation of rights within a catchment, there could be a tranche set aside for:

- (1) Regulatory allocation (eg through an attribute weighted tendering process guided by statutory principles; or to fulfil Treaty obligations; or for direct allocation to essential public services)
- (2) A purely “economic” approach to allocation above a regulatory allocation (eg through auctioning).

Within an attribute weighted tendering process, there could be *some* degree of recognition for existing users (eg considering fairness due to historical circumstances, environmental responsibility, compliance history, degree of investment,²¹¹ hardship etc). Reauctioning rights, above regulatory allocation, could also be introduced gradually over the medium term to soften its impacts.

A degree of regulatory allocation may also help to improve environmental outcomes, as well as contributing to fairness and efficiency. This is in two senses. First, a proportion of rights might be proactively retired upon their expiry to enhance environmental resilience – which may be necessary in some places as climate change impacts become more obvious. Secondly, the relative environmental benefits/costs of different proposals seeking to use a resource could be a factor to be weighed alongside others within a tendering process. Indeed, the courts have already made creative efforts to do this kind of thing within the RMA, despite its limitations (as explored in the spotlight below).

Rights granted through a regulatory framework rather than auctioning framework would not come “free”.²¹² As discussed in Chapter 13, they would still be subject to a resource rental, which would need to be fair, reflect the public interest, and be implemented gradually over time.

The duration of rights allocated through regulatory means would need to be considered very carefully, and may need to vary depending on the needs of the sector in question. For example, some publicly important activities like electricity generation require significant investments to be made on the assumption that the ability to use a resource will be secure over many decades. A maximum duration of 35 years under the RMA may not be sufficient.

While there are no obvious “answers” to freshwater allocative questions because the concept of fairness is inherently debatable, we see merit in approach whereby new rights, and existing rights when they expire, are subject to a more structured approach to allocation that reflects the public interest. This could involve the allocation of two tranches of rights: (1) a regulatory allocation (eg through competitive attribute weighted tendering) and (2) an “economic” allocation (eg through auctioning).

By relying solely on market mechanisms, we also lose the ability as a society to influence environmental outcomes through allocative decisions (eg by creating competition between users for non-financial aspects of resource use, by comparing the merits of different proposals and driving a race to the top). While it is not necessarily an argument against trading, we must also exercise caution when establishing the limits within which rights are granted. Existing rights are not necessarily a good indication of the rights that would be exercised if trading were to increase their value. In other words, not all current rights to use water are exercised to their fullest extent, but if any excess could be sold then overall use might increase significantly.

Furthermore, trading is not appropriate in all circumstances. This is partly because of environmental limits. Unlike trading in greenhouse gas emissions, the location where rights are exercised matters for freshwater. For example, we cannot allow one river to become degraded or depleted in favour of another. Even within a catchment, or parts of a catchment, there can be localised impacts. Trading therefore cannot be a complete substitute for regulatory mechanisms of allocation where environmental restrictions mean it cannot in practice occur. Another reason that trading does not always work is that there needs to be a sufficient number of active market participants to make the costs of a market worthwhile. That is one reason why trading is an attractive prospect in places like Australia's Murray Darling Basin, or Lake Taupō, but it is not the case in all catchments across New Zealand.

There is a broader ethical question here, too. We have previously legislated that no one owns the common marine and coastal area. Do we want to go in the opposite direction and create extensive private interests in water? Trading for nitrogen discharge rights has occurred to some extent in New Zealand already,²²² but the allocation of rights to take water is much more fraught because of the unresolved question of Māori interests. Yet the question is broader – whether water is our common heritage as a country rather than something to be corporatised. More tangibly, introducing trading could risk concentrating fewer and larger rights in the hands of corporate interests, which could have significant implications for community wellbeing. Some have expressed concerns over “water barons”, and similar issues have arisen in the context of fisheries quota.²²³

Overall, we see significant merit in trading being deployed more in a future system (including a role for an Environmental Water Holder in the market). The use to which our water is put needs to be fairer, more efficient and more responsive to change. However, we do not see it as a complete replacement for a more structured regulatory approach to allocation. Trading regimes would, where deployed, need to be closely monitored against a clear set of performance measures, including the public interest, and there should be a tranche of water rights not linked to trading.

We see significant merit in water trading being deployed more in a future system. The use to which our water is put needs to be fairer, more efficient and more responsive to change. However, we do not see it as a replacement for a more structured regulatory approach to allocation, and we need to be careful to counteract the potential social and environmental impacts of trading.

To the extent that economic tools were used to allocate or reallocate freshwater rights, we propose that a national Environmental Water Holder be established to operate within the market.

A gradual introduction of a suitable mix of regulatory and non-regulatory allocative mechanisms may be one way to strike a balance between fairness, efficiency, and Treaty obligations. It would allow fairness to existing uses to be considered, and a gradual transition to new uses to be made, while also allowing communities a degree of control over how their resources were used. It is plain that the existing approach, largely based on who it first to apply, is not suitable. We need more structured and transparent approaches, and the inclusion of allocative principles within the RMA and national direction (an NEP). The RMA will remain the most appropriate place for allocative decisions to be made concerning the resources managed under it, not least because we do not see potential for technocratic market mechanisms to completely replace public decision-making linked to environmental principles.

Within environmental limits, we also encourage lawmakers to grasp the nettle on Māori rights and interests in freshwater. That requires consideration of how to provide for Māori interests in the allocation of *new* rights as well as the progressive reallocation (or return) of *current* rights. In the Phase 1 report, we shone a spotlight on the case of Porotī Springs, and we repeat that below to emphasise the difficult real world context in which such issues will need to be resolved. In light of a recent Waitangi Tribunal decision, questions of ownership look set to be forced anyway through the Courts.²²⁴ Different historical circumstances may result in different outcomes, and cannot be easily predicted. A system will need to be able to accommodate any legal outcomes and political settlements that may arise as a result of Treaty processes.



7.15 Concluding comments

In this chapter, we have considered local government planning under a reformed RMA. We also explored consenting, CME and allocation under the Act. A significant role would remain for councils, and we are not envisaging widespread structural reform of local government in the short term. But we have also floated substantial changes. We have proposed a new approach to council plan making, seeking to avoid a full two-stage hearings process while at the same time integrating strong elements of community accountability and robust independent oversight. We have also sought to provide for greater regional level integration of planning through the production of a combined plan. Over time, we encourage a conversation to continue around local government structural reform, and greater regionalisation or unitisation of council boundaries would not be inconsistent with the model we are proposing. Further work is needed on that front, and any reforms will require extensive consultation with communities.

As with the NEP discussed in Chapter 6, transitional arrangements would be extremely important in the local planning context. Existing RMA plans would need to continue to operate, and we envisage that they would be integrated and reviewed using the new process(es) over the medium term, on a rolling basis and with close oversight by central government. Resourcing constraints on councils, iwi/hapū, Environment Court and commissioners would need to be considered closely when thinking about timeframes, and close consultation with those expected to be involved would be essential. Equity would be important too when considering the detail of transitional measures (eg for planning processes already underway, some in response to national direction).

Plans coming out of a reformed planning process would, in the proposed model, also be deemed both to reflect Part 2 and to give effect to the NEP once they were made operative. This means that there would be less (or no)²²⁵ need to relitigate the meaning of Part 2 through the consenting process.²²⁶ At the moment, there can still be considerable uncertainty as to whether a plan actually gives effect to national direction or not, especially if matters have not been litigated in the Environment Court.²²⁷

Contextualisation at the site- or project-specific level is important, and consenting will remain a feature of the system, but overall we have recommended placing greater emphasis on drafting clear provisions (including rules and standards) at the planning stage rather than relying on the discretionary weighing of general policies at the consenting stage.²²⁸ We have also recommended various changes to the consenting framework, including the introduction of limited appeal rights for notification decisions (to be exercised by a new Environmental Defender's Office), the removal of restrictions on considering impacts on climate change, and the removal of political decision-making on consent applications.

There could usefully be a nationally accredited pool of independent commissioners (under the auspices of the Futures Commission or EPA), to be deployed upon request by councils. However, despite many calls to the contrary, we are not persuaded that abandoning appeal rights in relation to consenting decisions is a smart idea. The Environment Court provides a robust oversight role for council decision-making, yet for obvious reasons cannot play a role in every single application. That suggests a continuation of the basic system we currently have, whereby matters can be appealed or directly referred to the Court in appropriate circumstances, but where the bulk of consents are processed by councils. That said, there may be a case for some consents to be heard at first instance by a national-level independent entity like the EPA (eg where a consent is triggered by a regulatory provision in national direction).

We also recommended changes in relation to CME functions (including expanding the range of tools available, facilitating greater cost recovery for permitted activity monitoring, and strengthening the enforcement role of the EPA). Finally, while acknowledging that there is no simple solution, we offered one way forward for allocative issues under the RMA for freshwater, involving the deployment of a mix of regulatory and "economic" tools.

We will conclude our discussion of the RMA with a higher level thought. The degree of change floated over the previous three chapters raises an interesting – albeit incidental – question: should we rename the RMA?

The idea of resource "management" is a fairly passive, weak and anthropocentric concept, and also one that does not recognise Māori ways of seeing the world. We said something along similar lines for the concept of the "resource management system". It is hardly inspiring language for a future that requires a generous helping of inspiration;²²⁹ the future system will need to promote change, pursue positive outcomes, and recognise that humans cannot manage everything. At the same time, the concept of "sustainable management" also carries a lot of legal and economic baggage with it.

To some, this question may be a matter of semantics only. Why does it matter what we call a statute? To others, it may even be desirable to keep the name to emphasise legal continuity. Indeed, we have heard some react with horror that first principles reform could deign to go so far as changing the name of the RMA.

The title of reformed legislation does, however, send a powerful signal, and indicates the extent to which it is envisaged as a reset or as just another round of tinkering. The name of a revised act will also be important in capturing the public imagination: what do we want people to think system reform is doing? We will leave the matter at that, but to avoid confusion will continue to refer to this new integrated statute as the "RMA", despite some misgivings.

- 61 Compare G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 214, where we noted that the rationale for appeals to the Environment Court is partly to ensure a national level perspective is taken of local issues.
- 62 See P Nunns "The consultation problem: Who submits on the plan?" (2 March 2016) <www.greatauckland.org.nz>; P Nunns "Zoning reform: Who submitted on the plan" (8 September 2016) <www.greatauckland.org.nz>; G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 204.
- 63 See D Sadlier "Problems with one-step RMA decision-making" (2014) <www.adls.org.nz>
- 64 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 206–208. In particular, participation is useful for gathering information, encouraging community ownership and therefore durability, providing a safety valve for conflict, giving participants catharsis, promoting social learning, and reflecting a fair process.
- 65 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 212. This model is already available for Environment Court litigation at the discretion of the Court under section 278 of the RMA.
- 66 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 207, 212. Compare the Australian civil society model of an Environmental Defender's Office: Environmental Defenders Office NSW *Annual report 2016/17* (2017). The "public" interest would include the interests of nature itself, as well as future generations of people. The role could, however, be broader than the Department of Conservation's advocacy role, and there would be firmer independence and a sharper focus on litigation.
- 67 On issues with the fund, and its potential for politicisation, see <www.rmla.org.nz/2017/07/05/new-criteria-for-accessing-environmental-legal-assistance-fund/>
- 68 As opposed to on particular issues, where power can be delegated by councils (Resource Management Act 1991, section 34).
- 69 See *ibid*, ss 580–58U.
- 70 Presently, agreements are reached between councils and iwi authorities/hapū.
- 71 Compare the role of Māori in the RMA's collaborative planning track, where iwi authorities select at least one member of a collaborative group (Resource Management Act 1991, sch 1, cl 40(1)(a)).
- 72 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 187.
- 73 On the nature of consultation, see *Wellington International Airport Ltd v Air New Zealand* [1993] 1 NZLR 671.
- 74 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 188.
- 75 Compare M Wright, S Gepp and D Hall *A Review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (2019).
- 76 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 34; Waitangi Tribunal *The stage 2 report on the national freshwater and geothermal resources claims* (Wai 2358 report), 2019.
- 77 For example, it could develop through Mana Whakahono ā Rohe participation agreements on a council by council basis, which have been described as a promising way forward if resourced properly. Generally, see R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 35.
- 78 Compare Local Government Act 2002, ss 14(1)(d) and 81, which requires councils to foster the ability of Māori to contribute to local government processes. On the need for capacity building within iwi authorities and councils, see Waitangi Tribunal *The stage 2 report on the national freshwater and geothermal resources claims* (Wai 2358 report, 2019).
- 79 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 33.
- 80 This is a bespoke institution, with planning and consenting powers under the RMA, established under the Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010. See the spotlight on the Authority in G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 189. On suggestions to roll out this model more broadly, see Office of the Auditor-General "Appendix 1: About the Waikato River Authority" <www.oag.govt.nz>
- 81 Compare Waitangi Tribunal *Ko Aotearoa Tenei* (Wai 262, 2011).
- 82 See Resource Management Act 1991, section 33; Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 17; J Williams "The Harkness Henry Lecture: Lex Aotearoa – an heroic attempt to map the Māori dimension in modern New Zealand law" (2013) 21 Wai L Rev.
- 83 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 26.
- 84 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 191.
- 85 *Ibid* at 211. Of particular importance would be the retention of powers for protected customary rights/customary marine title holders to provide permission to RMA and other applications having more than minor adverse effects on the exercise of those rights, or that are within a title area (Resource Management Act 1991, ss 55, 66 and 71).
- 86 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 166.
- 87 For example, see the Horizons Regional Council's One Plan, which combines regional policy statement and regional plans: <www.horizons.govt.nz/publications-feedback/one-plan>
- 88 Who have to have gone through the Ministry for the Environment's "Making Good Decisions" Programme.
- 89 Regional transport committees under the Land Transport Management Act are one example where different levels of government work together in a structured way. Similar cooperative arrangements can be seen in the boards of entities set up under Treaty settlements, such as the Waikato River Authority. Also compare the California Coastal Commission model, where half the members are elected and half are appointed.
- 90 Compare the proposed new freshwater planning process in the Resource Management Amendment Bill 2019.
- 91 However, at a minimum, there should be an expectation that parties will attend mediation and submit any experts who intend to give expert evidence on a particular topic to expert caucusing before any hearing.
- 92 Members may not necessarily need to hold warrants as Environment Court Commissioners and may have local experience in technical or other local government matters.
- 93 A Panel (not dissimilar to the Commercial Panel currently operated by the High Court) could be established to hear High Court appeals on plan reviews. Judges with a background in resource management and local government would be ideal candidates for appointment to a Resource Management Panel.
- 94 Although arguably no more complexity than the existing system, whereby separate plans in a region are developed/changed in isolation and with different timeframes, heard by different councils, then appealed separately to the Environment Court.
- 95 Although by no means all, given that any rejection of recommendations can lead to decision by another independent body (the Environment Court).
- 96 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 178, 214.
- 97 See Resource Management Act 1991, ss 79(1) and 79(4).
- 98 For example, where some relate to freshwater and others to a fairly simple rezoning of a small portion of land.
- 99 See <www.aucklandcouncil.govt.nz/plans-projects-policies-reports-bylaws/our-plans-strategies/unitary-plan/auckland-unitary-plan-modifications/proposed-plan-changes/Pages/default.aspx>
- 100 Compare Resource Management Act 1991, section 79(4) where whole of plan reviews are optional.
- 101 *Ibid*, section 268A.
- 102 For example, EDS takes court action on behalf of the environment and the public interest. On the difficult distinction between dispute resolution and planning, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 7.
- 103 Although some, like trade competition disputes, are effectively abuses of public process and are easier to ringfence. Recent decisions have helped in this regard, which may go some way to addressing delays in plan changes. See *Sheffield Properties v Kapiti Coast District Council* [2018] NZHC 3290, [2019] NZRMA 368; *Bunnings Ltd v Queenstown Lakes District Council* [2018] NZEnvC 135 (procedural) and [2019] NZEnvC 45.
- 104 For example, the Environment Court practice note requires the Court to be satisfied that consent orders (from agreement between the parties) still comply with Part 2.
- 105 Other than (from some perspectives) the presence of independent members. The point is that council representatives from one area/jurisdiction would not have influence over decision-making applying to a different area/jurisdiction.
- 106 For example, see the upcoming Plan Change 2 to the Hamilton City District Plan (Te Awa Lakes).
- 107 For example, Private Plan Change 84 to the Kāpiti Coast District Plan (Airport Zone).
- 108 Compare Resource Management Act 1991, section 55.
- 109 *Ibid*, section 60.
- 110 See <www.aucklandcouncil.govt.nz/plans-projects-policies-reports-bylaws/our-plans-strategies/unitary-plan/Pages/default.aspx>
- 111 Which is not the same thing as having final decision-making power; that would be a role for the more nuanced processes already described. On the tension between council and judicial roles in planning, see M Williams "Resource management system: Reform or transform?" (April 2018) Resource Management Journal 3 at 9.
- 112 To avoid the EPA taking over the making of regulations relating to local matters like detailed questions of zoning.
- 113 Although we note that the current proposal for an urban development authority, explored in Chapter 10, provides much *more* of a carte blanche for a government developer to override local planning provisions, including environmentally protective ones.

- 171 Conceptually this is comparable to the inclusion of agricultural emissions in the emissions trading scheme by 2025 if a farm-based pricing alternative did not make adequate progress (see Chapter 9).
- 172 As long as the resourcing for that to happen were available to councils.
- 173 As well as permitted activity standards.
- 174 *Report of the Biodiversity Collaborative Group* (2018) at 122.
- 175 Although that is not to suggest that permitted activity standards are, in all cases under the relevant NES, appropriate: see M Wright, S Gepp and D Hall *A Review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (2019).
- 176 Compare generally Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 18.
- 177 Notably freshwater (both the taking of water and use of its assimilative capacity), coastal occupation, and geothermal energy.
- 178 We use the term “rights” for convenience, but it is much more apt to talk about “privileges” unless there is an actual property right attached (in most cases there is not).
- 179 In fact, it could arguably place *more* pressure on a resource if not designed well, as “sleeping” rights could be sold off and used where previously they were not. See generally G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 13.
- 180 See *ibid*, ch 12. For example, it is essential that greenhouse gas emissions trading occurs within a closed, or capped, system of tradable emissions units. This has not been the experience to date, although measures are underway to strengthen this (see Chapter 9).
- 181 Under the concept of Te Mana o Te Wai, which is central to the NPS for Freshwater Management, the first right to water goes to the river itself. See also New Zealand Government *Action for healthy waterways: A discussion document on national direction for our essential freshwater* (2019).
- 182 Even things like sunlight are, effectively, allocated when we consider the acceptability of the shading impacts of new developments, especially in urban areas.
- 183 Including via mechanisms that are now recognised as having been unacceptable in light of the Crown’s Treaty obligations.
- 184 In that sense, even the Land Transfer Act 2017 is a “resource management” statute that regulates market transactions and therefore rights to a valuable physical resource.
- 185 Public Works Act 1981.
- 186 For example, tenure review under the Crown Pastoral Land Act.
- 187 Resource Management Act 1991, section 122.
- 188 There is a school of thought that says urban limits should not contribute to the scarcity of developable urban land, and that scarcity should be constrained only by biophysical features (eg mountains and oceans) and risks like natural hazard areas. That approach is sometimes called one advocating for “competitive urban land markets”.
- 189 Urban land is generally more valuable than non-urban land, although there is some debate around how much of that is to do with an urban zoning and how much is due to services provided to urban land (eg infrastructure). See T Hazledine “Economics and the resource management system” in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018).
- 190 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 111.
- 191 *Ibid*.
- 192 See Waitangi Tribunal *The stage 2 report on the national freshwater and geothermal resources claims* (Wai 2358 report, 2019).
- 193 For example, the social consequences of concentrating rights in fewer, commercialised, entities. There is also some controversy around the prospect of an urban development authority being able to compulsorily acquire private land, develop it, subdivide it, and on-sell it to other private (eg commercial) users. This is, effectively, a regulatory reallocation of property rights from one person to another, even if it may be justified in the public interest for some developments.
- 194 See the spotlight further below.
- 195 Minerals allocation was originally part of the bill that led to the RMA, but was separated partly for this reason.
- 196 This is why most environmental protections are contained within the RMA, rather than the Crown Minerals Act. That said, we consider that common principles should be inserted, recognising that proactive consideration of how we use resources has implications not just for economic indicators of wellbeing but also social and environmental wellbeing (eg the climate change implications of allocating rights to explore for and extract oil and gas should inform whether, and to whom, rights are given).
- 197 A consent could be required under an NES (although none has been promulgated), as well as an obligation for an emitter to surrender units under the emissions trading scheme.
- 198 In the same way that we consider that accounting and trading under the emissions trading scheme could operate under a separate statute from the strategic aspects of climate change (the latter of which would be inserted into a Future Generations Act).
- 199 See Resource Management Act 1991, pt 7A.
- 200 Although by no means all minerals are Crown owned.
- 201 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 42–43.
- 202 Including uses involving the taking of a scarce resource, the occupation of a limited space, and the use of assimilative capacity. We have, for example, suggested that a more agile approach is required for the occupation of coastal space for aquaculture: see R Peart *Farming the sea: Marine aquaculture within resource management reform* (EDS, 2019).
- 203 Although that could still encompass reallocation – that is, an increase in rights for some as long as there is a decrease in rights for others.
- 204 Compare Waitangi Tribunal *Wai 2358: The stage 2 report on the national freshwater and geothermal resources claims* (2019).
- 205 New Zealand Government *Action for healthy waterways: A discussion document on national direction for our essential freshwater* (2019).
- 206 See Chapter 5.
- 207 Although, especially with climate change, it may be triggered where future environmental change is hard to predict and requires a response.
- 208 On such issues, see Waitangi Tribunal *The stage 2 report on the national freshwater and geothermal resources claims* (Wai 2358 report, 2019).
- 209 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 14.
- 210 Especially where there is reasonably foreseeable scarcity, but potentially even where there is not. Limits would take a strongly precautionary approach.
- 211 Compare Resource Management Act 1991, section 104(2A), where a consent authority must have regard to the value of investment of an existing consent holder when considering a renewal of consent. However, such considerations should not influence decisions to reduce allocation beyond limits.
- 212 Although more nuance may be required for Treaty obligations.
- 213 For example, exclusive rights can be sold to apply for coastal occupation permits where there is likely to be competition: Resource Management Act 1991, section 152(4); D Nolan “Coastal” in D Nolan (ed) *Environmental and resource management law* (6th ed, LexisNexis, 2018) at [5.61]. This approach has been used twice: see Resource Management (Marlborough Sounds Coastal Tendering – Marine Farming) Orders 1996 and 1998.
- 214 See *Central Plains Water Trust v Synlait Ltd* [2009] NZCA 609, [2010] 2 NZLR 363 (CA) at [89]; *Synlait Ltd v Central Plains Water Trust* [2010] NZSC 32, [2010] NZRMA 257; *Ngai Tahu Property Ltd v Central Plains Water Trust* [2009] NZSC 24; *Central Plains Water Trust v Ngai Tahu Properties Ltd* [2008] NZCA 71, [2008] NZRMA 200 (CA) at [90]–[91].
- 215 *Queenstown Central v Queenstown Lakes District Council* [2013] NZHC 815 at [91].
- 216 See D Sheppard *Reaching sustainable management of freshwater* (paper presented to RMLA Conference, Christchurch, September/October 2010) at 12.
- 217 New Zealand Productivity Commission *Better urban planning* (2017) at 107; compare G Severinsen “Variation 6: A fresh approach to water allocation” (April 2012) Resource Management Journal 17.
- 218 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 258.
- 219 For example, highly complex water markets have been established in the Murray Darling Basin in Australia.
- 220 E Crampton *Refreshing water: Valuing the priceless* (The New Zealand Initiative, 2019).
- 221 On some issues with trading, see M Duhon, H McDonald and S Kerr *Nitrogen trading in Lake Taupō: An analysis and evaluation of an innovative water management policy* (Motu Economic and Public Policy Research, 2015).
- 222 *Ibid*.
- 223 See R Peart *Voices from the Sea: Managing New Zealand’s fisheries* (EDS, 2018).
- 224 Waitangi Tribunal *The stage 2 report on the national freshwater and geothermal resources claims* (Wai 2358 report, 2019). See also H Brown “MPs say Māori own water” Māori Television (23 August 2017). www.maoritelevision.com; New Zealand Māori Council v Attorney-General [2013] NZSC 6, [2013] 3 NZLR 31 at [113].
- 225 Unless there remained ambiguities or conflicts within the plan. See *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283.
- 226 It would not, of course, be deemed to be the *only* way in which Part 2 and the NEP could be given effect to, as it does not preclude public or private plan changes.
- 227 See *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593; *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283.
- 228 Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 17, where it was pointed out that in the current system “both applicants and administrators must trawl through a multitude of policies to discern relevant direction”.
- 229 Contrast the wording of the Welsh Wellbeing of Future Generations Act 2015, section 4; see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 105.

8. STRATEGIC LEGISLATION: A FUTURE GENERATIONS ACT

8.1 Introduction

In previous chapters, we put forward the idea of a “Futures Commission”. This independent, standing institution would have a significant role in planning processes under the RMA, at both the national and local level. We mentioned that the Commission would have important roles elsewhere, too (it would not just be a *Planning Commission*, as some have suggested), and that it would be created under a new strategic piece of legislation. We are calling that legislation the “Future Generations Act”, and – as we move on from the RMA – that statute is the specific concern of this chapter.

The basic point of the Future Generations Act would be to provide an overarching strategic framework for the whole resource management system, according to a common set of high level principles. It would do much more specific things too, but that is a good general starting point. As with the Futures Commission itself, the purpose of the Act would be focused firmly on the future – and the interests of future generations of both people and nature – which are often not well represented in either politics or economic transactions. While it would not necessarily be entrenched in a legal sense (although parts of it, like a general set of principles or general duties, really should be), it would be of constitutional importance in outlining what New Zealanders value. The Future Generations Act would enshrine in law the high level relationships between people and the environment in which they live.

A reformed RMA is not this kind of Act, despite a broad, revised Part 2 and the primacy given to bottom lines within it. The RMA would not do everything. For example, many regulatory environmental bottom lines will need be set in other legislation,¹ and other acts will also provide mechanisms for improving, enhancing, and responding to environmental change.²

What we require in a Future Generations Act is a unifying force in a system that needs strong normative connections between/across more targeted statutes. If we are to have separate legislative arrangements for related, often cross-cutting aspects (including climate change), we need a place where that comes together for consideration in a meaningful way. Therefore while we accept that silos are necessary in a complex system requiring focus (fragmentation is not uniformly “bad”),³ it can still be confusing when people talk about, for example, “environmental” reform, “water” reform “climate change” reform, and “urban” reform as different things. Even the government’s wider system review process is often characterised as “RMA reform”, reinforcing this siloed way of thinking based on existing legislative boundaries. Yet, on the other hand, we are also seeing a more holistic perspective emerging in other areas. For example, it is there in the concept of a wellbeing budget framework, the Treasury’s Living Standards Framework, climate

change adaptation plans, and in a “silo-busting” review of the state sector more broadly.⁴ In our suggested model, the Future Generations Act would sit above a number of “implementation” frameworks (including the RMA), driving both alignment between them and change under them.

It would fill what we see as significant gaps in New Zealand’s resource management system, in ways that could not easily be done in more targeted legal frameworks. In particular, it would be where spatial planning occurred. That would align the spatial components of other legislation through which, for example, urban growth and renewal are managed (land use under the RMA and infrastructure provision under a Local Government and Infrastructure Act). That said, it would be selling the Act short if we only saw it as a place to manage rapid urban growth. It would be much more fundamental than that.

In this chapter, we consider two key aspects of a Future Generations Act. The first is its role as a unifying, overarching framework for broader public decision-making – an environmental constitution of sorts. The second is its role as a framework for the production of subordinate instruments: in particular, futures strategies and associated spatial plans.

Overarching the RMA, and other resource management “implementation” statutes, we envisage the enactment of a Future Generations Act. It would do two key things: (1) provide for a broad, constitutionally important set of principles and duties to apply to public decision making, and (2) provide for a strategic spatial planning process that would flow down into more detailed decision-making frameworks (including to coordinate land use and infrastructure planning in the context of urban growth).

8.2 A broad purpose of constitutional significance

The Future Generations Act would have a broad purpose. We do not outline what that would look like specifically. In recognition of its own breadth, some have floated the idea of elevating or transferring Part 2 of the RMA itself to this “higher” status.⁵ Part 2 is often seen as a place where constitutionally important environmental bottom lines are enshrined (although to others, admittedly, that is less clear).⁶ We have also, earlier, recommended significant changes to Part 2 to further strengthen environmental bottom lines within it. It is therefore an attractive proposition to turn Part 2 into a higher form of law.

However, shifting Part 2 to an overarching act poses challenges. For one, would it mean that the RMA itself – a complex framework of institutional, procedural, and

Act.¹⁷ There is a lack of common goals.¹⁸ In the Phase 1 report we also noted the potential for conflict between the purpose of the Crown Minerals Act (which actively encourages the exploitation of fossil fuels) and the purpose of climate change legislation.¹⁹ One can readily imagine other examples, including giving overriding powers to urban development authorities to achieve site-specific “strategic objectives”.²⁰ Under the umbrella of a system-wide purpose statement in a Future Generations Act, any such anomalies or conflicts would stand out and be subject to close scrutiny.

A Future Generations Act would have a broad, constitutionally significant purpose statement that would, among other things, recognise the pre-eminence of environmental bottom lines. It could also provide recognition of general moral rights for nature, and provide a degree of stability for future reforms to more targeted frameworks. There is a case for this purpose statement to be entrenched.

8.3 A framework for public decision-making

A Future Generations Act would not only have a stabilising, integrating effect on future governments’ legislative reform programmes. It would also provide a more in-depth set of decision-making principles that would apply to the day-to-day activities of public bodies. Many significant government decisions occur outside specific resource management statutory frameworks. For example, the budget process, investment and procurement decisions (such as investing in a fleet of electric vehicles) and non-statutory strategic documents and programmes (eg One Billion Trees) can all have

significant impact on resource management outcomes. As we said in the Phase 1 report:²¹

Money is an extremely important strategic driver of change... At the micro-level, [we might see] things like a council replacing petrol vehicles with electric ones, or choosing to lease energy efficient or green buildings ...

At a grander scale, this might be about how large public funds are invested (eg the New Zealand Superannuation Fund’s choice to divest from fossil fuels).²² At the grandest scale of all, the entire government budget process can be guided by the desire to achieve outcomes that take us towards the future we want – and not just in GDP or economic terms.²³

Such decisions could be guided, although not necessarily bound, by a common set of overarching principles. In Sweden, for example, the government’s Budget process is informed by a set of environmental targets. We are also seeing an informal move in New Zealand towards more holistic thinking in the concept of a wellbeing budget, which includes environmental considerations (natural capital). Some have pointed out that the Public Finance Act, governing the government’s Budget process, could already support strong consideration of inter-generational environmental wellbeing (not just fiscal considerations) and that this should be strengthened.²⁴ We agree, and think that the Public Finance Act could make more explicit links to environmental principles in a Future Generations Act. In a similar vein, the State Services Minister has said, “When it comes to the really big and complex challenges [eg climate change] it doesn’t work anymore to put a single agency on the job.”²⁵ In short, public decision-making needs to be aligned, and this can be encouraged by having a common set of considerations for all public bodies under a Future Generations Act.²⁶



holistic and integrative (principles would apply to all public decision-makers, including the “government” rather than specific Ministers or departments), it would need to be accompanied by an equally wide-ranging system steward.³⁶ In other words, a future system will need to give careful thought to how the government arranges itself in resource management matters.

At present, different portfolios and departments (eg minerals, climate change, primary industries, economic development, conservation) can pull in different directions, with tensions resolved through ad hoc or semi-permanent working groups,³⁷ inter-departmental cooperation, or (ultimately) Cabinet. An MMP system can make such tensions more pronounced at a political level. Some have pointed to a lack of clear leadership across the system,³⁸ while others have noted the degree of institutional fragmentation affects the ability to deliver cross-cutting outcomes:³⁹

In theory, institutions are efficient. In practice they are silos. There is no process to integrate public services in pursuit of common objectives. ...

No one is overseeing the system to ensure it functions.

As with different legislative frameworks, institutional silos can never be removed entirely. A sharp institutional focus is also often a good thing, in that a clear mission is “critical to ... accountability and focus, for compliance by regulated parties, and the legitimacy of the regulatory regime”.⁴⁰ A specific focus is also important to prevent objective overload. However, that needs to be complemented by some integrative mechanism at the top of the system.⁴¹ Of course, the buck will always need to stop with groupings of relevant Ministers or, ultimately, Cabinet. But there should also be some means by which relevant Ministers receive integrated advice, especially if there is a common set of principles or duties imposed on the government as a whole under a Future Generations Act. Whole of system stewardship is essential.⁴²

We therefore suggest the formal creation of a standing body within government,⁴³ comprised of high level officials from relevant departments and Crown agents, and chaired by an official from the Department of the Prime Minister and Cabinet. It could be called a “Futures Group” to mirror the language of the independent Futures Commission.⁴⁴ A Futures Group would not be a replacement for targeted advice from specific ministries (especially where their work was highly technical in nature), but would be a durable forum for different departments to work together,⁴⁵ and a channel to provide common advice or (at least) to pinpoint and explain differences between agencies in a way that is both proactive and obvious to Ministers. It would not necessarily require its own secretariat, and could be supported through its respective existing departments.

This idea builds on, and institutionalises, related reforms being progressed through the review of the State Sector Act.⁴⁶ These reforms are much wider in scope than the resource management system, but strongly reflect a similar desire to break down silos within government, including for environmental matters (eg by making

department heads jointly responsible for cross-cutting outcomes like climate change mitigation).⁴⁷ A Futures Group could be a formally established example of an “interdepartmental executive board” already contemplated under a new Public Services Act.⁴⁸

We suggest the establishment of a truly whole of system steward within government (a Futures Group) comprised of high level officials from relevant departments and Crown agents, and chaired by a senior official from the Department of the Prime Minister and Cabinet.

There would also be an important role here for an independent Futures Commission, which would be established under the Act under a broad but powerful mandate focused firmly on the future (both people and nature). The Welsh approach is interesting as context for the discussion that follows.

A spotlight on the Future Generations Commissioner in Wales

In the Phase 1 report, we highlighted the role of the Welsh Future Generations Commissioner, saying:

In Wales, a “Future Generations Commissioner” has been appointed who acts as a guardian for the future generations in Wales and is also tasked with encouraging public bodies to take greater account of the long-term impact of the things they do. The Commissioner has advice, research and recommendatory roles not unlike that of the New Zealand Parliamentary Commissioner for the Environment. However, the Commissioner also has the power to review public bodies and they must take all reasonable steps to follow the course of action recommended by the Commissioner, unless there is a good reason not to do so. The Commissioner is also required to publish a “future generations report” before each general election.

We pointed out that this Welsh model represents a new generation of sustainability legislation and is something that New Zealand could take inspiration from.

The role of a Futures Commission in New Zealand would be as a system level watchdog, to hold the government to account for its actions (or lack of).⁴⁹ As we mentioned earlier, “elected institutions need to be held accountable to their promises, and constantly tested on their progress towards broad goals that transcend politics and the short-term concerns of elected bodies”⁵⁰ while others have lamented that the government is “the principal judge and jury for its own activities”⁵¹ and warned against “overdependency on a central government constrained by three-year election cycles.”⁵²

But how would a Futures Commission do this? We have, in previous chapters, proposed strong recommendatory functions for the Commission under the RMA in relation to national direction and council plans. But it would have

discharge of their environmental functions (under the RMA and potentially other legislation). That could operate in a similar way to the Building Consent Authority model, where accreditation is required for what is a technical and essential regulatory service.⁶⁵ Councils would need to demonstrate capacity and capability to undertake their key functions, and would have access to support from central government (eg from the EPA)⁶⁶ where those resources were not sufficient due to legitimate funding or other constraints.⁶⁷ Financial assistance for smaller councils would be available to help fund their functions, through a similar model to the research-oriented EnviroLink.

The Futures Commission should act as an independent watchdog over the whole of the resource management system. It would have a structured role that would see it issue public authorities with a report card (including councils, if resourcing allowed). This would assess authorities' performance against the purpose and principles/duties in the Future Generations Act, alongside any other more specific metrics outlined in the Act (eg targets set under other legislation). Councils could also be required to obtain accreditation from the Futures Commission for the discharge of their environmental functions under other legislation (eg the RMA), akin to the Building Consent Authority model.

In the longer-term, as mentioned in Chapter 7, we see potential for a Futures Commission, the Parliamentary Commissioner for the Environment, the Climate Change Commission and any future Freshwater Commission being merged, and their functions integrated into a single, independent watchdog entity. The Energy Efficiency and Conservation Authority, which also has an arm's-length advocacy function, could fall into this camp as well. There would be a risk of over-fragmentation and complexity in institutional arrangements if we had a proliferation of small, targeted commissions.⁶⁸ One possible scenario might be that the existing Parliamentary Commissioner would be expanded into a Futures Commission and given additional roles.

We also see merit – although only in the longer term – in giving consideration to integrating other existing statutes of “system-wide” importance into a Future Generations Act. We consider these to be so linked as to (eventually) make sense to be within a single framework, and are encouraged by the directive in the Legislation Act 2012 to pursue “the progressive and systematic revision of the New Zealand statute book so that ... it is arranged more logically”. Such statutes could include:

- The Environment Act (establishing and providing functions for the Ministry for the Environment and Parliamentary Commissioner for the Environment)
- The Environmental Reporting Act (providing for a national system of environmental reporting)⁶⁹

- The Environmental Protection Authority Act (establishing the EPA and giving it a general mandate)
- The Energy Efficiency and Conservation Act (establishing the Energy Efficiency and Conservation Authority and providing for related strategies to be developed)
- The Climate Change Response (Zero Carbon) Amendment Act (which is discussed further in Chapter 9)
- The parts of the RMA establishing (or continuing) the Environment Court (which has roles not just confined to the RMA)

In the longer term, we see merit in further integrating existing legislation into a Future Generations Act to the extent that it is about the whole of the system (such as the establishment of cross-cutting institutions and system-wide strategic planning and reporting frameworks). Separate watchdog-type institutions could also be merged into a Futures Commission, or this could be seen as an expansion of the existing Parliamentary Commissioner for the Environment.

Alongside watchdog-type functions, a Future Generations Act would give the Futures Commission a general but structured “futures scanning role”. This means that the Commission would be charged with identifying threats and opportunities in the future, making recommendations for action in response, and reporting its findings to the government or to Parliament (which could coincide with, or follow, broader environmental reporting cycles).⁷⁰ The government would be required to outline how it intended to respond to address the threats, and respond to the Commission's recommendations.⁷¹ As mentioned earlier, this would be “a real, nationally-focused effort at looking ahead”.⁷²

Such a role is not in principle dissimilar to the narrower, subject-specific task proposed to be assigned to the Climate Change Commission (a risk assessment to inform climate change adaptation plans). It is also reminiscent of the Welsh approach, where the government is obliged to release a Future Trends report within one year of a general election.⁷³ While we think the Ministry for the Environment and Stats NZ should remain responsible for national level environmental reporting, this data would also be shared with the Commission to assist in its futures scanning function. A futures scanning role is a necessary complement to backwards looking environmental monitoring and reporting, because the significance of many environmental challenges cannot be fully appreciated without looking ahead.⁷⁴

A spotlight on a duty of care

Private law has long recognised the existence of a special relationship between different categories of people, where a duty of care is owed. For example, the tort of negligence recognises many such categories where compensation may be owed for a careless breach of a duty of care. In fact, the origins of public environmental law reach back to civil actions in tort, particularly nuisance and trespass, recognising that how one person uses land or environmental resources can cause harm to others and should be actionable. Even stronger duties of care, involving proactive obligations, can be seen in other legal contexts, notably the fiduciary obligations owed under trust law and the duties owed by guardians to children.

It does not seem unreasonable to extend this duty of care to the natural environment, to which humanity as a whole has an important relationship not unlike that of a trustee. The public trust doctrine essentially says this very thing, but is usually talked about in the context of an obligation of the state to maintain and preserve conservation land. The whole notion of inter-generational equity is premised on a moral duty that the current generation owes to future ones – to hold the environment in trust for others to come.

In more recent years, a special relationship and a duty of care has been recognised through bespoke frameworks establishing legal personhood for aspects of the natural world (like Te Urewera or Te Awa Tupua/Whanganui River). While those have been created very much in the cultural context of the Māori world view and Treaty relationship, the more general concept of legal personhood has sought to fit nature within a legal system centred on the relationships between humans. In other words, by humanising nature as a person, we are accepting it as a participant in our community of justice and recognising specific duties towards it.

However, more broadly, rights enshrined in property ownership and consenting in New Zealand are very strong. Other than often weakly enforced and reactive restrictions on use, there is very little landowners are compelled to do to protect or enhance resources under their control (particularly biodiversity). In many cases, private incentives will exist that drive such behaviour anyway (eg a desire to pass down land to one's children, or social pressure from peer groups not to cause damage). However, that is not always the case, particularly where there is a tension between the economic benefit of using a resource (or a cultural/historical expectation around acceptable use)⁸⁴ on the one hand, and long-term environmental sustainability on the other. As we have pointed out previously, establishing private property rights ("enclosure") is therefore not a solution to all environmental problems.⁸⁵

We see potential in extending the scope of existing duties of care under New Zealand law. That could play out in different ways. For example, it could be a strengthening of the general duty in section 17 of

the RMA, and elevation to a Future Generations Act. Alternatively, it could be a statutory extension of a common law duty (eg under a tort of negligence), recognising that careless behaviour causing harm to the natural world is deserving of retribution or compensation as much as where harm is caused to another person. That would require nature as a whole to be defined, the nature of a duty to be developed in the courts, and for a spokesperson for nature to be recognised (eg a Futures Commission or an Environmental Defender's Office). Either way, close consideration would be needed as to on whom a duty would fall. For example, it could fall on all persons, or specifically on landowners or occupiers, and include duties to:

- Maintain threatened species and ecosystems
- Retain natural habitat
- Advise of the presence of threatened species and ecosystems when known
- Cooperate and provide access for the purpose of survey for threatened species and habitats
- Maintain connectivity of waterways
- Avoid excessive environmental impacts of routine activities (eg winter cropping, mob stocking etc, and many other activities that are presently permitted for the purposes of the RMA)

More broadly, advantages of having a statutory duty of care would be to provide a baseline to outline a reasonable use of a property and to impose a threshold for measuring positive measures that might be funded from the public purse (eg payment for providing additional ecosystem services, rather than expectation of regulatory compliance). We would expect this duty to be enforceable in law (including through civil action) and for penalties to be meaningful.

Associated with a strengthened general duty of care could be the imposition of a more specific duty on company directors. This could be done under the Future Generations Act, but it may make more sense to integrate it within the Companies Act 1993, alongside traditional directors' duties.⁸⁶ This would reflect that (especially large) corporations can often be better placed than individuals to make a real difference to environmental outcomes,⁸⁷ and create a more competitive environment in the private sector for the achievement of environmental improvements. It would give shareholders firmer grounds to take action against directors for a failure to recognise environmental risks.

A subtle expansion of directors' duties is already emerging in the context of climate change (as explored in the spotlight below), although under the current system that movement is still linked firmly to the need to address *financial* risks to shareholders (including reputational risks) rather than to directly address a company's impact on the public interest. We see potential for this duty to

While the Aotearoa Circle legal opinion was focused on climate risks, the same or similar logic can apply to other reasonably foreseeable existential environmental risks. In particular, one can readily appreciate how significant market, technological, regulatory and reputational risks arise from directors' approaches to freshwater and biodiversity decline.

Strengthening directors' duties in relation to climate and other environmental risks can be assisted by strengthening legal requirements for non-financial disclosures. Disclosing environmental risks forces firms to assess and understand their risks, and allows investors and shareholders to make decisions based on them. Recent years have seen significant international developments on this front,⁹³ and the New Zealand government is currently consulting on measures to make climate related disclosures mandatory for some entities (possibly under the Financial Reporting Act 2013).⁹⁴ Consideration should be given to how that can be broadened to encompass other forms of environmental risk, and to extend mandatory disclosures not just to risks faced, but also a description of company performance in meeting publicly important environmental goals (eg the targets set or referred to under a Future Generations Act).

A Future Generations Act should impose a stronger general duty on people to protect/enhance the environment. A stronger duty to consider environmental impacts should be inserted into the Companies Act, alongside strengthened obligations for non-financial disclosures.

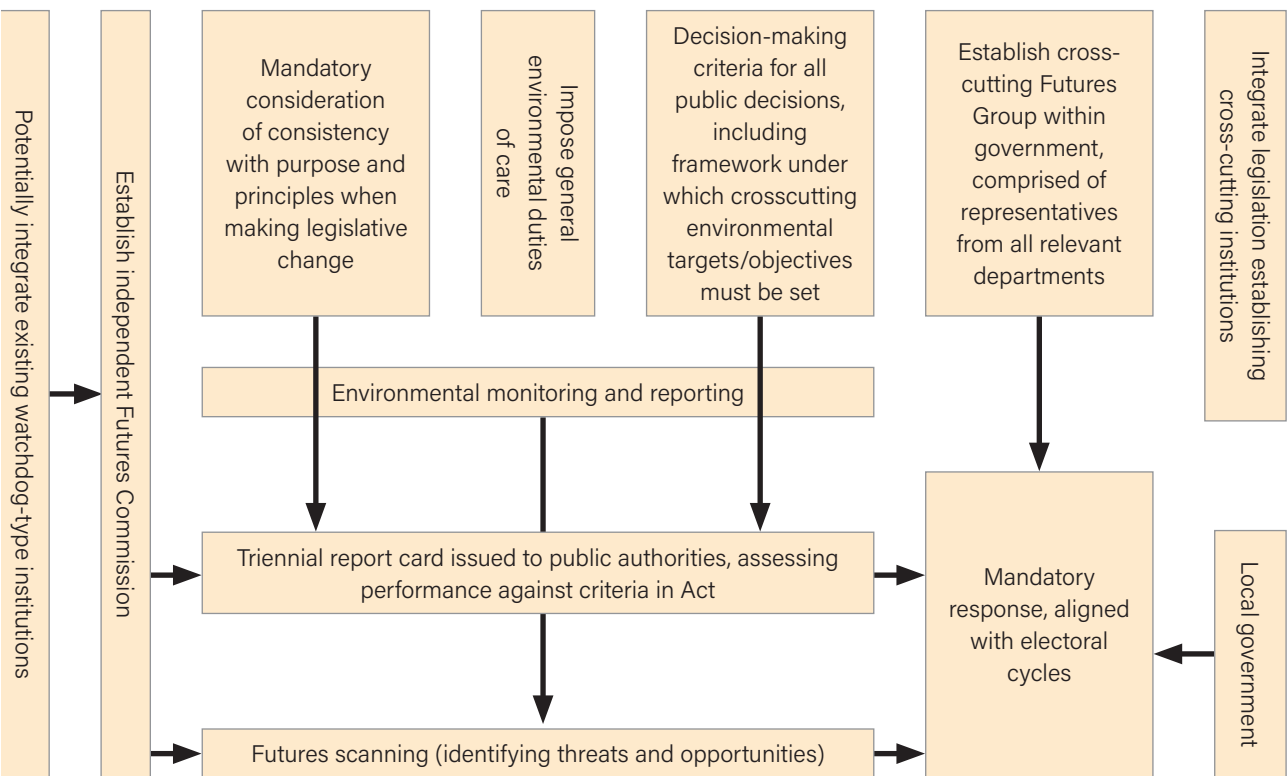
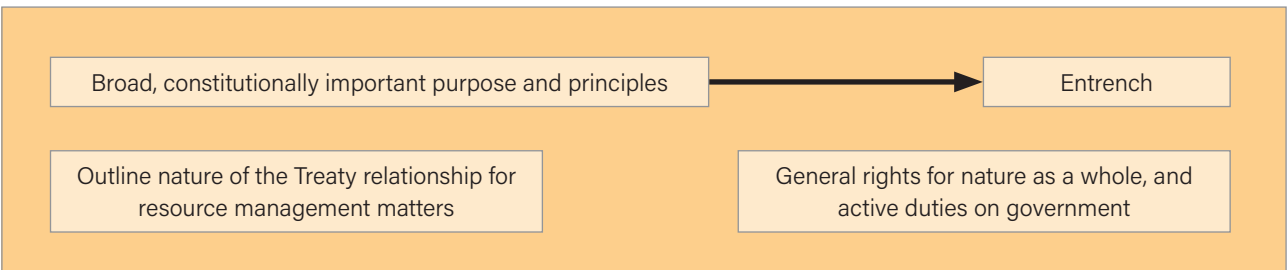


Figure 8.1: Decision-making principles and duties under a Future Generations Act

outcomes.¹⁰² For example, the Biodiversity Collaborative Group has pointed out that “There are a plethora of documents which do not consider biodiversity in a holistic manner, and there is no clear mechanism to ensure alignment and compatibility between these documents”.¹⁰³

The idea is that there would be a formal and legally influential place where all relevant considerations would come together, and where tensions between them could be identified and resolved with reference to the higher level purpose and principles of a Future Generations Act. We have previously called this kind of thing a “resource management” strategy, but in recognition of (what we think is) the poor optics of that label, we suggest it be called a “National Futures Strategy”. That would also align with the name of the Act under which it would be developed, and with the Futures Commission.

A spotlight on forestry

We can consider the desirability of formalising a more integrated strategic approach to planning in the context of forestry. In Chapter 5, we pointed out that Part 2 of the RMA, including in its approach to managing land, needs to recognise better the importance of enhancing social, economic and ecological resilience alongside managing adverse effects. But aside from the general climate change and economic policy impetus to make it easier to deploy plantation forestry, the current NES on Plantation Forestry continues to take a traditional RMA approach focusing on addressing the adverse effects of a regulated activity.¹⁰⁴ There is a separate, non-statutory, workstream developing a forestry strategy, and a reluctance to treat the NES as a strategic instrument for addressing broader issues of land use change (eg as a spatial tool to determine where we might wish to encourage or discourage plantation trees, or to influence what kind of trees are appropriate).

We have previously recommended undertaking a national forestry strategy and/or a national land use strategy.¹⁰⁵ This would include, but not be limited to, instruments like NESs under the RMA. That strategy ought to take a much more holistic, interconnected view of the place of forestry in New Zealand’s future, not just assessing the effectiveness of regulatory instruments (eg NESs, NPSs, and rules under the emissions trading scheme) to address adverse effects. A strategic approach demands consideration of the interactions between statutes and instruments, market drivers and expectations, social concerns (eg disruptions for rural communities), inequities across sectors using land (eg disparities in setbacks from waterways for forestry and agriculture), and the enhancement of social, ecological and economic resilience. Such considerations could usefully play out in the context of a broad Futures Strategy at a national level, which would drive (rather than be driven by) piecemeal reviews of particular regulatory instruments.¹⁰⁶

The second kind of instrument to be developed under a Future Generations Act would be *regional* futures strategies.¹⁰⁷ This recognises that strategic spatial planning needs to happen at multiple scales.¹⁰⁸ National and regional strategies would be similar in nature, but would contain content relevant to the strategic functions of central and local government respectively. As an analogy for a regional futures strategy, one might like to think of the Auckland Plan (as opposed to the RMA’s Auckland Unitary Plan).

Associated with both national and regional futures strategies would be spatial plans, which would express strategies in spatial terms. As pointed out earlier, not all strategy can be expressed spatially, but some aspects (eg urban growth) can only become meaningful when they are. At a national level, this would be intended to translate general strategic aims (eg renewable energy aspirations, or the creation of biodiversity corridors) into how that would play out in spatial or physical terms. Ideally, such things would be mapped. They would also be based on robust evidence, including from a more active central government role in conducting strategic environmental assessments (eg for specific industries). Regional spatial plans – akin to the Productivity Commission’s concept of a regional spatial strategy – would address land release and infrastructure provision for urban growth, but would by no means be confined to that purpose. Spatial planning is much wider than that.¹⁰⁹

A Future Generations Act would provide a statutory basis for strategic and spatial planning at a national and regional level. This would take the form of “futures strategies” and associated spatial plans that would give effect to them in spatial terms.



However, a predictable, integrative approach remains important. We therefore think that influence would need to flow in both directions. The relationship would be reciprocal.

Because the purpose of the Future Generations Act would itself stress the primacy of environmental bottom lines, there should be no objection to strategies then *giving effect* to those bottom lines imposed under more specific frameworks (like the RMA, conservation legislation, or oceans legislation). Bottom lines in those acts would be more clearly articulated than they are presently,¹¹⁵ making that job easier.

The law could then require that futures strategies (including associated spatial plans) be given effect to, *unless there were good reason not to*, in instruments made under more targeted regimes. “Good reason” could be defined as, among other things, being inconsistent with the purpose and principles of the more specific act or where funding was unavailable. For example, if an NEP changed under the RMA to impose a stricter limit to achieve an environmental bottom line, an existing regional futures strategy could not be used as a reason to override it.

Alternatively, lower level instruments could be required to have “particular regard to” futures strategies. Some novel alternative could even be drafted (eg “be guided by” or “generally adhere to”). All of these options represent stronger relationships than those between the Auckland Plan and the Auckland Unitary Plan (“have regard to”), but none is absolute.¹¹⁶

Targeted instruments like those under the RMA, Local Government Act and Land Transport Management Act would therefore not just be about blindly implementing futures strategies – they would be primarily about implementing the purpose and principles of their particular act. Indeed, that is a key reason why a framework like the RMA that sets bottom lines needs to be separate from others concerned with development. But strategies would have significant legal weight or importance within those constraints. It would be a bit like having a strategic meeting in an office, where everyone meets to outline a shared vision and then different teams go away to achieve their part of it. The idea is that they should all adhere to the vision that was agreed, unless there were persuasive reasons not to. Predictability, rather than absolute certainty, is the aim.

Futures strategies and related spatial plans would not be directly binding in a regulatory sense. However, they should have real legal influence on decision-making under more targeted frameworks (eg the RMA and infrastructure related legislation). It would not be feasible for them to be *given effect* to in these other statutes, but a reasonably strong legal direction should be put in place to ensure strategic planning is worth doing.

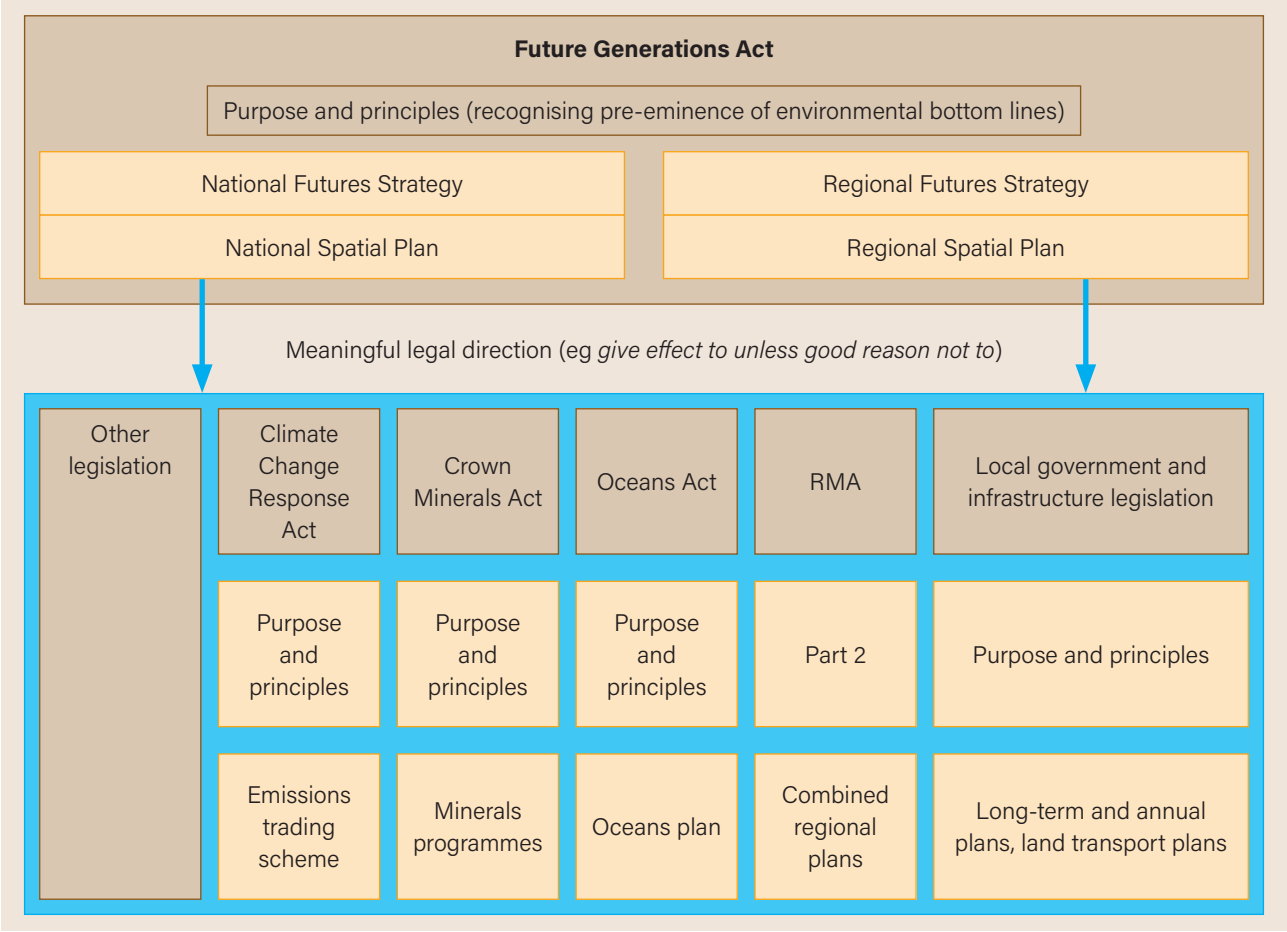


Figure 8.2: The relationships between strategic instruments under a Future Generations Act and other frameworks

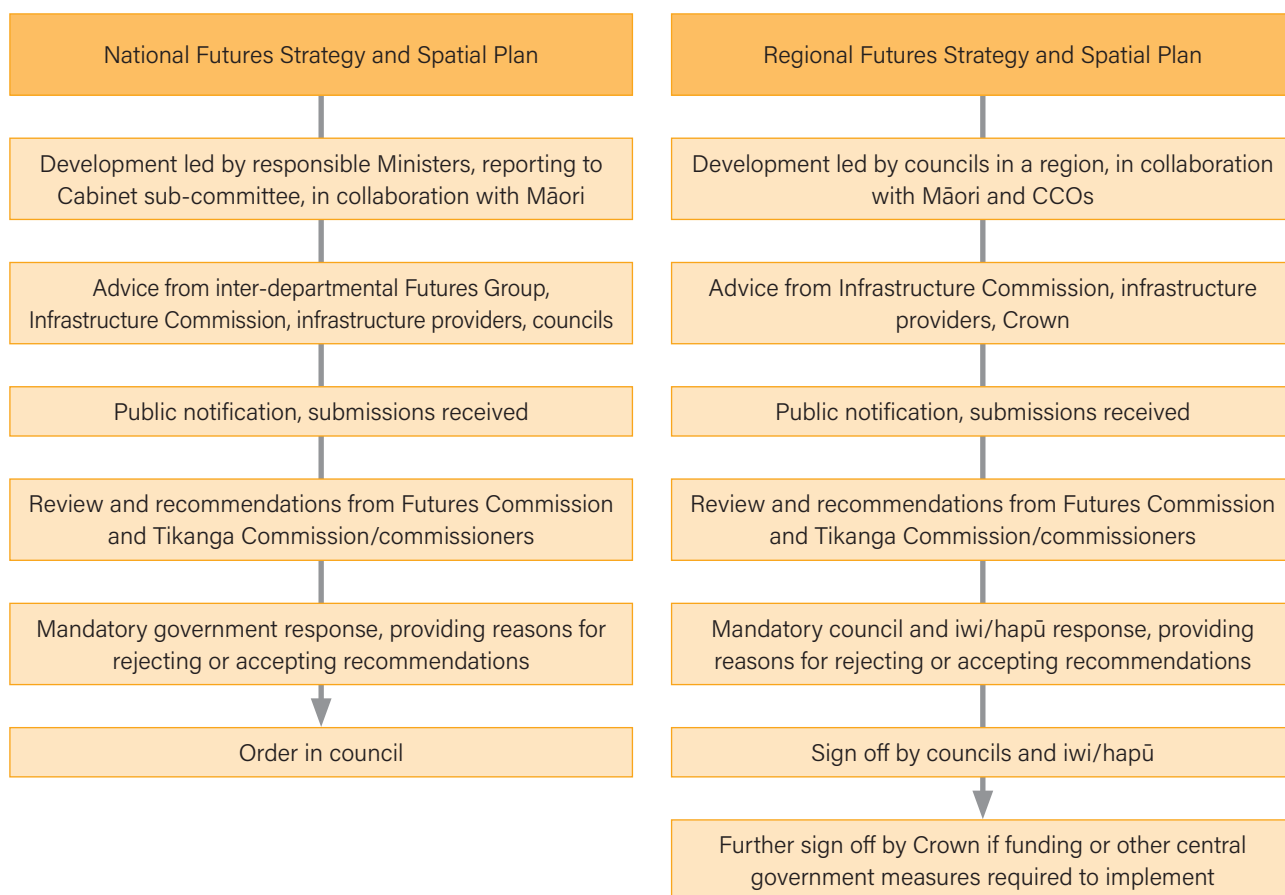


Figure 8.3: Process for creating futures strategies and spatial plans

8.7 Relationships between national and regional instruments

Regional strategies would not be required to give effect to a national strategy. The latter would influence/direct central government decision-making, and the former would influence/direct local government. In other words, national instruments would not be a “back door” for central government to influence local decision-making directly in ways it previously could not. For example, there would be no requirement for councils to directly give effect to a National Spatial Plan in their RMA plans or their long-term plans; the appropriate pathway would be for central government to reflect a national spatial plan within an NEP, and for councils to then give effect to the NEP. The purpose would be less about hierarchy and more about alignment within each level of government.

But what about the reverse? Should central government be bound to give effect to *regional* spatial plans? Certainly not as a blanket rule. Councils should not be able to bind the government within spheres of central government decision-making (especially funding decisions). However, if the government was involved in the regional spatial planning process, Crown funding was central to the success of the plan, and it was formally signed off by a responsible Minister,¹²⁷ there may be a case for the government to be obliged to follow through on an agreed regional spatial plan in the same way as councils would be. In reality, that may not be so different to a more structured, broader reaching and durable version of the Auckland

Transport Alignment Project, or a statutory concept of negotiated “city deals” between central and local government.¹²⁸ Some degree of long-term consistency and predictability is required over time, based on apolitical legislative principles, not sharp policy swings.¹²⁹

The same logic could apply to cross-regional spatial planning exercises, where an area’s values or features might be of national importance, but span multiple tenure types (eg Crown and private land), central and local jurisdictions, and different legislative frameworks. The Mackenzie Basin may be a good example of this (see spotlight below), where interests in land are private, public and pastoral leasehold; where many different government, council and other groups are involved; and where there are multiple legal frameworks to navigate and coordinate. A spatial planning regime might be a place where an overall integrated approach to managing such an area could be sketched out through agreement between partners, and then be directed by law (to some degree) to implement it using tools under other frameworks.¹³⁰ There is a pressing need for a framework to coordinate agency and community actions and resources, especially in the context of biodiversity.¹³¹ Similarly, the Crown may have a vital role in the success of inter-regional spatial planning in the context of urban growth. We consider this in the spotlight further below. More generally, there would be a strong case for national and regional strategies to have particular regard to each other.¹³²

The Waitākere experience provides an example that can be built on and improved in a new approach to cross-jurisdictional spatial planning. We consider that, in order to be effective, a spatial plan produced for the Mackenzie Basin and other similar areas should be a mandatory consideration in decision-making. Indeed, we have suggested that spatial plans under a Future Generations Act should be given effect to unless there were good reason not to, or at least be given particular regard to.

Overall, formalising a regional spatial planning framework provides a flexible and cohesive approach to managing landscapes across a range of tenures and jurisdictions (and not just in urban areas experiencing growth pressures) without upsetting the valuable focus provided by more targeted “implementation frameworks” like the RMA. It resonates with our previous work, where we have recommended the development of strategic plans for nationally important landscape areas, detailing clear responsibilities and funding sources for their implementation.¹³³

A national strategy and spatial plan would not be binding on regional ones as a matter of law – they would be integrative within each level of government, not hierarchical between levels of government. However, if all partners agreed, there would be a case for them to be obliged, to some degree, to follow through.

8.8 The importance of integrating planning and funding

Money would be a crucial consideration in developing strategies and spatial plans. These instruments (especially in some urban areas, but also in other areas like the Mackenzie Basin described above) would come with significant cost implications, including for infrastructure. Funding would be provided by different actors, too, and would need to be aligned. While the strategic planning process would not be *accompanied* by funds, nor could it realistically bind institutions to provide funds later, it would be important that it was at least *informed* by realistic propositions for later funding. Indicative funding sources should therefore be clearly indicated, including where costs are to be shared between agencies or between general populations and those who benefit or use services.¹³⁴ As we have previously said, “If the financial component of a plan falls through ... then the remaining regulatory component may not be enough to achieve the objective sought,”¹³⁵ and others have shared a similar sentiment in that “local organisations can plan, but with little funding have no certainty as to whether plans can be delivered”.¹³⁶ That is one reason why there would need to be involvement from key funders in the development of strategies and spatial plans. For example, the non-statutory Sea Change – Tai Timu Tai Pari Marine Spatial Plan provided for councils to

take direct measures like the construction of significant new wetland systems (to trap sediment in catchments).¹³⁷ For the plan to be successful, it therefore required a funding commitment, not just an agreement to regulate.

Ad hoc funding arrangements may always be needed for unanticipated events (or in a system that will inevitably require some political grandstanding from time to time), but this is becoming an increasingly concerning feature of the basic system.¹³⁸ Ad hoc funding is particularly acute in the urban context (eg for transport and water upgrades). Having indicative funding for public infrastructure contemplated in a spatial plan would at least give some predictability that land use change – or even maintaining a land use – would be supported by the physical “stuff” needed to realise it in practice.

Futures strategies and spatial plans should be accompanied by a description of anticipated costs, and where funding is envisaged to come from.

We would anticipate that most institutions’ strategic energy would go into this process, and be channelled away from separate, siloed strategic exercises (eg under local government legislation). However, those would by no means be precluded or replaced. They would remain valuable, including as inputs to the strategies and spatial plans envisaged here (and including proactive and creative forms of targeted community engagement).

It is worth making one more specific note about the relationship between regional futures strategies and regional policy statements under the RMA. We referred to this in the previous chapter, noting that regional policy statements form a crucial layer in the system. They are integrative (at least for policy matters governed by the RMA), and they provide stability by not being subject to private plan changes.¹³⁹ However, if we have a *more* integrative mechanism at a regional level (futures strategies and associated spatial plans), is there a need to retain this additional layer in the system? Arguably we could dispense with the regional policy statement and simply require unitary plans to give effect to a regional strategy/spatial plan. The two could be duplicatory.

In the context of the Auckland Plan, it was seen as important to retain the regional policy statement layer within a unitary plan, despite the existence of a higher level spatial plan. The Auckland Plan was not a meaningful substitute for an instrument made under the more focused and robust processes and purpose of the RMA. Similarly, in Christchurch, a voluntary urban development strategy formulated between multiple authorities (which can be seen as a spatial plan) then needed to be translated into a regional policy statement under the RMA (including urban limits).¹⁴⁰

It is open for debate whether that additional step would still be desirable or necessary if we were to place a more formal process around the development of the higher level strategy. That said, while having an additional layer

A spotlight on spatial planning and urban growth

One of the key drivers for strategic spatial planning (as well as proposals for an integrated Planning Act)¹⁴² has been the desire to take an integrated approach to urban areas like Auckland, Hamilton, Tauranga, Queenstown and Wellington.¹⁴³ These metropolitan areas are growing rapidly, presenting a unique set of challenges as a result. One of the most concerning ways in which this has manifested is in increasing housing unaffordability, especially for vulnerable sectors of society. It has been pointed out, for example, that since the 1980s housing costs for low income New Zealanders have doubled as a proportion of their income.¹⁴⁴

In particular, there is a need to align the contributions of various institutions (councils and central government) across multiple statutory functions (eg land use change, housing provision, network infrastructure, related community services etc). One does not work without the others. Spatial planning within the Auckland region has already occurred under bespoke legislative arrangements, but the need does not stop there.

The most significant inter-regional spatial planning exercise New Zealand has seen is underway to manage growth and development along the corridor between Hamilton and Auckland. This is a partnership under the leadership of central government. There have also been agreements between local government and the Crown to align planning and funding responsibilities for key infrastructure (eg through the Auckland Transport Alignment Project), and more general ad hoc measures to fund infrastructure to support urban growth (eg through a competitive Housing Infrastructure Fund). Attempts have also been made to connect up decision-making through specific statutory frameworks (eg the NPS on Urban Development Capacity has talked about the need for coordination and to consider related decision-making processes), even though that has no real ability to require it.¹⁴⁵ Similarly, the Local Government Act requires councils within a region to agree to protocols for communication, co-ordination and dispute resolution (triennial agreements) to avoid duplication of services or functions.¹⁴⁶ But decisions under one act cannot bind decision-makers under another, and there is still a risk that:¹⁴⁷

a nationally significant project may be a priority in [a] spatial plan but have no recognition under the RMA or [the Land Transport Management Act]; [and] a regionally significant project may have priority in a [regional land transport plan] but not be funded in the local council's long-term plan.

The necessary alignment has therefore yet to be built into the fabric of the resource management system as a whole, and continues to be subject to ad hoc negotiations, partnerships, and the political prioritisations of different parties. This lack of

coordination can be seen in action in the context of mass transit proposals for Wellington City, where despite a promise of a Crown contribution and commitment to the project, it is still unclear where the council's side of the funding is to come from.¹⁴⁸ In relation to the Auckland to Hamilton spatial planning exercise, some have pointed out that it is "operating outside of planning and governance statute, leaving it heavily dependent upon commitment from the Government of the day".¹⁴⁹

A legislated process for regional (or even inter-regional) spatial planning under a Future Generations Act would provide a space for relevant decision-makers to come together under a common set of principles and develop a robust, integrated, legally meaningful and reasonably durable strategic plan for urban growth and development. Incidentally, there may, then, be no need for more siloed tools like future development strategies (required by RMA national direction), which would perform a similar function.

The role of the Futures Commission, it is to be hoped, would also assist in depoliticising issues and providing a degree of stability around long-term planning and funding. On the other hand, it is worth noting that the potential for an urban development authority to be given wide powers to override spatial plans, as well as a raft of RMA instruments, has potential to undermine that stability. As discussed in Chapter 10, we have some serious misgivings about the extent of powers that have been proposed for them.

Regional spatial plans dealing with rapid growth would contemplate not just land use change (eg the release of land for development in specified growth corridors) and the infrastructure required to make that happen (eg water pipes to allow houses to be actually occupied), but also the need to make sure outcomes are being optimised. For example, plans may need to provide for public transport nodes (eg light rail) to be funded and delivered in a timely way around areas slated for residential density (which, for example, may not have requirements for car parking). One does not really work without the other. Thus considerations of good urban design and synergies (and, ultimately, the purpose of the Act) should drive urban spatial planning, not just the need to have separate decisions happening at the same time.¹⁵⁰

There are also more systemic questions to be considered, concerning how urban growth, notably enabling infrastructure, is to be funded, not just coordinated. More may be needed than futures strategies and spatial plans to ensure that the right things can be (and are) actually paid for in a timely way. This is in two senses: (1) that enough money is in the pot to fund what needs to be put in place and (2) that appropriate incentives are in place for funders to do so in practice.

A lot of this conversation revolves around how *councils* are funded, and whether a system largely dependent on local rates continues to be appropriate. Some (such as the Productivity Commission) have expressed an

8.9 What are the limits of spatial planning?

It is worth re-emphasising at this point that spatial planning is not just about managing urban growth. One may be forgiven for thinking this is the case. For example, the government's work on spatial planning seems to be primarily located within its "urban growth agenda" work programme.¹⁵⁷ But many other issues and challenges are spatial in nature, and could benefit from greater joined up strategic planning at a high level. For one, climate change adaptation and managed retreat (for key industries, people in all areas, and infrastructure) will require this. So too will issues around how we manage all sorts of land uses at national and regional levels, including outside cities. Do we leave such choices only to the market?

That is still something of an uncomfortable topic compared to the narrower context of urban growth. It raises not just questions of how to align the well-settled roles of the public and private sectors (ie to *coordinate* land use, infrastructure and buildings), but also questions around what the role of public intervention is. *Should* public spatial planning be concerned with prioritising certain land uses irrespective of their adverse effects? To what extent does there need to be a national interest (eg an increase in economic or social resilience, or enhancement of a degraded environment) in order to do so?

For example, should spatial planning broadly identify suitable (or unsuitable) locations for new forestry, aquaculture¹⁵⁸ and agriculture, rather than saying "yes" or "no" based on the ability of proponents to address adverse effects? And what about energy and landscape concerns – where might we *want* to put wind farms to meet climate change and energy security aims (rather than just thinking about where we *don't* want them)?¹⁵⁹ Such ideas can grate with the largely neo-liberal ethos of the system we have, even if a spatial plan would not have regulatory effect..

Other people have seen the very concept of an overarching framework like this as an excuse for central planning, and a return to the days of the National Development Act 1989. National level spatial planning is sometimes in practice called something else (eg strategy or policy direction),¹⁶⁰ perhaps to avoid such uncomfortable allegations of an overpowering central authority. While we do see a greater, more coherent role for central government to do strategic (and spatial) planning under the Act, it is not the intention to expand the Crown's *powers* in any significant sense or to override more specific frameworks like the RMA, particularly where environmental bottom lines are at stake. In fact, the very opposite is the intention.

Real care needs to be taken in this model to ensure the development-oriented aspects of futures strategies (eg wind farms, transport networks, other infrastructure) do not override environmentally protective ones. We do not want a government prioritisation of, for example, mining, intensive road building, or agricultural expansion in a strategic document to override environmental concerns under, say, the RMA. We have had enough of that in the

past,¹⁶¹ and there would be little point in strengthening Part 2 of the RMA if that were the case. We cannot have a system-wide "overall judgement" approach (deferring to a more general, balanced set of concerns to override more specific bottom lines) to reappear at a system level after this was so deftly put to bed in *King Salmon*. Indeed, there is a real risk that this will happen with a proposed urban development authority model (see Chapter 10), and we do not want to open that up more broadly. Nor do we want urban planning to be driven solely by transport planning.

Safeguards would therefore need to be put in place. The clear articulation of the primacy of the environment in the purpose of a Future Generations Act is one way in which that would be ensured. Bottom lines would need to be given effect to in any futures strategies and spatial plans. The ability for more targeted frameworks like the RMA to depart from futures strategies, to the extent of any conflict, would be another safety valve. The role of the Futures Commission in the development of futures strategies, with an inter-generational environmental focus and independent voice, would be a third.

However, we also suggest that "development" and "environment" concerns should be considered alongside each other within a Future Generations Act, not just ringfenced as separate things. This would be to encourage mutual benefits in design (eg green infrastructure, energy sensitive buildings, climate sensitive energy options, where different forms of forestry are best located), rather than just providing a set of statements about protecting the environment *from* development. In the future, spatial planning will need to insert strong environmental



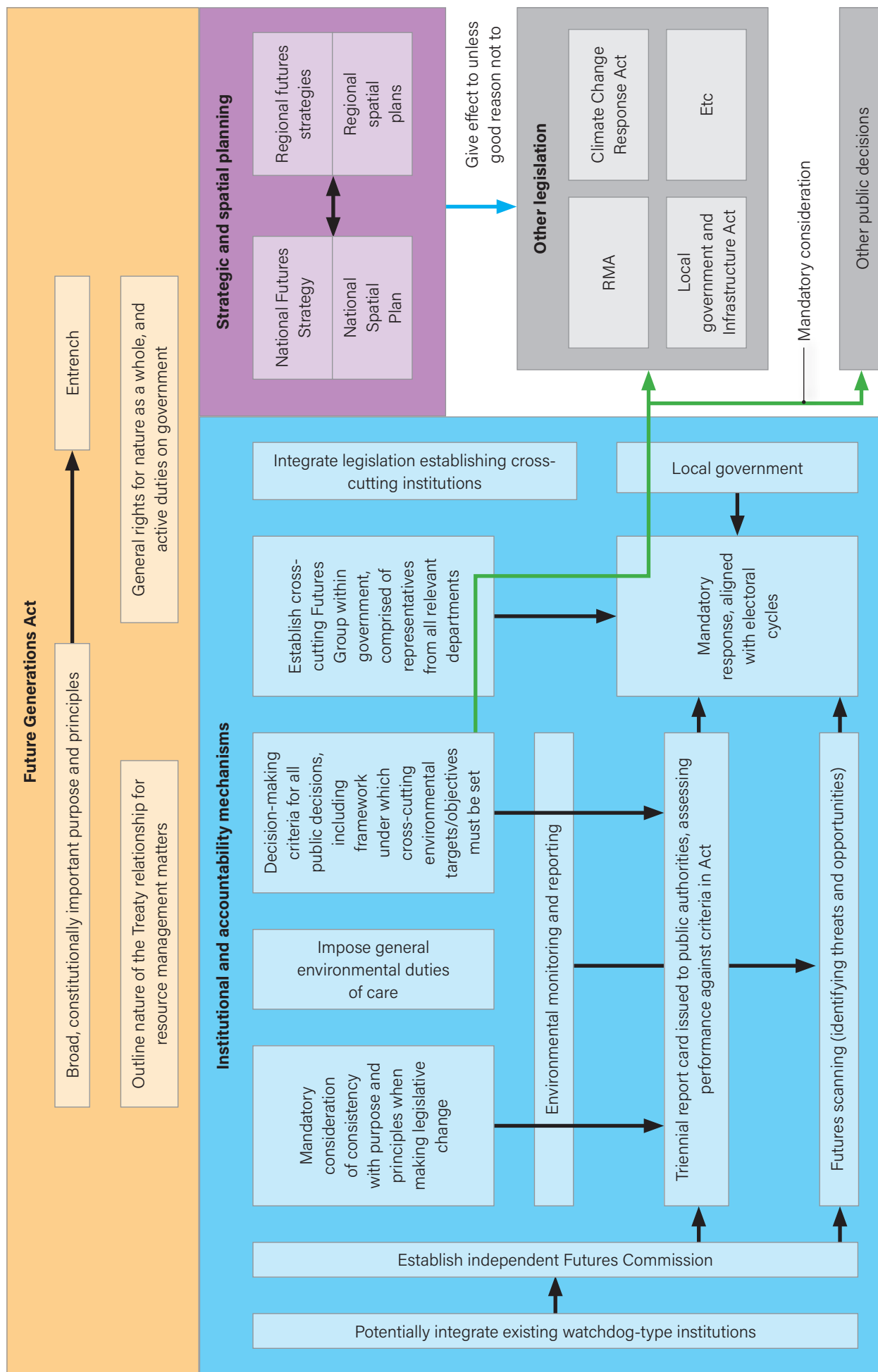


Figure 8.5: Key components of a *Future Generations Act*

matters, for the authority to demonstrate they have adequate staff to carry out their functions.

- 66 That, for example, could be a trigger for the transfer of aspects of plan development from council to the EPA envisaged in the council RMA planning model described in Chapter 7.
- 67 Including where central government requirements were imposed.
- 68 See generally G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 170.
- 69 And potentially general duties on local authorities to monitor and report on the state of the environment under the RMA, as well as additional monitoring obligations imposed under national direction.
- 70 For example, it could form a compulsory final chapter within a synthesis report produced periodically under environmental reporting legislation, or be a separate report issued in response to it.
- 71 Compare MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 196.
- 72 <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=11745529>
- 73 Well-being of Future Generations (Wales) Act 2015 (UK), s 4.
- 74 See Parliamentary Commissioner for the Environment *The state of New Zealand's environment: Commentary on Environment Aotearoa 2015* (2016) at 45.
- 75 Such a duty would apply to all people.
- 76 See generally C Iorns Magallanes "From rights to responsibilities using legal personhood and guardianship for rivers" in B Martin, L Te Aho and M Humphries-Kil (eds) *Responsibility: Law and governance for living well with the Earth* (Routledge, 2018).
- 77 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 105.
- 78 *Queenstown Central v Queenstown Lakes District Council* [2013] NZHC 815, [2013] NZRMA 239 at [79].
- 79 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 107, ch 13.
- 80 Compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39; I Carlman "The Resource Management Act through external eyes" (2007) 11 NZJEL 181.
- 81 See Biosecurity Act 1993, s 73(5).
- 82 See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 12; MA Brown *Banking on biodiversity* (EDS, 2017); Local Government New Zealand *Biodiversity offsetting under the Resource Management Act* (2018).
- 83 Resource Management Act 1991, ss 229-230.
- 84 For example "we have farmed this land for generations" or "It's my land, I can do with it what I ... please": J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011), ch 14.
- 85 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 12. It is also not a solution to concerns over equity, given that public resources will be privatised by those who have the ability to pay for them.
- 86 Companies Act 1993, pt 8.
- 87 See J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011).
- 88 D Kalderimis and N Swan *Sustainable Finance Forum Legal Opinion 2019* (Chapman Tripp, 2019), citing P Watts "To whom should directors owe legal duties in exercising their discretion? — a response to Mr Rob Everett" [2019] CSLB 49; P Watts "Shareholder primacy in corporate law — a response to Professor Stout" (ch 2) in P Vasudev and S Watson (eds) *Corporate governance after the financial crisis* (Edward Elgar, England, 2012) at 43; P Watts *Directors' powers and duties* (2nd ed, LexisNexis, Wellington, 2015) at 137.
- 89 D Kalderimis and N Swan *Sustainable Finance Forum Legal Opinion 2019* (Chapman Tripp, 2019), citing R Everett "Thinking beyond shareholders" (presentation at the NZ Capital Markets Forum, Wellington, 21 March 2019) and Lord Sales JSC "Directors' duties in a post-Hayne world: 'the company' as more than the sum of its shareholders" (Lecture for the 36th Annual Conference of the Banking & Financial Services Law Association, Gold Coast, Australia, 31 August 2019).
- 90 Companies Act 2006 (UK), s 172(1).
- 91 Acknowledgement: Daniel Kalderimis, Partner, Chapman Tripp.
- 92 D Kalderimis and N Swan *Sustainable Finance Forum Legal Opinion 2019* (Chapman Tripp, 2019).
- 93 Ibid.
- 94 Ibid.
- 95 Compare the spatial planning regime envisaged in New Zealand Productivity Commission *Better urban planning* (2017).
- 96 Many strategic documents are produced under the current system in a fairly fragmented way. For example, we have a Biodiversity Strategy, Government Tourism Strategy, Energy Efficiency and Conservation Strategy and Energy Strategy, Waste Strategy, and so forth. Specific agencies also have multiple strategies (eg the Housing New Zealand Environment Strategy).
- 97 See Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 35.

- 98 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019).
- 99 Ibid.
- 100 Ibid.
- 101 For example, in the "golden triangle" of growth between Auckland, Hamilton and Tauranga.
- 102 See MA Brown *Evaluating the environmental outcomes of the RMA* (EDS, 2016). Such frameworks include fisheries legislation, minerals legislation, climate change legislation, housing legislation, conservation legislation. On tensions between and within statutes, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), chs 8 and 14.
- 103 *Report of the Biodiversity Collaborative Group* (2018) at 88.
- 104 Or arguably not even that, for example in its failure to address damaging clear-fell harvesting methods directly or addressing issues proactively at the afforestation and replanting stage.
- 105 See M Wright, S Gepp and D Hall *A Review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (2019).
- 106 On the need for the One Billion Trees programme to deploy new plantings in a strategic manner embracing synergies with biodiversity, see *Report of the Biodiversity Collaborative Group* (2018) at 111.
- 107 Compare the regional spatial strategies envisaged for purely urban matters in New Zealand Productivity Commission *Better urban planning* (2017).
- 108 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 37.
- 109 Ibid, at 35.
- 110 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 222.
- 111 Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 14.
- 112 This goes to the broader question of how local government is funded, which we are continuing to give thought to.
- 113 For example, funding for the Department of Conservation, or funding for roads of national significance.
- 114 Local Government (Auckland Transitional Provisions) Act 2010, s 145(2). Compare also the Sea Change – Tai Timu Tai Pari Hauraki Gulf marine spatial plan (2017), where the relationship with more formal legal instruments was unclear; see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 227.
- 115 For example, they would be specifically identified as bottom lines, rather than matters that could be traded off.
- 116 Contrast one suggestion that spatial plans would be *given effect* to: see Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 43.
- 117 Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 35.
- 118 See <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>
- 119 Including under an NEP.
- 120 Rather than a single standing group, it could be a matter of developing alongside iwi and hapū at a regional or sub-regional level.
- 121 M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) Policy Quarterly 32 at 35.
- 122 Again, this kind of role highlights to us the eventual desirability of integrating various independent watchdog or advisory institutions (existing and proposed), including the Parliamentary Commissioner for the Environment, Climate Change Commission, and Chief Freshwater Commissioner.
- 123 There is a question here over what would happen if no agreement could be reached, and the potential role of central government or the courts.
- 124 Environmental Reporting Act 2015.
- 125 This has been the focus of the NPS on Urban Development Capacity under the RMA, which in turn has been driven primarily by concerns around housing supply (and therefore affordability).
- 126 B Craven, J Goldingham-Newsom and O Hartwich *#localismNZ: Bringing power to the people* (2019) at 38.
- 127 On the need for the government to sign off regional spatial plans, see Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 128 On city deals, see <www.newsroom.co.nz/2018/03/06/94600/government-lukewarm-on-wellington-city-deal#>
- 129 Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 32.
- 130 That may still require novel mechanisms to implement (eg the idea of a new legal category of a Heritage Area Order, discussed in Chapter 6).
- 131 See MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015). There is fragmentation of biodiversity-related planning across the Department of Conservation, councils, landowners and community groups, and across multiple statutes relating to conservation as well as the RMA and non-statutory programmes.

9. CLIMATE CHANGE LEGISLATION

9.1 Introduction

In Chapter 4, we outlined broadly how climate change is addressed in the current system. Most mitigation measures are contained in the Climate Change Response Act and associated (and complex) emissions trading scheme regulations, with the RMA having very little to say or do about it. In a future system, we envisage that the Climate Change Response Act would remain separate, primarily as a vehicle for the continuation of the emissions trading scheme.¹ Keeping in mind the directive of the Legislation Act to tidy up our statute book, we consider that the Climate Change Response Act could usefully incorporate relevant aspects of the Forests Act concerned with the accounting side of managing carbon sinks, as well as new provisions needed to manage carbon capture and storage technology.²

While a project of this nature, concerned with the architecture of a future system, is not the place to delve into the detail of emissions trading reform, we do see the pricing of greenhouse gas emissions as a vital tool in achieving New Zealand's climate goals. If done well, economic instruments can drive real change in outcomes,³ while providing flexibility and encouraging innovation in how market participants achieve them.

The exclusion of biological emissions from agriculture has, thus far, proved a stumbling block to a comprehensive all-sectors approach to pricing emissions, and that will need to be addressed in a future system. So too will a meaningful cap on the supply of emissions units, a phasing down of industrial allocations, the removal of the option to pay a fixed price for emissions (ie removing a price ceiling), and more guidance around auctioning.⁴ However, we note that the government is poised to make considerable legislative changes to the scheme, which should address those concerns.⁵ In particular, proposals include a conditional measure, by which agricultural emissions would enter the scheme and be priced at the producer level by 2025 if sufficient progress is not made towards alternative solutions. That provides an incentive (a "stick") for more bespoke and collaborative mechanisms to be developed over the next few years, in what looks likely to be a farm-based levy. The crucial thing is for some form of pricing mechanism to be introduced to drive meaningful change within a reasonably short period of time.⁶

The emissions trading scheme will need to be strengthened in a future system to impose a cap on emissions, and remove a fixed price surrender option for emissions units. Agricultural emissions will need to be robustly priced using some mechanism in the short-term, but we see some flexibility as to exactly what that looks like.

The emissions trading scheme should not be our only focus, and our eggs need to be put in many different baskets. Climate change has implications for multiple (indeed, almost all) other statutory regimes, and cuts across the whole of the system in ways that no other aspect does, with the exception of the Treaty of Waitangi. As such, specific climate change legislation (the Climate Change Response Act) is not the be all and end all unless it has strong strategic and policy links to other parts of the system (including the RMA). That is certainly not the case at the moment. As we said in the Phase 1 report:⁷

New Zealand has clear climate change obligations under the Paris Agreement that will have to be met over the coming decades. In order to meet them, a future system will need to accommodate a great deal of change in a multipronged approach (not just an emissions trading scheme). It will need to be more directive, proactive, and contemplate land use change. Normative directions about climate change will need to be integrated across the whole system.

At the time of writing, the Climate Change Response (Zero Carbon) Amendment Act has just been passed. The purpose of the legislation now includes a framework by which New Zealand can develop and implement clear and stable climate change policies that contribute to the global effort under the Paris Agreement to limit the global average temperature increase to 1.5° Celsius above pre-industrial levels.⁸ We see that proposal as a positive, indeed breakthrough, step. In fact, the kinds of novel features defining that legislation (firm bottom lines, targets, independent review by a standing commission, plans as pathways to action rather than regulatory restrictions) closely resemble the kinds of thinking that are at the heart of our preferred model in a broader sense. At the core of the Amendment Act is a set of legislated targets (including net zero for carbon dioxide emissions by 2050),⁹ a Climate Change Commission that is tasked with holding the government accountable, and provision for the development of emissions reduction plans and adaptation plans (and related risk assessments). While we will not dwell on the specifics of the Amendment Act (eg the adequacy of its targets for carbon dioxide and methane),¹⁰ we will explore what we see as its structural place in a future system.

Presently, the Climate Change Response Act is largely (although by no means entirely) a framework for the operation of New Zealand's emissions trading scheme. It is, essentially, an "implementation" framework (one of the very few for climate change given the inadequacy of the RMA) for policy decided elsewhere, rather than a strategic framework for thinking about wider climate action. This gap – the strategic framework – is exactly what the Zero Carbon Act provides. Under current settings, it makes

However, if a broader legislative reform programme took place (eg strengthening the RMA itself, including by requiring mitigation and adaptation measures as part of an NEP), then there may be a case for a weaker direction (“have particular regard to”). In that case, a futures strategy would be more about *aligning* other frameworks rather than trying to fill in gaps or inherent deficiencies in them (as would be the case under the present RMA).¹⁸ We leave that question open for now.

Something that is not currently provided for in the Climate Change Response (Zero Carbon) Amendment Act, but would in our minds be a useful addition, is for *regional* futures strategies to also subsume emissions reduction and adaptation elements. After all, communities and their representatives can make meaningful contributions alongside top down efforts. Some local efforts have already been made, and internationally this level of government tends to be leaders on climate action.¹⁹

As described earlier, national and regional futures strategies would be accompanied by spatial plans. While the current proposals for emissions reduction and adaptation plans are not explicitly spatial in nature, they will have significant spatial implications. For example, as a country we need to decide where different kinds of trees should and should not go, and where people can and cannot do different forms of development in light of sea level rise and climate-induced hazards. Rural land use change will be vital to achieving targets, but needs to be done in a way that embraces policy synergies rather than trade-offs (see spotlight later in this chapter).²⁰ This link between strategic planning and its spatial expression will therefore be critical.

We see potential for the “strategic” elements of climate change legislation, currently in the Climate Change Response (Zero Carbon) Amendment Act, to be integrated into a Future Generations Act. Emissions reduction plans and adaptation plans would be integrated into a National Futures Strategy and expressed in its associated spatial plan. Climate change should also be embedded in regional futures strategies and spatial plans. In this way, strategic climate change planning would have meaningful legal influence under other regimes like the RMA, because there would be an obligation to give effect to them unless there were good reason not to.

A Future Generations Act – having a system-spanning purpose embracing firm biophysical bottom lines (including principles/duties for government action), and under which integrated national and regional strategies and spatial plans are produced – provides a comfortable home for climate strategy to be developed and expressed. We therefore suggest several further measures to integrate the Zero Carbon Act into a Future Generations Act. First, a strengthened purpose we have previously

recommended for the Climate Change Response Act could be integrated into the purpose of this broader Act. As we have said previously:²¹

[The revised purpose] of the Climate Change Response Act lacks aspiration, and does not reflect the ambition inherent in the net zero target and the title of the [Zero Carbon Act] itself. We recommend that it be strengthened (eg that the purpose is to achieve a climate neutral society and economy by 2050, not just to implement New Zealand’s international obligations).

Furthermore, the general set of public decision-making principles that we have previously recommended be added to the Zero Carbon Act should instead be integrated into the wider set of principles and duties we talked about earlier for the Future Generations Act. In the climate context:²²

These would have to be taken into account in all public decision-making. This reflects that climate change is an important consideration in a wide range of other more specific statutory frameworks (eg transport, resource management, local government) and government decision-making more generally (eg investment choices, internal policies and procedures) even if there are no accompanying regulations to bind people directly. Principles could include the desirability of near zero gross carbon dioxide emissions, net zero biogenic methane emissions,²³ the importance of maintaining and enhancing other aspects of the natural environment at the same time as mitigating and adapting to climate change, environmental, economic and social resilience, and precaution. [To this list we would add the desirability of pursuing negative emissions technologies.]



roles within it (eg in relation to carbon budgets and targets). Emissions reduction plans and adaptation plans, as part of a wider futures strategy, may well benefit from having a broader range of independent input from a Futures Commission (eg to embrace synergies between emissions reduction measures and the enhancement of indigenous biodiversity). While we understand that there are advantages and disadvantages of maximising independence (eg a parliamentary office) and keeping reasonably close connections with government (eg a Crown entity), we ultimately see an integrated Futures Commission as the former.

Irrespective of its institutional form, the Commission could also have a wider role than as just an independent advisor and watchdog. It could be tasked with advocacy (even initiating proceedings for a failure to achieve targets/budgets), as an institutional repository and public-facing source of information, and be a source of assistance and advice for other groups engaged in climate change mitigation and adaptation (eg community groups, or local government). That should involve hands on, locally targeted solutions, not just general guidance. Alternatively, this more operational role could be located within government (some have suggested a new agency), due to the close connections needed between this role and associated government funding.²⁶ As the Productivity Commission has noted:²⁷

Considerable guidance for councils on climate-change adaptation already exists. But more is needed, and providing it through central, specialised sources of knowledge will be more cost-effective than each council inventing its own solution. Most councils will welcome guidance and find it helpful not only as advice but as backing for taking the difficult and unpopular decisions that will sometimes be necessary.

In the longer term, we suggest giving close consideration to integrating the Climate Change Commission into a broader framework of a Futures Commission. The Commission, or a government agency, should be tasked with providing operational assistance to those undertaking tangible projects to reduce emissions or adapt to climate change.

Overall, the benefits of addressing climate change in a broad Future Generations Act would be threefold. First, it would ensure that climate change considerations permeate the highest levels of connected decision-making in the system (rather than being treated in a silo, which would be the case even if the currently vague connections between frameworks were to be strengthened).

Secondly, it would ensure that climate change strategy has reasonably clear pathways to implementation in other frameworks (eg the RMA and other statutes, as well as the Climate Change Response Act). There would be an express legal link between a futures strategy and implementation statutes. It would need to be

accompanied by a wider legislative reform programme (eg to fix the climate components of the RMA).

Thirdly, it would ensure that potential synergies between climate change outcomes and other outcomes are identified and pursued. Rather than pursuing climate change outcomes at the expense of wider environmental benefits, there may be ways in which they can mutually reinforce each other when a long-term view is taken. There are many potential synergies to embrace here. For example, as explored in the spotlight below, we could see the widespread regeneration of indigenous vegetation rather than carpeting the landscape with a monoculture of *Pinus radiata*.²⁸

A spotlight on a landscape approach²⁹

The idea of a “landscape approach” is gaining momentum in conversations about the future of New Zealand’s land sector.³⁰ But what does this phrase actually mean?

A landscape approach is a way of working *with*, rather than *against*, the particularities of the land and the communities that live there. It is about recognising what is unique about a place, what values are expressed or unrealised by the current form of the landscape, and what could be improved to create enduring social, environmental and economic prosperity. The approach tends to favour the diversification of land uses through decisions that are shaped by the unique constraints, opportunities and aspirations for a specific site.

More formally speaking, a landscape approach is defined as:³¹

a framework to integrate policy and practice for multiple land uses, within a given area, to ensure equitable and sustainable use of land while strengthening measures to mitigate and adapt to climate change. It also aims to balance competing demands on land through the implementation of adaptive and integrated management systems. These include not only the physical characteristic features of the landscape itself, but all of the internal and external socio-economic and socio-political drivers that affect land use, particularly related to conservation, forestry and agriculture.

Although a landscape approach is still an evolving concept, its underlying ideas and practices have a longer, deeper history.³² In particular, it is a vindication of many indigenous ways of thinking about land use, such as the Māori notion of *ki uta ki tai* (which recognises the intricate journey that water takes through the landscape and the various interactions it has as it makes its way to the sea).³³ This holistic view – which treats the landscape as multiple interrelated systems (biophysical, hydrological, climatic, and socioeconomic systems) – reflects the broader revival of “systems thinking” and how to govern for wicked problems like climate change, food security and sustainable development.³⁴

Some have suggested that people should be allowed to take informed risks, as long as they were clearly identified (eg through a covenant on the title of a property clarifying that the assumption of climate risk is entirely on the owner).⁴⁴ Careful consideration would also have to be given to the assumption of risk by those holding other interests in such land (eg long-term leaseholders), who would not necessarily pay close or any attention to covenants on a title). Furthermore, there is a political rather than legal question here: even if legal liability is clear, there is still a risk that the collective impact of people's choices may later, in practice, put significant political or moral pressure on public authorities to support people in making a transition.

All of this raises enormous political issues, because people are loath to suffer any diminution in private property values that come from legal recognition of climate risk, and (often irrationally) tend to favour cures over risk prevention.⁴⁵ We shone a spotlight on that in the Phase 1 report, in the context of hazard lines imposed on the Kapiti Coast.⁴⁶ However, the reality is that potentially unpopular measures will need to happen across the country to avoid longer-term pain, and that a role will be needed for central government or a national level independent agency to overcome local political pressures to continue to fund or otherwise support inappropriate development. This is ultimately also in the interests of councils themselves, because it shields them from future allegations that they are responsible for allowing development and therefore must compensate for people's losses.⁴⁷ We have seen this

risk play out in the context of leaky buildings, and to some extent in ongoing expectations about retaining (or being compensated for) water rights.

There is, for example, a compelling argument for translating an adaptation plan to a regulatory or strong policy instrument under the RMA through national direction (an NEP), or at least to make public funding conditional upon adherence to an adaptation plan. General public funding also needs to be directed strategically into programmes that will actively enhance resilience (for instance, by promoting the ecological resilience that comes from mixed forest systems described earlier).

Climate change adaptation needs to be a consideration that informs all relevant decision-making frameworks, particularly those concerned with funding. Strong central government support will be required.

Even more difficult will be addressing challenges that already exist. That may prove to be by far the most expensive and daunting element of adaptation. Some challenges are faced by central government (eg in the need to relocate nationally owned assets), while others are faced by councils (eg the need to strengthen flood protection measures or move three waters infrastructure). Others are shared (eg the need to reduce risks to the roading network).



partnering, alongside Māori, to deploy funds for common goals that have both local and national implications.

Funding is also important for mitigating climate change. While the polluter pays principle must be implemented, we cannot rely solely on restricting people's future greenhouse gas emissions or putting a price on emissions that can then be redirected as credits to those providing offsets. As a country, we need to take a more active approach. Indeed, some mitigation measures can also enhance adaptation and other goals at the same time (we can think of the synergies for ecological resilience, biodiversity, landscape, and erosion control provided by indigenous planting), and deserve public support. Yet this is not simply a matter of government throwing money around. We need to deploy more nuanced tools that reflect a fair contribution for the public, and which also galvanise private contributions at the same time.

A spotlight on climate finance⁶³

A fertile area for further exploration is climate or sustainable finance. There are innovative mechanisms for funding and financing that could be developed to support climate change outcomes while at the same time delivering on broader environmental outcomes and relieving pressure on regulatory frameworks. One potential sector is sustainable forestry and land use more generally. A biobank shows potential – where offsets required under regulatory regimes like the RMA (where acceptable) would be deployed in a strategic manner across the country. Offsets would be valued, and therefore set, according to many public benefits, but climate change and indigenous biodiversity would be central. Thus acceptable harm caused to biodiversity in one area could result in a net benefit to biodiversity and climate (and other) outcomes elsewhere.

Other measures could include the deployment of novel financial products (eg loans with interest rates adjusted to reflect climate risk), the issuing of green bonds allowing people and firms to invest in certified projects having both climate and sustainability benefits,⁶⁴ and the creation of various funds (eg to purchase rights in conventionally clear-felled, monoculture forests at scale, and transition them towards support continuous cover and mixed forestry). Overall, these measures are about catalysing investment in synergistic forest projects that have not just economic value, but broader benefits for the public good. There is growing appetite for impact-oriented green investments among an environmentally conscious public, and robust certification and disclosure requirements can provide a competitive advantage to such funds. This redirection of capital flows can be harnessed by, and alongside, strategic public investments.

We recommend establishing a National Climate Change Adaptation Fund, and the development and deployment of novel financial tools.

9.5 Climate change and other frameworks

While it would not be the direct concern of the Future Generations Act itself, from a broader strategic perspective it would also be important for other “implementation” statutes to be reviewed as part of system reform. That would involve dozens if not hundreds of laws, and we do not attempt that exercise here. One important measure would be for the purposes and principles of a wide range of legislation to be brought into line with climate change imperatives. That is not as simplistic as simply saying that a Future Generations Act “overrides” another act, as targeted frameworks will have their own delicate balance of norms to be implemented. But climate change should be integrated into almost all of them in some shape or form.

Some of this is to do with climate change adaptation. For example, while the RMA already stresses the importance of addressing the effects of climate change (ie adaptation measures) in its principles,⁶⁵ its machinery is not particularly well-suited to the task.⁶⁶ As mentioned earlier, the link between adaptation plans and national direction under the RMA remains unclear, and needs to be strengthened. We need firm and coordinated national direction if we are to drive the hard, long-term decisions that devolved jurisdiction alone is ill-placed to make. Furthermore, we need to improve coordination between different implementation statutes. As the Productivity Commission has pointed out:⁶⁷

[W]hile the planning horizon of the NZCPS is 100 years, it is 50 years for assessments under the Building Act 2004, and 30 years for council infrastructure plans [under local government legislation]. No link is made in the RMA under matters of national importance between natural hazards and “the effects of climate change”.

Climate change mitigation also needs to be much better embedded in other frameworks, particularly the RMA. We have touched on this already in Chapters 5–7. Since amendments in 2004, local government has been expressly prohibited from considering the effects of greenhouse gas discharges on climate change,⁶⁸ and the courts have interpreted this in an extremely (and, perhaps, surprisingly) expansive way.⁶⁹ However, the idea was that climate action would need to happen consistently at a national level – not that it would be excluded from the RMA entirely. As such, there remains potential in the Act for central government to promulgate national direction.⁷⁰ Unfortunately (like a lot of expected national direction), that has not been forthcoming, and since 2004 reliance has been placed almost exclusively on a carbon price through the emissions trading scheme.

We suggest that a reformed system would need to see the insertion of climate change mitigation into Part 2 of the RMA, an obligation for the government to provide for mitigation measures in an NEP (whether through regulatory standards or through firm policy),⁷¹ and the corresponding removal or heavy amendment of the Act's decision-making restrictions on local government.⁷² The Climate Change Response (Zero Carbon) Amendment Act provides generally that

- Free municipal parking (1999–2017)
- Parking fees were introduced locally, with an upper limit of a maximum 50 per cent of the full price (from 2018)
- Access to bus lanes (from 2005)
- New rules allowing local authorities to limit access to only include electric vehicles that carry one or more passengers (ie to address congestion)⁸³
- A 50 per cent reduction in company car tax (2000–2018), now 40 per cent (from 2018)
- Exemption from a 25 per cent VAT on leasing (2015)
- Fiscal compensation for the scrapping of fossil fuelled vans when converting to a zero-emission van (2018)

This is an extensive package of coordinated incentives, and it has met with considerable success. Battery electric and plug-in hybrid vehicles together now command a 50 per cent market share in Norway, and the government's goal is that all new cars sold by 2025 should be zero emission. Together with the range of carrots listed above, a progressive green tax system calculated according to vehicular weight and emissions profile (the stick) has also been instrumental in moving towards this goal. Indeed, "The progressive tax system makes most [electric vehicle] models cheaper to buy compared to a similar petrol model, even if the import price for [the former] are much higher. This is the main reason why the Norwegian ... market is so successful compared to any other country."⁸⁴

Investment in a well-organised charging infrastructure, including fast charging stations, has further supported the incentives package, with the government itself financing the establishment of at least two multi-standard fast charging stations every 50 kilometres on all main roads in Norway.

Current domestic rewards for electric vehicle ownership in New Zealand are weak by contrast. The government's electric vehicle programme, introduced in 2016, includes:

- Exempting such vehicles from road user charges (for which electric vehicle owners could reasonably be expected to pay)⁸⁵
- The availability of a Low Emission Vehicles Contestable Fund to encourage and support innovative low emission vehicle projects (which include a number of charging infrastructure projects)
- Empowering road controlling authorities to make bylaws that allow electric vehicle access to special vehicle lanes
- An information campaign

- A goal that all new vehicles entering the government fleet from mid-2025 will be emissions free

In light of the slow progress made to electrify the government fleet (only 78 of 15,473 vehicles as at 8 October 2019) and its revised procurement goal in this regard,⁸⁶ it is difficult to avoid the inference that moving to electric vehicles is seen as neither urgent nor easy. Yet ramping up the government fleet would both create a significant secondary market of used cars for purchase, and send a powerful signal to "do as I do, not as I say".

The main barriers to uptake, however, remain price disparity with conventional vehicles (though price parity is expected as early as 2022, according to Bloomberg New Energy Finance)⁸⁷, limited model variety, and (mis)perceptions around range and performance. There has also been an absence of policy pressure on the adverse effects of conventional vehicles.

The government is currently consulting on two additional measures that may provide more material influence. One is a feebate scheme that would discount the cost of "cleaner" vehicles and increase that of higher emission vehicles. The effectiveness of this measure will depend on whether the size of the rebate, and corresponding penalty, are set at a level to ensure that electric vehicles have a price advantage over others.⁸⁸ The other policy measure is a vehicle fuel efficiency (or "clean car") standard. As with the feebate option, the impact of the clean car standard is based on a target of falling emissions per kilometre. The uptake of electric vehicles in New Zealand seems likely to accelerate provided these measures are set at levels that reflect the ambition, leadership, and momentum required to rein in New Zealand's greenhouse gas emissions.

A vehicle scrappage scheme that encourages people to surrender old cars in favour of newer, low emissions vehicles could further support uptake. However, as Barton and Schutte have noted:⁸⁹

Policy for [electric vehicles] needs to be part of an overall mobility strategy that takes an "avoid, shift, improve" approach that includes urban and rural settlement form, public transport, enhanced pedestrian and cycle access, and emerging forms of "mobility services". [Electric vehicles] have roles to play in a sustainable society, even though they are not the "one big solution" to all transport issues.

Urban planning and design decisions, continued public promotion of electric vehicles, accelerating the deployment of charging infrastructure, more aggressive procurement of electric vehicles across government agencies, incentivising increased vehicle occupancy, and promoting public and active transport will all help foster the transition to a low emissions transport system. What we need is an integrated, strategic, forward-looking approach that encompasses a variety of regulatory and non-regulatory tools. This is a framework that can be provided by a futures strategy.

ENDNOTES

- 1 That is not to say that no reforms would be desirable. For one, it may benefit from a stronger purpose statement.
- 2 Although that would also need to be provided for in many other legal frameworks, including the RMA and Crown Minerals Act. Substantial work on the regulatory aspects of this novel technology has been done: see B Barton, K Jordan and G Severinsen *Carbon capture and storage: Designing the legal and regulatory framework for New Zealand* (2013).
- 3 Especially if there is a meaningful regulatory envelope or cap, which provides certainty of outcome: see T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 4 See Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019); New Zealand Productivity Commission *Low emissions economy* (2018).
- 5 See Climate Change Response (Emissions Trading Reform) Amendment Bill 2019 (at select committee stage at the time of writing).
- 6 Although any such measure should not be conditional on new technology being available, and there is a case for more urgency (five years is fairly lenient).
- 7 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 47.
- 8 As well as adapting to climate change.
- 9 The Act takes a "two baskets" approach (essentially, different targets for longer-lived carbon dioxide and shorter-lived biogenic methane). There is a net zero target (by 2050) provided for all greenhouse gases other than biogenic methane. For biogenic methane, the target is a gross one, and in two stages: 10 per cent less by 2030 (than a 2017 benchmark) and a range of 24 to 47 per cent less by 2050 (again, from a 2017 benchmark). The National Party has signalled it will change the methane targets if it were to get into power, although it voted for the Bill on its final reading.
- 10 Treating methane differently in targets is not necessarily a "free pass" for the agricultural sector. It depends on how the difference is expressed, and value judgements about what is fair. See generally <www.newsroom.co.nz/2019/07/05/667804/lighter-methane-target-for-farmers-a-question-of-equity-not-science-report>
- 11 Closer, arguably, because the emissions trading scheme can to some degree operate outside a broader strategic and policy framework (it involves primarily market transactions, not policy decisions), whereas frameworks like the RMA require strong normative direction provided by national level plans and policies.
- 12 There is provision in the Amendment Act to have sector-specific elements to emissions reduction plans.
- 13 For example, "take full and balanced account of" is the language used in the Environment Act 1986.
- 14 EDS submission on the Climate Change Response (Zero Carbon) Amendment Bill 2019.
- 15 To the extent that regional policy statements would remain separate to regional futures strategies and spatial plans.
- 16 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 109, where we shone a spotlight on the Kāpiti experience with coastal hazard lines. See also R Peart *Castles in the sand: What's happening to the New Zealand coast?* (Craig Potton Publishing, 2009) at 174; *Coastal Ratepayers United Inc v Kāpiti Coast District Council* [2017] NZHC 2933 at [8]; *Kāpiti Coast District Council v Coastal Ratepayers United Inc* [2013] NZHC 3516.
- 17 Under some quite targeted acts it may be necessary to specifically "give effect" to the climate-related elements of a futures strategy. A prime example would be the emissions trading scheme under the Climate Change Response Act.
- 18 Alignment between other frameworks would be a key reason for spatial planning in the context of urban growth.
- 19 For example, switching to electric buses in public transport systems. Many councils have climate change strategies developed under the Local Government Act despite limitations in the tools they can use (eg under the RMA).
- 20 For example, the co-benefits of having a sensible mix of indigenous and exotic planting (and appropriate harvesting techniques) include improved water quality, the stabilisation of riverbanks, improvement of soils, habitats and biodiversity and improved visual amenity.
- 21 EDS submission on the Climate Change Response (Zero Carbon) Amendment Bill 2019.
- 22 Ibid.
- 23 Generally compare the "landscape" scale approach to climate change mitigation, described by the Parliamentary Commissioner for the Environment in *Farms, forests and fossil fuels: The next great landscape transformation* (2019). If we relied only on the targets in the Amendment Act, there would in 2050 still be considerable climate risk from remaining methane emissions that were not required or even encouraged to be offset by equivalent removals of carbon dioxide.
- 24 For example, plantation forestry, or carbon capture and storage (geological sequestration).
- 25 EDS submission on the Climate Change Response (Zero Carbon) Amendment Bill 2019.
- 26 Although it would be possible for funding itself to be controlled by an independent entity like the Commission.
- 27 New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 267.
- 28 The benefit of pine trees for the climate is that they are extremely fast in taking up carbon dioxide in the short term (they grow rapidly), but if a longer-term view is taken of outcomes then indigenous species can be equally effective.
- 29 Acknowledgement: Dr David Hall, Senior Researcher, The Policy Observatory, Auckland University of Technology.
- 30 D Hall *The Interwoven World | Te Ao i Whiria: Toward an integrated landscape approach in Aotearoa New Zealand* (Discussion paper, The Policy Observatory, AUT, 2018); C Perley "Reimagining landscapes as socio- and agro-ecosystems" in Minang *to sea: Solving New Zealand's freshwater crisis* (BWB Texts, 2018); Parliamentary Commissioner for the Environment in *Farms, forests and fossil fuels: The next great landscape transformation* (2019).
- 31 J Reed and others "What are 'integrated landscape approaches' and how effectively have they been implemented in the tropics: A systematic map protocol" (2014) 4(2) *Environmental evidence*; J Sayer and others *Ten principles for a landscape approach to reconciling agriculture, conservation, and other competing land uses* (2013) 110(21) *Proceedings of the National Academy of Sciences of the United States of America* 8349; JC Milder and others "Integrated landscape initiatives for African agriculture, development, and conservation: A region-wide assessment" (2014) 54 *World Development* 68.
- 32 Ecoagriculture Partners *Defining integrated landscape management for policy makers* (Ecoagriculture Policy Focus, no 10, 2013); OE Freeman, LA Duguma and PA Minang "Operationalizing the integrated landscape approach in practice" (2015) 20(1) *Ecology and Society* 24.
- 33 G Tipa and others "Integrating mātauranga Māori into freshwater management, planning and decision making" in P Jellyman and others (eds) *Advances in New Zealand Freshwater Science* (New Zealand Freshwater Sciences Society & New Zealand Hydrological Society, 2016); V Smith and D Norton "Māori perspectives of agroecosystems" (Paper presented to 8th International Indigenous Research Conference, 2018).
- 34 *Systemic thinking for policy making - The potential of systems analysis for addressing global policy challenges in the 21st Century* (IIASA & OECD, 2019).
- 35 S Lewis and others "Restoring natural forests is the best way to remove atmospheric carbon" (2019) 568 *Nature* 25.
- 36 D Bergin (ed) *Planting and managing native trees: Technical manual* (Tāne's Tree Trust, 2011).
- 37 Compare *Report of the Biodiversity Collaborative Group* (2018) at 112.
- 38 Land and Water Forum *The fourth report of the Land and Water Forum* (2015).
- 39 D Hall (ed) *A careful revolution: Towards a low-emissions future* (BWB Texts, 2019).
- 40 E Sawin "The magic of 'multisolving'" (2018) *Stanford Social Innovation Review*.
- 41 See Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 42 See New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 231; J Boston and J Lawrence "Funding climate change adaptation" (2018) 14(2) *Policy Quarterly* 10.
- 43 See New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 228.
- 44 See New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 221.
- 45 See *ibid* at 231; J Boston and J Lawrence "Funding climate change adaptation" (2018) 14(2) *Policy Quarterly* 10 at 24.
- 46 Compare New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 220, which notes that "[M]ost regional councils have been reluctant to use their statutory powers for constraining land use, and district plans that have attempted to change hazard zones to prepare for climate change have been successfully challenged in the courts".
- 47 *Ibid* at 221.
- 48 There, the need is existential, given the amount of land that is below sea level.
- 49 See New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 267.
- 50 J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011) at 432.
- 51 New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 227, 229.
- 52 *Ibid* at 221; J Lawrence "Implications of climate change for New Zealand's natural hazards risk management" (2016) 12(3) *Policy Quarterly* 10.
- 53 New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 268.
- 54 *Ibid*.

10. OTHER LEGISLATION FOR THE “BUILT” OR “URBAN” ENVIRONMENT

10.1 Introduction: Built, urban and natural environments

This chapter explores legislation in a future system that would relate to the built or urban environment. At the outset, we should point out that the notion of a “built environment” is a somewhat misleading one. No environment – in the sense of a space in which we live, work and play – is entirely “built”. Even inside a house, we still breathe air and drink water. By “built environment” we therefore mean the built *elements* of our surroundings – the things we create.

That is not always an easy thing to define, because we heavily modify many aspects of our environment without “building” things in the traditional sense of the word. For example, we undertake earthworks, we create pasture by cutting down forest, we grow plantation trees where there were none, and we create many different kinds of parks. Thus there is a large grey area when we think of the management of “built” components in contradistinction to “natural” components. The “natural” environment is clearly not limited to places that are “untouched” by humans (eg a wilderness area), but nor is it the same thing as the “living” aspects of the environment (eg no one would call an intensive chicken or pig farm *natural*). The Productivity Commission, for example, did not recommend splitting the RMA into separate acts based on the built and natural environments, and we agree it is not an easy distinction to make.

What the Commission did recommend was using the RMA to embrace proactive urban planning principles more, alongside environmentally protective ones.¹ Indeed, there are many synergies here – one might think, for example, of using wetlands for stormwater management. We have said a similar (albeit broader) thing in Chapter 5: the RMA should recognise the value of environmentally sustainable development and good urban design as long as it is done a way that is more explicitly subject to environmental bottom lines. It is our urban planning statute, and should behave like one.

An “urban environment” is a bit easier to define than a “built environment”, because it is ultimately a spatial category. For example, we can simply draw lines on a map and call it a city.² Or we can define it by its features (eg its population density). However, there can still be difficulties in defining what is urban and not urban for the purposes of managing it differently (eg peri-urban lifestyle blocks), and such spatial categories can also change over time (eg as cities grow or contract). Such difficulties have led to suggestions for other kinds of distinction to be the basis for separate legislation – eg “planning” and “environment” – that essentially seek to remove the management of one domain (land) from other domains (eg water, air, soil etc).

However, as explored in Chapter 5, this distinction has risks for integrated environmental management.³

It should also be noted that an urban space is by no means the same thing as a built environment. The flipside of this is that a non-urban space is not always a natural one. For example, we have infrastructure in rural areas, and we have buildings and coal mines in the conservation estate. Farming landscapes themselves are heavily modified, and while perhaps not “built”, are far from “natural” in the sense of being “untouched”. Indeed, it is arguable that an irrigated pasture in a rural area is no more “natural” than a city park, while a quarry in the countryside is certainly no less manmade than a high density residential area. We also have trees, water and biodiversity – more obviously “natural” things – in cities. That said, built elements of the environment have a greater intensity within urban areas, where humans construct and fashion their surroundings in a much more obvious and active way. It is also where the proximity of many people to each other makes the *public* provision of built elements – like water pipes, libraries, roads and footpaths – more important and efficient.⁴

In Chapter 5 we recommended retaining the basic framework of the RMA at the core of a future system. We would not have separate statutes for land use and other domains, for the urban and non-urban environments, or for the built and natural environments. There is simply too much overlap (see Figure 10.1 below). However, we recognised that the RMA is not currently fit for purpose in addressing resource management issues that arise in urban areas, especially where they are fast growing.

It is difficult to draw a clear distinction between “urban”, “built” and “natural” environments. Environments can be comprised of elements of each.



how social infrastructure (eg schools, hospitals, libraries etc) are provided, although we do see a case for either the Futures Commission or Infrastructure Commission to provide independent oversight of government decision-making with an eye to the interests of future generations.

What is reasonably clear to us is that a number of built components should continue to be publicly provided, in some shape or form, and that these require a fresh approach to ensure that is done more effectively. Generally speaking, for example, we see a shift towards a more proactive role for government in providing housing as a positive thing (as long as it is done, as with other development activities, within environmental limits).⁸ Housing is publicly important and inter-generational infrastructure, not just another investment to be the subject of financial speculation (even if we still expect the market to play the dominant role).

Our focus in this chapter, however, is on the “three waters” (drinking water, wastewater and stormwater) and transport, which are forms of network infrastructure intimately related to land use planning, and where most issues have been identified. Such infrastructure is essential for improving social and economic indicators of wellbeing, including for general reasons (eg access to roads and cycle lanes for mobility, or clean drinking water) and more specifically to facilitate the rapid deployment of new housing (if we are to address the housing crisis, for example, there is no use building new houses without running water).

How we fund the activities of public authorities is a significant question that cuts across almost all statutory frameworks and all roles the system must play. We apply a broader lens to such questions in Chapter 13. But funding questions are of particular importance in the context of the built environment, especially when providing public goods like transport and three waters infrastructure. This is because such hard “stuff” costs enormous amounts of money, and if it is to be provided by public authorities there needs to be effective frameworks for it to be paid for. A reformed statutory framework will need to integrate both planning for those things and how they are funded. We therefore deal with the funding aspects of the built environment in this chapter.

The focus of this chapter is on the additional legislation for the built or urban environment required to fill gaps in those frameworks already covered. In particular, we require legislation that governs how essential public goods, notably water and transport infrastructure, are actively planned for and funded.

10.4 Legislative design

Let us start with the broad question of legislative design. First, we think that the environment is best defended under separate legislation (the RMA) that stands aloof from frameworks concerned with the planning, funding and delivery of transport and “three waters” infrastructure and services. The latter currently occurs through

decision-making under the Local Government Act and Land Transport Management Act (see Chapter 4). In Chapter 5, we mentioned the potential of integrating those two statutes to form a single Local Government and Infrastructure Act, within which any future changes to three waters service delivery could then comfortably be incorporated (instead of having, for example, a further bespoke Water Services Act).⁹ That would make for fewer inter-statutory connections between frameworks that need to be closely linked.

It would clearly not be desirable to divorce the *planning* of infrastructure (in an Infrastructure Act) from the frameworks under which it would be *funded* (a Local Government Act).¹⁰ It makes no sense to treat those things separately. However, it does not seem beyond the pale to have a broader purpose and principles, for a more integrated act, that would encompass both (1) the more general role of councils in community wellbeing and (2) the infrastructure provision intimately connected to how local communities function, even if there were to be stronger roles for central government than at present.¹¹ In other words, a new Local Government and Infrastructure Act would encompass closely linked processes for infrastructure funding in which both local *and* central government would be involved (including land transport, as is the case now, and three waters, which may see a greater central government role in future). The broader focus of councils on community wellbeing (recently inserted back into the Local Government Act) – not just core infrastructure – would remain central to an integrated Act.¹²

Of course, reorganising things into one statute does not resolve the question of how to integrate or connect what may remain quite separate *processes* (eg for long-term plans and regional land transport plans). There is still a need to align different infrastructure funding processes and decision-making timeframes more closely with each other, as well as with those relating to land use in the RMA. Furthermore, there is a need to take a more aligned and integrated approach to community consultation under different regimes (consulting on different plans at the same time in a way that makes the connections between them clear).¹³

A need for greater process alignment poses some significant challenges, however. Regulatory processes under the RMA (which include some scope for appeals in relation to plans and consents) will always need to look fundamentally different to the funding processes under infrastructure focused legislation (eg plans for funding a new wastewater treatment plant). These processes perform fundamentally different roles and involve different actors (albeit with some crossover).¹⁴ Because of tailored checks and balances on each kind of decision we cannot simply prescribe that all processes reach decisions at exactly the same time. Planning appeals under the RMA, for example, may or may not occur, depending on whether disputes arise.¹⁵ Timeframes for resolving appeals may be uncertain, even if they have a maximum time limit, and different provisions may need to become operative at different times. Similarly, infrastructure funding decisions

Various proposals have been put forward by the government for more effective regulatory arrangements for the three waters sector, to improve health and environmental outcomes (to the extent a distinction can be drawn between those things).²³ Broadly speaking, we think that those are positive measures and should be incorporated into a future system. Many of these aspects are the concern of the RMA (dealing with the adverse effects of the sector, rather than the provision of services), and therefore need to be placed in the context of the broader discussion in Chapters 6 and 7 about how we reform that Act. In particular, we suggest that:

- The environmental impacts of all water discharges should continue to be managed under a reformed RMA, and that there is a strong case for standardisation through regulatory provisions in national direction (an integrated NEP).²⁴ That is already being progressed through proposals for a new NPS and NES for freshwater, which impose common standards (including for specific sectoral activities).
- In particular, we should not expect wildly different approaches to wastewater discharges in different parts of the country, in the same way that minimum drinking water standards need to be consistent.²⁵ There is also a case for some consistency in the quality of stormwater runoff, and performance based measures to ensure minimum standards are met (particularly in cities).²⁶
- The RMA should continue to apply to the protection of sources of drinking water, under strengthened provisions in an NEP.²⁷
- A stronger approach to enforcement is needed. In particular, in line with suggestions in Chapter 7, there would be a case for the EPA to take on primary enforcement of nationally consistent wastewater discharge standards, and for strict penalties to be imposed for non-compliance (coupled with a “carrot” approach where adequate funding was provided to remedy any funding deficits – see below).²⁸
- There should be a dedicated drinking water regulator with active oversight, robust funding, and clear mandate, with all drinking water suppliers covered by nationally consistent drinking water standards.²⁹ That regulator could be a bespoke entity, or it could be nested within a thoroughly independent organisation like a Futures Commission.

The regulation of three waters for health and environmental reasons – in particular, wastewater and drinking water – needs to be strengthened. There are already proposals underway to do so, and they represent a positive direction of travel for a future system.

A spotlight on matters of public health within the resource management system

It is interesting to note the (quite deserved) attention that the three waters sector has received over the past few years. In the wake of the Havelock North incident, and the subsequent revelation about the state of our drinking water system, issues with the sector have been cast firmly as ones of direct threats to public health – which, of course, they are – and they received intense focus because of it. It is absolutely unacceptable that people are dying and suffering health effects as a result of an underperforming sector. Highly visible impacts from sudden urban wastewater overflows highlight the risk of serious illness, as well as fostering resentment about the lack of access to amenities. They spur public pressure in the same way that the “environmental” issue of air quality has done in the past.

A direct risk to public health instils a strong sense of fear. Other environmental problems – especially the loss of biodiversity, and a slow decline in rural water quality – can be slower burning, and have less directly appreciable impacts on people. This holds a lesson for how the system could usefully approach slow-burning problems, by making clear that they do, in fact, have equally significant and direct risks to humans, even if they may not result in the mass hospitalisation of people through a single incident. For example, the loss of species integral to our systems of food production (eg a decline in pollinating insects), land-based pollution impacting our marine areas, and the paving over of productive soils, pose real threats to our future health and wellbeing, even if they are not as spectacular as a pileup of raw sewage on an urban beach. Even if they are not approached as “emergencies”, such issues could usefully be recast as pressing issues of environmental “security” rather than nice to have “green” outcomes.

Here, we are primarily concerned not with regulatory settings themselves, but with the framework within which services and infrastructure would be funded and delivered. That said, there is a close connection between those two things. Institutional and funding settings are crucial not just for *providing* public services (eg getting water where it needs to go in a form in which it can be consumed or used), but also for ensuring those services will actually be *able* to comply with environmental and health standards (eg making sure infrastructure will not fail, or cause sewage overflow on our beaches). Indeed, simply imposing regulation is unlikely to ensure compliance with it, since meeting regulatory standards will in reality require proactive measures that cost significant sums of money (building and maintaining infrastructure), and institutional settings that encourage adequate investment, not just stopping people doing things. After all, one cannot simply stop people producing wastewater in the same way that one can stop the discharge of an industrial contaminant. Enormous sums are required to

A spotlight on reforms to three waters service delivery arrangements

In the future, we could usefully see a model for three waters service delivery based on jointly owned, regional level council/Crown controlled organisations.³⁷ In some ways, this would be broadly reflective of the existing Wellington Water model (where councils jointly own a CCO), although it could be compulsory rather than voluntary.³⁸

We do not comment on whether such entities would be asset owning or only asset managing,³⁹ or whether they would encompass the management of stormwater as well as drinking water and wastewater. That question of scope might be something that requires further discussion on a region by region basis, although on balance we suggest that stormwater management and flood control would be more suited to remain with councils.⁴⁰ Furthermore, “regional” water entities would not necessarily have to align with the catchment-based jurisdictions of existing regional *councils*. They could, instead, be focused on the boundaries that made sense in the context of service delivery, which may be broader than regional council boundaries or cut across them.⁴¹

These regional entities would still have a significant degree of accountability to the communities which they served. They would be publicly owned, and continue to respect the role of local government in the three waters sector.⁴² However, they would be able to achieve efficiencies through economies of scale, would be able to socialise costs across a reasonably wide area,⁴³ would have a commercial footing (albeit constrained by elements of the public interest),⁴⁴ and would have operational independence. They would recognise that there is not *just* a local community of interest in drinking water and wastewater services, but also a regional and national one (highlighted by the imposition of national standards for both).

A balance between independence and accountability would be crucial.⁴⁵ Water services are public goods (even if users are charged, or partially charged, for them) so decision-makers ultimately need to be answerable to users and communities. The expenditure of public funds also requires strong accountability to those who pay – potentially taxpayers and ratepayers, if CCOs were to be funded in this way (rather than just reliant on user-charging).⁴⁶

However, on the other hand, water utilities require significant independence. This is because, in our view, there are relatively few value judgements here to be made on behalf of communities.⁴⁷ The relevant value judgements really occur when water quality bottom lines are set at the national level.⁴⁸ We should not allow drinking or wastewater standards to imperil people’s health just because they are in one part of the country rather than another, and levels of service should also not vary wildly. The point of water providers is then to meet those standards and service expectations, not to revisit

questions about community values and trade-offs. As pointed out in the Phase 1 report, greater independence is valuable where an institution is implementing values rather than setting them.⁴⁹ Provisions relating to CCOs in reformed local government legislation could usefully be amended to provide a more specific set of objectives for these institutions.

A key difference with a pure CCO model, however, would be direct involvement by the Crown, as a partner alongside councils. We see value in hybrid institutions where different levels of government come together in formal partnership, rather than in entirely separate institutions that interact (and can conflict) with each other.⁵⁰ For example, the government could have a right to appoint members to the board. Furthermore, the model should in one sense reflect the Watercare approach, in that a regional CCO’s statement of intent would outline how its activities would contribute to the government’s objectives for water services, not just those of council owners.

Alongside the creation of regional CCOs could usefully be the introduction of an economic regulator. Although CCOs are ultimately accountable to councils (and, in this model, also the Crown), and there is an “Essential Services Benchmark” that must be reported against under local government legislation, that has not prevented underinvestment in infrastructure.⁵¹ A more robust economic oversight role would still be useful to ensure that (1) an adequate⁵² level of investment was being put into the maintenance and development of three waters infrastructure and (2) that any user charges imposed were both fair and sufficient when taking a long-term view.⁵³ A similar model has been set up in Melbourne, where pricing and investment by multiple state-owned but arm’s-length utilities is overseen by an Essential Industries Commission. In the same spirit, the Productivity Commission has said that a regulatory regime should be:⁵⁴

administered by an existing, credible and independent regulator such as the Commerce Commission, which already regulates similar activities, has a credible “industry watchdog” reputation and has significant experience applying light-handed regulation to some suppliers and stronger forms of control to other suppliers.

We agree. Alternatively, the role of an economic watchdog could be performed by the newly established Infrastructure Commission (if it had capacity), or even a focused branch of the Futures Commission.⁵⁵

At the same time, as with Watercare, the law should prevent the pursuit of profit or the payment of dividends.⁵⁶ The aim should be to achieve and maintain the safe, reliable and environmentally sustainable provision of water services and, within those constraints, to make services as efficient and affordable for users as possible.

infrastructure) a desirable choice from a cashflow perspective as well as an urban planning perspective.

The future might also usefully see the continuation of more bespoke institutional partnerships to deal with exceptional circumstances. For example, while fraught in some ways, the Auckland Transport Alignment Project has been positive in bringing together various arms of central and local government to create a forum for the long-term planning and funding of Auckland's transport needs.⁶⁹ That does beg the question, however, whether broader frameworks like this should be formalised for deployment elsewhere, implementing lessons learnt from the Auckland experience. A strategic spatial planning framework, discussed in Chapter 8, could fulfil this role.

We see a continued role for central government, through the NZTA, in co-funding local transport infrastructure through the Land Transport Fund. A conditional reform could be the deployment of regional CCOs alongside the NZTA, although such CCOs would continue to require council funding.

10.6 Funding

A degree of institutional reform is, in our view, desirable, but it will not be enough to meet future challenges. Many underlying issues appear to be not with institutional form per se, but with the incentives provided by funding and financing tools available to those institutions. Two things stand out as important: (1) a lack of funds or finance leads to an inability to deliver what is required in some situations; and (2) there are incentives against investing in necessary infrastructure even if the ability to raise adequate funds exists.

Institutional change, in the form of a regionalised CCO model for infrastructure and service provision, may

itself relieve some funding pressures. There would be potential efficiencies from using a business focused governance model (eg with independent directors),⁷⁰ the economies of scale to be gained from managing a network across a larger pool of customers and assets,⁷¹ the concentration of a limited pool of expertise,⁷² and the ability to cross-subsidise some users (eg those with failing legacy infrastructure) from others to achieve a consistent standard of service to all. The Productivity Commission has pointed out, for example, the desirability of a model that is "capable of applying efficient scale and specialisation to help small communities meet the challenges of maintaining and upgrading their water, wastewater and stormwater infrastructures".⁷³

Some of the same arguments – notably around economies of scale – can be deployed in favour of regionalising local government itself.⁷⁴ However, the scale of the costs faced by the three waters sector in particular, including in the near future, means that much more will be required than just efficiency gains and economies of scale in ongoing management.⁷⁵ For example, we have previously pointed out:⁷⁶

[W]astewater upgrades needed to give effect to the NPS for Freshwater Management have been estimated to cost \$1.4–\$2.1 billion, with ongoing operating costs at \$60–\$90 million.⁷⁷ Measures to ensure compliance with drinking water standards have been predicted to be \$305–\$567 million.⁷⁸ In 2014, the Auditor General pointed out that by 2022 the gap between local government expenditure on the renewal of assets and depreciation could be between \$6 billion and \$7 billion.

These costs will only grow larger as environmental and health standards increase.⁷⁹ As discussed in Chapter 9, they are dramatically increased by the need to adapt to climate change. In light of the institutional arrangements outlined above, we can now revisit the kinds of funding mechanisms that would be needed to make that model effective.



However, a significant proportion of the costs facing councils relate in some way to infrastructure or related aspects of the built environment, and go to the heart of how they obtain core revenue. Reform on this front is not so much to do with the financial planning *process* (eg the production of long-term and annual plans, infrastructure strategies, and regional land transport programmes).⁹² Rather, the key question here is to do with the underlying kinds of funding and financing tools that can be drawn upon through those processes to ensure that adequate infrastructure is delivered in a timely way.

As pointed out in Chapter 8, adequate funding will be crucial to the success of strategic spatial planning under a Future Generations Act, especially in situations of rapid urban growth that require infrastructure. Indeed, a key purpose of having such a spatial plan would be to guide the sequenced release of land for development in a way that makes the timely provision of associated public infrastructure most efficient. However, that still does not answer the question of *how* it would be funded.⁹³

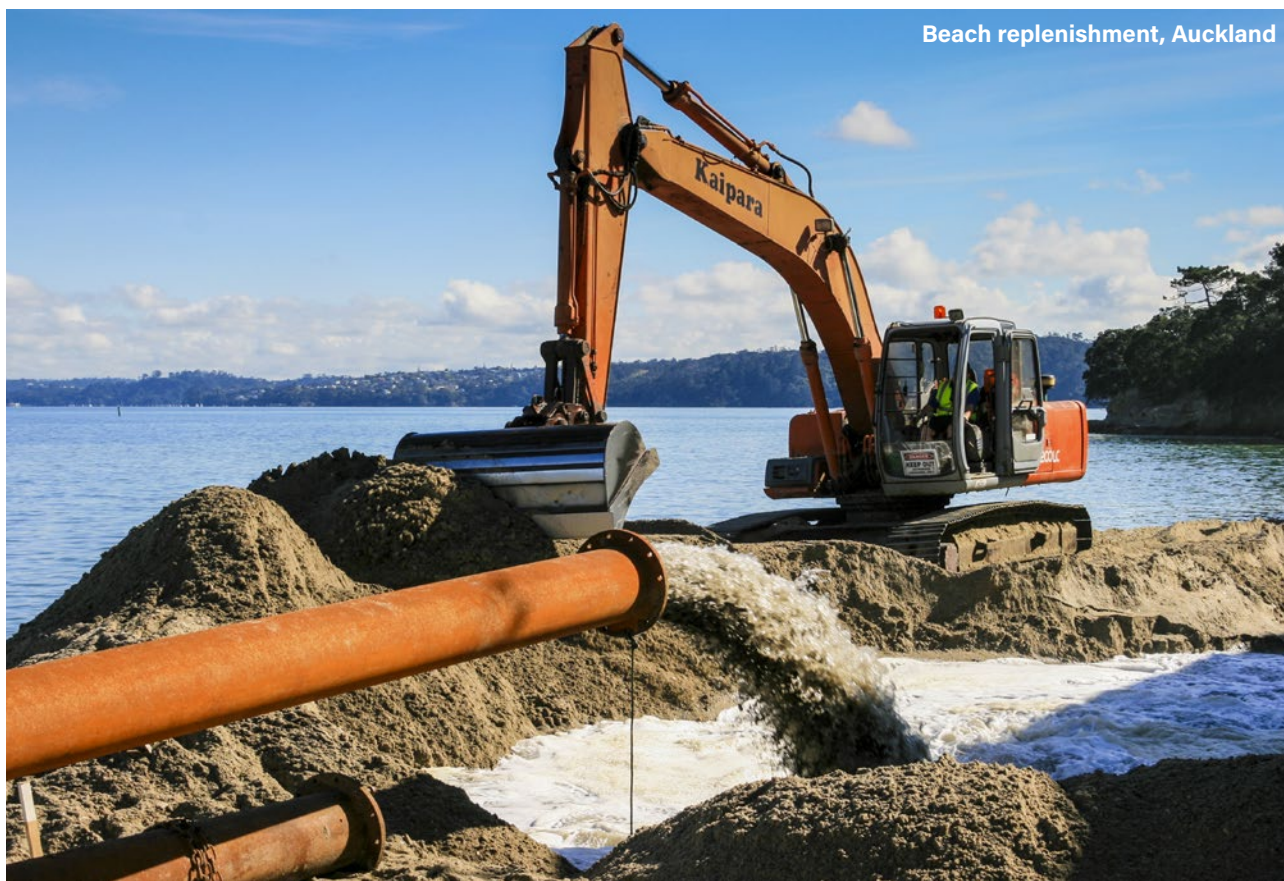
The Productivity Commission has persuasively argued that the core of the system by which we fund and finance councils' functions remains appropriate:⁹⁴

The current main funding tools of local government in New Zealand measure up well against the principles of appropriateness for local government use, coherence within national policies and institutions, efficiency, enforceability, and the stability and predictability of revenue. The current framework provides councils with considerable flexibility in how they raise revenue, and this is reflected in the diversity of ways in which they do so.

Funds can be raised through, for example, rates, fees, user charges, and development contributions.⁹⁵ The Commission has showed that rates have remained relatively stable when compared to per capita and household income,⁹⁶ and they provide a reasonably fair and easily administered system for raising core revenue for council functions (especially infrastructure and related services).⁹⁷ It has previously pointed out the desirability of removing exemptions for Crown land, which in effect results in local communities subsidising central government despite the need for funding flows to be moving in the opposite direction.⁹⁸

Similarly, despite some public perceptions to the contrary, council debt remains a desirable mechanism to spread substantial capital investment across generations of people who benefit from it.⁹⁹ Growing debt levels, say the Commission, are not of concern given corresponding population growth (and therefore the ability for the debt to be serviced over time). In fact, the concern (see below) is quite the opposite: in some cases there are constraints on raising further necessary finance through debt.¹⁰⁰

However, the Commission also suggests that we will need to expand the toolkit to target particular problems where there are acute funding pressures and constraints.¹⁰¹ The use of tools in an expanded toolkit also needs to reflect what is fair, in that those benefiting from a measure should generally be expected to pay for it (if they can). We find this reasoning compelling (see Figure 10.2 below), subject to environmental considerations described further below.



Beach replenishment, Auckland

We agree with the Productivity Commission that more needs to be done to expand the funding and financing tools available to local government, particularly to support its functions relating to the built environment, as outlined in Figure 10.2 above.

As illustrated above, tools need to be adequate to raise enough funds for the purposes required. However, other commentators, like Infrastructure New Zealand, have pointed out the need to go further, and revisit the broader incentives that are created for public authorities by existing funding tools. In other words, the question is not just about how we ensure that *enough* money can be raised (ie that the tools, like debt, are available), or even that the cost of doing so is shared more fairly between central and local communities of interest (ie that central government contributes where appropriate). It is also about the need to provide an *incentive* to both raise money and to spend it appropriately, particularly for councils.

There are several contexts in which this plays out, and these overlap with the situations in which there are funding constraints. That is because (the argument goes) such constraints arise because of a systemic unwillingness, rather than inability, to raise sufficient money.

Perhaps the most alarming is underinvestment in the maintenance and renewal of some inter-generational goods like water infrastructure. Echoing similar sentiments by Infrastructure New Zealand, we have pointed out previously that:¹¹³

Due to political constraints on rates increases and constraints on borrowing, there may be a temptation for some councils to prioritise spending on things the community wants at the expense of the renewal of some kinds of essential infrastructure – notably water infrastructure. Some councils have adopted a “run to fail” approach for underground assets, not investing in upgrades until there are problems (such as sewage overflows or public health problems such as with inadequate treatment of potable water).¹¹⁴

This is particularly troubling and may seem puzzling because here, communities have failed to invest in assets that directly benefit themselves; they are not just reluctant to fund assets that will benefit others (eg future residents or tourists). It is hardly a glowing endorsement for a blanket embracing of localism (or even regionalism). That said, if there are constraints on total funding, strong political opposition to rates increases,¹¹⁵ and increasing costs that have to be met (eg to meet wastewater standards), hard choices have to be made. And if they are made by politicians, they will be informed by political considerations. Although the issue is by no means ubiquitous throughout the country, it highlights the risks of leaving decision-making and prioritisations on inter-generational issues by those accountable through three yearly election cycles, especially if failures only become visible to the public years after they should have been pre-empted (as with many underground and unmonitored assets like water).¹¹⁶ As such, we have suggested a degree

of institutional reform above (through a regionalised CCO model and close independent oversight) as well as funding reform.

Institutional reform is vital, alongside funding reform, for the provision of drinking water and wastewater.

Another – albeit more understandable – case where councils lack adequate incentives is where there is a need to pay for the infrastructure required to service urban growth. Here, there is an argument that they have incentives to provide it on a “just in time” (or, indeed, too late) basis. The failure to provide such infrastructure has been described as a “serious social and economic problem” and a significant contributor to the housing crisis.¹¹⁷ (Incidentally, this quite rightly reminds us not to lay blame squarely at the feet of restrictive provisions in the RMA,¹¹⁸ and we should be extremely wary about throwing out important environmental bottom lines in that Act on the assumption that it is fundamentally opposed to urban growth – as explained later in the context of a proposed urban development authority model). In a similar spirit we pointed out in the Phase 1 report that:¹¹⁹

there can be strong political incentives on councils not to increase rates, especially if they are being used to service new development and the benefits are not apparent to existing residents who are paying for it (and who are the ones voting in local elections).¹²⁰ This is not necessarily an inappropriate incentive; it is arguably unfair to expect existing residents to pay a huge amount more in the short term to benefit new residents. But it can lead to an institutional bias in councils against growth, and therefore resistance to the timely and proactive provision of serviced land for residential development. It can be a disincentive to supply the development capacity that in high growth areas is needed to support affordable urban housing.¹²¹

A similar logic applies to pressures created by tourism. Visitors – often in high numbers and having substantial impacts – do not pay rates, and are often not charged directly for the services they use within a district. Other than a general desire to be hospitable hosts, why would residents be enthusiastic about that?

According to Infrastructure New Zealand, the same basic problem underpins all of these phenomena: there is misalignment as to where the benefits and costs of investments fall. That may still be the case even if users were able to be charged fully for the services they use (ie if the costs were internalised), because there would still be little prospect of *benefit* and therefore weak incentives. For example, it is understandable that existing residents are reluctant to pay for rapid urban growth, because the benefits (in the form of increased economic activity) accrue mainly to central government via income tax and GST. The same is true for tourist spending, where financial benefits for the public are captured primarily through GST, but where the costs (eg infrastructure) are borne by councils.¹²² For example, Infrastructure New Zealand has pointed out that:¹²³

concerning pattern of underinvestment in three waters infrastructure). But overall it does suggest the desirability of putting greater fiscal control in the hands of local government for local matters (again, subject to strict environmental limits and national oversight). It would also continue the tradition New Zealand has of recognising the fiscal autonomy of local government,¹³⁴ which in turn reflects its position as a constitutional partner in government rather than a subsidiary of the Crown to be handed money.¹³⁵

In other words, a local form of GST would shift some of the benefits of investment (currently reaped by central government) to where its costs are currently felt (by councils), rather than shifting the costs of investment to where the benefits are currently felt (ie simply making the Crown pay). The choice is significant, because the question of *who* makes decisions – fundamental to democracy – is as important as the question of who ends up paying for them.

Introducing a local GST, for example, could encourage the funding of growth, because it would be seen as a profitable thing for councils to do (population growth is, or is often perceived as, a proxy for economic growth).¹³⁶ But it may also encourage the funding of broader social and economic development measures that a focus on building activities, funded directly by the Crown, may not. Some have pointed out, for example, that “without a revenue stream linked to value creation, councils are ... disincentivised from investing in [economically] productive activities” more generally.¹³⁷

Alongside a bed tax, support from an international visitor levy, and some government assistance in exceptional circumstances,¹³⁸ GST could be used to fund and enhance tourist infrastructure where user-charging is not an option. Local spending by tourists (including domestic visitors, who are not subject to the visitors’ levy) would be captured through this tool, incentivising the maintenance and development of infrastructure (to increase the tax take) while providing a more equitable distribution of its costs and benefits between central and local government. Arguably it would be a fairer tool than a targeted rate, because the latter imposes costs on a particular section of the community deemed to benefit from an investment (eg public transport infrastructure), even if it fails and no benefit materialises.¹³⁹ And some have said that if it were linked directly to new revenue (and therefore obvious improvements in public services), such funding tools may reduce Nimby opposition to intensification.¹⁴⁰ That, however, requires a slight leap of faith.

That said, we do not see a local GST as a viable replacement for rates as a core funding tool. While spending on goods and services can be a useful proxy for some things (eg high spending would generally correlate with high growth and with increased visitor numbers, and could therefore be used to partly fund them), it would not correlate with the need to fund all public goods and services. In particular, we need to remember that funding is also about ensuring a sustainable standard of living for communities declining in population or economic activity.

While declining areas are to be commended for efforts to attract more residents and visitors, a decline is often due to factors beyond the control of communities (eg the attractions of a larger city), and a managed decline may be needed in many cases to adapt to change rather than fight it.¹⁴¹ Yet the basic health and wellbeing of those in a community, dependent on the funding of water and transport infrastructure, should not depend only on the strength of a highly localised economy (what people spend). That can also vary considerably from year to year, and make long-term planning challenging.

The answer here may, as times change, need to be council amalgamation. We cannot have a council managing 1000 people. It may also be about direct government assistance where there is an issue of hardship or to support a transition to a more sustainable institutional structure. However, it also cautions us against relying only on GST or income tax (or a tax based only on property value)¹⁴² as a way to support essential services in a community. Rates, fixed to an unchanging amount of land in a district or region, provide a predictable and consistent source of revenue based on an assessment of what needs to be funded rather than what is available, which can supplement user-charging and debt in a way that is equitable across current and future communities. The Productivity Commission has pointed out that “[c]ompared to alternatives, property taxes are simple and efficient to administer, and wholesale change to a radically different model would be highly costly, disruptive and uncertain”.¹⁴³

Overall we agree that the way forward is to expand our toolbox, not replace it. We see merit in including a local GST within that toolbox, among other things that spread costs more equitably, raise sufficient revenue in a timely way, address pressing short-term deficits, and provide systemic incentives to invest appropriately. While it is how the Commission’s terms of reference have been defined, such questions are not just about local government funding at all – they are about how we fund both councils *and* central government to provide public goods and services that are, currently, the responsibility of councils. Many of those relate to infrastructure. Putting more tools in the toolbox should help councils meet the challenges they face in discharging their functions, including funding urban growth and renewal.

However, it is also worth noting that central government also plays a vital, but sometimes less structured, role in infrastructure provision. Some projects may fall beyond the scope of business as usual funding mechanisms, even in a reformed system, and require bespoke arrangements. The short-term upgrade and renewal of three waters infrastructure due to historic underinvestment is a case in point, as are measures to adapt to and increase resilience to climate change (see Chapter 9).

Other needs may emerge from time to time and central government has a significant pot of general revenue that it can direct towards particular projects. For example, while the Auckland Transport Alignment Project can be seen as the product of a system that is not clear enough about where transport funding responsibilities lie, it can also be

Even for overseas tourism it is a policy question that has not progressed very far (eg how many visitors we should allow, and how we can meaningfully distribute them). But it is a far more uncomfortable question, and one that is even harder to answer, when we think about New Zealand's population more generally. Tourists are temporary, but residents are not. We cannot, obviously, tell people where to live. Auckland is seen as a particularly attractive place, despite its drawbacks. And we cannot tell people how many children to have. Natural population increase is, indeed, much less of a concern in New Zealand than elsewhere in the world, where living standards are lower and family planning practices are less developed.

However, we observe that it is far from ideal that human population growth is a topic that is often brushed under the carpet in the context of a system that is required to respond to enormous pressures created by it. Thus, how big do we really want Auckland to get? Should we *have* to choose between productive land and housing? Would we want a New Zealand of 10 million people?¹⁴⁸

As a society, we need an honest conversation about long-term immigration that is independent of moral and economic perspectives on it. And we need a mature discussion about the resource and environmental implications of human population more broadly, which does not descend into arguments about race and is not limited to a discussion of short-term economic needs (eg that we need more kiwifruit pickers). Simply because technology has overcome problems of food supply and population growth in the past does not mean technology will solve all our problems in the future (indeed, it has already produced many undesirable side effects – we might think of insecticides and synthetic fertilisers). We think this conversation could be carefully framed within the development of a population policy by an independent Futures Commission, which would be tasked with the related task of futures scanning (see Chapter 8).¹⁴⁹

We need to be cautious that providing strong financial incentives to our institutions for growth and development does not put pressure on environmental considerations. In a future system, councils will continue to wear different hats, and environmental limits will need to stand firm. Safeguards are required.

10.8 Construction legislation

Before turning more specifically to the concept of an urban development authority, we wish to touch on the place of the Building Act in a future system. When it comes to discussions about resource management (often code for “the RMA”) this Act is often considered only in the context of aligning or streamlining processes to obtain different consents (often land use consent under the RMA and building consent under the Building Act) to facilitate development. That is a sensible idea, and solutions should be progressed through the government's overlapping processes for system reform and Building Act review.

There is also a complex boundary relationship between the RMA and Building Act, and there can be uncertainty as to what each is really intended to do. For, example, in the Phase 1 report we noted that:¹⁵⁰

the RMA is also concerned with the potential impacts of activities on people's health and safety, and restricts the use of land (including for building) partly for this purpose. Local government plays a significant role in decision-making and implementation under both. Sustainable development is also one component of the Building Act's purpose. This, as well as the preservation of heritage, are key principles of the Act. In short, the conceptual distinction between the acts is by no means a clear-cut one... [and] attempts by local councils to control the design of building interiors under the RMA has been seen by some to be crossing a firm philosophical line.

Managing questions of aesthetics – how interiors look and feel – are one thing. But far more important are the potential environmental impacts that stem from building design choices. In particular, there is room for debate as to whether the RMA can or should be used to require stronger “green” measures than under the Building Act.¹⁵¹ The latter specifically states that building work is not required to achieve performance beyond compliance with the Building Code, in the absence of any express provision to the contrary.¹⁵² The Code applies nationally, but regional or local differences may prove significant (eg water scarcity may drive the need for water sensitive design in some places more than others). Yet if the RMA has a legitimate role to play here, its purpose, principles and plan provisions do not really target that kind of thing and are currently ill suited to the task.¹⁵³ The frameworks are meant to complement each other, not fill gaps where the other has failed.

It would be possible, but ultimately (we think) undesirable, for the two frameworks to be merged. The RMA is about urban design and form (inherently spatial), and about the impacts of buildings on the environment, not about the construction standards needed to make buildings safe and healthy. The hook of managing “land”, which some see as being about internalising externalities, does not easily extend to managing the design of buildings themselves or their effects within their own envelope.

In our view, the Building Act is the more appropriate place to tackle such questions, and could be much better utilised to provide for positive environmental outcomes.¹⁵⁴ That would prevent the need for a strengthened RMA to step into the breach, and both would be driven by general and consistent principles contained in a Future Generations Act.¹⁵⁵ They need to complement each other.¹⁵⁶ As we have previously noted, “[C]onstruction standards relating to energy efficiency, carbon neutrality, recycled materials, green infrastructure and living rooftops are crucial to the pursuit of environmental enhancement rather than just the mitigation of adverse effects.”¹⁵⁷ Instead of asking how we prevent buildings creating harm, we really need to be asking how the built environment can be contributing to addressing problems we are already

could usefully be deployed in a more systematic way as a “carrot” to support regulatory “sticks” for green building technologies, as they have been for other building performance measures.¹⁶⁶

A spotlight on building certification

The Homestar rating tool was developed by the New Zealand Green Building Council in conjunction with BRANZ, and allows certification of residential dwellings (including detached dwellings, terraced housing and apartments). To rate a home’s performance and environmental impact, Homestar awards points across seven categories: energy, health and comfort; water; waste; materials; site; home management; and an optional innovation category. The rating thus certifies the health, efficiency and sustainability of New Zealand homes. The Green Building Council explains that “most new homes built to the substandard Building Code will only achieve a 3–4 Homestar rating... [out of 10] ... and most existing New Zealand homes only achieve a 2–3 Homestar rating”.¹⁶⁷ It considers that homes should achieve a minimum 6 star rating to be warm, healthy and efficient.

The Green Star rating measures buildings’ environmental attributes, and can be applied to the design and as-built phases of non-residential construction projects as well. More specifically, the NABERSNZ tool (supported by the Energy Efficiency and Conservation Authority) benchmarks the energy performance of commercial offices.

We also see a case for the use of more directive measures. Some design options are being deployed overseas on a mandatory basis, and should be closely considered in a future system. For example, France has enacted legislation making it mandatory for new buildings in

commercial areas to have a certain proportion of green roof or solar panel coverage, and Dallas has enacted a plan that requires certain types of buildings to install cool or green roofs.

There should also be a parallel set of reforms – perhaps within an integrated Local Government and Infrastructure Act – promoting or requiring green infrastructure rather than just buildings.¹⁶⁸ That would be important to achieve various environmental goals (eg water sensitive infrastructure, carbon neutral design, circular economy principles, energy efficiency etc). There is a growing body of evidence around the synergistic benefits of working with nature in built environments, for example through design choices that use wetlands, indigenous planting and on-site water management rather than hard infrastructure. Such measures will be vital to respond to a changing climate. That could be formalised more in a future system.

The government itself, as it moves into more active forms of urban development (as discussed below), should have an even stronger legislative mandate for new developments to be resilient, efficient, and eco-friendly. That should apply also to public social infrastructure (eg eco-schools), and be a contractual prerequisite to the deployment of public private partnerships. An active programme for retrofitting green measures to existing housing stock – for environmental and resilience reasons as well as health reasons – should be planned for.¹⁶⁹

Construction standards should remain in a separate Building Act and Code. However, these (and infrastructure standards) should be strengthened to recognise the essential contribution that “green” construction will make to environmental outcomes in a future system.



be needed.¹⁷⁷ Suggestions for reform here are, therefore, less about proposing something novel than they are about curtailing an existing proposal in light of other reforms. That would be necessary to integrate it into our preferred model.

An urban development authority is an arm’s-length public entity that would be responsible for planning, funding and delivering urban development within a spatially defined area. The government has now enacted a bespoke legislative framework to create this entity (Kāinga Ora – Homes and Communities) and define its general roles, but has yet to legislate it specific powers to override other statutes. We see a role for this entity in a future system, but subject to robust constraints.

Below, in Figure 10.3, we outline key concerns we have, which relate primarily to proposed powers to override the RMA. The most significant is the power to override regional plans and a weaker obligation in relation to national direction, combined with different decision-making criteria where Part 2 of the RMA would be subordinate to the strategic objectives

of a particular project. That poses significant risks to the environmental bottom lines that would be strengthened in a revised Part 2, and which would be recognised as pre-eminent under an overarching Future Generations Act.¹⁷⁸



Application of Part 2 of the RMA ¹⁷⁹	It appears that the current proposal is intended to demote Part 2 of the RMA. The strategic objectives of a particular project – to be set under the broad purpose of the Act on a case by case basis and likely to be development oriented ¹⁸⁰ – are envisaged to be elevated above the biophysical protections contained in the purpose and principles of the Act. This raises substantial environmental concerns, despite Kāinga Ora itself having general operating principles referring to environmental values and climate change, and objectives referring to improving the “total economic, social, environmental and cultural wellbeing of current and future generations.”
Application of powers to regional plans ¹⁸¹	Proposed powers to override RMA instruments include both district and regional plans, which contain important bottom lines. That the latter would be overridden is particularly concerning, because the proposal is to require the agreement of territorial authorities to the establishment of an area, but that no regional council agreement would be required. Regional councils are the guardians of many of the environmental values of urban areas, and have a region (and catchment)-wide geographical focus, not just a focus on a development area. An associated regulatory impact statement recommends that “territorial authority planning and consenting functions and powers be available within the urban development project area, but not those of regional councils”.
Application of national direction ¹⁸²	The proposal is for a development plan (which can override regional and district level RMA instruments) to be “not inconsistent with” national direction. This is a weaker direction than for other plans under the RMA (which must give effect to national direction). It could dilute key environmental bottom lines, especially through an integrated NEP created under a strengthened Part 2. Of particular concern would be dilution of the requirements of national direction concerning the protection of productive land and freshwater. ¹⁸³ In contrast, Kāinga Ora would be compelled to “give effect to” a Government Policy Statement on development, effectively elevating that instrument above environmentally-focused national direction for decision-making under the RMA.
Thresholds for establishment	In our view, there should be reasonably clear criteria for when Kāinga Ora could be granted powers and for when a project could be established. An urban development authority model should not become the default mechanism for urban planning, or be able to ride roughshod over the carefully developed regional spatial plan contemplated in Chapter 8. The associated regulatory impact statement states that there is “a risk of undermining the coherence of the overall planning regime by ‘tinkering’ with overarching purpose and principles in only specific areas and/or contexts”. ¹⁸⁴

Figure 10.3: Concerns with the current Kāinga Ora – Homes and Communities model in the context of system reform

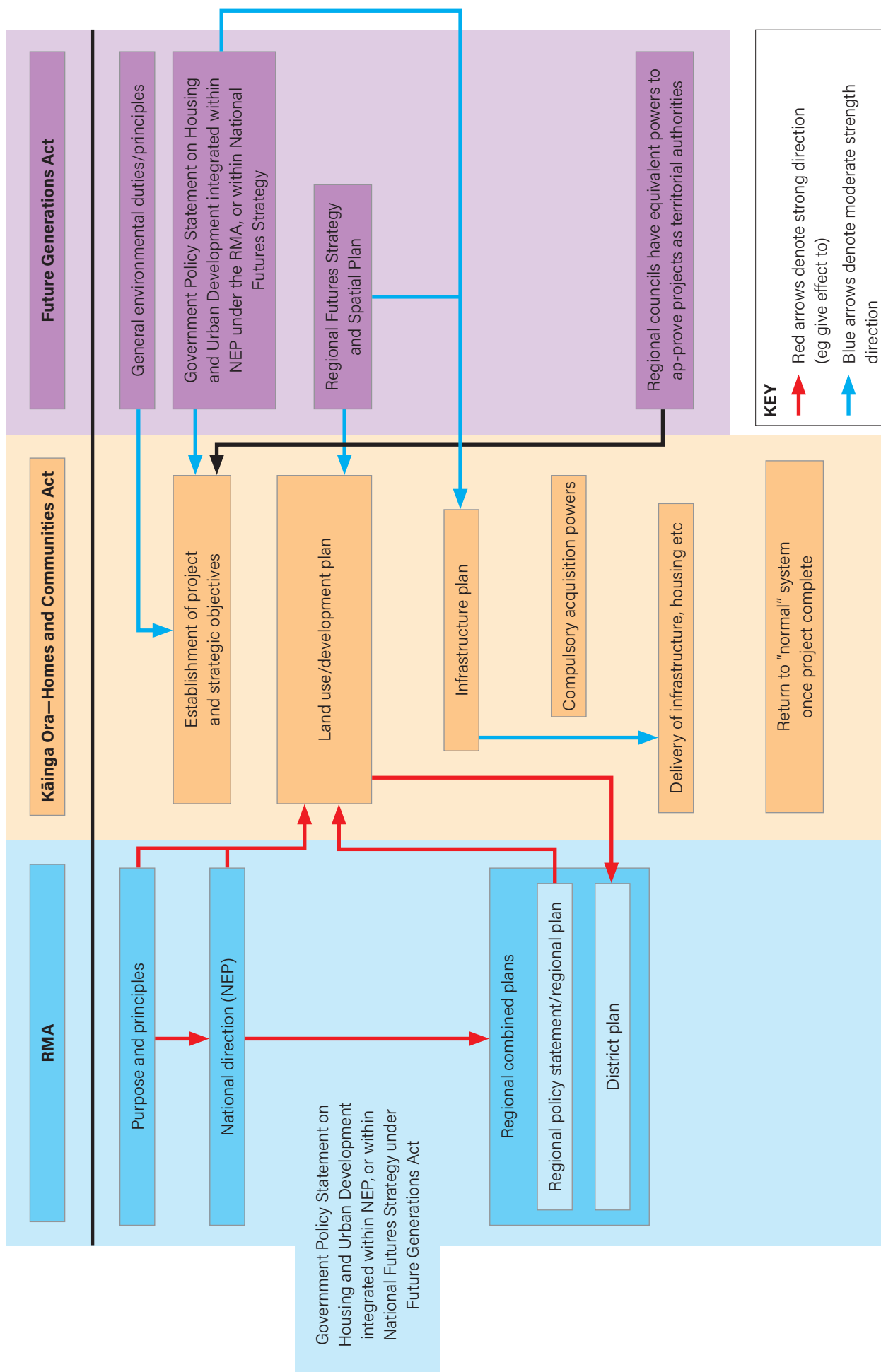


Figure 10.4: An urban development authority (government developer) within a reformed system. Environmental safeguards under the RMA would remain paramount.

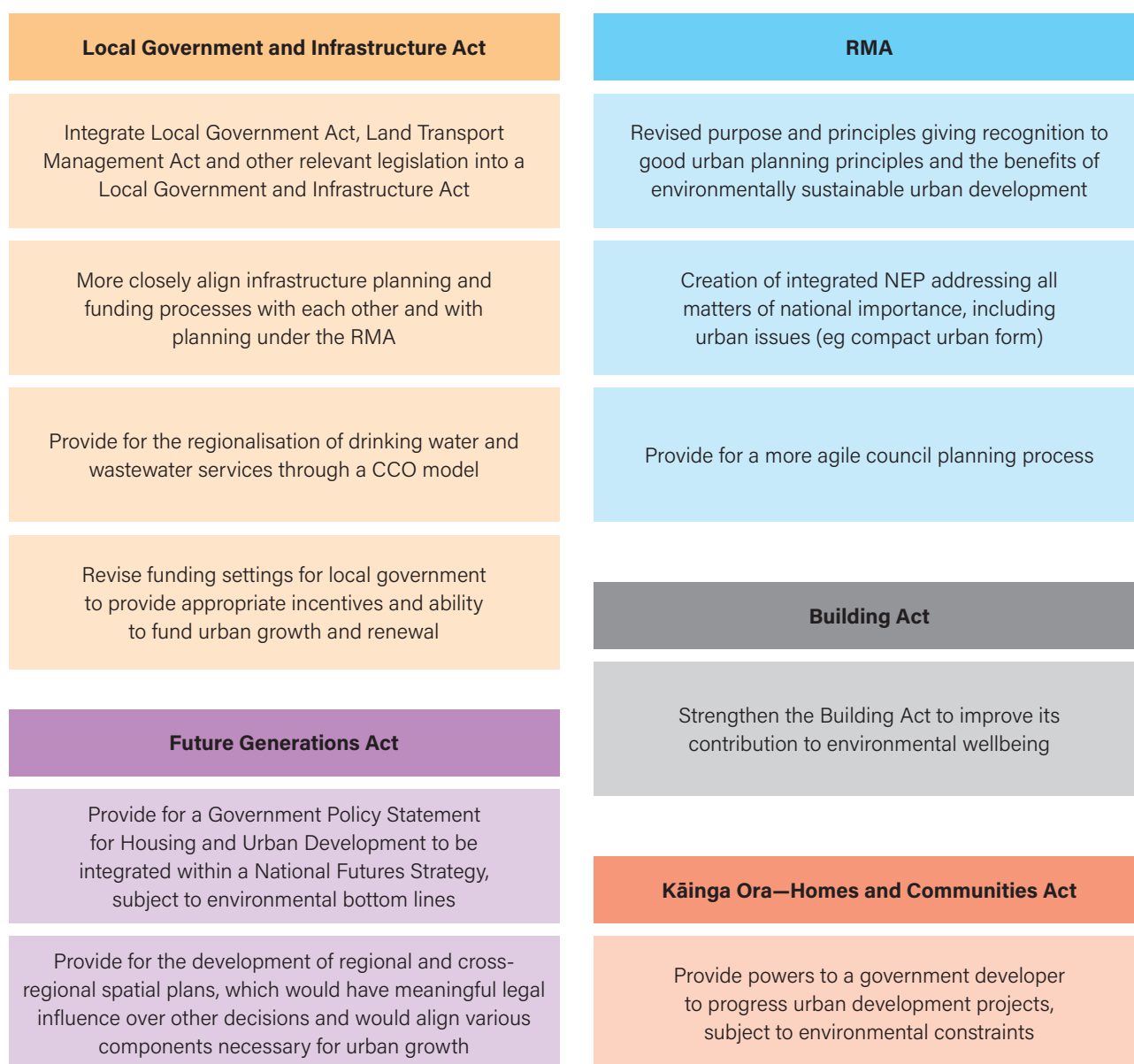


Figure 10.5: Key reforms addressing issues in the built or urban environment

- 55 See New Zealand Infrastructure Commission/Te Waihangā Act 2019.
- 56 See Local Government (Auckland Council) Act 2009, s 57(1)(a)-(b). See also Watercare Services Limited "Our commitment to you" <www.watercare.co.nz>
- 57 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 242, citing the submission of the Hamilton City Council.
- 58 The geographical boundaries of a regional water services provider should not necessarily be constrained to the catchment-based boundaries of existing "regions", and they may be significantly broader or cut across regional boundaries. For environmental reasons, it would be important for a catchment-based jurisdiction to remain for regional councils. This would mean that a water CCO may well require multiple council shareholders even in the event of local government restructuring.
- 59 Compare New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 11.
- 60 See Chapter 7.
- 61 Land transport has tended to receive greater investment, and not operated on a run to fail basis – perhaps due to its higher visibility to users and the oversight role of the NZTA.
- 62 See Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 44.
- 63 And through the Ministry of Transport in the development of a Government Policy Statement on Transport.
- 64 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 178.
- 65 Note the alternative proposal of Infrastructure New Zealand, which advocates for the regionalisation of transport (including the state highway network): Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 48.
- 66 See Chapters 6 and 8.
- 67 Infrastructure New Zealand has also suggested giving funding powers to the NZTA that are linked to use or demand: Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 27.
- 68 Ibid.
- 69 The Ministry of Transport, NZTA, Treasury, State Services Commission, Auckland Council and Auckland Transport.
- 70 Compare New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 270.
- 71 Ibid at 243, 270.
- 72 See ibid at 242: "Currently, the scale of water suppliers matches the size of each local council's jurisdiction – which is often very small. This leaves some local councils with inadequate in-house specialisation and expertise".
- 73 Ibid at 265.
- 74 See Chapter 7. However, it is also important to note that there can be *diseconomies* of scale where local matters are more efficiently decided at the local level.
- 75 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 271.
- 76 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 248.
- 77 R Ward "Three waters review" (Paper presented to the New Zealand Building Nations Conference, 2018). See also New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 9.
- 78 H Wyn "Funding pressures affecting three waters infrastructure" (Paper presented to the Local Government New Zealand Water Summit, 30 May 2018).
- 79 For example, under the proposed new NPS for Freshwater Management, and a potential NES for wastewater discharges.
- 80 See Chapter 13 on economic instruments and incentives.
- 81 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 270, 4, 154. An independent and ringfenced source of revenue has been said to lead to more sustainable business decisions being made.
- 82 Ibid at 244; Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 4.
- 83 With oversight by an economic regulator.
- 84 The Productivity Commission has suggested the use of separate redistribution policies be used to make it more transparent (a national scheme of rates postponement, rather than rates rebates).
- 85 Compare New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 4.
- 86 Ibid at 10. Whether that would require a separate government agency to determine such questions in an arm's-length way – like the NZTA – is an open question.
- 87 See ibid at 270, concerning the need for assistance to make a transition to meeting new more stringent standards.
- 88 On cost challenges, see Beca *Cost estimates for upgrading water treatment plants to meet potential changes to the New Zealand drinking water standards* (2018); GHD and Boffa Miskell *Cost estimates for upgrading wastewater treatment plants to meet objectives of the NPS Freshwater final report* (September 2018).
- 89 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 44: "[T]he need for large scale replacement of water assets around the country is most likely to occur between 2040 and 2060, at the very time that population increases will be peaking". See also Office of the Auditor General *Water and roads: Funding and management challenges* (2014).
- 90 For example, revenue raised through the waste disposal levy.
- 91 Electric vehicles have been considered in Chapter 9 in the context of climate change.
- 92 As well as a direction for funding decision-making to support spatial plans, as discussed in Chapter 8.
- 93 Compare New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 169, citing the submission of the Property Council at 4.
- 94 New Zealand Productivity Commission *Local government funding and financing* (July 2019).
- 95 As well as many other mechanisms: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 249-251.
- 96 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 2.
- 97 Ibid.
- 98 Ibid at 6.
- 99 Ibid at 2.
- 100 Ibid.
- 101 Ibid at 6.
- 102 For example, to preserve their credit rating and comply with binding debt to revenue ratios: see ibid at 161. The independent nature of credit rating means one cannot simply regulate all constraints out of existence.
- 103 Ibid at 154.
- 104 Ibid at 161.
- 105 Ibid at 266.
- 106 Which could be achieved by expanding the concept of a targeted rate to link it to increases in property value.
- 107 In our view, only where needed to give effect to a spatial plan, not as a central government planning override.
- 108 As the Productivity Commission points out, there may also be a related need to enable, through legislation, the placement of debt-servicing obligations on existing residents if this mechanism is to be used for brownfields or intensification of existing residential areas; see New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 264. That would need careful thought for reasons of equity, as existing residents would not have signed up to the provision of infrastructure when they purchased a property.
- 109 Ibid at 266.
- 110 Ibid at 267.
- 111 Ibid at 265. Legislation does not currently allow targeted rates to be used in this manner.
- 112 Ibid.
- 113 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 251; see also New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 19.
- 114 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 17.
- 115 Ibid at 265.
- 116 Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 32.
- 117 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 6.
- 118 For example, Professor Tim Hazledine has pointed out that it is often serviced land that provides the value difference, not an urban boundary; see T Hazledine "Economics and the Resource Management System" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 3* (EDS, 2018) at 158. That is, of course, not to say that planning restrictions do not contribute at all, and densification particularly needs to be pursued through national direction to overcome Nimby objections.
- 119 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019). Compare Resource Management Review Panel *Transforming the resource management system: Opportunities for change – Issues and options paper* (2019) at 13.
- 120 Instead, it benefits prospective residents from elsewhere.
- 121 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 249.
- 122 Although now also through an international visitor levy. However, this does not encompass domestic visitors, which can also have significant pressures on local infrastructure and services.
- 123 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 15.
- 124 New Zealand Productivity Commission *Local government funding and financing* (July 2019) at 6. Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 26, concerning

11. OCEANS LEGISLATION

11.1 Introduction and context

Our discussion of the RMA and other frameworks in previous chapters has not specifically focused on the marine area. For example, planning (in an NEP and combined council plans) has been discussed largely in the abstract, as has the application of futures strategies and spatial plans. Nor have we mentioned the EEZ Act, or the potential for that to be integrated into the RMA to form a single, core framework for the management of land and sea.

This has been deliberate. The reason is that, in this chapter, we are floating the idea of a separate, targeted framework for oceans management. This would be a single statute – an “Oceans Act” – which would apply from 3 nautical miles (from the coast)¹ to the boundaries of New Zealand’s EEZ and extended continental shelf. It would be fragmentary in a spatial sense (a different Act would apply depending on where one was doing an activity)² but integrative in other senses (it would subsume a wide variety of existing marine legislation, and fill gaps). It would recognise that “integration” looks different in the deep-sea environment because of its quite different biophysical and social characteristics. We are putting this concept forward for discussion, and welcome feedback on both its potential benefits and risks.

We are floating the idea of a separate legislative framework for oceans management – an Oceans Act. This would replace the RMA beyond a line drawn 3 nautical miles from the coast, and integrate a variety of existing oceans-related legislation.

We mentioned the idea of an Oceans Act in the Phase 1 report.³ But the need to provide a more integrated framework for managing New Zealand’s marine estate has long been recognised by the government and others.⁴ The current legal framework has developed over more than 50 years into an uneven patchwork of provisions (see Figure 11.1 below). We now have multiple pieces of overlapping marine legislation, but still some glaring gaps in coverage (including no marine protected area legislation applying outside the territorial sea).⁵ Some of the legislation is outdated and no longer fit for purpose including, most notably, the Wildlife Act 1953, the Marine Reserves Act 1971⁶ and the Marine Mammals Protection Act 1978.⁷ There is no overarching mechanism to help ensure that all legislation and decisions that are impacting on the marine environment are interacting coherently.

Such issues resulted in the government establishing an oceans policy process in the early 2000s to “identify clear goals and principles and provide an integrated framework for managing the oceans”.⁸ The process was disbanded in late 2003, before it could deliver tangible outcomes (due to controversy over Māori customary claims to the

foreshore and seabed). The controversy resulted from a Court of Appeal decision that found customary rights over the foreshore and seabed could be recognised through private title⁹ and the subsequent passing of the Foreshore and Seabed Act 2004 which overturned the Court’s decision and declared the area to be owned by the Crown. A tangible outcome of the oceans policy initiative was the later passage of the EEZ Act, which was designed to address a lack of environmental legislation applying outside the territorial sea. However, that measure fell far short of an integrated approach to oceans management.

A new, National-led government replaced the foreshore and seabed legislation with the Marine and Coastal Area (Takutai Moana) Act in 2011, which enabled formal recognition of customary rights in the area.¹⁰ Specific Treaty settlements for fisheries and aquaculture have also been provided for in the Māori Fisheries Act 2004, Māori Commercial Aquaculture Claims Settlement Act 2004, and related statutory provisions. Other Treaty claims over the marine area, such as harbours, have yet to be settled.

There has also been a plethora of bespoke regional legislation applying to marine management in New Zealand, including the Hauraki Gulf Marine Park Act 2000, Fiordland (Te Moana o Atawhenua) Marine Management Act 2005 and the Kaikōura (Te Tai o Marokura) Marine Management Act 2014. These are all responses to failings in the broader system.



carbon dioxide.¹⁵ This is leading to seawater warming and ocean acidification.

Weather patterns have a strong influence on these broader seawater and nutrient flows, which can vary significantly from year to year. They impact on the productivity of marine life, with many species having complex life-cycles and episodic recruitment patterns. For example, young crayfish go through at least 11 different lifecycle stages while floating along the edge of the continental shelf in ocean currents (for around 18 months), before swimming back to the coast and settling on a reef to grow into maturity.¹⁶

The fundamentally interconnected nature of the marine environment means that it can be virtually impossible to confine the impacts of an activity to its immediate site. Flow-on effects often spread over much wider areas and cumulate with multiple impacts from other places. This means that case-by-case consenting and site-specific monitoring is unlikely to be an effective management approach on its own, and that robust integrated planning is important.¹⁷ Of course, that is not untrue in the terrestrial context (one of the reasons we are proposing an integrated Future Generations Act), but it tends to be exacerbated in the marine area.

The marine environment is comprised of a rich mosaic of different seabed habitats built through tectonic and volcanic activity, the deposition of different types of sediments, the exposure of rocky structures, and the presence of both living and dead marine organisms. Just like an indigenous forest creates habitat for a wide range of forest-dwelling species, so do marine species such as mangroves, seaweeds, seagrass, shellfish, bryozoans, corals and sponges create complex three-dimensional structures on the seafloor that provide habitat for numerous species (including settlement areas for larvae and nursery areas for juvenile fish).¹⁸

Benthic habitats are particularly vulnerable to damage from seabed-disturbing activities such as bottom trawling and dredging, as well sediment discharges from land. The marine environment is also the ultimate “sink” for discharges from many land-based activities. These cumulative pressures, ostensibly managed under different regimes (the Fisheries Act and RMA) have resulted in wide-scale degradation of benthic habitats around New Zealand coasts and deep-sea areas. In some cases, such as the destruction of deep sea coral communities on seamounts from trawling and the destruction of mussel reefs from dredging, the effects are largely irreversible. In some coastal areas, they have likely produced “habitat bottlenecks” where there is insufficient habitat to support the number of juvenile fish produced, thereby reducing the number that recruit into the adult population.¹⁹

This very complex and interconnected system likely supports the largest number of indigenous species in New Zealand, most which have yet to be discovered. In *Our Marine Environment 2016*, it was reported that “most of our marine environment has never been surveyed, and while scientists have identified more than 17,000 marine species

in our EEZ, experts estimate as many as 65,000 species are still unidentified”.²⁰ In fisheries, less than half of the managed fish stocks have their status regularly assessed²¹ and little is known about many of the species which are regularly harvested.²²

This lack of knowledge about the marine environment is linked to the difficulty and cost of studying it. Changes to the marine environment cannot easily be observed in the same way that the cutting down of a stand of pōhutukawa or the pollution of a river can be easily seen by members of the public. It is a carpet under which much can be brushed. Thus, to a much greater extent, marine management is reliant on science rather than lay observation to both identify problems and provide solutions to them. It is becoming increasingly apparent that some marine ecosystems are approaching or have exceeded tipping points at which irreversible change occurs,²³ and science is critical to identifying when such tipping points are being approached.

Marine research often requires the deployment of expensive vessels, undertaking time-consuming sampling and analysis and complex computer modelling. In addition, the area to be researched is vast – New Zealand’s marine estate covers an area 20 times greater than the size of the country’s land area.²⁴ Modern technology, including the growing availability of underwater video cameras, drones and multi-beam sonar, is reducing some of these costs and revealing much more about the underwater world, but the research challenges are still substantial. The cost and technical difficulty of undertaking marine science, and its critical role in informing management, has implications for the institutional and funding arrangements for marine management, as discussed below.

The arrangement of property rights in the marine area is also substantially different than for those on land. There are few freehold land titles that extend under the territorial sea and most of the area is designated “common marine and coastal area”, which means it cannot be owned by the Crown or any person.²⁵ Public rights of access to this area have been enshrined in law²⁶ and, as mentioned above, there is provision for customary marine titles and protected customary rights within the area. Individual transferable quota has been allocated for most commercially harvested fish stocks within the territorial sea and EEZ, and this provides the holder a perpetual right to harvest a proportion of the total allowable commercial catch for the fish stock concerned (through the provision of an annual catch entitlement).²⁷ Fish stocks to which the quota attaches are defined spatially by the delineation of quota management areas.²⁸ There is a patchwork of other rights in the marine area, including over structures such as wharves, jetties and marinas and for activities such as aquaculture (which are authorised under fixed-term coastal permits under the RMA).²⁹

As most of the marine area is effectively a “commons” not owned by any party, greater public interest considerations come into play than when managing activities undertaken on privately held land. For example, the Marine and Coastal Area (Takutai Moana) Act recognises the

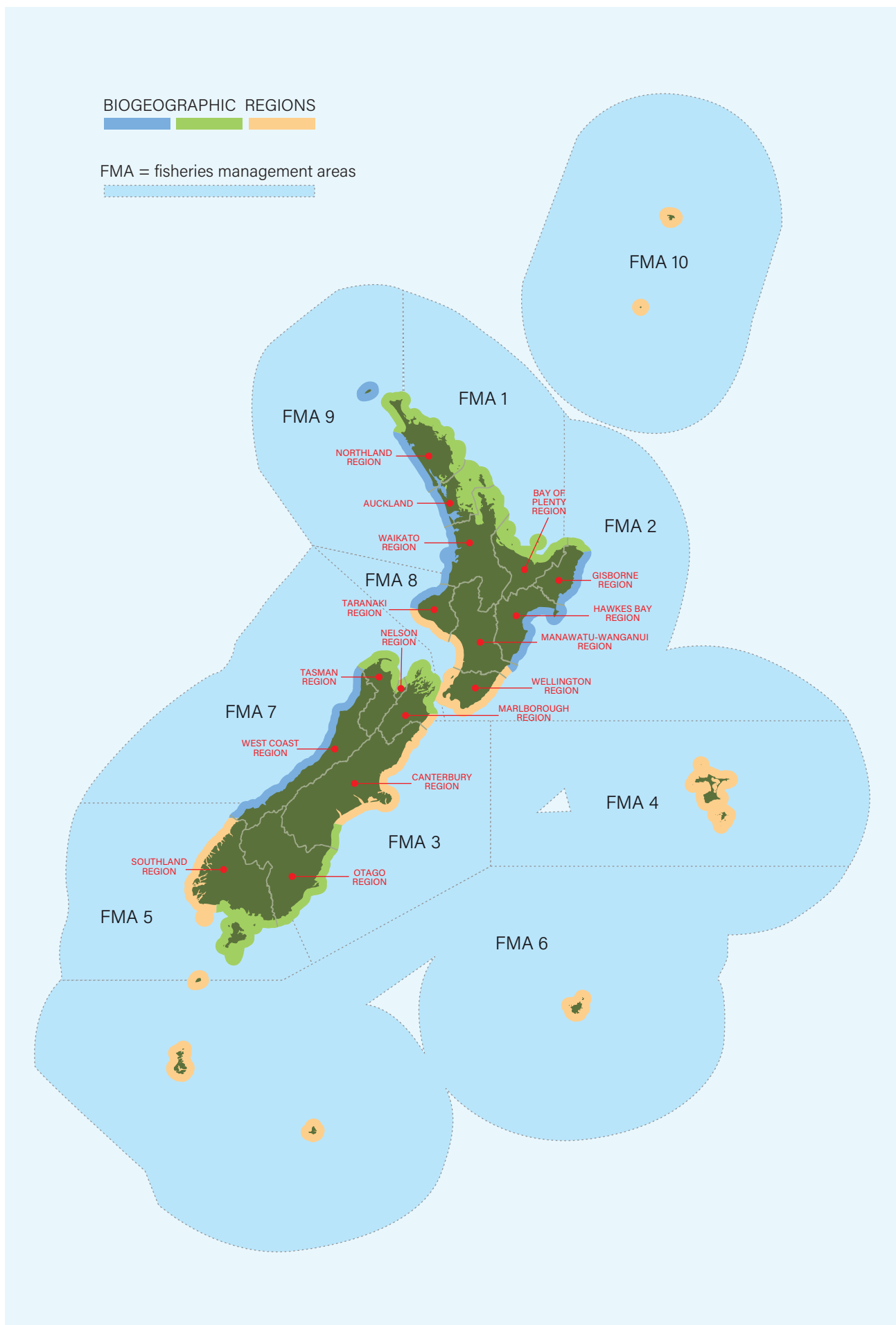


Figure 11.2: Jurisdictional and biogeographic boundaries in the current system

11.5 Legislative arrangements in a future system: A focus on environmental effects

We think that the current degree of fragmentation in marine legislation is detrimental to effective management and that at least some integration is merited. The key question is what should be integrated, and along which lines we should make statutory divisions.⁴⁴

As outlined above, we currently have separate legislation for the management of the territorial sea (RMA) and EEZ (EEZ Act). We also have separate legislation for marine reserves in the territorial sea, and a gap for this function in the EEZ. Alongside this, there is separate legislation for marine mammals (Marine Mammals Protection Act) and other protected marine species such as seabirds, some corals and sharks etc (Wildlife Act). Fisheries is managed separately (under the Fisheries Act), as is shipping (Maritime Transport Act). Even the specific case of marine pollution spans several regimes (RMA, EEZ Act and Maritime Transport Act). So too does marine biosecurity (Biosecurity Act and RMA).

There is a strong argument that all activities should be subject to the same scrutiny when it comes to the management of environmental effects, irrespective of the type of activity or its location. Currently, we have an artificial spatial distinction between the RMA and EEZ Act. There is also a tenuous distinction made between those two pieces of legislation and fisheries activity (the last major marine activity still escaping robust environmental scrutiny). As we mentioned in the Phase 1 report:⁴⁵

The Fisheries Act's role in managing fishing impacts on marine biodiversity can ... be seen as a subset of that undertaken by the RMA. This does beg the question as to whether the Fisheries Act should play a role in this area at all. If the RMA already provides a regime for managing the impacts of activities on marine biodiversity, why is there a need for sectoral legislation to do the same thing for a specific activity? It creates an awkward carve out. Interestingly, the Fisheries Act is the only piece of sectoral legislation that creates such a carve out. It can be contrasted with the Crown Minerals Act which creates an allocation regime for minerals, but leaves the management of the environmental effects of the activity to the RMA and the EEZ Act.

We have also pointed out in *Voices from the Sea* that:⁴⁶

There is a serious lack of connection between management under the RMA and the protection of important fish habitat, with consequent impacts on the productivity of fish stocks, highlighted by the lax controls on forestry harvesting in the Marlborough Sounds with likely consequential effects on struggling blue cod and paua stocks.

A more integrated future system could bring together the RMA (in its application beyond the rough 3-nautical-mile limit referred to above) and EEZ Act (in its entirety) into one piece of legislation, which we call here an

"Oceans Act". The environmental impacts of fishing activity would also be addressed under this Act, which would have a robust purpose statement resembling that of a reformed RMA. Alignment in purpose would be important even if they were focused on different spatial areas.⁴⁷ Other elements of fisheries management *could* still be undertaken under a revised Fisheries Act, focusing on the administration of the quota system and fish stock management within the ambit of this broader piece of environmentally focused legislation. But there is equally a case for integrating those too, given the highly interconnected nature of marine habitats. Arguably, the RMA is a better-developed regime for the management of broader ecosystem impacts of fishing within 3 nautical miles of the coast than the Fisheries Act. While there would remain a separation between fisheries management in that area (under an Oceans Act) and its impacts on the marine environment (under the RMA), the latter could be strengthened to provide sharper focus and responsibility for the protection of fish habitats. As explained further below, integrated marine spatial planning could assist.

11.6 Marine conservation: A proactive role

Management of the environmental effects of human activity (stopping people doing things, or telling them how to do it) is not the only consideration in marine management. As on land, there are also compelling marine conservation imperatives which require proactive action to protect and enhance important marine habitats and indigenous species, including very mobile seabirds and marine mammals. As outlined above, these functions are currently fragmented, and there is also a major gap for marine protected areas within the EEZ. These need to be managed under a more specific statutory purpose focused on protection and enhancement of what is usually a common-pool domain.

A key legislative design question here is whether it makes sense to divide marine conservation from conservation more generally (where it applies to land and freshwater habitats and species). Many species cross the marine divide with, for example, the wrybill breeding in braided rivers of the South Island but then migrating to northern marine areas such as the Firth of Thames and Manukau Harbour to feed during winter.⁴⁸ Many of our freshwater fish species are diadromous and either grow to adulthood in freshwater then breed in seawater (such as eels) or breed in freshwater and grow to adulthood in the sea (such as galaxiids).⁴⁹ Seabirds breed on land, and so what happens at their breeding sites (such as human disturbance and predator activity) can have as much impact on their survival as what happens at sea (in terms of harvesting impacts on food supply and capture in fishing gear). This cross-over between domains suggests that integrated conservation legislation may make the most sense, and how this might look is shown in Figure 11.3 below. The idea is pursued further in Chapter 12.

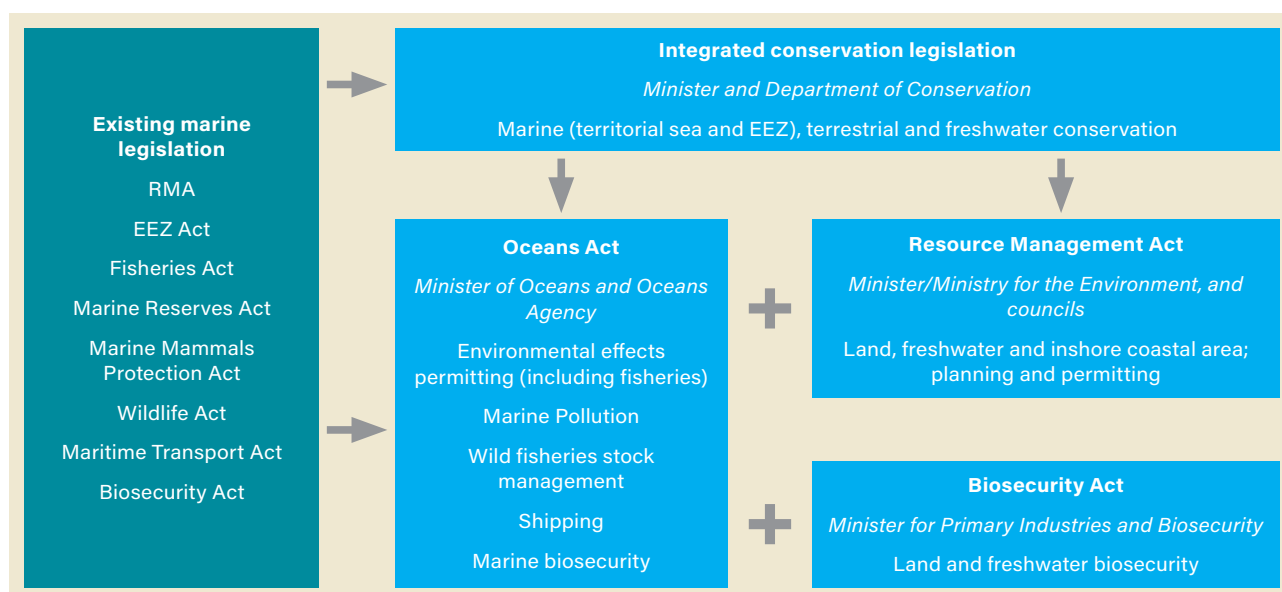


Figure 11.4: Integration of marine-focused legislation

Furthermore, on balance we are attracted to the idea of marine conservation being incorporated into separate integrated conservation legislation, which would apply across the whole of New Zealand. This is because marine conservation efforts, which apply to highly mobile species and their habitats, need to be undertaken within the ambit of a wider integrated conservation statute. Conservation legislation is explored further in Chapter 12, where we see considerable room for rationalising and aligning the multiplicity of statutes we currently have.⁵¹ While the statutes would do different things, there would need to be close connections between them.

The approach to legislative design described above is represented in Figure 11.4. We do not see a need to revisit the Marine and Coastal Area (Takutai Moana) Act, for pragmatic political reasons as much as conceptual ones,⁵² aside from any consequential amendments needed.

We see a case for integrating existing legislation relevant to the marine area into a single Oceans Act. That would not, however, include coastal management (including out to 3 nautical miles), which would remain under the RMA.

11.9 Institutional arrangements

Earlier in this chapter, we suggested that regional councils should remain responsible for coastal marine management within a 3-nautical-mile limit, and that a dedicated Oceans Agency should be responsible for management beyond that. We can now revisit that in light of the legislative arrangements suggested above.

In Figure 11.4 above we have indicated tasks for various existing agencies, with the notable addition being a dedicated Oceans Agency, operating under the auspices of a Minister for Oceans. This ministerial portfolio could be established in the short term to provide a broader stewardship function over marine management, with

an Oceans Agency appearing soon after (perhaps in the medium term, to align with the introduction of an Oceans Act).⁵³

An Oceans Agency would be the operational agency for the Oceans Act and operate at arm's length from government to ensure that the Agency is seen as politically independent and that it retains high public regard.⁵⁴ Government entities tasked with environmental management have often struggled with such matters, with a public perception that the Ministry of Fisheries was captured by the industry it was charged with regulating⁵⁵ and the Department of Conservation resiling from its statutory advocacy role under political duress and budget cuts.⁵⁶ We have also seen the EPA stripped of a key decision-making role under the EEZ Act in favour of ministerially appointed Boards of Inquiry after declining two consent applications for marine mining.⁵⁷ Although the Fisheries Act enables action in relation to environmental and ecosystem issues, the relevant provisions (including the Act's purpose and environmental principles) remain underutilised.⁵⁸ A stronger agency mandate is required.

We think it is important that a new Oceans Agency gains high public credibility and is seen as beyond reproach. Such independence can be achieved through establishing it as a statutory Crown entity, as well as providing oversight of its decision-making by the Futures Commission (eg in reviewing key planning instruments and in providing a scorecard for performance alongside other agencies and government as a whole).⁵⁹ There are three types of such entities which are legally separate from the Crown and operate at arm's length from the responsible Minister, each with a different level of independence:⁶⁰

- *Crown agents*, which must give effect to government policy when directed by the responsible Minister. They include the Energy Efficiency and Conservation Authority, the EPA and Maritime New Zealand.

for an outcomes-based and proactive RMA, an Oceans Act should inject these pre-emptive and precautionary characteristics into fisheries management.

- Although existing legislation provides for a wide range of fisheries management tools to be used, only a narrow range has been adapted in practice. A stronger mandate is needed for these to be deployed.
- Fisheries decision-making processes within an Oceans Act would need to be fairer, more transparent and inclusive, and timely (for example, it should not take eight years to change a total allowable catch).
- The currently weak policy and planning framework guiding fisheries decision-making should be strengthened. The legislative framework only provides for fisheries plans (not policy or standards), and the provisions are sketchy as to purpose, content and preparation process for the plans.
- Quota management areas need to be better aligned with biological fish stocks, as well as the marine ecosystems within which they exist.
- There is an urgent need to address the impacts of fishing activity on benthic habitats. Close consideration should be given to freezing current dredging/trawling footprints, deploying innovations in fishing gear, and establishing marine protected areas to protect benthic habitats.

Work could usefully begin on an Oceans Plan framework in the short term – perhaps as an integrative, non-statutory instrument building on the oceans policy work that has already been done – before the introduction of the Oceans Act itself in the medium term. This less formal plan could influence the development of policy under the EEZ Act, which would be a stepping stone to a more integrated policy framework for oceans.

An Oceans Act would also provide for a permitting process. We envisage that consenting would be roughly comparable to the RMA framework, and that there would be the ability for joint processes to occur where cross-boundary effects would be felt.

In the interim, before a formal Oceans Plan was prepared, the NZCPS would continue to apply. Once the Oceans Plan was in place, the NZCPS (as incorporated into the NEP) would be confined to the truly “coastal” areas of New Zealand in line with the reduced spatial jurisdiction of regional councils (and the RMA) outlined above.

We think there is a strong case under a new Oceans Act for rationalising and strengthening the currently fragmented policy and planning framework for oceans. At the top of the planning hierarchy would be an integrated Oceans Plan.

11.11 Marine spatial planning

All of the above would be complemented by higher level marine spatial planning. A recurring theme throughout our proposed model is the need to have a place where system-wide integration occurs, alongside more targeted frameworks. We have proposed a Future Generations Act to fill this role.

The upshot here is that, standing above an Oceans Plan (as with an NEP under the RMA), there would be a “National Futures Strategy”, expressed in a “National Spatial Plan”. Both of these would include elements relating to the marine environment. Integrated spatial planning would need to influence an Oceans Plan on an ongoing basis.

That said, the nature of marine spatial planning is quite different to the terrestrial context. In the latter, attention is often focused on coordinating the spatial aspects of urban growth. Spatial planning in the marine area has a different purpose, more strongly embedded in the concept of ecosystem-based management. The marine environment, as described above, is extremely fluid, and sparsely populated by people. In *Healthy Seas*, we therefore proposed a definition for marine spatial planning in New Zealand:⁶⁹

an integrated, strategic planning approach which guides the management of activities that cumulatively impact on the marine environment in order to maintain and restore healthy ecosystems while providing for kaitiakitanga and current and future uses.

There is a question of design here. Should spatial planning for the oceans be treated as separate from spatial planning on land? If it should, does it not follow that marine spatial planning should occur in an Oceans Act rather than under the broader auspices of a Future Generations Act?

Ultimately, we think they are too connected to be done separately. For one, even under an Oceans Act, there would not be total spatial integration. Meaningful marine spatial planning would need to be able to cut across the geographical boundary between RMA and Oceans Act jurisdiction (at 3 nautical miles), and also span both the Oceans Act and the marine elements of an integrated Protected Areas and Species Act (eg in relation to marine protected areas and protection for marine mammals). In the Phase 1 report, we highlighted issues with Bryde's whale shipstrike in the Hauraki Gulf, concluding that while multiple overlapping tools can be used under different legislation, the very fact of having many options can lead to regulatory paralysis.⁷⁰ A strategic and spatial planning exercise can clearly outline which tools are envisaged to be used, and who will have responsibility for using them.

At the same time, there are important links to be made between spatial planning on land (which activities occur where) and their impacts on the sea (eg through waterways and coastal development). They cannot be done in isolation of one another. We therefore see potential issues in providing for marine spatial planning



Figure 11.6: *An alternative process for marine spatial planning*

collaborative, process to develop these marine regional spatial plans under a Future Generations Act, including a more direct route for their regulatory components to be given effect to in the RMA and/or Oceans Act, as outlined in the spotlight below. Alternatively, the normal process for developing regional futures strategies/spatial plans could

apply, with one key change: sign-off would be required by the Crown through the Minister of Oceans and Minister of Conservation, and the Oceans Agency would be involved in co-production. This reflects the idea that even in the coastal environment, there is a strong national community of interest in marine planning.⁷⁵



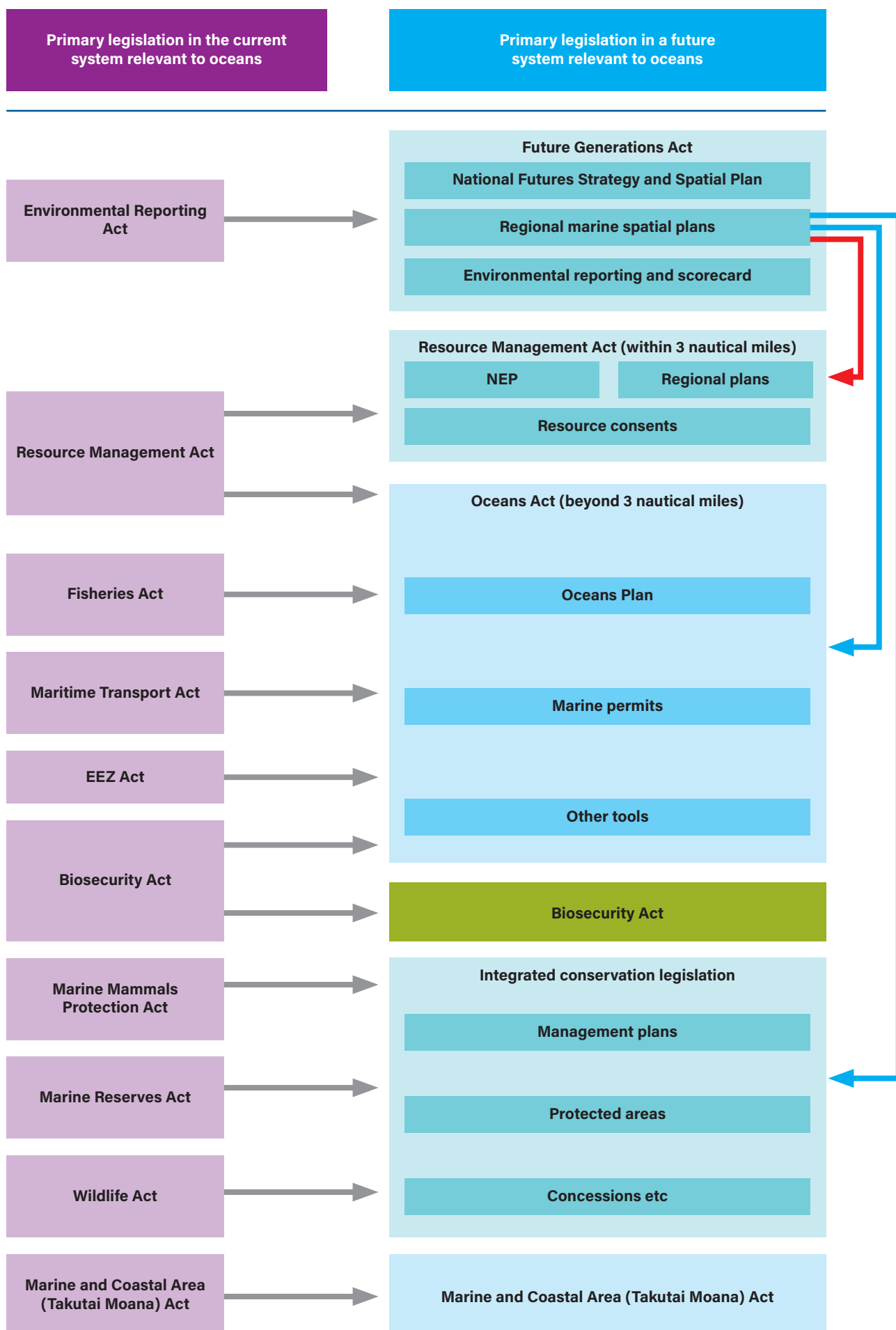


Figure 11.7: A proposition for oceans legislation

12. CONSERVATION LEGISLATION¹

12.1 Introduction

The structure of this report is based on the core legislative frameworks that we envisage operating in a future system. A chapter devoted to “conservation” therefore anticipates that there will be particular statutes focused purely on that topic, beyond more general frameworks like the RMA, a new Oceans Act, and statutes concerned with the built environment. In Chapter 4, we described a large number of statutes that fit that bill in the current system, including the Conservation Act, National Parks Act, Reserves Act, Marine Reserves Act and Marine Mammals Protection Act. There are many others. Some of these are place based (applying to specific locations across the country, like reserves, or particular parts of the country, like the Waitākere Ranges), while others are species based (applying to specific living things, like indigenous plants). In terms of institutions, the Department of Conservation has the primary role in implementing the large suite of legislation currently guiding conservation in New Zealand, across both land and sea (although local government plays a significant role too). In Chapter 11 we also briefly considered the place of marine conservation legislation, and concluded that it should not be integrated into an Oceans Act. Instead, we suggested that conservation legislation be integrated in a smaller range of statutes that span both land and sea, to complement a separate RMA and Oceans Act.

However, it is not easy to define what “conservation” is, and therefore what defines a “conservation statute”. In this chapter we are thinking of it primarily in the sense of nature conservation. It is about protecting and enhancing ecosystems and species. We do that for many different reasons (eg to reflect the intrinsic or moral worth of some species, to support ecosystem services or amenity value for humans, to respect Māori values,

to provide wilderness areas, and to foster educational, scientific and recreational pursuits). And we can use many different mechanisms to do so (eg preventing activities in protected areas, enhancing or restricting access, actively planting or purchasing land etc). But the subject of nature conservation is the living components of the natural world and the habitats they rely on to survive and thrive.

Nature conservation cuts across multiple statutes in the current system, and would continue to do so in our proposed model. In particular, the RMA (and comparable elements of an Oceans Act beyond roughly 3 nautical miles) would have a lot to do with achieving conservation outcomes, framed largely in the language of protecting and enhancing biodiversity.² Higher level strategy for conservation (eg the New Zealand Biodiversity Strategy currently under development)³ would also occur within the auspices of integrated futures strategies created under a Future Generations Act. Futures strategies would then be implemented through multiple regimes (including the RMA).⁴

The RMA, in particular, has presided over an alarming decline in biodiversity values.⁵ Examples include poor provision for wetland protection in plans and consenting⁶ and loss of terrestrial cover.⁷ Even where rules do exist, non-compliance has led to significant loss.⁸ We have therefore recommended, in Chapters 5 to 7, that the RMA be strengthened in this regard. Among other things, we proposed:

- Reforming Part 2 of the Act to provide clearer bottom lines around biodiversity and habitat protection (in the concept of “natural heritage”)
- Requiring regulation, including permitted activities, to be linked firmly to a clear policy direction in an integrated NEP (including for indigenous biodiversity)





Figure 12.1: Conservation legislation in the current system

The reasons for legislative separation outlined above do, however, raise some interesting questions about what separate conservation legislation *should* be used for in the future. Historically, those frameworks have been largely focused on four things, which tend not to stray into the territory of more general regimes like the RMA:¹⁴

- (1) The creation of general, non-regulatory strategies (eg the New Zealand Biodiversity Strategy, or plans in relation to particular threatened species). These are relevant to, but not directly determinative of, decisions under frameworks like the RMA.
- (2) The establishment of frameworks imposing duties on public authorities to act in a positive manner, including funding those activities (eg the Department of Conservation has an advocacy role that can see it litigate on issues under the RMA, and a duty to actively manage the conservation estate for particular nature conservation purposes). Again, this does not encroach on what the RMA does.
- (3) Imposing an additional layer of regulatory restrictions in relation to activities in particular areas that are not privately owned (eg national parks, marine reserves, and pastoral leasehold land). These restrictions apply in addition to general RMA restrictions, and are generally more protective in nature.
- (4) Imposing an additional layer of protections in relation to direct interactions with flora and fauna that is not privately owned (eg restrictions on taking or interfering

with wildlife under the Wildlife Act, Native Plant Protection Act, or Marine Mammals Protection Act).

A key theme here, and a strong basis for coherent legislative design, is a distinction between public and private ownership. Conservation legislation has, for the most part, tended not to prevent private persons doing things with their own property (notably land). That is what the RMA, with its generally more permissive approach, is for.¹⁵ After all, we use land for economically productive activities, and do not live in one big national park.

To complement this, the RMA has not been the place under which publicly owned protected areas (eg reserves) are managed in any detail.¹⁶ In short, dedicated conservation legislation has historically been more about ringfencing and managing particular public areas, preventing people's direct interactions with vulnerable species, and mandating the operational and strategic work of public authorities.

We find this rationale for legislative design compelling, as long as nature conservation is also strengthened considerably in broader regimes like the RMA (in the ways outlined previously). In the Phase 1 report, we noted that it is appropriate for location-specific or domain-specific legislation to fill gaps in wider outcome-based frameworks. That logic applies well to the notion of having dedicated conservation legislation that would *do* quite different things, even if its *aims* overlapped with other frameworks.

managing specifically protected areas; and (2) protecting and enhancing species and habitats.

On balance, we are inclined towards a single act with two parts, given the holistic character of nature conservation. For example, it may often be the case that publicly owned protected areas need to form the core of a wider strategy to improve species persistence and biodiversity on a wider spatial scale (one might think of the positive spillover effects on biodiversity from marine reserves), and the two must be managed in close connection with each other. This can be seen in the spotlight shone on the Mackenzie Basin in Chapter 8, where a core of conservation land would be surrounded by an area of private land subject to a Heritage Area Order.

Cross-cutting matters, relevant to both specific areas and broader species and habitat measures, would also need to be provided for, suggesting a single piece of legislation. For example, the Act would need to outline the duties and functions of institutions like the Department of Conservation (as the Conservation Act – a kind of umbrella framework – does now).²² While the machinery of a new integrated Act – which we are calling, for convenience, a “Protected Areas and Species Act” – would not overlap with the RMA (they would do different things, as in the current system),²³ the Act would continue to direct the Department to advocate for nature conservation values in RMA processes.²⁴ It would also have considerable influence over decision-making under the RMA and could even specifically have pre-eminence in the event of conflict.

We do not provide an exhaustive account of which statutes could be integrated into a Protected Areas and Species Act, but overall envisage a review that would seek to rationalise many statutes, including the:

- Conservation Act (including Freshwater Fisheries Regulations 1983)
- National Parks Act
- Reserves Act
- Native Plant Protection Act
- Wildlife Act
- Marine Reserves Act
- Marine Mammals Protection Act
- The Wild Animal Control Act

It would also be possible for the Queen Elizabeth II National Trust Act to be included, although there may be merit in that more targeted, institutionally defined framework to remain separate. Similarly, the Crown Pastoral Land Act and Land Act have significant conservation content, but are not purely about conservation. There is a strong case for keeping those Crown land management frameworks separate (as their content would not entirely align with the purpose of a Protected Areas and Species Act). However, there

could usefully be a stronger role for the Department of Conservation (eg a mandatory review or even joint decision-making role in relation to permissions for intensification for Crown Pastoral Land). And we see a case for reviewing and strengthening conservation (and other environmental) imperatives within the Land Act, which applies to the management of a wide range of Crown land.

More broadly, we see potential for several area-specific acts to be rolled into a single integrated act. These were generally conceived because more general legislation was not sufficiently flexible, and might include the Sugar Loaf Islands Marine Protected Area Act 1991, the Fiordland (Te Moana o Atawhenua) Marine Management Act 2005, and the Hauraki Gulf Marine Park Act 2000.

A spotlight on the Waitākere Ranges

The bespoke arrangements for the Waitākere Ranges are interesting, as the Waitakere Ranges Heritage Area Act is arguably not a “conservation” statute envisaged in this chapter. It is geographically-focused legislation, but encompasses significant areas of private and public land. It also directly influences decision-making under the RMA, rather than providing its own regulatory restrictions. There are therefore questions about (1) whether it should remain separate, (2) whether it should find a home within the RMA, or (3) whether it would be a better fit integrated into an overarching spatial plan (under the Future Generations Act). The latter option may be most appropriate, as it would filter down (eg be given effect to unless good reason not to) into other implementation frameworks like the RMA.²⁵



marine areas are treated with the appropriate level of respect commensurate with their terrestrial equivalents.

A new Protected Areas and Species Act would be one key mechanism (alongside the RMA and Oceans Act) to implement conservation elements of broader marine spatial plans created under a Future Generations Act (see Chapter 8). We would envisage, according to an ambitious timeframe focused on the medium term, that marine protected areas would be proactively identified based on scientific criteria in a similar way to Natura 2000 areas in Europe, and progressed through the marine spatial planning process outlined in Chapter 11.²⁸ Similarly, a Protected Areas and Species Act could be one key mechanism to realise aspirations for ecological or landscape areas like the Mackenzie Basin, where part of the vision for a drylands area outlined in a cross-regional spatial plan – in particular, a publicly owned core of conservation land – would be given effect to (see spotlight in Chapter 8).

We envisage a proactive programme to identify and protect an ecologically coherent network of marine protected areas.

We also see room for the rationalisation of conservation land categories under an integrated act (see Figure 12.3 below). For example, reserve categories currently number more than 30 and are speckled through a range of legislation, including the National Parks Act, the Reserves Act, the Conservation Act and several other acts. There are extensive cross references, and considerable complexity exists (see Chapter 4). It would seem quite plausible to rationalise those many categories in a way that would still adequately provide for the areas they intend to protect.

The most important thing would be for each level of protected area to have clear legal principles that *must* be at the forefront of decision-making (including when considering the activities that are appropriate in that place). Both councils and the Department should be bound by this framework. For administrative purposes, some area categories may have subcategories (eg local parks for different purposes). While we understand some concerns expressed about the need to retain the management of national parks under its own, highly protective statute, on balance we consider that this can be provided for equally in a dedicated part within a statute that broadly seeks strongly protective conservation



Kea

Treaty settlements, such as where legal personhood is conferred, as in the case of Te Awa Tupua/Whanganui River or Te Urewera.³⁰ The rationalisation of various categories and sub-categories of conservation land will require further detailed exploration, and should not be an opportunity to weaken existing protections.

We see room for rationalising the complex array of protected areas in the current system into a more coherent hierarchy in an integrated Protected Areas and Species Act. This should provide more explicit and active protection to areas of international importance, and to sites of cultural significance to Māori.

12.6 Subordinate instruments

Protected areas are, of course, not managed just by classifying them and providing principles for decision-making, but also by producing more detailed strategies and plans. In particular, general policy, conservation management strategies, national park management plans and other conservation management plans flesh out the requirements of legislation and help to clarify their interplay with related statutes. However, the current suite of plans are routinely out of date. For example, the Whanganui Conservation Management Strategy (a 10-year document) was released in 1997 and, according to the Department of Conservation's website, a review is not yet scheduled.

We consider that conservation plans and strategies must be developed and maintained as current guides to decision-making. The process for developing and reviewing them would, however, remain generally unchanged.

That said, the natural comparator for the approval of plans for protected areas is the statutory framework of the RMA. This framework contains a relatively sophisticated range of mechanisms to ensure independent expert input and impartial decision making alongside accountability for New Zealanders and local communities. We have, in previous chapters, proposed a strengthening of independent input into planning and consenting (such as a role for an independent Futures Commission) as well as revisions to the purpose and principles of the Act. We can consider conservation legislation in the same light.

We consider that, in any future legislation, there should be a prominent role for the Conservation Authority, and that regional Boards should be maintained. This is to ensure that appropriate expertise and community representation are sustained in decision making. They also need to be funded and resourced appropriately, and their role respected more strongly. Conservation Boards (and, to a lesser extent, the Conservation Authority), have generally been under-resourced. These statutory bodies exercise key powers in relation to monitoring, recommending and approving conservation management strategies and plans.

Furthermore, the quasi-judicial roles undertaken by these members (appointed by a ministerial approvals process) are sometimes not given effect to. For example, clear

directions in relation to visitor caps in high use areas, and unfettered direction to address effects at high value sites (consistent with statutory direction), are sometimes disregarded. Weak requirements for monitoring and reporting such decisions against plan provisions may contribute to such issues. There may be a stronger review role warranted for a standing, independent Futures Commission in high-level conservation decision-making.³¹

In addition, it is appropriate that mātauranga Māori is reflected in institutional arrangements. We note that there has been substantial work undertaken in this regard over the past 15 years, including a statutory direction relating to iwi representation on Conservation Boards. It is also clear that the appointments process has consciously driven towards increased representation from tangata whenua. However, there may be a need for more widespread assessment of opportunities for tangata whenua involvement in light of broader co-governance and shared decision-making arrangements emerging in Aotearoa (including under the RMA). This is particularly evident at sites including Aoraki, Whanganui and Te Urewera. The appropriate response would need to be developed on a bespoke basis, recognising the particular biophysical context and tangata whenua relationships to the space in question, but should be driven by a common set of principles and based on Treaty obligations. For example, where areas are identified for protection or management based on cultural considerations rather than purely biophysical reasons, there would be grounds for a stronger role for Māori in governance and management.

The Conservation Authority and Conservation Boards should be strengthened in a future system, as should Māori involvement. For high level decision-making (eg strategies and management plans for protected areas) there should be a role for a Futures Commission to have an input or review role, comparable to its role in reviewing national direction under the RMA.

12.7 Protected species and habitats

The second key component of a new Protected Areas and Species Act would be the protection of species and habitats. This would need to be closely connected to a protected areas framework, but is much broader in scope (ie it would apply across New Zealand, including in relation to private and non-conservation land).

The revised law would operate in a similar way to provisions in the current Wildlife Act, which is concerned primarily with managing direct human interactions with wildlife.³² Species would be automatically included (not specifically listed) for protection, and listed only when exempt from some or all of the provisions (eg a pest plant, or a game animal). Current legislation provides little recognition for ecosystems (assemblages of species). That would need to change.³³

A reformed species protection framework would need to be careful not to unduly overlap with the RMA (including in relation to controls on land for reasons of biodiversity and habitat protection). However, provisions could usefully be strengthened in terms of the influence that threatened species management plans would have in RMA decision-making. For example, they could be deemed to form part of an NEP. Alternatively, lower level planning and consenting decision could be required to give effect or have particular regard to them alongside other matters.

The latter is probably more realistic, given that the nature of the instruments may be quite different to provisions in an NEP.³⁷ It has previously been recommended, for example, that plantation forest harvest management plans (required under the RMA) include conservation measures for all indigenous species that use plantation forests as habitat. Plans would be verified by councils (or, alternatively, by the Department of Conservation).³⁸ The more general point here is that such a measure could usefully be supported by a specific requirement in the RMA to give effect to, or have particular regard to, threatened species management plans produced under conservation legislation. Furthermore, there could be a requirement on consent authorities under the RMA, *before* considering a consent application, to be satisfied that obligations under conservation legislation have been separately fulfilled.³⁹

Either way, a revised Part 2 of the RMA should specifically refer, in strong and directive terms, to the need to protect and enhance threatened species identified under a Protected Areas and Species Act.⁴⁰ We reinforce what was said in a previous EDS report:⁴¹

In a ... development context, biodiversity is commonly failed by non-integrated processes. The interface between the RMA and the Wildlife Act [now a Protected Areas and Species Act] urgently requires review and integration if the extinction of listed threatened species is to be avoided. Many permitted activities in regional and district plans entail risks to the wildlife listed on the Wildlife Act schedules, as well as to wildlife separately classified as being at risk of extinction. Even when resource consent is required [under the RMA], there is no “trigger” to remind applicants to seek additional approval under the Wildlife Act if any of these species are present.

The Biosecurity Act is also a critical part of the puzzle for protecting threatened species, given that key drivers for indigenous species' decline (including on private land) are predators and weeds. Although the Act allows for highly directive responses to be taken,⁴² pest management plans are not *required* to stem the tide of biodiversity loss and the inclusion of a pest in a plan is heavily influenced by the costs of taking action.⁴³ It is possible to say that the legislation lacks true bottom lines. As the Biodiversity Collaborative Group has said, “if rules or public funding are required to secure long-term sustainable outcomes

then [provisions in the Biosecurity Act] currently act more like a barrier than an enabler.”⁴⁴

A future system should make much clearer links between the threat status of species under a Protected Areas and Species Act and an obligation to take action – with associated funding – under the Biosecurity Act. As under a reformed RMA, there could be an obligation in the Biosecurity Act to give effect to or have particular regard to threatened species management plans made under conservation legislation.

Because of the close relationship between species protection and more systemic drivers of habitat and ecosystem degradation, there should be stronger connections between conservation legislation, the RMA and the Biosecurity Act. Specifically, management plans for threatened species should be highlighted as a matter to at least have particular regard to in planning and consenting decisions under the RMA and in decision-making on regional pest management plans. The Department or Minister of Conservation should have a stronger approval role in relation to biodiversity elements of plans under the RMA.



New Zealand sea lion

A spotlight on bottom lines under conservation legislation

There have been instances where decision-making on concessions has deviated from the core principles and policies contained in planning documents. Often this is about how many people can access protected areas, and gives rise to a tension between environmental limits and economic value. For instance, in reviewing the renewal of the concession for Routeburn Walkers Ltd to nearly double the guided overnight trampers numbers, the Ombudsman noted:

In my opinion the decision in 2013 of a Department of Conservation delegate of the Minister of Conservation – to grant a new concession to Routeburn Walks Ltd, on terms permitting the concessionaire to increase from 24 to 40 the number of its overnight guided walkers entering the Routeburn Track each day – was unreasonable. The decision flew in the face of the limits set in the newly promulgated Mt Aspiring Plan. There had been a careful and extensive public consultative process and general endorsement of the provisions of the new Plan. As the complainant states, the decision to approve the increase in overnight guided walker numbers makes a “mockery” of the process of public consultation in the development of the Plan and undermines public participation.

It was equally the case in Southland in 2016–2018, with the Department “trialling” increased flights to protected areas for tourism purposes. The scale of these

flights far exceeded the plan provisions, which were developed over a long period (through a contentious plan process), was contrary to the direction of the Conservation Board, and occurred in an environment where government direction for enhanced economic activity on conservation land was the norm. Of even greater concern was the fact that the Department opposed the EDS appeal to the Supreme Court in the *King Salmon* litigation, and ended up on the losing side of an argument designed to strengthen interpretation of its own NZCPS.

Where damaging activities have been proposed on conservation land, the Department has also from time to time agreed to compensatory environmental activities as conditions of concessions. Many such ad hoc “deals” are made. And while the Department led the development of the *Guidance on Good Practice Biodiversity Offsetting in New Zealand*,⁴⁸ it appears it does not always follow it other than in its RMA advocacy for activities not on conservation land. This is another reason why greater transparency in decision-making is required through environmental reporting, and why rolling out a nationwide, systemic biobank may be a useful initiative (see further below).⁴⁹

The concept of a bottom line will need to be strengthened in conservation legislation. In particular, the law must make clear, as is now the case under the RMA, that directive requirements in plans actually mean what they say.

Enhanced compliance monitoring and enforcement will also be crucial under revised conservation laws. There is little point in taking a firm approach to bottom lines in statutory decision-making if they are then flouted by people in practice. In 2017, an analysis of compliance monitoring and enforcement of environmental law demonstrated that efforts by the Department of Conservation to follow-up on users’ legal requirements were limited.⁵⁰ Issues included the lack of a compliance strategy, weak information collection and a lack of reporting and frontline resources to monitor and enforce requirements (eg grazing concession conditions).

Although the Department has retained some excellent professionals skilled in enforcement, they are constrained by a system that does not support a coherent or comprehensive approach, delegating responsibilities to local offices having multiple functions (of which compliance has ranked relatively low). The actual monitoring of compliance also tends to fall to local rangers, who may not have an appropriate skillset. There is ample scope to improve practice here specifically in relation to conservation, as well as more broadly across the resource management system (see, for example, Chapter 7 in relation to the RMA).

A new Protected Areas and Species Act requires a modernised and more coherent approach to enforcement, including sanctions that are flexible and appropriate. Those would include heightened penalties and a full range of enforcement tools, including statutory warnings, infringement fines and prosecutions. They should also include regular reporting requirements that at least mirror those in the RMA. For example, we should expect to see the same depth and degree of data on environmental outcomes and enforcement from the Department of Conservation as from councils, and for that data to be integrated and presented in a coherent way in our national environmental reporting framework. External auditing of the effectiveness of enforcement would also be desirable in a future system.⁵¹ That could be done by the Office of the Auditor-General or another agency (eg the EPA) skilled in evaluating the effectiveness of regulatory compliance programmes.

A new Protected Areas and Species Act would have a more coherent approach to enforcement, including sanctions that are flexible and appropriate (eg penalties and a full range of enforcement tools, including statutory warnings, infringement fines and prosecutions). There would be ongoing improvements in enforcement practice, assisted by greater resourcing. Stronger evaluation and transparency would be provided through mandatory monitoring and reporting of enforcement activity, integrated into a broader environmental reporting framework (see Chapter 13).

However, using the principle of net gain when offsetting would mean that, in theory, harm in one place can be more than compensated for in another. Subject to careful constraints, this could therefore be an extremely useful tool, as potential harm can be used as a trigger for overall enhancement. A positive example on this front can be seen in the United Kingdom's Environment Bill, where planning permissions are proposed to be conditional on a net gain in biodiversity.⁶⁰

There remain issues with offsetting in the current system. For example, it has been pointed out that:

[p]rovision of ecological compensation is highly variable across the country. Limits of offsetting biodiversity harm are not well-recognised. Policy developments on mitigating ecological harm have been confined to regional levels (eg offset policies within second generation regional policy statements) leading to a proliferation of inconsistent approaches across regions to what is essentially the same concept.⁶¹

... [A]t present biodiversity exchanges in New Zealand are generally ad hoc, and ... quality control and consistency is virtually absent. Many regions have limited to no mandatory quality control of exchanges, and a large envelope of permitted activities that could harm significant ecosystems. A murky context for biodiversity exchanges generates the most risk to nature.⁶²

In our view, a future system should take a more strategic and integrated approach to offsetting by further exploring a national biobanking framework.⁶³ A biobank is a scheme that, effectively, allows the measurement and trading of biodiversity values. Enhancement projects are purchased from a biobank by those who are required to provide compensation for biodiversity loss elsewhere. Under a biobank, offsetting requirements could be deployed in a more coordinated way to create, for example, functional ecological corridors rather than random islands of improvement. These could be used to supplement, or support, corresponding public funding for ecological enhancement – combining public and private resources to common aims in a coordinated way that maximises their overall positive impact. This will require legislative change. As Dr Marie Brown has previously pointed out, the system must include:⁶⁴

clear and nationally agreed terminology surrounding ecological exchanges... [and] the ability to secure conservation gains in advance of development impacts and the ability to transfer liability to a third party for delivery of those gains.

There would also need to be close further consideration of the role of biobanking in a conservation setting, particularly where the impact or offset site is public conservation land. There are wide-ranging public policy implications of how the system interfaces with protected area frameworks. Is it acceptable to exacerbate the decline of biodiversity in private land by providing offsets in the conservation estate? And is it acceptable to allow harm in the conservation estate to improve outcomes on private land?

Overall, we see considerable merit in creating a cross-statutory framework for biobanking in New Zealand. However, the system should ensure that offsets are used in an environmentally responsible way and only as a last resort. In particular, they would not be acceptable where impacts are on threatened species and ecosystems, and used only to address residual adverse effects on common and widespread species, thereby reducing environmental risk overall.

A biobanking framework should be developed in a future system, through which biodiversity offsets under multiple other regimes (eg the RMA) would be deployed, alongside central government and community resources, in a coherent and strategic way to maximise biodiversity outcomes. Robust safeguards would need to be imposed.

We also see merit in the deployment of bottom-up, application-based tools like Heritage Area Orders, which were explored in Chapter 6 in the context of the RMA. A Heritage Area Order would be a way to bridge the gap between strong conservation outcomes on public land and much weaker outcomes on private land, and is the kind of “third way” envisaged in Category V of the IUCN's landscape protection model.⁶⁵ In short, a layer of protections would be imposed on private land in a way that recognises a much more nuanced character of an area (eg embracing particular cultural and economic uses of land while protecting conservation values). Not all conservation efforts are about purchasing or ring-fencing public land; they are also about imposing reasonable obligations on private landowners while working with them and assisting them.

We also suggested deploying other similar tools, such as habitat protection orders or other “emergency” orders. In appropriate cases, restrictions or obligations contained in such orders could be accompanied by assistance or compensation, in a similar way that we approach biosecurity incursions. They could be temporary or permanent.

We see merit in strengthening the statutory mandate of the Department of Conservation so that it is actively encouraged to make such applications to improve biodiversity outcomes on private land. If we look at the experience of water conservation orders (a conceptually similar concept), they have been enduring once successfully imposed but, overall, they have been underutilised and only weakly implemented.⁶⁶ An active programme for the deployment of such tools could be something specifically encouraged under separate conservation legislation (eg as one method to implement management plans for threatened species and ecosystems created under a Protected Areas and Species Act).

But where should the tools described above – biobanks and bottom-up “orders” – be located? We raised this question earlier, and return to it here: what should the

and other stakeholders (including through the systemic establishment of community conservation hubs).⁷¹ Corporate sponsors could also contribute to a national endowment fund⁷² (or even a physical biobank), which could be matched to conservation priorities through a meaningful national spatial planning exercise.

Adequate funding is crucial to understand and respond to nature conservation challenges. More could be done to leverage the resources of communities and the private sector alongside strengthened funding for public action.

But we need to think more broadly than just complaining, come Budget time, when conservation receives less money than (for example) health or education. We will always be fighting against the tide if we fail to consider ways of altering the systemic drivers of harm in the first place. Why should we rely on the public management of species, once they become threatened, as an ambulance

at the bottom of the cliff? As in the public health system, pre-emptive action (eg a sugar tax) can be much more effective than treatment after threats have appeared.

As such, we are suggesting the deployment of progressive economic instruments – pricing negative impacts and subsidising positive ones – in a predictable and consistent way across the system. These would be vital to achieving nature conservation outcomes, but are broader in ambit than *just* conservation. More systemic measures like this are therefore addressed in Chapter 13, which puts forward a proposition based on the earlier work of Dr Theo Stephens, Professor Tim Hazledine, and Dr Tim Denne.

The deployment of progressive economic instruments, discussed in Chapter 13, will be crucial in achieving conservation outcomes, alongside adequate funding for the activities of public authorities like regional councils and the Department of Conservation.



Aoraki-Mount Cook National Park

ENDNOTES

- 1 Much of the content of this chapter is based on an unpublished paper commissioned from Dr Marie Doole of The Catalyst Group, to whom grateful acknowledgement is made: M Doole *Conservation system reform: A proposed model to better protect and enhance species and ecosystems in New Zealand* (Unpublished commissioned paper, The Catalyst Group, 2019).
- 2 Including the management of fisheries and biosecurity (eg pest threats) within an integrated Oceans Act.
- 3 See Department of Conservation *Te Kōiroa o Te Kōiora: A discussion document on proposals for a biodiversity strategy for Aotearoa New Zealand* (2019).
- 4 For example, to "give effect to it unless there is good reason not to".
- 5 See MA Brown, R Peart and M Wright *Evaluating the environmental outcomes of the RMA* (EDS, 2016).
- 6 SC Myers and others "Wetland management in New Zealand: are current approaches and policies sustaining wetland ecosystems in agricultural landscapes?" (2013) 56 *Ecological Engineering* 107.
- 7 S Walke and others "Halting indigenous biodiversity decline: Ambiguity, equity, and outcomes in RMA assessment of significance" (2008) 32(2) *New Zealand Journal of Ecology* 225.
- 8 M Pompei and P Grove *Historic and current extent of Canterbury freshwater wetlands, and recent trends in remaining wetland area* (Report No R10/119, Environment Canterbury, 2010).
- 9 See FJF Maseyk, EJ Dominati and AD Mackay "More than a 'nice to have': integrating indigenous biodiversity into agroecosystems in New Zealand" (2019) 43(2) *New Zealand Journal of Ecology* 3372; J Craig J and others "Enhancing our heritage: Conservation for 21st century New Zealanders: Ways forward from the Tahi Group of Concerned Scientists" (2013) 19 *Pacific Conservation Biology* 256; D Norton and N Reid *Nature and farming. Sustaining native biodiversity in agricultural landscapes* (CSIRO, 2013).
- 10 For example, the RMA restricts how private land is used, if vegetation is cleared, how (or if) cities grow, and whether discharges are acceptable (which have strong implications for conservation).
- 11 Although such statutes are by no means only about conservation outcomes.
- 12 These require different approaches to that of the RMA, particularly in relation to the active mandates and funding of central government institutions. This is not to say that all areas managed for conservation purposes are Crown or publicly owned. For example, protected areas in the EEZ cannot be "owned" at all, and concepts of ownership break down in areas like Te Urewera.
- 13 Although, in theory, the RMA could do so if we were to expand Part 3 of the Act.
- 14 As well as setting up institutional and process architecture (eg establishing the Department of Conservation, Conservation Authority and Conservation Boards).
- 15 There is a presumption under the RMA that people can use land however they wish unless expressly restricted, which is not the case with common pool resources. That said, parts of the Forests Act are more restrictive when it comes to the use of private property (eg restrictions on processing and exporting indigenous timber).
- 16 Although there is nothing stopping them being subject to detailed planning through district and regional plans.
- 17 Acknowledgement: M Doole *Conservation system reform: A proposed model to better protect and enhance species and ecosystems in New Zealand* (Unpublished commissioned paper, The Catalyst Group, 2019).
- 18 Department of Conservation *Te Kōiroa o Te Kōiora: A discussion document on proposals for a biodiversity strategy for Aotearoa New Zealand* (2019).
- 19 See further J Ruru and others "Reversing the decline in New Zealand's biodiversity: Empowering Māori within reformed conservation law" (2017) 13(2) *Policy Quarterly* 65.
- 20 SC Myers and others "Wetland management in New Zealand: are current approaches and policies sustaining wetland ecosystems in agricultural landscapes?" (2013) 56 *Ecological Engineering* 107; MA Brown and others *Vanishing nature: facing New Zealand's biodiversity crisis* (EDS, 2015).
- 21 Some might see this as dependent on resolution of issues with protection around the Kermadec Islands.
- 22 As well as other institutions, like Fish & Game.
- 23 Even though they would have overlapping purposes, given the broad biodiversity components of the RMA.
- 24 There may be a degree of overlap between the advocacy functions of the Department of Conservation and the Public Defender's Office floated in Chapter 7.
- 25 That is essentially how the Waitākere Ranges legislation operates in relation to the RMA, although it is its general purpose and principles that must be given effect to, rather than any specific plan made under the Act.
- 26 Compare *Report of the Biodiversity Collaborative Group* (2018) at 87.
- 27 Department of Conservation *Te Kōiroa o Te Kōiora: A discussion document on proposals for a biodiversity strategy for Aotearoa New Zealand* (2019).
- 28 There could be different categories of marine protected areas, ranging from a marine national park to areas where some sustainable extractive activities are permitted. Protected areas would need to recognise that Māori customary fishing may be included, and this should be given statutory recognition; see generally A Bull, K Mulcahy and R Peart *Safeguarding Our Oceans: Strengthening Marine Protection in New Zealand* (2012).
- 29 With the possible exception of stewardship land where degazetting or downgrading is justified following a robust, systematic process that is planned, resourced and funded (and which is likely to take a number of years).
- 30 Although noting that these frameworks are not just about protected areas in the sense of public stewardship land, but also about how Māori interact with more general frameworks relating to private land and other resources/aspects of the environment (especially freshwater under the RMA).
- 31 There would already be a role for the Commission in reviewing futures strategies and associated spatial plans, which would have significant conservation content (eg incorporating New Zealand's Biodiversity Strategy).
- 32 Although important aspects of it are also about protected areas (eg wildlife sanctuaries, refuges and management reserves).
- 33 At present, the Wildlife Act's definition of "animal" does not apply to all indigenous fauna, and precludes plants, fungi, freshwater fish and most invertebrates from protection; see MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 34 As opposed to reactive management under frameworks like the RMA, which primarily consider and manage the adverse impacts of particular human activities on biodiversity.
- 35 See further M Seabrook-Davidson *An evaluation of the conservation of New Zealand's threatened biodiversity: Management, species recovery and legislation* (A thesis presented in partial fulfilment of the requirements for the degree of Doctor of Philosophy in Ecology at Massey University, 2010).
- 36 See MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 37 In that it would not necessarily have a structure based around objectives, policies, rules and standards and other methods that are familiar to the RMA planning structure.
- 38 See M Wright, S Gepp and D Hall *A Review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (2019).
- 39 See MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 40 See Chapter 5, where a proposed new section 6(b) of the RMA would cross reference "threatened species" to this framework.
- 41 See MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015).
- 42 Biosecurity Act 1993, s 73(5).
- 43 For a pest to be included in a plan, it must first meet the tests in the Act, which focus on cost-benefit analysis rather than biodiversity bottom lines. See *Report of the Biodiversity Collaborative Group* (2018) at 116; Biosecurity Act 1993, ss 70-71.
- 44 *Report of the Biodiversity Collaborative Group* (2018) at 116.
- 45 For example, protected areas need to be managed for the values associated with them (eg scientific, historic, scenic, recreational, ecological, wilderness etc).
- 46 At present, some conservation statutes do not have dedicated purpose statements, and have long titles that lack a clear vision.
- 47 Which can be seen, for example, in differences in water quality in the conservation estate when compared with rural or urban areas.
- 48 New Zealand Government *Guidance on good practice biodiversity offsetting in New Zealand* (2014).
- 49 MA Brown *Banking on biodiversity: The feasibility of biobanking in New Zealand* (EDS, 2017).
- 50 MA Brown *Last line of defence: Compliance, monitoring and enforcement of New Zealand's environmental law* (EDS, 2017).
- 51 See *Report of the Biodiversity Collaborative Group* (2018) at 123.
- 52 Even in a reformed model, some plan appeal rights would exist (on points of law in the hybrid model, or constrained merits appeal rights in the Auckland Unitary Plan-style model).
- 53 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 238.
- 54 Local Government New Zealand *A "blue skies" discussion about New Zealand's resource management system* (2015) at 39. Compare *Report of the Biodiversity Collaborative Group* (2018) at 99.
- 55 *JF Investments v Queenstown Lakes District Council* EnvC Christchurch C48/2006, 27 April 2006 at [42]; *Royal Forest and Bird Protection Society of New Zealand Inc v Buller District Council* (No 2) [2013] NZHC 1346, [2013] NZRMA 293 at [54], [72], [122].
- 56 See Biodiversity Collaborative Group <www.biodiversitynz.org>
- 57 Local Government New Zealand *Biodiversity offsetting under the Resource Management Act* (2018).
- 58 For example, the destruction of a locally significant wilderness area or virgin forest.

13. WIDER SYSTEM CHANGE

13.1 Introduction

This project is concerned with the framework level of reform, and must necessarily focus on the core of a future system. We cannot afford to lose the forest for the trees or delve down too many rabbit holes. The reader will have observed that most attention has been paid to the RMA, local government and infrastructure frameworks (including construction), new strategic legislation, climate change, conservation legislation and a new Oceans Act. We are also aware of the need to feed into the government's resource management system review process, which is focused on high level reform to the RMA, related "urban" components, and climate change. In this penultimate chapter, we briefly look at the place of legislation of a more targeted nature, before considering more systemic aspects of change that either cut across legislative frameworks or are not directly linked to legislation per se.

13.2 Other statutory frameworks

Part of the reason we have adopted a focus on the "core" statutes described above is that we see the most urgency, and the strongest need for connection and integrated thinking, across those frameworks. They are collectively the first cab off the rank. For example, fisheries management is strongly linked to the health of the marine environment, which is linked to land based activities in catchments and on the coast, which is in turn linked to freshwater quality, which is connected to urban design and growth, which is linked to the funding and delivery of infrastructure, and so on. Climate change, Treaty issues and biodiversity span almost all frameworks. Many other statutes – although also important – we see as more targeted, fairly self-contained regimes that would dovetail well with the future core we have proposed.

In terms of legislative design, we therefore see merit in a number of frameworks remaining separate (with some rationalisations), as long as strong links are made between them. Indeed, legislative and institutional design principles suggest that targeted frameworks, purposes, and mandates are important in focusing effort and driving particularly urgent aspects of change. We also need to remain pragmatic – the overhaul of all statutes for the sake of design perfection may make any reform exercise impractical. We are not starting from a blank slate.

That said, we are also of the view that all frameworks should eventually be reviewed over the longer-term on a first principles basis, in light of the direction of travel provided by a reformed system's new core. That would be especially important to make them consistent with an overarching Future Generations Act and the system's new imperatives for climate change action. For example, targeted reforms may be needed to align statutes'

purposes and principles,¹ institutional arrangements and processes.² There may well be potential for a standing Futures Commission to have an important role under a number of statutes.

Such a review could even be legislated for (eg under the Future Generations Act) as a mandatory transitional measure, and may well result in considerable further changes. Thus, while here we are outlining a vision for how we see the core of a future system looking in the longer term (up to a decade away), that will not be the end of the reform story. Sir Geoffrey Palmer reminds us that no legislative framework lasts forever.³ What we need through system reform is a stable core, fit for a future beset with challenges and opportunities, around which a wider and ongoing reform effort can be aligned in light of common goals.

A more comprehensive and detailed review will need to be undertaken, following framework level reforms, to align various resource management statutes with a new system's core.

There are several important statutes that we see retaining their broad structural place in a future system. For one, although there are some jurisdictional boundary issues with the RMA and very real questions to be asked about the management of substances like pesticides and antibiotics, as well as genetic modification,⁴ we see potential for such questions to be addressed adequately through the existing framework of the Hazardous Substances and New Organisms Act. The kinds of restrictions imposed for hazardous substances (eg packaging, transport) are quite different in nature from those imposed under the RMA (eg the use of land, discharge of contaminants). And while we have suggested that the marine elements of the Biosecurity Act are better placed within integrated oceans legislation, and stronger connections should be made between pest management and other legislation (including through the creation of more strategic, integrative national and regional spatial plans),⁵ there will still be a clear need for a targeted Biosecurity Act. The adequacy of that framework for pest management should be subject to further review in light of the nature conservation imperatives outlined in Chapter 12.

Similarly, while the Crown Minerals Act should really be rationalised by integrating into it the separate and somewhat skeletal Continental Shelf Act,⁶ it would remain a necessary and targeted allocative and access framework for some minerals. It would not unduly interfere with quite separate protections imposed under other legislation like the RMA.⁷ We also recommend that a close look be taken at whether the existing Forests Act, now denuded of much content and concerned primarily with carbon accounting and restrictions on the felling, processing and export of indigenous trees, could be more

and regulatory restrictions on harmful waste that cannot be repurposed, recycled or recovered. We need political courage to tackle waste issues beyond the “easy wins”.

A spotlight on deposit refund schemes

Deposit refund schemes involve the payment of a deposit when a product is purchased, which is repaid when the product is returned after use.²⁵ They can provide a strong financial incentive for returning products to a centralised facility to better ensure product reuse, safe disposal or recycling, and incentivise manufacturers to use more recycled goods as inputs. They deal with “waste” in both senses of the word – reducing material destined for landfill and preventing wasteful behaviour (failing to make use of valuable resources).²⁶ That is the essence of a circular economy.

As under the RMA, however, we do wonder whether a more directive approach needs to be embedded in legislation. Is it enough to provide the government with an extensive toolbox? Should we leave it up to political will as to whether available tools are utilised or not? Should, instead, legislation be more directive in setting targets (or at least requiring them to be set in light of a firm outcome)²⁷ and requiring progress to be made and audited as a legal obligation rather than political consideration? That is the direction in which we are heading for pressing issues like climate change, which may hold a lesson for other environmental challenges. Central government cannot be allowed to pass the buck to local government, either. As one commentator has pointed out (with the final sentence showing a particularly perverse outcome):²⁸

Central government holds the powers to reform waste policy, but local government is charged with day-to-day management of rubbish and recycling and setting objectives and methods for local waste management and minimisation... Arguably, central government's practical detachment from these tasks has shielded it from a sense of urgency regarding policy reform and the deleterious impacts of reform not being implemented ... [M]any councils list lobbying central government to implement the [Act] as an action under their waste management and minimisation plans.

Greater top-down guidance and intervention is required to make the Act realise its potential. A framework for voluntary measures (eg accreditation of voluntary stewardship schemes) is a good thing, but (as with voluntary conservation covenants) will not be enough.²⁹ A legal duty to set targets and take action to achieve them – including mandatory identification of priority products to be subject to product stewardship – would be a positive step, and progress towards targets should be one element on which the government is audited by a Futures Commission (see Chapter 8).

We see a standalone Waste Minimisation Act as a valuable feature of a future system, and considerable room for it to be strengthened and for its tools (eg product stewardship schemes, product restrictions, the Waste Minimisation Fund and the waste disposal levy) to be deployed more actively and strategically.

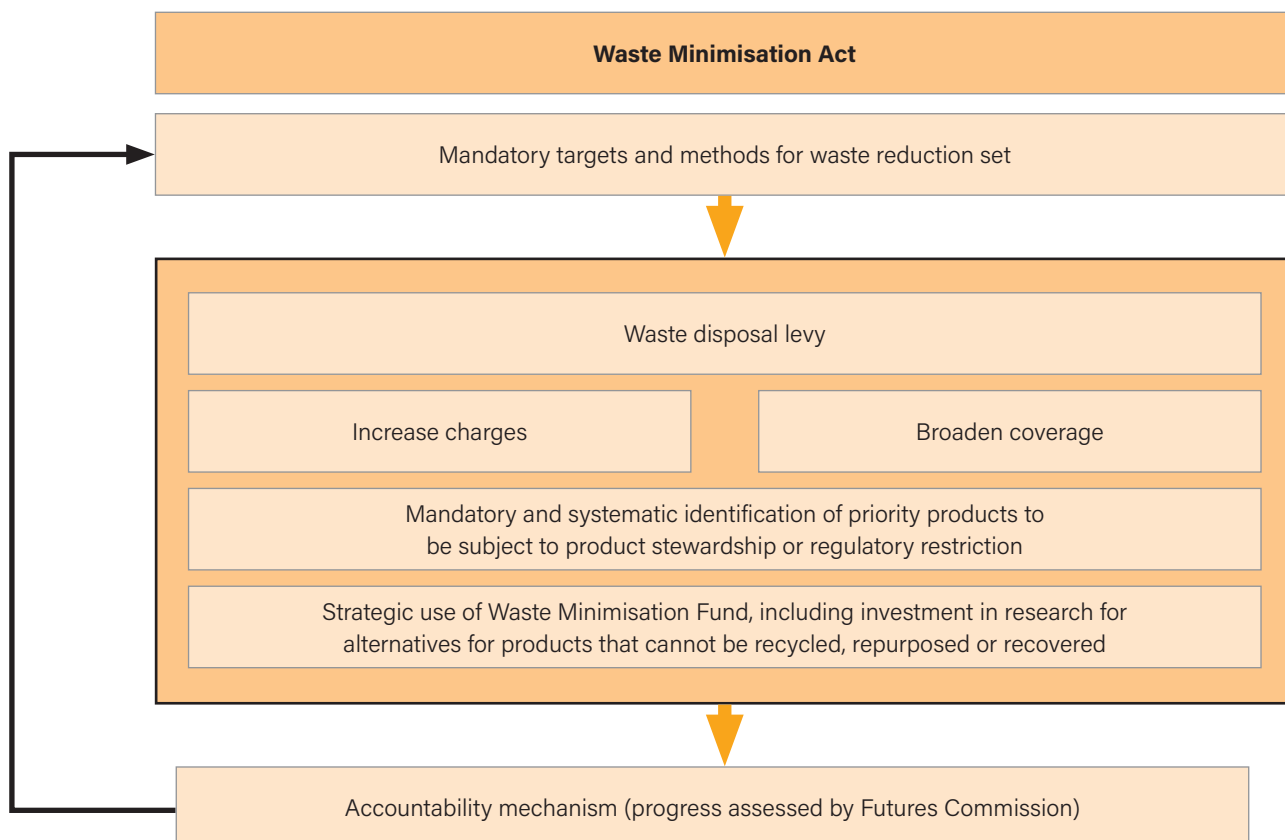


Figure 13.1: Towards a circular economy

broader strategic goals for environmental wellbeing, not just incentivise economic or population growth.³⁶

However, adequate funding is important for much broader reasons than those applying in the built environment (eg funding for urban growth or infrastructure renewal). And funding arrangements in the resource management system are as important for central government as they are for local government.

In short, almost everything costs money. But some things require different approaches to others. How to fund the substantial climate change adaptation measures that will be required in the future is a particularly pressing question that requires attention now, before the bills start rolling in. That will be partly about infrastructure relocation and strengthening, but it could potentially cover many other things. In fact, the sky seems the limit when we think about what might need to be funded to adapt to a changing climate. For example, would we need to provide compensation for the loss of uninsurable houses? Or to pay people to incentivise or compensate for changes in land use? What will the cost of public health impacts be? What about particularly exposed or vulnerable industries – do we need to support those? That requires an ongoing conversation about fairness and risk. But we have supported the rapid development of a dedicated Climate Change Adaptation Fund to be deployed strategically at a national level (see Chapter 9).³⁷ That fund will be needed to support the climate change adaptation plan required under the Climate Change Response (Zero Carbon) Amendment Act (which, in our model, would be subsumed within a broader National Futures Strategy described in Chapter 8).

New approaches to funding will be required to address issues in the built and urban environments, and to address climate change. We discussed these aspects of funding in Chapters 8 and 9.

Commentators have also pointed out that the regulatory responsibilities of local government have generally increased over the years, and that greater financial assistance to fulfil them should be required from central government.³⁸ In the Phase 1 work we said, in a similar spirit, that:³⁹

it does not seem unreasonable for central government to fund local planning to the extent needed to implement national level instruments ..., where control is already present but without corresponding funding.

While councils are best placed to implement many measures under central oversight (eg under the RMA), they should not be treated as a branch of central government. For example, the cost of undertaking general planning functions can now be considerable, especially for small councils where core funding relies on a relatively small (and sometimes shrinking) rating base and where the environment to be managed can be geographically large (one might think of Northland compared to Auckland). These councils have the same

basic planning responsibilities as large urban authorities, including in relation to complex environmental issues and a legislative framework and landscape of national direction that is much more difficult to navigate than 20 years ago. And while the costs of compliance monitoring (see Chapter 7) should rightly be recovered from the regulated section of the community,⁴⁰ effective state of the environment monitoring (ie broader monitoring of pressures and indicators) can be an expensive prospect for cash-strapped councils, and must be met through general funding channels reflecting the whole community (eg rates).

For these reasons, we have proposed that an NEP under the RMA, and spatial plans under a Future Generations Act, should outline indicative sources of funding in line with a more explicit definition of subsidiarity (what is the proper role of central and local government). There should be some predictability as to how measures envisaged in plans are to be funded. Of course, that does not resolve the question of exactly how they would be funded, but it at least gets policy makers – especially at the central government level – to turn their minds to the practicalities of achieving a vision imposed from above.

In our minds, at a general level, this would need to see greater use of need-based, demand-based or performance-based⁴¹ grants from central government to local government – particularly where there is a national interest in local actions – alongside a wider range of other mechanisms for councils to raise funds directly from their communities. For example, the Biodiversity Collaborative Group has recommended that central government provide assistance for the proactive mapping of significant indigenous vegetation required by a proposed NPS for Indigenous Biodiversity.⁴² There would also be financial or resourcing assistance from the Crown for state of the environment monitoring,⁴³ a stronger ability and clearer pathway for councils to escalate difficult or complex RMA planning matters to the EPA (thus relieving resourcing pressures), and the ability for the EPA to step into a council's shoes for enforcement purposes.⁴⁴ The simple fact also remains that more (and more secure) funding needs to be provided to the Department of Conservation to carry out its considerable biodiversity protection functions, including for pest control.⁴⁵

In a future system, central government should provide more financial assistance to local government to undertake functions in which there is a national community of interest (eg state of the environment monitoring and implementing national direction under the RMA). Such funding should be deployed on a predictable and principled basis depending on need, performance, or demand.

As well as there being enough money available (and at the right times) to perform their functions, there also needs to be appropriate incentives for authorities to raise and spend money in the ways intended. In Chapter 10, for example, we talked about the incentives that our mix

13.5 Economic instruments

Generally speaking, we consider that economic instruments could be deployed with more vigour in a future system. Because they provide people with freedom of choice (unlike regulation), they are a vital tool for incentivising people to improve environmental outcomes rather than just preventing further harm. For example, we have previously pointed out that “the use of market-based instruments could create opportunities for additional biodiversity protection, and could be implemented for a range of purposes (eg habitat protection and nutrient control)”.⁵⁴ This echoes the findings of the Biodiversity Collaborative Group: “While law and regulation set important boundaries for human actions ... other initiatives are equally important. Complementary and supporting measures are required”.⁵⁵

We touched on some examples of economic instruments earlier in this chapter, in the context of the Waste Minimisation Act (eg the need for a waste disposal levy that is significant enough to influence behaviour, and a Waste Minimisation Fund that is deployed more strategically). Emissions trading has been touched on Chapter 9, and economic methods for allocation and trading (ie reallocation) of freshwater rights were mentioned in Chapter 7. Here, we consider economic instruments from a more holistic perspective, rather than under the umbrella of specific statutes.

In short, economic instruments are about sending price signals that people respond to. They can do two things: encourage behaviour by making it less costly (eg subsidies or tax breaks for producing positive outcomes), or discourage behaviour by making it more costly (charging or taxing). They are not substitutes for regulatory limits that prevent people causing harm, because the influence of prices on behaviour can be uncertain and unpredictable (and therefore no guarantee of achieving a particular desired outcome).⁵⁶ Many bottom line outcomes – eg the extinction of species – have a strong moral and inter-generational component, and therefore should not be determined by market forces alone. Dr Tim Denne investigated economic instruments as part of our Phase 1 work. There, we said that:⁵⁷

There are several reasons that a resource management system can impose charges for the use of resources[:] ... to fund public goods and services (eg volumetric charging for water); to facilitate trading and therefore efficient use (eg the holder of a discharge permit can sell it); to change behaviour (eg a tax on carbon or a levy on waste); ... to allocate resources (eg rights to use a resource goes to the highest bidder); [and] to ensure that some of the benefit obtained from using a non-private resource returns to the public.

Below, we set out what we think is a desirable direction of travel in a future system.

13.6 User charging

First, we see potential in deploying greater user-charging, which is intimately related to the discussion about funding above and in Chapter 10.⁵⁸ Charging people directly for goods and services can be an equitable way to fund the goods and services being provided (and is consistent with the user-pays or beneficiary-pays principle).⁵⁹ That applies not just to tangible services provided by public authorities (eg paying for connection to water pipes),⁶⁰ but also regulatory services (eg charging for consent processing, or permitted activity monitoring) and benefits provided by nature (eg requiring people to pay for residual adverse effects through contributions to a biobank).⁶¹

But making people pay for something also generally causes them to use it less (only as much as they really need) or to find alternatives. It is therefore a powerful influence on behaviour (an economic incentive) as well as a funding tool. For example, volumetric charging for water services allows providers to manage demand through economic levers which are not available to those who charge a fixed price per year (and revenue raised can be fed back into maintenance of the network). It has been very effective in driving more efficient use of potable water,⁶² and there is a case for allowing volumetric charging for wastewater outside of Auckland as well as congestion charging.⁶³

That said, we do not see unlimited scope for user-charging, even if separate redistributive mechanisms exist (eg rates rebates or postponements for those who struggle to pay for water). Some things are provided free of charge as a matter of public interest or cultural expectation, including New Zealanders' access to the conservation estate, green space, and lakes and rivers. While we want to send incentives for responsible and efficient use, we do not want to commoditise all public goods.

User-charging should be deployed more in a future system both to provide a fair way to fund related services and to incentivise the efficient use of resources. However, it cannot be absolute and must carefully consider how impacts on the poor or vulnerable are to be addressed.

13.7 Resource rentals

Secondly, and in the same basic spirit of user-charging, we see merit in introducing (over time) a nationally consistent system of resource rentals. A resource rental is different from a volumetric charge for water,⁶⁴ for example, as the latter is payment for a service (it costs money to treat and deliver water through pipes), whereas the former is payment for the use of a non-private resource itself (eg freshwater, fisheries, geothermal energy or the occupation of coastal space).⁶⁵ We have previously observed that a resource rental is:⁶⁶

not necessarily linked to the need to fund something (although it can be), or designed to change behaviour

history prior to that, too. While regional councils must now include statements in their regional coastal plans as to whether charging will be employed,⁷⁷ we noted that there has been extremely limited uptake of this mechanism. Many reasons have been given for this,⁷⁸ but in our view may be assisted by national direction requiring, encouraging or clarifying the use of charges in appropriate circumstances.⁷⁹

For completeness, another case in which charging would be inappropriate is where a resource is already privately owned. That is not the case with freshwater, despite the de facto value that resource consents often have, but it is true of private title in the coastal marine area. It may also be the case if property rights in some resources were to be recognised in the future. For example, if we were to implement greater trading for water rights (considered in Chapter 7), we would need to carefully consider whether that created a property right for which it would then be inappropriate to charge a rental. For example, a resource rental for wild fisheries was abolished in 1994, although that would not in our view prevent the revival of some form of charge.

There is an important question here about who should receive a rental, or how it should be split (eg between councils, Crown and iwi/hapū). The answer may depend on the resource in question. The problem, especially for freshwater, is that the prospect of a “rental” (as with a trading regime) immediately gives rise to questions of ownership (a rent is generally owed to an “owner”). Such issues have thus far have proved politically intractable, and the resource management system will need to provide a comfortable space for them to play out through the courts and the political system.

Irrespective of legal ownership, however, it is our view that resource rentals should not just be another revenue gathering tool to fill general government coffers. The revenue generated should be hypothecated – channelled back into related environmental enhancement mechanisms, on a strategic basis (eg to fund advocacy,⁸⁰ state of the environment monitoring, or community restoration projects).⁸¹ In other words, a rental would do several things: provide a fair return to the public; influence private behaviour; and provide earmarked funding for vulnerable but essential environmental functions.

A future system could see separate funds established for different resources. For example, freshwater rental income could go towards subsidising projects to improve the quality of freshwater, while coastal occupation charges could support marine restoration and research efforts. That would operate in a similar manner to the waste disposal levy, which is (in part) directed into the Waste Minimisation Fund for a particular purpose. Alternatively, all resource rentals could go into a more general fund having clear and strategic environmental aims across multiple domains, including, for example, contributing to a nationally deployed biobank.⁸² Careful thought would need to be given to what those aims were. For example, funding the enhancement or resilience of a resource like freshwater is not necessarily an “environmental” project

(eg one may think of some water storage proposals, like the Ruataniwha dam), and clear criteria and oversight would be required to deploy funds in a consistent and strategic manner.

We would also envisage that a proportion of revenue from resource rentals would go to Māori as kaitiaki, to manage within funds for environmental purposes. The exact proportion would need to be a negotiated, and ultimately political, decision. Alternatively, a single integrated fund could have a co-governance framework similar to that applying to the Waikato River,⁸³ with kaitiakitanga as a firm guiding principle. In the context of freshwater, it may be hoped that such measures could defuse concerns over the specific question of “ownership” of the resource itself. Instead, there would be payment for its use and management of a resulting fund, rather than an extensive reallocation of existing rights. However, equally it may not. In particular, the Māori world view does not make a clear distinction between environmentally protective measures and the use of resources for human wellbeing, and Māori concerns over water ownership are not just about control, governance and protection; they also relate to the ability to use the resource to unlock land and businesses for the purposes of economic and cultural development.⁸⁴

As such, earmarking revenue from resource rentals to a narrow concept of environmental protection and enhancement may not go far enough, and a space will most likely still need to be made for broader questions of ownership to be worked through. Furthermore, the issue of reallocating existing rights is not just about recognising the rights and interests of Māori; provision also needs to be made for other new entrants. That has been discussed in Chapter 7.

We see merit in a gradual, and fair, transition towards imposing a coherent and consistent approach to rentals for non-private resources. These should reflect a fair return to the public and Māori, and be used for related measures to enhance or protect the environment.



green taxes could be contained within part of an NEP. Alongside a clearer authorising environment, there is a need to strengthen the tax capacity within institutions.⁹⁶ This could see, for example, tax expertise built up within an independent Futures Commission or EPA, and deployed to assist councils in introducing green taxes at a regional scale.

However, as with other economic instruments like resource rentals and user charges, we reiterate that care needs to be taken in a future system to make sure that regressivity – meaning disproportionate impact on the poor or vulnerable – is clearly corrected in separate distributional policies. Some people, especially the poor, may be less able to change their behaviours when faced with an economic incentive like a tax (eg a tax on older, more polluting cars, which tend to be cheaper and therefore more affordable). Similarly, the use of congestion pricing, or other demand-management tool, should not unduly affect people's access to mobility or the use of a public service, especially if they are actually partly funding it through other means (eg rates or income tax).⁹⁷ Yet such concerns can be addressed through separate distributive mechanisms based on hardship, and should not be used to undermine the overall incentive effects of green taxes for those who are able to change their behaviour.

As with resource rentals, it would be important for revenue raised from green taxes to be directed back to the pursuit of related environmental outcomes.

We see significant potential for green taxes to be deployed more in future, and policy work should continue on that front in line with the framework developed by the Tax Working Group. A clearer authorising environment will be needed in a new Part of the RMA and/or local government legislation, and national direction should be introduced. As part of such measures, congestion pricing should be deployed where it would be beneficial and where disproportionate impacts on the poor and vulnerable can be properly addressed.

13.9 From green taxes to an environmental footprint tax

In the Phase 1 work, we explored the concept of an environmental footprint tax. This is much more than just a targeted green tax. Instead, it marries up the two key roles that we see for the tax system:⁹⁸ (1) to raise general revenue for funding public goods and services, and (2) to influence private behaviour in a positive way. An environmental footprint tax was explored more fully by Dr Theo Stephens as part of Phase 1 of the project, and we provide a summary below.⁹⁹ In short, we see this as a desirable feature of a future system, ramping up over the longer term. That said, as we explore below, there are some important caveats, and there is a need to develop the concept further before rolling it out.

A spotlight on an environmental footprint tax

The resource management system has failed to maintain natural capital because its regulatory tools put environmental protection in direct conflict with vested interests that seek economic benefits – gained by activities that deplete natural capital.¹⁰⁰ It also distorts investment away from human capital and towards environmentally damaging, high volume, and low value-added production that results in capital gains, high levels of pollution and biodiversity loss. In short, the system encourages us to exploit our riches without replenishing them, and leads to constant pressure on (and complaints about) a regulatory regime that seeks to push back against these enormous forces. As a society, we need to think about changing those forces, not just strengthening the system that needs to respond. Many commentators have highlighted the opportunities for changing underlying financial signals in a future system rather than just dealing with its symptoms.¹⁰¹

An environmental footprint tax is a form of land tax, spatially defined. The idea is that this would determine tax liability based on the environmental footprint of a land use: a measure of what natural capital is present on a parcel of land. The tax levied on a property would be calculated as footprint depth (expressed in dollars) multiplied by the land area. Tax rates would increase with uses that were more depleting of natural capital, and could even provide rebates for net positive ecological outcomes.

The Tax Working Group has also recommended close consideration, in the longer term, of a tax framework based on environmental footprint or natural capital.¹⁰² It has pointed out that this tax:¹⁰³

aims to recognise that natural capital produces valuable ecosystem services. It provides incentives for the conservation, restoration and regeneration of high-value natural capital, going beyond more narrowly targeted negative externality taxes.

A footprint tax could enable improved environmental outcomes by implementing the polluter-pays principle, while allowing a shift away from traditional sources of revenue like income tax and GST. This would, in a sense, be fairer than the status quo, since the tax system would penalise environmental harm rather than impose a cost on positive activities (like spending and obtaining income).

An environmental footprint tax could be treated as a completely new tool, created under bespoke legislation. It would certainly need a clear legislative authorising environment, and could not be implemented under current settings (eg under the general provisions in the RMA). However, depending on the scale at which we wanted it to operate (ie central or local), it could be treated as a form of targeted rate (based on type of land use). That would require amendment to local government legislation. It could also be introduced as another tool to put in the toolbox where considered appropriate (like development

planning, even if it may change occasionally). A quantum or rate would need to be closely considered up front.

Of equal importance would be how to define the thresholds at which a tax became payable or rebates were due. This poses a dilemma similar to a feebate scheme, where those exceeding a performance measure are rewarded and those infringing it are penalised. We therefore need a reasonably clear sense of what we are aiming for, not just a general desire for “environmental enhancement”.

Defining a threshold also raises significant questions about equity, which have also arisen elsewhere in this report (eg whether the system should compensate people when imposing new regulatory restrictions).¹⁰⁶ Thus, we can ask: what should our baseline be for deciding whether to reward or penalise people through the tax system? Should it be a parcel of land’s stock of natural capital measured at some arbitrary future “ecological valuation day”? Should it be some notion of the “ideal” state of the land? Or something in between? Moreover, should tax rates be different depending on the historical use of the land? It is fairly easy to value property values, where there are clearly defined private property rights and a large market. But it has proved much more challenging to value public interest services like those provided by nature on private land. Of course, this is not a challenge we should shy away from, and valuable work on natural capital valuation should continue.

Policy makers would also need to consider closely whether there should be any exceptions to a tax. Tax rates may need to be tweaked to provide appropriate financial incentives. What about people already living, for example, in an apartment in the middle of an urban area? Or on land where natural capital cannot realistically be enhanced, through no fault of the landowner? Or where the continuing loss of ecological value is due to forces beyond a person’s control (eg climate change or pests)? There is the question, too, of whether people should be able to average (or offset) their tax liability across a portfolio of properties (eg reducing natural capital on one, while enhancing it on another).¹⁰⁷ These may be political, rather than purely economic or environmental, questions. However, to be effective, the tax envisages that people will be *able* to change their behaviour. In other words, the tax is effective when there is “high behavioural responsiveness”.¹⁰⁸ Where people in practice cannot minimise their tax liability, issues of fairness may arise.¹⁰⁹

One significant advantage of the tax could, however, be improved monitoring for environmental wellbeing more generally (see further below on the importance of state of the environment monitoring in a future system). History has shown us that there are few incentives more powerful for government monitoring and enforcement than the prospect of collecting revenue, and the prospect of tax breaks or refunds provides an equally powerful incentive for landowners and occupiers to take meaningful and verifiable measures. Of course, investment would be needed in spatial and remote sensing tools designed to measure an environmental footprint, but that seems

feasible.¹¹⁰ It could lead to a reduction in the environmental monitoring burden currently placed on councils.

People would still be able to apply for consent to undertake activities that reduced overall natural capital, subject to environmental bottom lines. There would still, under the RMA, be a presumption that people could use land how they wished in the absence of specific restrictions.¹¹¹ In other words, the firm regulatory system sketched out in this report would need to apply in parallel to a tax. But the idea is that private decisions about whether (and how) to undertake an activity would be influenced by environmental considerations from the outset, reducing the economic pressures that constantly seek to erode regulatory environmental limits through the political system.

Overall, the concept of an environmental footprint tax merits further exploration and deployment in a cautious and staggered, but ambitious, manner over the longer-term. One way forward could be to experiment with and monitor the effectiveness of the concept on a small scale through special tax zones. A “zone” requires spatial delineation, so one option may be to replace other spatially defined forms of tax (eg land based council rates), in which case the revenue raised could be directed to councils. This could provide a proving ground to test appropriate tax rates, in different biophysical and social contexts, that would both drive behaviour and generate sufficient revenue. However, the need for a standardised and consistent approach across the country (to avoid perverse incentives and free riders),¹¹² and resourcing by appropriately equipped agencies like Land Information New Zealand and the Department of Conservation, may necessitate such a tax being rolled out at a national level.

Targeted green taxes have a side effect of raising money (although not enough for general funding), while general taxes like rates or a capital gains tax have a side effect of driving behaviour (although not always in desirable ways). A future system could marry those two roles together more coherently, by deploying an environmental footprint tax. Here, tax liability would be based on the environmental footprint of a land use: a measure of what natural capital is present on a parcel of land. This would require further development and the resolution of challenging questions. However, if carefully designed, it would be a positive step when rolled out over the longer term.

13.10 Subsidies

The flipside of using financial signals to penalise behaviour (eg a tax) is to use them to reward good behaviour. The system can subsidise people to undertake beneficial activities. As we have seen in the context of the waste disposal levy, a feebate for polluting motor vehicles, and the notion of rebates under an environmental footprint

be useful to determine developers' contributions to a national biobank where biodiversity offsetting is required, and to help determine tax rates under an environmental footprint tax.

However, giving the natural world an economic value should not be a replacement for morally charged bottom lines expressed in law, or for strong policy directions concerning environmental enhancement.¹²⁷ As Dr Tim Denne has noted, "[E]cosystem services analysis is regarded as not having progressed to a stage where there is an accepted framework for analysis",¹²⁸ and cost-benefit analysis only in economic terms is inappropriate for decision-making where moral issues are in play. Furthermore, a narrow accounting approach to natural capital may not comfortably gel with tikanga.

While natural capital or ecosystem services valuation is not a silver bullet to better environmental outcomes, work should continue to improve this as an input to cost-benefit analyses and other economic tools designed to improve environmental outcomes.

Secondly, we see a need to tackle head on the perverse incentives provided by "discounting" the services provided by the natural world in the future. Using a higher discount rate means that effects further in the future are devalued relative to those felt in the present. As one commentator has observed:¹²⁹

Economists rationally attempt to justify ... irrational focuses on short-term profits by "discounting" future profits... on the grounds that the profits from today's harvest could be invested, and that the investment interested thereby accumulated between now and some

alternative future ... time would tend to make today's [exploitation] more valuable than a future [exploitation].

For many things discounting is appropriate (eg I value receiving \$100 today this year more than next year, because I can invest it and obtain interest in the meantime). Using a zero or negative discount rate, however, increases the value of future costs and benefits relative to the present, potentially better reflecting intergenerational equity and the need for environmental enhancement. Local Government New Zealand has, for example, suggested that a discount rate be negative where natural ecosystems are rare or irreplaceable (effectively, priceless).¹³⁰ Dr Tim Denne has also pointed out that discounting is potentially inconsistent with intergenerational equity.¹³¹ And the Stern Review has recommended that a very low discount rate be applied in the context of climate change.¹³²

We would agree with all of that, and go further: there is no compelling reason to treat the exploitation and conversion of natural capital to other forms of capital (eg financial capital) today as more valuable, in a blanket way, to the retention of natural capital on which we know people will depend for their survival and wellbeing in the future. A robust approach to intergenerational equity – to protect the moral rights of those who "cannot vote or complain today"¹³³ – requires us to protect their ability to choose how they use resources vital to their survival.¹³⁴ Thus we must preserve natural capital itself, not simply exploit it and invest its proceeds. Different forms of capital are not always interchangeable (or, in economics jargon, fungible).

A future system should clarify when it is appropriate to use positive, zero or negative discount rates in the context of future environmental outcomes.



(eg installing real time power usage meters that show how much you are paying)

- Making express comparisons – either positive or negative – between a person's behaviours and those of his or her peer group (eg in terms of compliance with regulatory requirements, water use or energy use)

These are all small scale nudges, but while they would not be sufficient to overcome powerful economic incentives driving wider elements of environmental decline, they can still have a cumulatively significant impact. If people are prompted into behaving positively, and seeing the results, that can also instil a sense of pride and civic responsibility for tackling other, larger scale issues. The broader point is that we need a system that requires all forms of behavioural incentives to be considered, and encourages them to be deployed at both a national and local level.

Aside from requiring *public* institutions to investigate measures to influence people, there are particularly important sections of society that the system can target directly to incentivise behavioural change. Business is one of them. Corporates should be seen not as part of the problem, but a part of society uniquely positioned to deliver solutions. We have pointed out elsewhere that the most effective long-term solutions will be ones that see the agendas of commercial and private interests, public agencies and the general public being broadly aligned.¹⁴⁶

For example, the government is currently consulting on a proposal to strengthen climate related financial disclosures (see Chapter 8).¹⁴⁷ In our view this is a positive measure, both for reasons of improved transparency for investors and consumers, and for driving environmental change. As discussed in Chapter 8, it could be broadened to include the mandatory disclosure of other forms of environmental risk. It would complement an expansion of directors' duties towards the environment. Data from corporate disclosures could usefully be integrated into the broader system of environmental reporting that we are proposing further below, enhancing the transparency and accountability of the private sector further.

Certification is another mechanism that shows promise in driving positive corporate behaviour. This involves a company or a product being independently verified as meeting robust environmental standards. It is a voluntary measure. The overall idea is that businesses will choose to be bound by higher standards and pursue them rigorously, because consumers are becoming more environmentally discerning. There is now significant reputational risk, as well as financial risk, for businesses that fail to deal with environmental issues.¹⁴⁸ Certification therefore opens business opportunities, where potential profit and competitive advantage outweigh the costs of improving environmental performance.¹⁴⁹ It encourages a race to the top without coercive regulation.

A lot of private certification already goes on, under a number of trusted brands.¹⁵⁰ But greater government involvement in certifying businesses and products as meeting a certain "desirable" level of performance (eg carbon neutrality, water sensitivity, or zero waste)

could usefully be pursued in a future system, to avoid greenwashing (making claims to environmental sustainability that may not hold up to scrutiny) and the confusing emergence of multiple private certification schemes (some stronger, and more independent, than others).¹⁵¹ The ability to take civil action (under the Fair Trading Act) against manufacturers and retailers for misleading environmental claims is not an adequate safeguard, in our view. Government certification could also be linked to New Zealand-specific environmental targets (eg set under a Future Generations Act), rather than generic international standards.

Certification would often require close oversight of a complex supply chain, and an onus of proof on those seeking certification that standards have been met all the way along it. It could generate a domino effect of environmental improvement through corporate peer pressure. Large, publicly facing companies, like those directly selling products and services, would have an incentive to put pressure on their less publicly accountable suppliers, like manufacturers or primary producers, so that they could obtain certification. Experience has shown that business is generally willing to bear the cost of obtaining meaningful certification,¹⁵² and the government (or Futures Commission) could play the role of accrediting certifying institutions rather than performing the role directly.

Business should be actively incentivised to improve environmental outcomes, including through a strengthening of corporate disclosures, broadening statutory directors' duties under the Companies Act, and a greater government role in green certification.

Central to improving corporate incentives in the ways described above is public education. Consumers and investors need to have motivation to demand higher standards, and to vote using their wallets (and shareholder rights) where there is disparity in environmental performance between firms. A lot of this relies on requirements for transparency of information to both shareholders and consumers (eg corporate disclosures,¹⁵³ robust criteria for certification), but it also requires a public that cares about the story that such information is telling. Environmental awareness is increasing anyway, but there is still much misinformation in the public arena. We see potential in the government becoming much more active in matters of public education, which is supported already by the existing mandates of various public institutions.¹⁵⁴ This could take various forms:

- A review of the school curriculum, including considering the mandatory teaching of civics, environmental sustainability, and climate change, and enshrining more specific environmental principles within the Education Act itself (in line with those in a Future Generations Act). For example, in Italy the government is implementing mandatory teaching of sustainable development and climate change in all public schools from 2020. Now is a suitable time to explore such changes in New

public authorities (issuing a report card), and requiring the government to respond.¹⁶⁴ Another example was where we recommended that compliance monitoring and enforcement information be included in a broadened system of environmental reporting.¹⁶⁵ In this chapter, we take a broader view and consider how all this would contribute to a system that is responsive, and constantly striving for improvement, in a future that will be defined by rapid change and uncertainty.¹⁶⁶

13.14 The importance of information

First, we need robust and useful information, through monitoring and research. This is to understand:

- (1) What outcomes are being realised (eg by measuring indicators of freshwater quality)
- (2) How outcomes are changing over time (using comparable datasets over meaningful timeframes, including baseline data)
- (3) What is causing outcomes or trends (eg what human activities are taking place)¹⁶⁷
- (4) How outcomes are changing in response to interventions (eg regulatory restrictions or pricing mechanisms)

Monitoring people's compliance with consents and permitted activity standards can yield quite detailed information that can be used not only for the purpose of enforcing compliance (eg through prosecutions) but also for understanding environmental indicators and pressures in particular areas. But the need for information goes well beyond that needed for compliance purposes, which is neither strategic nor comprehensive. We need effective monitoring of the general state of the environment.

It is essential that state of the environment monitoring is adequately funded. In some cases, that should be contributed to by central government (where not related to impacts from a particular section of the regulated community that can be charged directly).¹⁶⁸ There should also be an explicit statutory duty for public authorities to collect, store and analyse environmental data in a manner that is sufficient to track trends over time.¹⁶⁹ This statutory direction is currently missing.¹⁷⁰ Furthermore, as part of New Zealand's environmental reporting regime, central government should be specifically obliged to analyse information available, clearly identify any gaps, and make a plan (and investment case) to address them over time.¹⁷¹

At the moment, there are significant gaps in our information base. These exist across the board. One example in urgent need of attention is in relation to waste streams. Outside of the small proportion of landfills subject to a disposal levy, we simply do not know how much waste is being disposed of or its composition.¹⁷² That makes it extremely difficult to measure progress towards the stated goal of a circular economy,¹⁷³ and needs to be required.¹⁷⁴ But other examples abound. The Parliamentary Commissioner for the Environment has recently pointed out, for instance, that we lack reliable information on

land cover and a map of how we are using land. More fundamentally, we lack a core, agreed set of environmental indicators and consistent time series data.¹⁷⁵

All of this suggests an urgent need for a more systematic national approach to funding and collecting environmental data based on prioritisation, not (as it has been described) the "passive harvesting" of information we happen to have.¹⁷⁶ We do not comment on what those priorities should be specifically, but effort should be aligned with the imperatives outlined in the principles of a Future Generations Act. Crucial to that would be the collection of information relevant to Māori interests, in order to support Treaty obligations. A national monitoring programme should be designed in a way that would support the eventual deployment of an environmental footprint tax described earlier in this chapter.

That said, good information is not just about monitoring in the narrow sense of recording particular environmental indicators. We don't just lack data, we also lack understanding. Applied scientific research is therefore vital. Information on state and trend of species and ecosystems is inadequate due to the chronic underfunding of fundamental science, most particularly in the marine area.¹⁷⁷ Also crucial will be understanding what the future may bring. Emerging issues may require focused attention,¹⁷⁸ and should be anticipated rather than responded to. In our model a Futures Commission would have a futures scanning role (see Chapter 8), and the government would be required to respond to its reports on looming threats and opportunities.

Managing complex decision-making in a context of high levels of uncertainty will always be challenging (a reason why the precautionary principle is vital), but the lack of fundamental data exacerbates this and limits the potential for effective interventions. There has not been enough effort to close the gaps in data over the past decade, if not much longer, and a strategic focus on doing so is long overdue.



13.15 Reporting

The second key component of an effective system for evaluation is reporting. Information needs not just to be collected, but to be integrated and presented in a way that provides both transparency (people can access it and understand it) and usefulness (it is interrogated in a way that links causes and effects). Most councils report in some way, but a general RMA duty to monitor is not accompanied by an obligation to provide regular reporting of that information.¹⁸³ That should be introduced, and accompanied by a direction that it occur in a consistent way across the country.¹⁸⁴ Data could also usefully be subject to audit by Stats NZ or an independent qualified panel (or experts within an independent Futures Commission), and synthesised at a regional level every three years to be published prior to local government elections.

It was only in 2015 that New Zealand obtained a *national* framework for environmental outcomes reporting. That was a positive, and overdue, step. However, the framework is focused primarily on reporting biophysical outcomes (and, as such, is split into a cycle of domain-based reports – eg the state of our freshwater, our land, our oceans etc). It does not include reporting on public interventions or on any responses to those outcomes (eg the number of consents issued, the instances of non-compliance and enforcement action, or the use of economic instruments),¹⁸⁵ let alone link those measures in a meaningful way to the environmental outcomes that are being reported on. For example, we may legitimately wonder: what difference does it actually make to nationally important indicators when there is a systemic failure to enforce consent conditions?¹⁸⁶ Or when we introduce a new NPS? Or when we amend the RMA?

Furthermore, while environmental reporting does talk about the human activities putting immediate pressure on the environment (eg agriculture, fisheries etc), it does not make obvious the links between them or clearly attribute causation for poor outcomes. Nor is it required to consider the raft of voluntary or “soft” measures being taken (eg the use of covenants, community restoration work, education). These can significantly impact on environmental indicators in a positive way, or hide the damage being done by other things (eg enforcement failures, damaging industries).

Much monitoring and dissemination of information also currently occurs under different statutory frameworks in a fragmented way. While that may be appropriate – monitoring needs to be linked to statutes with particular purposes (eg pest management, waste minimisation, pollution control, threatened species), in the future we need our reporting framework to tell a wider ranging, integrated, story about our environment. That will need to incorporate Māori perspectives on the environment, including traditional knowledge and wisdom (mātauranga Māori).

Overall, we have an environmental reporting framework focused on describing immediate environmental

pressures, the resulting state of the environment, and the impacts or threats that this causes for people (a “pressure, state, impact” model). It fails to tell a story about two other crucial things: drivers (underlying causes of degradation) and responses (what we are doing to make things better or worse).¹⁸⁷ That needs to change. Australia offers a model whereby those things are more closely integrated, and we could usefully follow suit.¹⁸⁸ Reporting should also be more closely aligned with the electoral cycle, to allow informed debate about environmental issues prior to a general election.¹⁸⁹

A spotlight on reporting: Compliance monitoring and enforcement¹⁹⁰

Reporting on compliance monitoring and enforcement activities by councils is an area that has had significant progress made in recent years. The regional sector has introduced a bespoke reporting framework that all regional councils and unitary authorities have contributed to for two successive years: the Regional CME Metrics project. The first report was released in May of 2019.

There are opportunities to learn from this project in designing an integrated reporting framework that draws on a range of council functions (not just planning and CME) to link policy interventions and environmental outcomes more clearly. For example, a fully integrated model of system performance monitoring and reporting should have CME nested within it as a subsection, with clear and obvious links to the wider system (eg linking CME activities to the outcomes that are actually being seen in biophysical monitoring).

A future system should see a more integrated and wide-ranging system of environmental reporting. Reporting should include not just the results of state of the environment monitoring, but also tell a story about underlying causes as well as related measures taken by public authorities and others (eg compliance activities). Stronger links need to be made between outcomes and human actions to make reporting effective.

13.16 Evaluation

Once we have information in a useful form, we need to consider what that means. We don't monitor for the sake of it, or just out of scientific curiosity. We do so in order to *do something in response*. As Dr Marie Doole has pointed out:¹⁹¹

It is critical to consider what becomes of information once it is pooled and available for extraction and use. A systematic review of the reporting obligations across the European Commission found a plethora of reporting obligations (181 across 58 statutes) but limited requirements for dissemination and use of that information.¹⁹² Ensuring that we have high quality data is one challenge, but a coherent framework that draws

13.17 Corrective action

The fourth and final component of a self-evaluative system is a firm requirement for corrective action. If poor outcomes are identified and reported on, then something concrete needs to happen in response. What a particular action looks like could vary, depending on the context. Sometimes corrective action may need to be triggered directly by a poor outcome, without the need for an additional step of a review or extensive evaluation. In that case, the system can be described as self-corrective, not just self-evaluative. It would actively consider potential futures in advance, and plans for responses to be rolled out if certain things occurred.

At central government level, pre-planned responses might even include a conditional programme of legislative change. For example, the “backstop” measure of including biological emissions in the emissions trading scheme, if an on farm levy system makes insufficient progress, is a pre-planned corrective measure. So too are triggers contained in the NPS on Urban Development Capacity, where sufficient developable land needs to be released in the event of seeing certain economic indicators emerge. Similarly, a voluntary and publicly assisted riparian planting plan in Taranaki has proceeded with the understanding that, after a certain period of grace, such measures would become mandatory (essentially, a regulatory “Plan B”).

This general type of approach is a positive one, in our view. It is precautionary, recognising that there is sometimes not enough time to go back to the policy drawing board (for a review) once negative indicators are obvious. It provides a cascade of carefully considered backup plans – comparable, in a sense, to the way we deal with civil defence emergencies and biosecurity incursions. In fact, that “emergency” analogy is increasingly appropriate to aspects of environmental decline, and is reflected in the various conditional reforms we have included in this report (eg removing rule making functions and CME responsibility to an arm’s length EPA with a strongly protective mandate, if things did not improve). The creation of such “backup plans” would be supported by a Future Commission’s role in scanning for future threats, and an obligation for the government to respond to those in some way.

In other cases, corrective action may follow a robust review (rather than being an automatic, pre-planned response to triggers). A requirement for action following a review is generally not well provided for in the current system. For example, national direction under the RMA is created, reviewed and changed in an ad hoc way, and there is no requirement for prioritisation based on the results of environmental monitoring and reporting. We can see this in the fact that biodiversity has been in decline for a long time, but we are still awaiting national policy on it.¹⁹⁶ Again, there is only a weak requirement for “appropriate” action to be taken by local authorities under the RMA, despite an obligation to monitor plan effectiveness.¹⁹⁷ And we have already mentioned the inadequacy of a framework that does not require a

review, let alone a policy response (eg a management plan or increased funding), where there is an elevation in threat status for indigenous species. As Dr Marie Doole has put it:¹⁹⁸

Once it is established that a species or ecosystem is imperilled or an emerging environmental pressure is causing significant impacts, there are no further consequences in law. This is a stark example of a system that lacks triggers and action points where environmental consequences have policy responses.

There is no point in conducting a review if nothing comes of it other than a report to sit on a shelf. Where a need for evaluation is triggered in a future system – either on a regular basis (ie when reporting occurs) or when the alarm bells go off in response to trigger points – we envisage that public authorities would be *required* by law to outline how they intend to respond. In particular, we have pointed out in previous chapters that the government (and possibly councils) would be *required* to respond to a scorecard issued by the Futures Commission, outlining what corrective measures would be taken.¹⁹⁹ This is conceptually similar to what happens in the Welsh system.²⁰⁰ Accreditation requirements could also be introduced for councils exercising environmental functions.²⁰¹ And the government would be required to review and amend national direction under the RMA in response to pre-set trigger points based on environmental indicators.²⁰²

A future system should have clearer triggers requiring some form of policy or regulatory action to be taken in response to the measurement of unacceptable environmental indicators (or in response to a review that is triggered by those indicators). Government and councils would be required to respond to both the results of environmental reporting and an independent report card issued by a Futures Commission.

In Figure 13.2, we outline key differences between the current system and a future system, in terms of monitoring, reporting and evaluation.



13.18 Concluding comments

In this penultimate chapter, we have explored two kinds of matters. First, we looked at a range of separate statutes that we generally see continuing to operate in a future system. These include statutes relating to hazardous substance and genetic modification, biosecurity, heritage, the management of Crown land, and flood and erosion control. Almost all existing statutes will require close attention following framework level reforms, and we have suggested some areas ripe for exploration.

We looked at waste minimisation more closely, concluding that the Waste Minimisation Act should remain the cornerstone of New Zealand's efforts to move towards a circular economy. Yet it needs to be strengthened, and its tools (eg product stewardship schemes, product restrictions, the Waste Minimisation Fund and the waste disposal levy) need to be used with more vigour.

Secondly, we considered more systemic, cross-cutting kinds of reforms that would not comfortably fall within any given statutory framework, or which require a more holistic perspective. Central to that was funding. We see merit in expanding the funding and financing tools available to public authorities (including local government), providing a more active and strategic deployment of central government funds, and protecting vulnerable but essential public functions through greater hypothecation (requiring defined sources of revenue to be used for particular purposes).

Money also has powerful incentive effects, and economic instruments should be used in a more deliberate manner to improve environmental outcomes. Poor environmental outcomes seem almost inevitable in the current economic context, which generally enables harm and renders environmental efforts costly. Unchecked economic drivers risk a race towards regulatory bottom lines, which will then inevitably face mounting pressures to be weakened.

If we wish reform to alter outcomes significantly, we will need to adjust broad underlying economic settings as well as regulatory, policy and funding settings. The system will need to influence people's behaviour, not just seek to stop people doing things.²⁰³ We particularly acknowledge the power of economic instruments, such as taxes and charges, to help change the way people behave in relation to the environment.

We echo the findings of the Tax Working Group that we need to deploy green taxes with more vigour in New Zealand. We also need more strategic deployment of subsidies, and public co-investment, to drive environmental enhancement. Over the longer-term, we support further investigation and transition towards measures that will transform our tax base, by embedding positive incentives into the way we raise revenue. That would be in the form of an environmental footprint tax (and rebate) system.²⁰⁴ While this could be fiscally neutral (and recycle any revenue into payments for positive

effects, as with targeted green taxes), it could instead be designed to generate funds for broader, albeit compatible, purposes. There will be a number of challenges to work through, but we do not see those as insurmountable.

It is important to remember also that people respond to incentives other than financial ones. In fact, the interplay between economic and moral signals is a complex and unpredictable one, and needs to be approached with caution. As such, we have suggested that a future system engage much more strongly with people's underlying behavioural drivers alongside economic ones. We have recommended the creation of a cross-agency behavioural nudging unit, and a more active mandate to investigate and deploy behavioural incentives to improve environmental outcomes. We also supported measures to strengthen financial disclosures and to impose firmer environmental duties on company directors, and proposed a more active role for the government in green certification.

Education is also key, and we have proposed a future system in which environmental and climate issues are embedded in the Education Act and school curriculum, where there is a more vigorous approach to public service messaging, and where there is greater support for publicly important career pathways. We need to think about how the attitudes of future generations can be influenced in a way that prevents the mistakes of the past being repeated.

Finally, we explored the importance of a system that is self-evaluative. In a way, this brings us full circle. Since describing the current system in Chapter 4, we have outlined a series of changes we think would be desirable in light of our reform criteria. But a system is never static, and needs the agility to respond to challenges and opportunities that are difficult to predict.

Information and monitoring is crucial here. Information must also be synthesised to tell a story that the public and policy-makers can engage with, and where observed outcomes link much better to an explanation of what is causing them and how effective public interventions have been in influencing them. Finally, the system requires a much stronger approach to evaluation and corrective action. It is no use observing and reporting on negative trends if there is no meaningful obligation to do anything about it. In particular, more effort needs to go into establishing trigger points, in advance, for when reviews and pre-planned responses get deployed. The Biodiversity Collaborative Group has summed up the need for a self-evaluative system nicely, in that it is crucial to take:²⁰⁵

a comprehensive approach to understanding [what] is improving or declining. It is not sufficient to simply encourage actions without knowing what the results are. It requires nationally consistent monitoring and reporting in a way that is accessible to everyone. It also means being prepared to act when things are clearly declining...

- 58 Compare also New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019); Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 59 As long as there were robust use of redistributive mechanisms to address regressivity (disproportionate impacts on the poor, who value a dollar at the margin more than wealthier people).
- 60 For example, through targeted rates, direct user-charging, or other proxy user-charging measures (eg a bed tax for accommodation providers).
- 61 Subject to careful regulatory constraints.
- 62 The Productivity Commission has pointed out that “where applied, volumetric metering and pricing appears to have reduced peak water consumption and waste by up to 30%... [and] peak daily water use decreased by about 25% in the two years after universal metering was put in place”; see New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 238.
- 63 See *ibid* at 154, 162.
- 64 Or other services like access to huts in the conservation estate.
- 65 Separate to any fees needed to cover the administrative costs of processing regulatory measures like resource consents.
- 66 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 259.
- 67 Collecting resource rent helps to protect against an inefficient allocation of the resource. The theory goes that the resource should be allocated to those uses that create the most value (including intangible value), thereby maximising net benefit. See generally J Scherzer and J Sinner *Resource rent: Have you paid any lately?* (Ecologic Research Report No 8, December 2006) at 9; Ministry for the Environment *Water programme of action: Water allocation and use* (December 2004) at 24.
- 68 See T Hazledine “Economics and the resource management system” in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 152. Water is different from waste, however. We are not aiming for a constant reduction in water use (only where there is over-allocation) in the same way that we are aiming for zero waste.
- 69 We have said in Chapter 7 that the insertion of allocative principles should allow such decisions to be made in a more balanced manner than under a market-led approach.
- 70 Resource rentals can be imposed under the RMA already for many things, including coastal space, geothermal energy, sand, and shingle, but this has not been done in a systematic way.
- 71 For example, some activities may be argued to provide significant public benefits already, and therefore no need for a charge (eg water for fire fighting).
- 72 That is not just the expectation that water rights (ie resource consent) will continue to be *granted*. It is also that water abstraction would attract no *charge*.
- 73 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 257.
- 74 There is a difference between the exclusive private use of a resource (eg a private jetty in the common marine and coastal area, or using the surface of lakes and rivers) and a public use. For example, a resource rental should not be imposed for going to the beach or river for a swim.
- 75 A fact recognised in the Continental Shelf Act and its cross-referencing to the Crown Minerals Act.
- 76 Continental Shelf Act 1964, s 5A.
- 77 Resource Management Act 1991, s 64A(1).
- 78 See, for example, Gisborne District Council Proposed Variation 15 to the Proposed Regional Coastal Environment Plan at 9; Tasman District Council Section 32 report on Draft Plan Change 56 at 14. Reasons offered include a low level of coastal occupation in a district; uncertainty over future ownership and management of the foreshore and seabed; and the likelihood of a lengthy plan change process holding up other priorities.
- 79 For example, where others are excluded from an occupied area. See also MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015) on the need for a coherent charging regime for coastal occupation and use.
- 80 For example, to fund the activities of a new Environmental Defender's Office.
- 81 On hypothecation of revenue, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 272. Rentals could even be viewed as a payment to the natural world for its own resources, especially if nature were to be given general rights (and humans corresponding duties) under a Future Generations Act (see Chapter 8).
- 82 Discussed in Chapter 12.
- 83 See Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010.
- 84 Compare R Joseph “The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward” in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 85 Sometimes described as “Pigouvian”.
- 86 Taxes could include those on inputs that cause pollution (eg fertilisers) or on outputs (eg nitrogen).
- 87 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019). Compare OECD *Environmental performance review - New Zealand* (2017).
- 88 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 89 Resource Management Act 1991, s 24(h).
- 90 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 23.
- 91 Tax Working Group *Future of tax: Submissions background paper* (2018). Contrast Waste Minimisation Act 2008, s 46(2).
- 92 T Denne “Resource management law reform and economics” in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018); S Bullen and others *The use of economic instruments for the control of air quality in Auckland: A scoping study* (Report prepared for the Auckland Regional Council, 2000).
- 93 See New Zealand Society of Local Government Managers *Rating knowhow: A guide to the Local Government (Rating) Act 2002* (2013).
- 94 S Bullen and others *The use of economic instruments for the control of air quality in Auckland: A scoping study* (Report prepared for the Auckland Regional Council, 2000).
- 95 New Zealand Productivity Commission *Local government funding and financing* (Draft report, July 2019) at 160.
- 96 *Ibid*.
- 97 See E Rose, W Witten and T McCreanor “Transport related social exclusion in New Zealand: Evidence and challenges, Kōtuitui” (2009) 4(3) New Zealand Journal of Social Sciences Online 191.
- 98 Alongside the more general role of the tax system in redistributing wealth.
- 99 RTT Stephens “Economic instruments for environmental management” in G Severinsen and R Peart *Reform of the resource management system: The next generation: Working paper 3* (2018).
- 100 RTT Stephens, S Greenhalgh, M Brown and A Daigneault “Enhancing the tax system to halt the decline of nature in New Zealand” (2016) 12(1) Policy Quarterly 26.
- 101 Local Government New Zealand A “blue skies” discussion about New Zealand's resource management system (2015) at 41; T Denne “Resource management law reform and economics” in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018) at 173.
- 102 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 103 *Ibid*.
- 104 For example, easements and beneficial interests.
- 105 The risks have been minimal for the taxation of cigarettes, for example, but that may be in part driven by the obvious financial costs of smoking (ie the burden on the public health system) that are in general more obvious and quantifiable than the inter-generational costs of depleting natural capital.
- 106 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 257. For example, should we subsidise riparian planting on farms, or charge farmers for nutrient runoff?
- 107 Or even, potentially, reducing tax liability by instead purchasing biodiversity values from a national biobank (see Chapter 12).
- 108 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 109 For example, there are many reasons why a compact urban form is, from an overall perspective, better for the environment (including the climate). So should an urban dweller, even if he or she has little ability to increase natural capital (other than a few pot plants) on his or her own property, continue to bear a greater tax burden than someone who owns a lifestyle block or lives in suburban sprawl? What would be the incentives?
- 110 See generally RTT Stephens “Economic instruments for environmental management” in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (2018).
- 111 Resource Management Act 1991, s 9.
- 112 We would not want to incentivise businesses to move districts or regions to avoid paying the tax, and that may prove an irresistible incentive for local government to avoid imposing it without a nationally consistent approach.
- 113 Or to provide rates relief: see *Report of the Biodiversity Collaborative Group* (2018) at 98.
- 114 Tax Working Group *Future of tax: Final report volume 1 - recommendations* (2019).
- 115 See, for example, Ministry for the Environment “Our funds” (2017) <www.mfe.govt.nz>
- 116 For example, subsidies through the Provincial Growth Fund for planting trees, in order to assist in meeting the Billion Trees target, in the absence of a robust integrative strategy for forests, land use or climate change. See <www.radionz.co.nz/news/political/377172/government-to-invest-118m-in-tree-planting>. Compare the discussion on a “landscape approach” in Chapter 9.
- 117 MA Brown and others *Evaluating the environmental outcomes of the RMA* (EDS, 2016).
- 118 Compare *Report of the Biodiversity Collaborative Group* (2018) at 97.
- 119 T Denne “Resource management law reform and economics” in G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 3* (EDS, 2018).
- 120 Compare generally *Report of the Biodiversity Collaborative Group* (2018) at 89.

- 193 Compare M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) Policy Quarterly 32 at 35.
- 194 Or for Ministers to ensure that agencies are evaluated, since consequences of poor performance will be political as well as reputational.
- 195 Compare M Petrie "Reversing the degradation of New Zealand's environment through greater government transparency and accountability" (2018) 14(2) Policy Quarterly 32 at 33-34; Ministry for the Environment *A framework for environmental reporting in New Zealand* (2014) at 20.
- 196 In contrast, we have, for the last 15 years, enjoyed a firm policy response to climate change mitigation under the RMA – unfortunately, this has been in the form of a near complete prohibition on considering it. At the time of writing, a discussion document on a proposed NPS for Indigenous Biodiversity has just been released after many years of gestation.
- 197 Resource Management Act 1991, s 35(2).

- 198 M Doole *Enforcement and evaluation in the new regime* (unpublished commissioned paper, The Catalyst Group, 2019).
- 199 As discussed in Chapter 8, the government could be required to adopt recommendations unless there were good reasons not to.
- 200 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 175.
- 201 See Chapter 8.
- 202 See Chapter 6.
- 203 See MA Brown and others *Vanishing nature: Facing New Zealand's biodiversity crisis* (EDS, 2015);
- 204 RTT Stephens "Economic instruments for environmental management" in G Severinsen and R Peart *Reform of the resource management system: The next generation: Working paper 3* (2018).
- 205 *Report of the Biodiversity Collaborative Group* (2018) at 86.

14. CONCLUDING COMMENTS: A PATHWAY TO REFORM

In this report, we have proposed the bones for a future resource management system in Aotearoa New Zealand. A wide range of issues have been traversed, but they are by no means comprehensive. A great deal of work remains to be done if we are to see meaningful change to the way we manage our natural and physical environment. We hope that this report progresses a much needed conversation and we welcome constructive debate, especially in light of the substantial and growing political appetite for change we are seeing. In particular, we look forward to engaging with the ideas being progressed by the government's independent review group on resource management system reform.

For ease of presentation, our proposed model has been described in terms of the key legislative frameworks that we see operating in the future. How our legislative landscape would change is shown in Figure 14.1. How the system as a whole would operate is outlined, in simplified form, in Figure 14.2. Alongside legal change, institutional design is crucial. So too is funding. Economic and behavioural incentives need to play a larger role in driving change. And New Zealanders have a great deal of soul searching to do about how we behave in our daily lives. We need strong social norms and expectations about environmental wellbeing.

A significant focus of the report has been on the future of the RMA, to which we have devoted three chapters. We

have covered a number of aspects of the Act: whether to split it or make changes to its purpose and principles, what to do with planning processes, and how to reform associated institutional settings. We have also explored the idea of an overarching layer of strategic legislation – a new Future Generations Act – under which we would see an integrative layer of strategic and spatial planning. We have considered where climate change – a defining issue of our generation – fits in, and aspects of the built/urban environment. On that front, how we plan and fund infrastructure, and our associated institutions, are particularly important, and we acknowledge the important work that has been undertaken by Infrastructure New Zealand, the Productivity Commission and others. We have also floated a new framework for oceans management – an Oceans Act – and a more integrated approach to conservation legislation via a Protected Areas and Species Act.

Underpinning all of this has been our criteria for reform, and an understanding that different worldviews – whether we describe them as ecocentric, anthropocentric, tikanga-based or something else – need to work together. At root, we are all New Zealanders concerned for our future and the future of our children. We favour significant reform, not a continuation of the “tinkering” that has defined recent times. Below, we outline some of the key themes of our model.



We need to **rationalise fragmentation** in legislation and institutions

Integrate conservation legislation into a single Protected Areas and Species Act

We need to focus more on a **regional level** of planning

Require the development of a single combined plan at a regional level under the RMA, and regionalise the provision of three waters services, with a movement towards greater regionalisation of local government

We need to improve **cooperation and coordination** between institutions and legislation

Provide for a level of spatial planning that brings together different institutions with mandates under different legislation, and review the purposes and principles of separate legislative frameworks

We need to **align funding, regulation and institutional incentives**

Provide for the development of regional spatial plans that address regulatory and funding matters, and expand the funding and financing tools available

We need greater **predictability and stability** in outcomes sought, but **agility** in how they are reached

Provide for high level principles in a new Future Generations Act to provide policy stability, and a more agile process for planning under the RMA

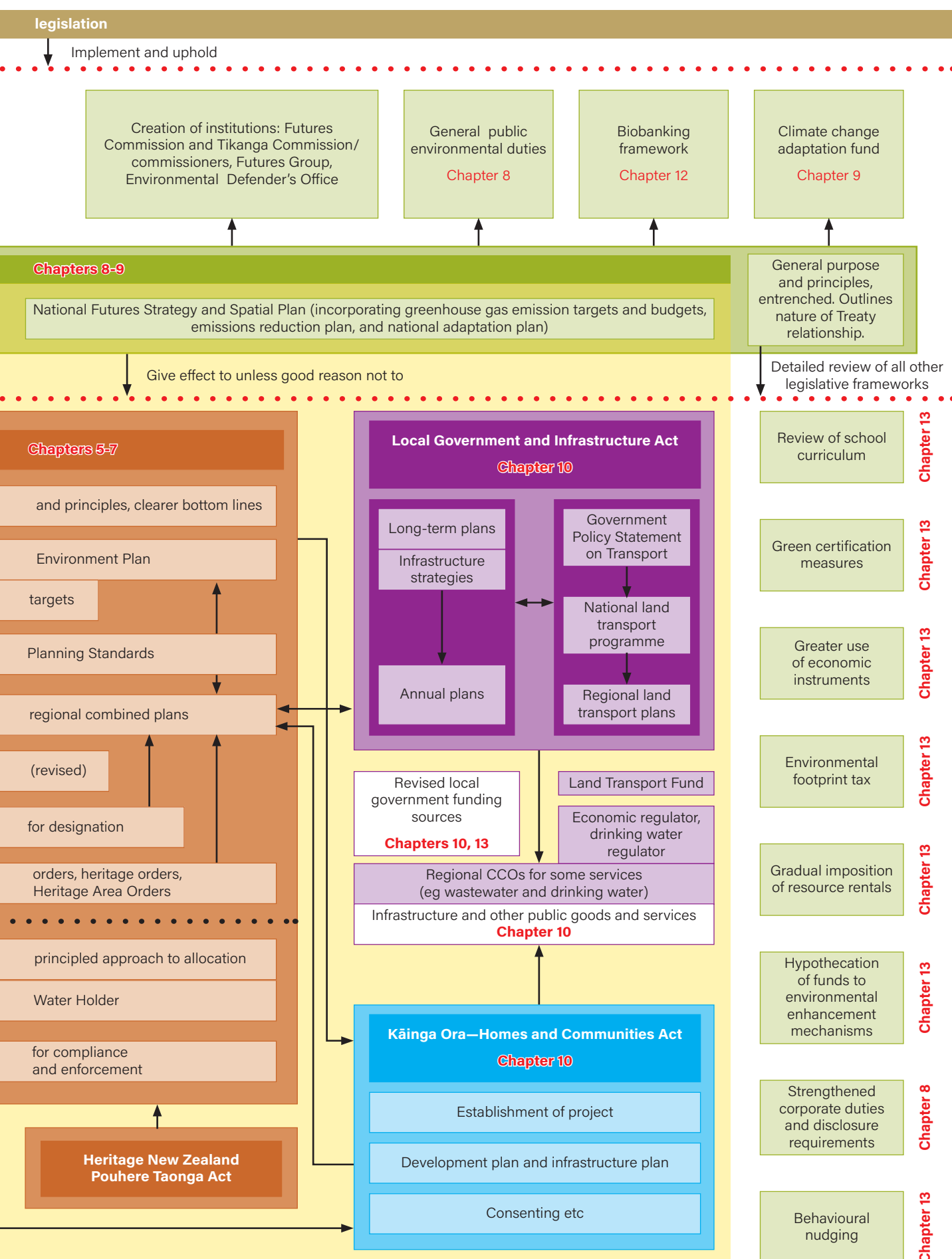
We need to address people's and firms' **incentives** and motivations to prevent harm and take positive action, not just prevent things happening

Introduce more economic instruments and behavioural nudging, and investigate the deployment of an environmental footprint tax

We need to **understand how we are tracking**, and to change things if we're not tracking well

Strengthen environmental monitoring requirements, and require action to be taken based on predetermined trigger points





urban issues. Arrows indicate key connections, although they are not exhaustive.

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Institutional design generally	Establish an independent Futures Commission and Tikanga Commission (or tikanga commissioners within a Futures Commission)	Strengthen capacity and capabilities of a Futures Commission, and expand its functions (as outlined further below)	Integrate existing or proposed independent watchdog institutions under the umbrella of a Futures Commission (eg Parliamentary Commissioner for the Environment, Climate Change Commission, Freshwater Commission)	
	Establish an independent Environmental Defender's Office, charged with undertaking public interest litigation	Strengthen capacity and capabilities of Environmental Defender's Office		
	Amalgamate councils where no longer viable economic units in light of challenges they face	Continued conversation around local government restructuring, with an eye towards greater regionalisation of functions or boundaries where scale matters		
	Establish a true whole of system steward within government (a Futures Group) comprised of high level officials from relevant departments and Crown agents	Establish a national Environmental Water Holder to operate in water markets (ie trading or auctioning mechanisms)		
	Establish a cross-agency behavioural insights group			
	Rewrite Part 2 of the Act (its purpose and principles) to recognise the pre-eminence of environmental bottom lines, the need to give effect to the principles of the Treaty, the importance of good urban planning, and the need to resolve allocative issues	Implement a revised Part 2 through national direction, council plans and other tools		
	Define a principle of "subsidiarity" in Part 4 of the RMA to give clearer expectations about the relative roles of central and local government under the Act			
	Require central government to produce a single, integrated and coherent piece of national direction (a National Environment Plan) addressing all matters of national importance and relationships between them. Deem existing NPSs and NESs to be part of this NEP.	Review existing national direction in order to give effect to a revised Part 2, to align them with each other, and to fill gaps (especially in relation to climate change). Set clear trigger points for further review.	Continually review and update NEP in light of clear, pre-identified trigger points for action.	Provide greater role for arm's length EPA in creating regulatory components of national direction
	Require the establishment of environmental targets in national direction, and put in place timeframes and an accountability framework around them			
	Extend National Planning Standards to apply to national direction			
RMA norms and planning	Establish a stronger role for the EPA to set regulatory provisions for some aspects of an NEP, such as limits for freshwater quality and flows			
	Establish a revised process for changing an NEP, including a co-creation/cooperative role for Māori and local government and a review role for an independent Futures Commission	Implement an integrated NEP through council plans		Introduce appeal rights to the Environment Court in relation to some aspects of national direction
	Strengthen framework for water conservation orders	Introduce other "order-based" tools akin to water conservation orders (eg Heritage Area Orders)		
	Provide direct assistance (financial and otherwise) from a national level body to councils to implement national direction			

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
RMA consenting and compliance monitoring and enforcement (continued)	Remove the ability for Boards of Inquiry to consider consent applications			
	Strengthen the role of the EPA in making first instance decisions on some consent applications (eg for freshwater), and provide clear criteria as to when powers would be transferred to the EPA			
Compliance monitoring and enforcement	Amend the Criminal Procedure Act to specifically identify council prosecutions as "public", attracting mandatory oversight from the Solicitor-General			
	Broaden the range of criminal and civil penalties available under the RMA			
	Strengthen provisions allowing consent to be refused or revoked for repeated non-compliance			
	Clarify in legislation that enforcement decisions are not to be made or influenced by elected members			
	Provide strong originating jurisdiction for the EPA for enforcement, and the power (and a duty) to take over or assist in enforcement action taken by councils. Provide clear guidance in legislation or national direction as to when the EPA would be required to or be able to intervene.			Persistent failures by councils in enforcement should trigger temporary or permanent transfer of enforcement powers to EPA
	Integrate compliance monitoring and enforcement data in a broadened environmental reporting regime			
	Implement greater cost recovery for permitted activity monitoring			
RMA allocation	Retain allocative functions within the RMA for those resources managed under the Act (including freshwater)			
	Introduce new statutory principles within the RMA to guide a regulatory process for allocation (including reallocation and deallocation)			
	Deploy collaborative processes as a first step to deallocate existing rights within overallocated catchments			
	Progress a regulatory process for reducing existing rights in overallocated catchments (broadly reflective of the proposed freshwater planning process) where collaborative process fails or is inappropriate due to challenges or urgency			
	Establish a structured process for allocating/reallocating freshwater abstraction rights (1) in the event of the expiry of existing specifically consented rights and (2) where there is new allocation. Establish two tranches of water rights: (1) a tranche allocated by regulatory means, such as attribute weighted tendering (or to meet Treaty obligations); and (2) a tranche allocated by economic means, such as auctioning.	Further investigate the deployment of water trading regimes where appropriate in light of environmental and market conditions		Respond to ongoing legal and political developments concerning Māori rights and interests in freshwater
		Establish a national Environmental Water Holder. Confer on this entity a mandate to operate in any future water markets (auctioning and trading mechanisms) to enhance public interest outcomes		
	Gradually deploy fair, and tailored, resource rentals to be directed back to public interest purposes, including a degree of control by Māori			

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Legislation for the built/urban environment	More closely align decision-making processes and timeframes under the Local Government Act and Land Transport Management Act			
	Integrate the Local Government Act, Land Transport Management Act, Infrastructure Commission legislation and proposed Water Services Bill into a single Local Government and Infrastructure Act			
	Establish a dedicated drinking water regulator, and expand strengthened standards to all providers			
	Establish a national level economic regulator to oversee adequacy and fairness of investment and pricing for drinking water and wastewater services			
	Impose consistent national standards for wastewater discharges as part of an NEP under the RMA	Establish minimum stormwater discharge standards as part of an NEP under the RMA		
	Encourage regionalisation of drinking water and wastewater service delivery through the use of CCOs, including central government contributions	Provide for the regionalisation of water services through a CCO model, including central government contributions	Revisit the necessity of central government contributions to water services	
	Investigate further the advantages and disadvantages of regionalising local transport infrastructure through a CCO model, alongside continued national involvement via the NZTA			
	Expand the funding and financing tools available to local government, including value uplift capture mechanisms, direct subsidisation by central government according to need or demand, and the ability to levy a bed tax	Investigate and deploy a locally levied GST (although not as a replacement for rates), with corresponding reduction in nationally-levied GST		
	Strengthen the Building Act and Building Code (and infrastructure standards) to facilitate stronger green outcomes in construction and urban development	Consider whether more can be done to align or integrate heritage protection under the RMA and the Heritage New Zealand Pouhere Taonga Act		
	Legislate development powers to an urban development authority (Kāinga Ora – Homes and Communities) but in a way that is strictly subject to environmental limits contained in other legislation			
Oceans legislation	Establish a new ministerial portfolio for oceans, to lead policy development on an integrated approach to oceans management	Establish a dedicated Oceans Agency (or as part of a strengthened EPA). Strengthen Māori input into decision-making by the Agency.		
	Strengthen marine management capability within the EPA	Enact a dedicated Oceans Act, subsuming a number of existing statutes relevant to the marine environment (including the Fisheries Act, the RMA in its operation beyond 3 nautical miles, the EEZ Act, aspects of the Biosecurity Act and the Maritime Transport Act), but excluding conservation focused statutes (eg the Marine Mammals Protection Act).		
	Develop a framework for marine spatial planning under the Future Generations Act, to flow through into other "implementation" frameworks like the RMA	Remove jurisdiction from the RMA (and regional councils) for oceans management beyond 3 nautical miles, and give them to an Oceans Act and Oceans Agency		
	Commence work on an integrated Oceans Plan to be promulgated under an Oceans Act	Finalise an integrated Oceans Plan		

Category of reform	Short-term	Medium-term	Longer-term	Conditional reforms ("Plan B" measures)
Other legislative frameworks and wider system change (continued)	Expand the functions of the Minister for the Environment to include the investigation of behavioural incentives			
	Establish a cross-agency behavioural insights group	Work with councils to develop programmes for behavioural nudging to improve environmental outcomes		
	Introduce tax concessions for environmentally desirable activities			
	Continue work on natural capital valuation			
	Develop national direction or guidance for the appropriate use of discount rates in the context of cost-benefit analyses of future environmental impacts			
	Deploy subsidies for environmentally beneficial activities in a more strategic, less ad hoc, manner, including payment for the active provision of ecosystem services on private land			
	Strengthen the framework for corporate disclosures to embrace climate and environmental risks, and feed this information into a broadened environmental reporting framework	Greater involvement of the government in "green" certification of private sector initiatives		
	Strengthen directors' duties in relation to climate and other environmental risks			
	Provide for greater central government financial and other support for local government functions where they are imposed by central government (eg when imposed through national direction)			
	Review the school curriculum to make climate change and environmental sustainability mandatory elements	Conduct a review of core elements of key tertiary programmes		
Monitoring, reporting and evaluation	Introduce stronger, government branded public messaging around environmental issues			
	Develop a more integrated and comprehensive approach to environmental monitoring and reporting at regional and national levels, and one that links outcomes to causes (eg sectors) and to public interventions (eg compliance and enforcement activities)	Establish a single, national-level consenting and compliance database		
	Establish a clear mandate, funding and pathway for public authorities to fill gaps in state of the environment monitoring data			
	Require the establishment of pre-set indicators requiring corrective action to be taken if triggered	Ongoing reviews and corrective action		

Figure 14.3: A rough timeline for system reform

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